

Tata Steel Ltd. (TATASTEEL)

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PRESENTATION

Operator:

Ladies and gentlemen, good day, and welcome to the Tata Steel Analyst Call. Please note that this meeting is being recorded. All the attendees, audio and video has been disabled from the back end and will be enabled subsequently. I would now like to hand the conference over to Ms. Samita Shah. Thank you, and over to you, ma'am.

Samita Shah : VP CFTRM – Tata Steel Limited

Yes. So good morning, good afternoon, and good evening to all of you joining us from the West from India as well as the Far East. I'm Samita, and I'm delighted on behalf of Tata Steel to welcome you to this call to discuss our results for the first quarter of FY 23. We have with us our CEO and Managing Director, Mr. T.V. Narendran, who's on the screen beside me. Unfortunately, our ED and CFO, Mr. Koushik Chatterjee, is down with COVID and will not be able to join this call today. But we will attempt over this 1 hour or so to walk you through our results and explain our performance and obviously answer any questions you may have.

We will take questions in audio mode as well as in chat mode. Before I hand it over to Naren, I just want to remind you that our presentation explaining our performance is on our website. You can refer to it for your convenience. There is a safe harbour clause on Page 2 of the presentation, which will cover the entire discussion. Thank you, and over to you, Naren.

T. V. Narendran : CEO & MD - Tata Steel Limited

Thanks, Samita. Good morning, good afternoon, and good evening to all of you. As you know, the global economy is facing several macroeconomic headwinds from inflation and interest rate hikes, to the COVID situation in China and the conflict between Russia and Ukraine. Commodity and steel prices have naturally been affected and there's been a sharp correction in prices of both steel and input prices. Indian steel industry also faced similar challenges, which were compounded by the imposition of the 15% export duty midway through the quarter. And all of this has weighed on steel spot spreads and they have dropped sharply.

Despite these multiple headwinds, Tata Steel has delivered a strong performance with improvement in margins, which validates our strategy and business model, and I'll explain some of the reasons to you.

One is our India business, which has always been focused on the domestic market with exports typically accounting for about 10% to 15% of our total volume. We've been able to pivot quite successfully into the domestic market, where we've built strong relationships. And what I would also like to highlight is even if you look at the last few years, we've been selling more in the domestic market than anybody else in India, and that has put us in a good position to scale up in India and despite the challenges. So while the export duty did have an impact, we were able to increase our domestic deliveries by about 5% on YoY basis and achieve an increase of about Rs. 5,000 /t which is slightly lower than what we predicted. But of course, a lot has changed since our guidance after the last year's results.

In Europe, too, we have delivered a strong performance enabled by long-term contracts and product mix. So on QoQ basis, we continued to improve our performance and EBIT

DA was upwards of £600 million, with net realizations higher by about £154 per ton (inaudible).

Looking ahead, the rest of the year will continue to be challenging. Our performance in the second quarter will be impacted by lower net realizations, which will not be fully compensated by the drop in input prices because most of the benefits of the lower coal prices today will flow through towards the end of next quarter and mostly will be felt in the third quarter. We are working on mitigating this mismatch, but the heightened volatility makes it difficult to assess the exact impact. However, we do see a few green shoots, which should improve performance in the second half of the year.

For one, the COVID restrictions in China have begun to ease, and we expect that some of the pent-up demand will come back. We're already seeing that in the auto sector in China and the government stimulus, including what they've

announced a couple of days back to help the property markets are expected to drive more stability in the Chinese market. The second point I want to make is, at today's prices, most Chinese steel companies are losing money. This is in part because the coking coal prices in China are quite high and not comparable to the Australian coking coal prices, as China doesn't buy coking coal from Australia. And hence, there's tremendous pressure on Chinese steel companies either to cut production or to increase prices.

In India, steel prices have now stabilized and are at lower levels, and the pent-up demand or the demand which was postponed because steel prices were dropping is slowly coming back. Sectors like automotive continue to do well, and the underlying demand from end users remains strong. And as demand further picks up post the monsoon period and with early onset of the festive season, we expect inventory restocking to resume, helping prices move up. And hence, while we do expect margin compression in the second quarter, we see volume expansion also to happen in the second quarter. We will start seeing the liquidity improve with inventory translating into sales.

We continue to drive value-accretive growth in India and remain well positioned to benefit from the expected shift in demand dynamics towards the latter half of the year, and at our 6 MTPA pellet plant in Kalinganagar, power has already been charged, the equipment is being tested, and it will be commissioned in the next 3 months or so, and that will help us drive further cost savings. At the Cold Rolling Mill also the power has been charged and the equipment has been tested and what we call [inaudible] itself will get started in the next few months. And by the end of the year, we would have commissioned the coal rolling part of it and then we'll commission the galvanizing lines and the annealing lines.

Acquisition of Neelanchal Ispat Nigam Limited was completed on 4th of July. The plant, which has been shut down for more than 2 years, we expect to start the blast furnace at least in the next 3 months. We continue to progress on our sustainability journey and are committed to be net zero by 2045. Multiple initiatives are underway across multiple geographies, aligned with respect to regulatory and operating environment. We are steadily increasing the use of scrap in our steelmaking process in India to bring down the carbon footprint. We've also started using solar energy for some of our mining activity. We are deploying EV trucks for short distance, repetitive kind of movement of material. In Kalinganagar Phase 2, as we expand, we will again reduce the carbon footprint of the Kalinganagar operation because the utilities etc., and all other areas will have a larger denominator to deal with in terms of larger production.

Tata Steel Europe is working on a transition to green steel, both at Netherlands and the U.K. Before I hand over to Samita

to take us through the financials. I would also like to comment a bit on talent, which is sometimes an underappreciated part of Tata Steel. We are very proud of the talent that we have and some of the quality of talent is reflected in the results that we have delivered. Tata Steel has always invested in nurturing talent. In fact, in many ways, we've also been sort of a feeder for manufacturing industry including the metals and mining sector in India with many of our alumni occupying leadership positions in many companies. In recent times, we've also tried to broaden our talent. We have made several concentrated efforts to structurally make Tata Steel more agile, diverse, and inclusive and a more engaging workplace for the talent of the future. We have adopted agile way of working to fast pace some of our long-term projects and brought in a lot of flexibility via work from home policies which continue even beyond COVID. We were the first mine in India to deploy women in all shifts. Till recently, legislation in India did not allow that. And we have also deployed women employees across the value chain. We've on-boarded more than 100 people from the transgender community, and we are working on integrating them into Tata Steel and society at large.

With that, I hand over to Samita for her comments before we deal with the questions. Thank you.

Samita Shah : VP CFTRM – Tata Steel Limited

Thank you, Naren. Tata Steel has continued to perform across geographies despite the complex global operating environment. Our consolidated revenues for the quarter stood at Rs. 63,430 crores and were up 19% on YoY basis with higher per ton realizations in both India and Europe. Our consolidated EBITDA stood at Rs. 15,047 crores, translating to an EBITDA margin of 24%. Our adjusted EBITDA, which excludes the FX impact, stood at Rs. 14,348 crores and increased by Rs 1,829 to Rs 21,661 per ton on a QoQ basis. This was despite the increase in raw material costs, both in Europe and India.

Moving to Tata Steel standalone. Our raw material costs for the quarter increased to Rs. 17,336 crores, primarily due to an increase in coking coal consumption cost by \$112 per ton of coal. Royalty increased by Rs 205 crores, as there is a lag in the IBM declared prices on which royalty is computed. The decline in spot prices of iron ore since May is yet to reflect in those prices. Forex gains for the quarter stood at Rs. 1,312 crores. This is for Tata Steel standalone a gain. And excluding this, the adjusted EBITDA stood at Rs 8,304 crores, which translates to EBITDA per ton of Rs 21,326.

At Tata Steel Europe, raw material costs for the quarter increased to £1,148 million due to an increase in coking coal consumption cost by around £84 per ton. Energy expenses declined due to a moderation in gas prices, and we also received government rebate in UK for payments made for power expenses in the previous months. This was partly offset by slightly higher costs related to freight and handling. Overall, total costs were up by £43 per ton, while steel realization was higher by £154 per ton, leading to a significant uptick of £111 in EBITDA per ton, which translated to best ever quarterly performance of £621 million.

At the Consolidated level, Taxes for the quarter stood at Rs 4,192 crores and were up on a QoQ basis, mainly due to deferred tax component in Europe. Excluding the noncash deferred tax component, taxes are in line with profitability.

Moving on, the volatility in commodity prices and the immediate impact of export duty has led to an increase in working capital on QoQ basis, primarily due to an increase in both raw material and finished and semi-finished goods inventory. As the fourth quarter is a seasonally strong one, there is a draw down of stocks and the subsequent quarter usually witnesses some build-up. In the first

quarter, this trend coincided with the imposition of the export duty and higher coking coal consumption cost, which has led to an increase in overall inventory position over the normalized levels. Of late, coking coal prices have moderated to below \$250 per ton levels, and this should begin to fully reflect in the P&L and our working capital from the later part of the second quarter in India and more like the third quarter in Europe.

This, coupled with our cost improvement and other initiatives, should result in a normalization of working capital in the second half of FY 23. Despite the increase in working capital, we were able to keep our net debt at Rs 54,504 crores, and our financial metrics continue to be well within investment-grade levels. Our Net debt to EBITDA is 0.87 x, while our Net debt to equity is below 0.5. We remain committed to our annual deleveraging target of \$1 billion per year in line with our capital allocation policy of prioritizing reduction in debt.

Capital expenditure for the quarter stood at Rs 2,725 crores, and we maintain our annual guidance of Rs 12,000 crores for the year. Our group liquidity remains strong. We ended the quarter with a cash balance of over Rs 28,000 crores. Part of this cash built-up was to fund the acquisition of NINL, which we have completed in early July, and we are now back to our normalized cash levels. With this, we will end here and open the call for questions. Over to you, Kinshuk.

QUESTIONS AND ANSWERS

Operator

We will now begin with the Q&A session. We will be taking questions on audio and chat.

We have our first question from Satyadeep Jain of Ambit Capital.

Satyadeep Jain, Ambit Capital

My first question is on energy. What kind of rebate did you get in UK this quarter? And what kind of -- you also have the hedge position for energy. How do we look at energy cost inflation for you in both Netherlands and UK over the next few quarters?

T. V. Narendran : CEO & MD - Tata Steel Limited

Yes, energy inflation is a concern. If I look at what we're going to spend this year compared to what we were spending maybe 2 years back, it's about 3x, simply because of gas prices going up.

We've been insulated quite a bit from the volatility because we typically hedge 75% of our exposure, and that's why we've not had the -- we are a bit insulated from the volatility that you see. Going forward, we do expect things to settle a bit because, as you know, Europe is taking several actions to reduce its dependence on Russian gas, including starting up some of the coal power plants and investing significantly in LNG. And more specifically, if I look at Netherlands, they have already fulfilled the requirement of EU for countries to consume 15% less gas than they normally do. And so, there is no business risk to us from lower gas availability.

But the inflationary pressures are something which we keep watching. That also is reflected in the higher spreads than you normally see because everyone is facing the same challenge. So, costs in Europe are certainly higher than what we've seen in the past.

Satyadeep Jain, Ambit Capital

One follow-up on that, you are basically saying that the entire energy exposure is hedged 75% for the rest of the year. Are you somewhat hedged for next year also?

T. V. Narendran : CEO & MD - Tata Steel Limited

No. I mean, typically, it's for the next couple of quarters that we are fully hedged. So, we continue to work that hedge, and that's about 75%. No, we're not hedged for the next year.

Satyadeep Jain, Ambit Capital

Tata Steel has also been embarking on transformation program. I'm talking about the European business. Given that the UK entity has grant from the government on energy consumption, where does Tata Steel Europe stand on the European cost curve now versus where it was a few

few years ago? And structurally, the challenge with Tata Steel Europe historically was a significant downturn. There was an EBITDA loss at the P&L level. Structurally, what has changed for the European steel industry that could provide us some confidence that there has been a margin uplift compared to historical levels?

And related to this would be, given the gas prices where they are, could there be delay in the entire push to DRI? I believe that the transition to hydrogen-based DRI for many of the companies is not a straightforward transition to hydrogen-based. So, it's partly starting with the natural gas and then moving to hydrogen. But given gas prices, could we be looking at a late transition to DRI?

T. V. Narendran : CEO & MD - Tata Steel Limited

In terms of the cost position of the European business, I would separate out Netherlands and UK. Netherlands has always been well positioned as far as the European steel producers are concerned. It's always been on the left end of the cost curve, which means it's been one of the lowest cost producers in Europe and continues to occupy the position. But having said that, we continue to take out costs and drive more efficiency. That is one part because we are also conscious that there's inflationary pressures, not just on gas prices, but also on labour costs. So that's something that we will continue to work on.

Second thing which we are doing in Europe is apart from cost, we continuously invest to improve our product mix. So in Netherlands, the STAR program, which we've been running for the last few years, is about enriching the product mix, serving the more high-end customers etc. We probably have one of the best steelmaking shops in Europe now with the investments that we've made. So, there's a product enrichment also going on to supplement our competitive cost position.

As far as UK is concerned, it is somewhere in the middle of the cost curve for the European steel industry because there are some structural issues. The UK plant is not balanced like the Netherlands plant. It doesn't have a pellet plant. It needs to buy. The gas balance is not perfect. So, there are some challenges because of which the UK business will be about €20 to €30 per ton or €40 per ton in a worse position than Netherlands on a comparable basis. One of the issues there is also the electricity cost in UK. So, these are issues we are talking to the government. As far as the transition is concerned, yes, in Netherlands, the plan is to move from blast furnace coal base to gas based DRI to hydrogen. What you're saying is something which has been in discussion across Europe and in Netherlands. But the general view is that in the next year Europe will have options beyond Russia as far as gas supply is concerned. So gas availability is not expected to be a concern. Gas prices are also expected to settle over the next 2 - 3 years by the time we shift to gas-based production. So, it's something which we watch very carefully. But as of now, it has not impacted our transition plans.

Satyadeep Jain, Ambit Capital

One of the questions was also on the structure

T. V. Narendran : CEO & MD - Tata Steel Limited

Yes. So, the cost takeouts continue. Typically, we target about €100 to €150 million of cost takeouts, both in Netherlands and in UK based on the cost programs that we run every year, like in India as well. So that continues. And to some extent that is helping us offset some of the inflationary pressures.

Operator:

The next question is from Amit Dixit of Edelweiss.

Amit Dixit, Edelweiss :

Given the significant thrust on sustainability in Europe, and what has been highlighted a number of times in our annual report as well is that we are looking for to meet the elevated sustainability standards of Europe and would be investing over time

e. Now in the past, we have been told that most of this Capex would be funded out of the cash flows that Netherlands operations generate. And in UK, possibly you will be dependent on government support.

What are we targeting to spend over the next few years in Europe on sustainability? And how much of it would be funded from the cash flow generated from the business? And how much of it is likely to be funded from Tata Steel standalone business?

T. V. Narendran : CEO & MD - Tata Steel Limited

Firstly, strategy and approach are different for Netherlands and U.K. So, when you look at Netherlands, like I said, transition plan is when the blast furnace comes up for relining, here I am not referring to the one which is due for relining in February next year, but the next one which comes to relining after that. When that blast furnace comes up for relining, we will close it down and start building the gas based DRI facilities. That's the plan, but we are working out the details of the business case. The expectation is that we should build a corpus from the Tata Steel Netherlands cash flows to try and ensure that the transition is done by the cash flows generated from Netherlands and with some support from the government in Netherlands. So that's the plan and it is not dependent on support from India. That's as far as Netherlands is concerned.

As far as U.K. is concerned, the cash flows in U K will never be able to support the capex that is required for the transition. In UK, the transition is different because it is more towards leveraging scrap which is available. UK is an exporter of scrap. So, there is an opportunity to leverage the scrap, which is available in U K and converted in a steel as long as there is support from the government to help with the capex required for transition as well as some policy support because energy costs in U K are 2x the energy costs in Europe. So, the U K transition is very much dependent on the kind of support we can get from the government because, again, the philosophy is we want to minimize the impact on the Standalone or Parent.

Amit Dixit, Edelweiss

Okay. And the second question is essentially we have split Tata Steel Netherlands and Tata Steel U K business in October. Is there a thought process, wherein we can get separate financial statements for these entities, I mean, going forward in quarterly? Is there a possibility of the same?

Samita Shah : VP CFTRM – Tata Steel Limited

I can answer that, yes. So, I understand where you're coming from, that you're looking for more clarity between the two entities. I think for us, it's trying to strike a balance between the amount of sort of complexity of the data we put forth in the public domain and with the need for making sure you understand the performance. So we are already doing U S dollars, we're doing pound s, and we are doing Rupees. So, it's a little bit of that. We do track the businesses separately, and we do comment a lot on the businesses for your understanding separately. We will evaluate this.

But frankly, from our perspective, it's more in terms of just trying to reduce the noise in the system. It's really about that. But we hear what you're saying, and we will come back and see if that is possible.

Operator:

The next question is from Vishal Chandak of Motilal Oswal.

Vishal Chandak , Motilal Oswal Securities Limited

My first question was with regard to your steel contracts that are getting repriced in Europe. Can you please help us understand how much proportion of contracts are getting reset? And typically, at what prices?

T. V. Narendran : CEO & MD - Tata Steel Limited

So, Vishal, about 30% of our contracts in Europe are annual contracts. There's no reset there. That continues till December. Of the balance, some of it has already been reset, which are quarterly

and monthly etc., and then there's 30%

which are half yearly, which are the ones which will get reset during this quarter. So that's a conversation which is ongoing.

Obviously, we expect to finish somewhere between the spot prices and the long term contract prices because when we reset these contracts, we are going to hold these prices for the next six months. So obviously, the price that we settle on will factor the way we see the next six months and the way our customers see the next six months.

Vishal Chandak , Motilal Oswal Securities Limited

That is useful. Sir, just following up on this contract repricing. We have seen Tata Steel Europe reporting phenomenal numbers. No one ever expected Tata Steel Europe to really beat India standalone or parent entity numbers. That's something which I think we never expected. But the question remains, what is the sustainable number? We have seen Tata Steel Europe reporting as low as in triple digit negative EBITDA numbers also in terms of less than \$100 per ton of EBITDA, and we have seen \$370 /t also. So how do we strike a balance and what is the sustainable number?

T. V. Narendran : CEO & MD - Tata Steel Limited

I think the Netherlands business has always been EBITDA positive, has always been cash positive. It may not be so visible because we've always reported it as TSE. So, the Netherlands business has always been a strong business, slipped in between a bit here and there. But I think fundamentally, it's a strong business.

The U K business was the one which was fragile. And in the past, the U K business was 3x the size of today. It was 10 million tons. Today, it is 3 million tons. So today, the U K business, which is the most fragile part of our business is only 10% of Tata Steel's operations, whereas at one point in time, it was 40%. So that's a big structural change. So that is one point.

Second point is, additionally, the steel spot spreads you would look at would be about €225 per ton. That used to be the spread -- average spread and that has changed. That has changed because costs in Europe have changed for everyone, not just for Tata Steel, whether it's gas prices, inflationary pressures etc.

So today, the spreads are -- if you see the spreads, are up over €600 per ton. Today, it's maybe in the €500 to €600/t range. We don't see it coming down to the €225/t that we've seen in the past. So, it will be somewhere in between. So, we

do expect spreads in Europe to be higher than what we've seen traditionally because everyone's costs have gone up. In addition, everyone is investing or at least planning to invest in the transition to green. And on top of that, Europe is going to have a carbon border adjustment mechanism.

Exports from Russia, which were a big threat, are no longer such a big issue. There are quotas for imports coming in from all other countries. So, I think we do see spreads and prices in Europe to be higher than what we've traditionally seen, which will help all the businesses, including us. So, our job is to continue to be one of the most efficient in Europe, so that Tata Steel Netherlands at least can deliver industry-leading numbers.

UK is a slightly different problem. Again, in the UK, we are seeing that the government, as part of its efforts is trying to revive the British economy and is taking a number of steps to ensure that manufacturing activity in the UK continues to be strong post Brexit. As you saw, there were some actions taken more recently on restricting imports. But as we said before, we do need some support from the government to sustain this business over the long term. So I do expect, going forward, certainly better performance than we've seen in the past. It may not be what you saw in the last quarter, but certainly better than what you've seen in the past.

Vishal Chandak, Mot

ilal Oswal Securities Limited

Sir, my second question was with respect to, again, transitioning to the green. Now it's already in the public domain, and you've mentioned that the cost of transitioning in UK is about £3 billion, and it will not be possible for Tata Steel UK to do it all on its own. That's a known fact. But in terms of Netherlands, how are we looking at it? And if UK government doesn't support or the Netherlands government does not support, are we looking at closing these furnaces for good? Are we still looking at some buyers and consider selling out in good times for Tata Steel Europe at least?

T. V. Narendran : CEO & MD - Tata Steel Limited

The £3 billion number was put out by media. So, I don't think we have commented on that. So, it's less than that. Let me put it that way. Yes, the transition cannot happen in the U.K. without policy support and some capital support from the government. Our pitch is that we have supported the business enough over the last 10 - 15 years, and we are an important part of the British manufacturing value chain. So, while we've done a bit, we have submitted to the government that we need some support there. So that's that part of it.

In terms of Netherlands, it's different. The detailed engineering work is being done. Once we do that, we'll have a better sense of the capex. In the meanwhile, the team there is focused on generating the cash flows and the surplus and creating a corpus to help us in the transition. The government is engaged with us and is willing to support us. What is the kind of support, that is still being worked out? It will also depend on what our ask is. But I think the business there is in a far better position to manage its transition by itself and with some support in policy, if not in cash. And we think we can build a long-term, sustainable business there. So that is what is being detailed out.

So, because everyone else in the Europe is going through the transition and is getting support from the government, as you can see in Spain, in Germany, etc. We expect that in Netherlands also we will get similar support.

Operator:

The next question is from Anuj Singla of Bank of America.

Anuj Singla, BofA Securities:

So firstly, on the energy security in Europe. Gas, like you mentioned, we are 75% hedged. But I'm more concerned about the availability of gas in the second half of the year. And there are some reports which our house has published where we see shutdowns in the European industrial activity, slowing down and curtailment of power to industries in Europe etc. Just like to get your thoughts on how we are positioned on energy security in the second half. And do we have visibility that we will be able to operate Tata Steel UK and Netherlands at optimal utilization levels?

T. V. Narendran : CEO & MD - Tata Steel Limited

Sure. So, Anuj, in UK, the issue is not so much. UK is better prepared than Europe as far as LNG terminals and everything else is concerned. So, I think UK doesn't have that much of an issue as the continent has.

In the continent, basically, EU has advised all the countries to cut down the requirement by about 15% for the second half of the year. Netherlands has already cut down to 20%. Tata Steel Netherlands has also done its planning. There's no disruption or impact on operations because we have options internally to better use our gases that we generate internally.

So, we are not exposed to this. We are not at risk. The business is not at risk. Gas prices, of course, is an issue. Like I said, 75% is hedged, but the rest of it has an impact, which is already being factored in. So we don't expect any business risk because of the situation. And I think Netherlands is already at 60% of the storage that it wants to have, and it's rapidly building up its storage of gas to p

prepare for the winter.

Just to expand this answer, of course, we are watching to see whether it impacts any of our customers and would that have an impact. That's something we are watching because our customers are spread all over Europe.

Anuj Singla, BofA Securities:

The second question is with regards to the Indian steel pricing outlook. Obviously, a lot of volatility and weakness after the export duty imposition. Now as per my analysis, we are still at a significant premium vs. imports from China and significant inventory build-up has happened in the last quarter across players. Second quarter is a seasonally weak period because of monsoons, and we are yet to see domestic demand pick up in a big way. You talked about auto, but I think when I talk about the broader economy, still I think a lot of hope is there. In the second half, we should see some recovery. So how should we see the Indian steel prices coming in from here? I mean there is one thought that it's bottomed out here given the sharp decline. Do you subscribe to that view? Or do you think that there is some more time before you see stability in the Indian domestic steel prices?

T. V. Narendran: CEO & MD - Tata Steel Limited

So, Anuj, I think we are certainly close to the bottom, and I do see things changing for multiple reasons. One is if you look at the fundamentals of demand, forget the speculative demand. In a volatile market, people will buy more than they need when prices go up and buy less and they need when prices go up, but if you leave that out of the equation and you really look at the fundamental demand, the biggest gain of the last three months has been auto. The commercial vehicles have finally come back to levels that we last witnessed in 2018. Passenger vehicles is also very strong, and this has a multiplier effect.

Second area is construction. Construction, apparently, a lot of projects were on hold because when steel prices went up, 80% of the contracts were on fixed price. That problem is solved. Now steel prices are around Rs 15,000/t less than what it was at that point in time. And so, the expectation is that the government is going to push the execution of these contracts soon after the monsoon. And so, we're expecting the demand to continue to be strong. In all other sectors, if I look at Oil & gas, if I look at the water for all kind of mission, all this, there's a lot of activity, which is coming in.

And generally, consumer demand has also been reasonably strong to the extent that in long products there was a price increase in the last few weeks. There is another reason for that. In long products, if you look at it, a lot of competition, which is about 50% of the industry, is dependent on thermal coal because they use DRI. Thermal coal prices are today higher than coking coal prices. We've not seen that in 10 years. And it's going to continue to face that pressure because Europe is buying coal to run their power plants. So, if you see the gap between what we call the secondary producers and primary producers, which used to be about Rs 8,000 – 10,000/t, today it's between Rs 2,000 - 3,000/t. And the secondary producers have very little room to drop prices because the DRI costs are quite high. It doesn't make sense to sell DRI below these prices. So, there is cost pressure for the secondary producers. And I do expect the underlying demand to be not as bad as one has seen because what one has seen is a response to rapidly dropping steel prices than a fundamental compression of demand. So that's why we are expecting that second half will certainly be better. While there will be a margin compression, we expect a volume expansion. We expect to sell more volumes in Q2 than in Q1. You asked about China. The Chinese companies are losing money in these prices because coking coal prices in China are

still over \$500

per ton. So, something has to give. The Chinese companies are already cutting production. If you see weekly data, in the last three weeks production has been reducing or they must increase prices because they are losing money. And it's only the small players in China who are still exporting at prices at which are losing money. So, there is an issue there in China. And I think over the last 2-3 days, also with this property fund and various other initiatives, the Chinese government is trying to revive the construction sector. Passenger cars are back to 2.5 million a month. So, I think that things are much more balanced today than they were 2 months or 3 months back.

Operator:

The next question is from Prashanth KP of Dolat Capital

Prashanth Kota, Dolat Capital :

Congratulations on very good set of numbers and not so high spike in the net debt as we saw with others. My question generally might seem a bit innocent, but the more we talk about it, the more it lingers. If we see in any cycle, from peak to the bottom, steel prices sometimes fall by as much as 60% - 70%. But then the general reason attributed today is demand. But generally, if you see the last 50 years, crude steel demand has never fallen YoY more than 5% barring the COVID crisis. So, what in your view explains this huge volatility apart from the core raw material price moment?

T. V. Narendran : CEO & MD - Tata Steel Limited

Yes. So Prashanth, I'll have to give you a lecture on the steel industry. But I think let me put it this way. So one is what you alluded to. A lot of the cost depends on the input costs. See, even when steel prices went up Rs 15,000 per ton in March - April, it went up because coking coal prices moved from \$400 to \$630/t. So, if we were buying coal, which was at \$600 per ton at that time, it would have hit our cost in June. And if you didn't get steel prices at that level, it would have been difficult to sustain.

So there is a volatility, which comes in because of input cost being volatile. And that is one of the drivers of volatility. Second thing is it's a high fixed cost industry for those who have integrated steel plants. So, when it's a high fixed cost industry, if people are covering variable costs, they will continue to produce. And particularly, if they have government support and which is what has been happening in China. So even if they were losing money people were expanding and exporting, which has now changed, but this was a problem for most of the last decade.

But if it is more private sector driven, you will see people cutting production at some point in time. So these are factors beyond demand, which exaggerate the impact. In a volatile environment, demand gets exaggerated when steel prices are moving up and demand gets compressed more than real demand when steel prices are going down because there's always a speculative element as there are traders. Even customers take positions.

If they think steel prices are going up, then they'll buy more steel than they need and vice versa in the other way around. So that is what adds to the volatility, and it's a globally traded product. So geopolitical issues have a big impact, like we've seen in the last 3 months. So, these are the factors which make it very volatile. But I think the biggest contributor to the volatility over the last 20 years has been the growth of China as both a consumer of steel and a producer of steel because that has a huge impact on everything else, and that has been the change. Earlier, the cycle used to be steel prices going up for 2 - 3 years and coming down for 2 - 3 years. Now it is -- you've seen what has happened in the last 6 months. So, the cyclicity is in shorter cycles.

Prashanth Kota, Dolat Capital:

And the second question sir, the coking coal prices in China probably from

the Mongolian and that kind of sources more of

internal is very high at \$500/t or something. But then what they're importing from v.s. Australia, is it closer to like \$280/t versus \$250/t CFR for us? Is the understanding correct?

T. V. Narendran : CEO & MD - Tata Steel Limited

No. Maybe 3 months back when Australian prices had gone to >\$600/t. China was buying coking coal at \$400/t levels. Because they were getting lot of the Russian coal. That has changed now. Russia, Mongolia, and they also buy from the US [inaudible]. So today, if you look at local prices in China for coking coal, it's in the \$500 to \$600 /t range. That's why I'm saying the steel companies in China at today's prices are losing money. And so, it doesn't make sense. And we are seeing that happen since early June, they've started losing money. So, we'll see the impact of that. So, they don't have the advantage that we have today of buying Australian coal at \$230 to \$240 /t or even lower.

Operator:

The next question is from Pinakin Parekh of JPMorgan.

Pinakin M. Parekh, JPMorgan Chase & Co :

Sir, my first question is can you give us a sense of the expected movement in steel price and coking coal for the second quarter in India and Europe?

T. V. Narendran : CEO & MD - Tata Steel Limited

On steel price, I want to just say that, yes, it will be lower, without being more specific because things are still dynamic. But yes, it will certainly be lower both in Europe and in India. I don't want to give you a number just yet because I think there are too many moving parts just now.

As far as coal is concerned, in India, I think we'll see a \$40 /t reduction in consumption cost. We are buying maybe at \$150 to \$160 /t lower than what we bought in 1Q, on an average, but the consumption will be about \$40 /t lower because of lag and the impact of lower coal price will start flowing through in September for us. In Europe we will not see a reduction in coal cost simply because we have a bit more inventory there in the system. So, the lower coal price, which is again, \$150 to \$160 /t lower than 1Q will start flowing through in 3Q. So, in Europe we may see a small increase in coal costs, maybe around € 20 – 30/t increase in the coal consumption cost for 2Q over 1Q. So, like I said, there will be margin compression in 2Q. I'm not able to give you a number yet, but there will be volume expansion. We expect to sell at least 0.5 million tons more in 2Q than we did in 1Q.

Pinakin M. Parekh, JPMorgan Chase & Co :

My second question is just moving on to Europe. So, while you mentioned that Tata Steel does not have energy availability issues, a large part of it, at least in both the steel plants would be met by the coke oven gases. But there is a very substantial amount of steel production in Europe, which is electric arc furnace based. In your view, what happens to that part of the industry in the next 2 to 3 quarters if the gas supply or availability is affected compared to us?

T. V. Narendran : CEO & MD - Tata Steel Limited

No. It depends on whether the country is generating electricity using gas or not. So, if you look at Europe, the most vulnerable economies are Italy and Germany because I think 40 % of the gas they import is coming from Russia. If you look at France, it's got a lot of nuclear. Spain has many other options as well. So, Netherlands again is maybe 20% dependent on Russian gas. So, I think the big economies, which are going to be impacted are more Germany and Italy. And one needs to see what happens there.

Yes, one is gas availability and two is the energy cost. If you look at an electric arc furnace operation, they don't need so much gas. But if the grid is dependent on gas for energy, for electricity, then those prices will go up and if there's a shortage of gas, then there could be a shortage

of electricity. The other part, what I mentioned earlier is also we have to be watchful of our customers to see if any of them are significantly impacted by it. But like I said, we are not directly impacted. We'll be watchful to see indirectly whether we will benefit because supply, as you suggested may get disrupted or if there is an impact on demand.

Pinakin M. Parekh , JPMorgan Chase & Co :

Just my second question and last question on Europe is that while you did mention the company is in talks with both UK and Netherlands on Sustainability Capex. Given that Europe has gone back to restarting thermal power plants and energy security will become the dominant theme for them for the next few years, do you see the sustainability Capex finalization in both the sites to happen over the next 6 to 12 months? Or do you see that given the evolving geopolitics and the energy security dynamics, any final Capex decision gets pushed out further?

T. V. Narendran : CEO & MD - Tata Steel Limited

So that depends on the pace that Europe has set itself to transition to green. There is a point of view which says that the pace may accelerate because they want to move faster into hydrogen and have less dependence on gas. So that's one way to look at it, in which case you may jump from coal to hydrogen if, for instance, hydrogen is available in cheap and plenty. But our technology choice is about converting to gas, which can be substituted with hydrogen. So, to that extent, once we are clear that we have gas and/or hydrogen, we can take that call. But I think for now, we are not seeing any slowing of the pace. Obviously, it depends on how long the conflict continues and what is a larger impact because there is another view that Russia also doesn't want to be totally undependable as far as gas supply in Europe is concerned. So, I think there are multiple angles to it, which we are watching.

Operator:

The next questions from Ashish Kejriwal of Centrum.

Ashish Kejriwal , Centrum Broking :

My question is in this quarter, we have seen net realisation increase roughly around Rs 8,500 per ton . So does this realisation include auto contracts also, which we were negotiating earlier?

T. V. Narendran : CEO & MD - Tata Steel Limited

Yes. Not all the benefit has come through because the contracts taking time -- I would say that it's still not fully concluded because we are discussing 1Q and 2Q. So not all the benefits of increase in 1Q have come through .

Ashish Kejriwal , Centrum Broking :

But sir, have any benefits been included because the last time when you guided, Rs 8,500 increase, that was in mid-May. And in June, we have seen a sharp decline in steel prices. But despite that fact, we are recording this kind of increase. So that's why I'm asking.

T. V. Narendran : CEO & MD - Tata Steel Limited

So there was a benefit of that, certainly. But compared to last quarter, the increase you are seeing is because we got a lot of increase in April. And then in May, even before the export duty was levied on steel, steel prices were softening a bit. But because coal prices were still quite high, we were projecting that the steel prices will remain high.

Since then, export duty came, coal prices started softening . So yes, I think there is a little bit of that, which will come back. But like I said, I don't want to suggest that 2Q prices will be better than 1Q. 2Q prices will be lower for sure.

Ashish Kejriwal , Centrum Broking :

So, sir, is it possible to guide us what could be the June exit price as compared to the 1Q average for India?

T. V. Narendran : CEO & MD - Tata Steel Limited

I will say, June exit price is about Rs 15,000/t below the April 1st or early April price. That's been the swing in the domestic market during the quarter. Let me put it that way.

Operator:
T

he next question is from Kirtan Mehta of BOB Capital.

Kirtan Mehta , BoB capital

We are aiming to start operations at NINL over the next 3 months. Would you be able to sort of give us a guidance about how do you see the operations ramping up? And how do you see the cost basically being taken out there? And what are the sort of near-term Cap ex to take the plant to initial operating rate?

T. V. Narendran : CEO & MD - Tata Steel Limited

Yes. So Kirtan, basically, we completed the transaction on the 4th July. Our teams have moved in. Now, the plant was not operational for more than 2 years. We expect to start the blast furnace in the next 3 months. That will allow us to produce pig iron, which we can sell or use. The toughest part of the operation that we need to revive is a coke oven, which had been damaged because it was shut down without taking the precautions that you need to take. So that will take about 6 months in our view. And we expect that in 6 months, we should start the coke oven. But until such time, we can always supply coke from our other facilities to NINL. We've already started the dispatch of ore from the NINL mine. So, the raw material has also started moving to NINL. We are chasing rated capacity of 100,000 tons a month. We expect to hit that by March. That's what we are aiming for. So next year, we can have a full year in some sense of production. The challenge is to get the plant in good shape. I think there's about Rs 400 - 500 crores of Cap ex planned, which will help us in start-up.

But more importantly, over the next 3, 4 months, we will develop the plans to expand NINL from the >1 million tons that we think we can run the existing assets for to about 5 million tons. So that will be an expansion plan, which we will focus on in the next 6 months - get it cleared with our Board and then try to execute it over the next 3 years or so. So that's primarily going to be the way we will look at it. Our teams are already in place. And like we've done in the last few years with erstwhile Bhushan Steel or Usha Martin steel business, I think we have a playbook in place for quickly integrating these facilities into our operations and ramping it up to get the full value of the assets. So that work is going on.

Kirtan Mehta , BoB capital

Going back to the Europe, would it be able to possibly sort of indicate the breakeven spread that you need at UK and Netherlands operations separately.

T. V. Narendran : CEO & MD - Tata Steel Limited

So Kirtan, the issue is breakeven spread is also changing for multiple reasons. Steel spot spread is normally looking at raw material price and finished product prices. And we had traditionally thought the breakeven spread would be about €225 per ton. But now what is happening is beyond the spread, the other important elements of cost, for instance, gas price are not reflected in the spread. So today, we are spending maybe €100 million a year on gas where earlier we may have been spending €30 million or something like that. It may not be the exact number, but we are spending 3x to what we were spending earlier. So, all this also has an impact on what is the breakeven spread. That's why today, the spreads are at around, I think in U.K., it is in the £400 - £450/t range at today's prices. And in Netherlands, it's in the €500 - €550/t. So that's the spread now. And the numbers that you see are at those spread levels, if not higher than that. So that's where it is. We expect spreads in Europe to be higher.

Kirtan Mehta , BoB capital

Sure. Thanks for this clarification. Just one suggestion. Would it be possible to sort of give us a sensitivity to some of these indicators like gas price? or in terms of the profit that Europe has in future. It could help us understand the magnitude or impact on the profitability from the external environment.

Samita Shah : VP CFTRM – Tata Steel Limited

Yes. So maybe we can discuss offline, Kirtan. It's a little hard because some of these variables, as Naren was explaining, were not major earlier, they are becoming major now. And with the evolving situation one needs to see how it plays out. So it's a little harder, but maybe we can try and give you a better sense.

Operator:

Our next question is from Ritesh Shah of Investec.

Ritesh Shah , Investec

A couple of questions. First is pertaining to the BSPS scheme. We had first buy-in transaction over there. If you could provide some rationale for that and the impact it will have on the cash flows. That's the first question.

Samita Shah : VP CFTRM – Tata Steel Limited

Yes. So Ritesh, as we have said all along, I think our attempt is really to mitigate the risk of owning large pension fund because, in some sense, when you sort of compare it to the scale of the U.K. operations, that is large. And the idea of doing this is really diversifying the risk and mitigating the risk. So, we have sold a share of the fund. There's really no cash impact because they have taken over the assets as well as the liabilities, that portion of the assets in the liability. So, there's really no cash impact to us. It's more of managing the fund and managing the risk of the fund, really, that's what it is about.

Ritesh Shah , Investec

Any specific quantum you can indicate over here on what has been bought in by the insurer?

Samita Shah : VP CFTRM – Tata Steel Limited

I think it's about 20 to 25%. I can confirm the number to you exactly, but we have sold about 20 - 25% of the fund now.

Ritesh Shah , Investec

If I look at last year's balance sheet, there is a significant quantum of cash flow, which has directly or indirectly moved from India into Tata Steel Global PTE and eventually in to Europe, the number is [inaudible] despite record profitability that we saw in Europe last year. What I'm trying to understand is to what extent will India directly or indirectly continue to help the European operations.

Samita Shah : VP CFTRM – Tata Steel Limited

We have not actually transferred any money to Tata Steel Europe for their operations. What we have always said is that the debt, which was there at Tata Steel Europe, which has been there for a long time since the acquisition, that we are behind that debt, and we will service that debt. And what we did during the last year when the cash flows were very strong and as a part of the deleveraging strategy, we have very consciously tried to reduce our foreign currency debt to align it with our asset side of the balance sheet. So as India has been increasing, the size in India has been increasing. The asset side in India has been increasing. We wanted to rebalance our liability side and reduce the foreign currency component. So money was sent to repay some of the debt in Europe, and that's what is the flow which you are referring to. So it's gone for reducing debt, which is not for the operations of Tata Steel Europe.

Ritesh Shah , Investec

Right. Let me rephrase the question. So if we have to put it between the operational cash flows and financing cash flows, I think what you detailed was very categorically on the operational cash flows. If we had to understand the math from a cash flow from a financing standpoint, how should one look at it? Because the way in which I look at it as an external guy, consolidated less standalone debt is still upwards of Rs. 30,000 crores, and there is no credible source of funds, which is there, which can take care of this quantum of debt. So, should we assume that India cash flows will eventually take care of this Rs 30,000 crores of debt, over the next 3 years, 5 years, or 10 years as we pursue our deleveraging story?

Samita Shah : VP CFTRM – Tata

Steel Limited

Yes. As you probably know, we have tapped the capital markets previously as well through our subsidiary, which is again, part of our strategy to widen our investor base and to tap multiple sources of capital so that we are not limited to sources of capital in India or Europe. The idea was really to build a credit profile and a credit curve for Tata Steel, which has been very successfully done. So, a large part of Rs. 30,000 crores, about Rs. 20,000 crores are in the offshore capital market bond which we did. And that has always been a part of our strategy that we will be responsible for paying that. Now whether we pay it from Europe, whether we pay it from India, I think that's more of a tactical call as the situation emerges. But it is debt on our consolidated balance sheet, and we are firmly behind it. I think that we have been very categorical when we raised the funds when we have been talking to all of you. So that position doesn't change. Now which entity services it, whether it is Europe, whether it is India, that's more a quarterly cash flow kind of a decision, which we will take as it evolves.

Operator:

I would now like to hand over the conference to Mr. Hriday Nair, Chief Corporate Finance and Investor Relations, for the chat questions. Over to you, sir.

Hriday Nair , Chief of Corporate Finance & Investor Relations – Tata Steel Limited

The first question is on the pellet plant. What kind of cost savings can be anticipated when the pellet plant becomes operational?

T. V. Narendran : CEO & MD - Tata Steel Limited

Yes. So that depends on the pellet price because the fundamental cost saving is because when you buy pellets from the market, we are pretty much buying from somebody who's buying iron ore in the market and converting it into pellet. Whereas when we have our own pellet plant, we can use our own iron ore where the cost is much lower than market price.

So, I think that was the arbitrage at one point in time when pellet prices were Rs. 12,000 or Rs. 14,000 /t. I think the cost savings were almost Rs 50 to Rs 100 crores a month. But today, the pellet prices are much lower. That is the clear direct savings that we will get. That is one. Second thing is when you have more pellets, you can improve what we call the agglomerate mix in the blast furnace and bring down our coke rates, which means you can use less coal, which has a big impact on cost as well. So, there is a significant cost impact of anything from Rs 50 to Rs 100 crores a month.

Hriday Nair , Chief of Corporate Finance & Investor Relations – Tata Steel Limited

Thank you, sir. The next question is on the cold rolling mill. Can the commissioning of the cold rolling mill drive incremental revenues of Rs 1,100 crores to Rs 1,500 crores per annum?

T. V. Narendran : CEO & MD - Tata Steel Limited

So typically, the thumb rule for difference between cold-rolled and hot-rolled price is about \$100 a ton. So you can do the math on that. That is typically what you would look at in the long term. It fluctuates depending on the dynamics of the hot roll market and the cold roll market.

But more importantly, I think what the cold rolling mill in Kalinganagar is going to bring is to our mixes. First is the fact that the hot rolling mill in Kalinganagar makes up to 2 meter wide coils and the cold rolling mill will make up to 1.85 meter wide cold roll, this is 200 mm wider than what we get out of Jamshedpur. So, it opens new markets for us, particularly in the auto sector. Secondly, the galvanizing line there is really going to be a state-of-the-art galvanizing line. And that, again, allows us to open new segments beyond what we are already catering to. The first galvanizing line that we built in Jamshedpur was 20 years back and a state of the art at that point in time. Third is the

continuous annealing line that we are setting up in Kalinganagar will also help us service the higher tensile grades. In Jamshedpur with a joint venture, Nippon Steel, we are limited to 590 and 780 N PA. This will help us cover that and more. So, it gives us a much better product mix. We need to sell less HR in the market. And with the passenger car industry doing quite well, I think our commissioning of the mill will be timed well. So, while \$100/t is more commodity HR to CR, when you look at value-added high-end CR, then the margins or the gaps can be much higher, and it's a [inaudible] plant.

Hriday Nair , Chief of Corporate Finance & Investor Relations – Tata Steel Limited

The next question is on capacity expansion. While we already discussed a bit, could you please throw some light on future capacity expansions and when they are expected to come on stream?

T. V. Narendran : CEO & MD - Tata Steel Limited

Yes. So, the immediate focus is on expanding Kalinganagar, completing the expansion of Kalinganagar from 3 MTPA to 8 MTPA and over the next few months developing NINL plant to take it from 1 to 5 MTPA. I think this is immediate priority.

After this, there are multiple options. We have an option to expand Bhushan plant from 5 to 10 MTPA, and we can take Kalinganagar from 8 to 13 MTPA. So, we are evaluating both these choices because the advantage with continuing our Kalinganagar expansion beyond 8 is that you already have the contractors in place, the crew is in place. So, if the market is strong, balance sheet is good, you can continue Phase III of Kalinganagar even as you finish Phase II. So that's an advantage of that. With the Bhushan plant, if not 10, we can also take an interim to 6.5 to 7 MTPA. That's more to do with the balancing of the plant. So, we are looking at what is the most economic growth option that we have. The good news is we have multiple options between these 3 sites. So, we can exercise whichever option is most economically suitable.

Samita Shah : VP CFTRM – Tata Steel Limited

Just to add to that, we also have NINL. So that's another option for us, too.

T. V. Narendran : CEO & MD - Tata Steel Limited

So that, along with Kalinganagar, Nilanchal 1 to 5 MTPA and Kalinganagar 3 to 8 MTPA is the immediate focus.

Hriday Nair , Chief of Corporate Finance & Investor Relations – Tata Steel Limited

The next question is on inventory build-up during the quarter. Inventory build-up of Rs 8,000 crores in this quarter, is it high cost inventory of finished steel, which will be liquidated in the coming quarters at lower realizations? Can you please throw some light on this inventory build-up?

Samita Shah : VP CFTRM – Tata Steel Limited

Sure. So, of the total increase, which we've had in working capital this quarter, about 2/3rd was in India and 1/3rd was in Europe. And if you see the price and quantum impact, more than 50%, almost 60% has been on account of price and the

balance is in account of quantity. It's more in terms of raw material and less in terms of finished goods, but we will see some of that raw material flowing through in 2Q costs as it gets converted into finished goods.

And obviously, some of the finished goods inventory we will sell in 2Q. As we mentioned, we are expecting volumes to be higher in 2Q. So, you should see a lot of the finished goods inventory play out. And the bulk of the raw material inventory clear out in 2Q in India, though in Europe, it will be more in 3Q.

Hriday Nair , Chief of Corporate Finance & Investor Relations – Tata Steel Limited

The next question is on coking coal. There were a couple of media reports suggesting that China is looking to lift the ban on Australian coking coal. Could the differential between China and Australian coking coal come down if the ban is lifted?

T. V. Nar

Narendran : CEO & MD - Tata Steel Limited

Certainly, it will have an impact. We've also been hearing. But 2 - 3 months back, the domestic price in China was lower than what was the Australian coking coal prices in the export market. So, at that time, the lift of the ban would have worked in our favour because Australian coal prices could have stabilized or come close to the Chinese prices. But now it's the other way around. We'll wait and see, but we have only just heard media reports. I don't think you've seen anything on the ground yet.

Hriday Nair , Chief of Corporate Finance & Investor Relations – Tata Steel Limited

The next question is on the management's view on steel export duty and connected to it is the guidance on EBITDA per ton in India and Europe for 2Q.

T. V. Narendran : CEO & MD - Tata Steel Limited

So, the second part, first, we are not wanting to give a specific guidance. I will just say that there will be a margin compression. Prices will be lower in 2Q than in 1Q. Some of that, we will recover because of costs coming down, particularly in India by about \$40 /t in terms of coking coal consumption cost. Some of that on an absolute basis, we will also recover because volumes in 2Q will be higher than 1Q. But overall, there will be margin compression, and which will obviously impact the results. I'm not giving a more specific guidance because things are quite volatile, and our job is to see how much of that we can recover in the next 2 months or so ?

While we fully understand the compulsions are to put a cap on steel prices and to manage inflation in some sense. But in the medium to long term, our submission to the government has been India rightfully should be a big exporter of steel. India has the iron ore. Today, there are countries who are importing iron ore and exporting steel, whereas India has the iron ore. Steel investments happen in some of the poorer states in the country, creates jobs far away from urban centres . And there is no reason why India should not export 50 million tons or 100 million tons of steel because Japan, Korea, all of them export 30 to 40 million tons of steel. China has, in the past, exported more than 100 million tons of steel. So why shouldn't India aspire to be a big exporter of steel when it has got the raw materials , and it needs to create jobs. So I think that's been a submission to the government that steel capacity should be created, keeping export markets in mind in addition to domestic markets. I think government is kind of supportive of our view. The question is when they will remove the export duty, and we hope it will happen sooner than later .

Hriday Nair , Chief of Corporate Finance & Investor Relations – Tata Steel Limited

Thank you, sir. The next question is on the auto demand . IHS Global has predicted auto demand for H2 2022 to be higher than H1. How is that expected to play out for our company?

T. V. Narendran : CEO & MD - Tata Steel Limited

So that's very positive for us. As you may know, today, we have, along with the Bhushan facilities, we have almost a 55% market share in the auto industry. So, when the auto industry does well, it's good for Tata Steel. In auto industry, the steel intensity is highest for commercial vehicles, which did well in 1Q, but it has slowed down a bit just now . We expect that to pick up once the construction activity picks up post monsoon.

The light commercial vehicle business is very strong because of the e-commerce companies , warehousing and supply chain investments happening. Passenger is very strong. It's getting over the challenge of semiconductors. Demand has always been strong, and two wheelers are also recovering. Tractors have been strong. So overall, auto seems to be on a good path to recovery, and we also expect H2 to be better than H1. And this has a positive impact on Tata Steel.

Hriday Nair , Chief of Corporate Finance & Investor Relations – Tata Steel Limited

The next question is on the European business. Request if you can please help clarify if you are open to selling the Netherlands and UK business , if buyers are available irrespective of the price .

T. V. Narendran : CEO & MD - Tata Steel Limited

I think what we said so far is we are focused on making those business self-sustaining and value accretive. The Netherlands business has already demonstrated that in a big way. UK business, like I said, is a bit fragile and the focus in on dialogue with the government. In the respective countries is to see how we can transition to a greener future.

Hriday Nair , Chief of Corporate Finance & Investor Relations – Tata Steel Limited

The next question is on Tata Steel Long Products. How do you see margins and growth for Tata Steel Long products? Will it also get merged into Tata Steel eventually?

T. V. Narendran : CEO & MD - Tata Steel Limited

Tata Steel Long Products had a tough quarter for multiple reasons. One is the auto contracts, which were supposed to have been settled but were not settled, so they did not get the benefit in the quarter as they had expected on the auto prices, which has since been sorted out. So, you will see some of that benefit accruing in 2Q. The second part is Tata Steel Long products also sells Sponge Iron. So, they were impacted by the high thermal coal prices, which started going up. And the third part is, of course, the fact that once the export duty was levied on iron ore and pellets, DRI prices were also impacted. So there were multiple things which happened, which impacted Tata Steel Long Products 1Q performance, and there is royalty that they pay to Tata Steel because of the changes in the MMDR Act last year.

On your question on merger, we will, of course, keep looking at various options. That's something which will be discussed and decided at the right time at the Board. But fundamentally, we are bullish about the long products business because as India moves into infrastructure-led growth, long products have a great future. Our product mix today is skewed more in favour of flat products. But I think long products, we believe has a greater role to play and hence, the investments in Tata Steel Long products.

Hriday Nair , Chief of Corporate Finance & Investor Relations – Tata Steel Limited

Thank you. The next question is on the domestic markets. We have invested significant amount in downstream capacity and developing markets for branded retail sales. What percentage of domestic volumes would command brand premium? And would it be fair to assume that our domestic profitability will not be as cyclical as in the past due to these initiatives?

T. V. Narendran : CEO & MD - Tata Steel Limited

Yes. That's the intent. Basically, how can we be less vulnerable to the cycles. The more downstream you go, the more insulated you are. There are products that we sell per piece. There are solutions that we sell per square meter or square feet or whatever. So, all this takes away the conversation from per ton and what is the price in China and what is the price somewhere else. So that's the kind of direction. Today, about 20% of our revenues come from what we call B2C business, where we enjoy a significant premium to our competitors as well as even the same product being sold to the other segment.

So, Tata Tiscon sold to a house builder, is at a very different price from Tata Tiscon sold to a construction company, which is a B2B business. So I think that's been the focus, and we'll continue to develop that. The downstream services and solutions and the B2C business, I mean, we are always looking at it to be at least 25% - 30% of our revenues, and our revenues are also

growing because the base is increasing. So we'll continue to pursue that, and we believe that, that is one part of the thing. The other part is our exposure to the auto sector and to the oil and gas sector also helps us insulate ourselves from the volatility because those are more accrual-based, quality and technology-intensive business, where there's a lot more stability in terms of prices than in the commodity side.

Hriday Nair , Chief of Corporate Finance & Investor Relations – Tata Steel Limited

The next question is on Tata Steel Long products. Interest cost is higher in 1Q at Rs 341 crores. Is it a one-off? Or will this continue every quarter?

Samita Shah : VP CFTRM – Tata Steel Limited

As you know, the acquisition of Neelachal Ispat Nigam Limited has been done through Tata Steel Long Products. And as a part of that, to finance the acquisition, Tata Steel has infused capital into TSLP. Our shareholding in TSLP is already 75%, so we are unable to put equity into the company. So, it has gone through a very long-dated debt instrument, which is carrying interest cost, and that is what you are seeing on the books of TSLP.

We infused the funds in the previous quarter just towards the end of 4Q, and that is why you're seeing the P&L impact of that in 1Q. The acquisition happened on the 4th of July. It's a charge not a cash impact. The cash impact is much lower because that's the way the instrument is structured, but there will be a P&L impact.

Hriday Nair , Chief of Corporate Finance & Investor Relations – Tata Steel Limited

The last chat question. Congratulations on a good set of numbers. Considering that we are so attractively valued, can you please consider a pay-out through buyback rather than dividends within the overall pay-out plan?

T. V. Narendran : CEO & MD - Tata Steel Limited
We'll take it to our Board at the appropriate time.

Operator:

We will now be moving on. I would now like to hand the conference back to Ms. Samita Shah for closing comments. Over to you, ma'am.

Samita Shah : VP CFTRM – Tata Steel Limited

Yes. Thanks, Kinshuk. So, thank you, everybody, for joining us on the call today. I hope we could answer most of your questions and look forward to connecting with you again next quarter. Take care, and goodbye.

T. V. Narendran : CEO & MD - Tata Steel Limited
Thank you, all. Thank you very much.

Call: Oct 2022

CORPORATE PARTICIPANTS

T V Narendran , CEO & MD – Tata Steel Limited
Koushik Chatterjee , ED & CFO – Tata Steel Limited
Samita Shah , VP Corporate Finance, Treasury, & Risk Management – Tata Steel Limited

CONFERENCE CALL PARTICIPANTS

Amit A. Dixit, ICICI securities
Anuj Singla , BofA Securities
Ashish Kejriwal , Nuvama Wealth
Satyadeep Jain , Ambit Capital
Sumangal Newatia , Kotak Securities
Tarang Agarwal, Oldbridge Capital
Vishal Chandak , Motilal Oswal Securities Limited

PRESENTATION

Operator:

Ladies and gentlemen, good day, and welcome to the Tata Steel analyst call. Please note that this meeting is being recorded. All the attendees, audio and video has been disabled from the backend and will be enabled subsequently. I would now like to hand the conference over to Ms. Samita Shah. Thank you and over to you ma'am.

Samita Shah : VP CFTRM – Tata Steel Limited

Good afternoon to all our viewers and thank you for joining us on this call today to discuss our results for the second quarter of FY 23. We have with us our CEO and Managing Director Mr. T V Narendran, and our Executive Director and CFO Mr. Koushik Chatterjee, who will make a few opening comments, and then take your questions. As always, the entire discussion will be covered by the safe harbour clause on page 2 of the presentation which is uploaded on our website.

Just one announcement, we will need to end the call at 12 noon sharp. As some of you may be aware, we lost Dr. J.J. Irani, our former MD late last night, and the funeral is in a short while. So, we need to end the call strictly at 12 o'clock. The IR team and I will be available to answer any more questions. With that I will end here and hand it over to you Naren. Thank you.

T. V. Narendran : CEO & MD - Tata Steel Limited

Thank s, Samita. Good morning, good afternoon, and good evening to all of you. The last few months have seen the global economies grapple with inflation, and the ensuing rate hikes have raised concerns about growth momentum. The US economy, for instance, contracted in the first half of 2022, while the Euro area has been grappling with energy supply dynamics. In China, the prolonged COVID-19 outbreaks have led to extended lockdowns. Large steel exporting countries like Japan and South Korea have also struggled with lower domestic demand. In India, the apparent steel demand was broadly stable despite the global cues and the effect of monsoon. In Europe, elevated input costs, particularly high energy costs, and a volatile operating environment weighed on the demand. In this operating environment, global steel prices and spreads declined between July and September.

Moving to our performance during the quarter, Tata Steel India deliveries stood at record 4.91 million tons, up 21% QoQ and 7% YoY despite the seasonal factors and global cues, which is a testimony to our strong franchise, as well as our ability to retain market leadership across the chosen segments. Our Industrial Products and Products Division registered record quarterly sales and a double-digit growth. The wide product portfolio supports large infrastructure projects such as the Bogibeel Railroad Bridge in Assam, the Motera stadium in Gujarat, and the ongoing metro projects across the country.

In terms of growth projects, we will shortly commission the 6 million tons pellet plant at Kalinganagar. The cold trials are already ongoing and we should be making pellets later this month and this will help cost savings. This will be followed by the pickling line and tandem cold rolling mill, which is also undergoing cold trials as we speak, and subsequently, we will have the galvanizing line and the continuous annealing line also commissioned over the next few months. The outer shell of the blast furnace has been erected and we are working towards bringing it online

by the end of the next financial

year. I am happy to state that within three months of closing the Neelachal transaction, we've been able to restart the blast furnace. As you are aware, the plant has been down for more than two years, and we've been able to start the blast furnace [inaudible] and are looking to ramp up the steel production gradually over the rest of the financial year.

Speaking of Europe, the crude steel production was broadly similar quarter on quarter basis, but deliveries were lower due to seasonal factors and subdued demand. Tata Steel Netherlands is well placed for its energy requirements as majority of its energy needs are met via process gases generated during upstream steel making, and its natural gas exposure is largely limited to the downstream operations.

Looking ahead, there are visible signs of pickup in demand in India, government spending on infrastructure is likely to drive gradual recovery in the second half of the year. In addition, the favourable movements in coking coal prices and the takeout of high-cost inventory are likely to aid margin expansion in India, particularly in the second half of the year. In Europe, the prices have stabilised in the past few weeks, but input costs remain volatile and remain a key watch point. Moving to our strategic initiatives, we remain committed to net-zero by 2045, to pursue multiple pathways. In India the Kalinganagar phase 2 will help improve the energy balance and reduce our carbon footprint. Work has commenced at

our new 0.75 MTPA EAF in Punjab, which will drive volumes as well as reduction in the emissions profile. In Netherlands, we are collaborating with reputed firms, to technically prepare for the green transition. In the UK, the implementation of the laser technology in the slab reheating furnace has reduced the energy use and the carbon footprint. Our sustainability focus extends to water usage and biodiversity as well. At Jamshedpur, the journey is underway to rejuvenate near-extinct water bodies. I am delighted to share that the Jamshedpur site is the first in India to achieve the Responsible Steel 'Certified Site' label and we are working towards getting all our sites certified. Our board has approved the proposal to consolidate seven listed and unlisted entities into Tata Steel to simplify structure and drive business synergies, and the work is on going.

Finally, I would like to talk about our digital ecosystem that is empowering the business and driving cultural readiness. Our journey that began in 2015, has created more than a billion dollars of savings at the EBITDA level, and led to connected operations, assets, connected workforce, and connected platforms. I am happy to note that we were the first steel company in India to remotely operate a sinter plant. And with that, I hand over to Koushik for comments on the financials. Over to you, Koushik.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Thank you Naren. Good morning and welcome to the call. Before I start my comments, I would like to start the call with a tribute to Dr. Irani who left us last night. His contribution to the company was immense and his transformational leadership style and focus on institution building has been an inspiration to many of us and many generations in Tata Steel. And today indeed is a sad day for us in the company.

Before I talk about our financial performance, as explained by Naren, the global steel spot spreads have declined during July to September period, as we witness the transition from an era of low interest rate to high interest rate environment, normalisation of demand across key regions, and high input costs due to volatile coking coal and natural gas prices, especially in Europe, even though there has been some softening in recent weeks.

With that as a backdrop [inaudible] for the quarter, our consolidated

revenues for the quarter stood at Rs. 59,878 crores

and were broadly similar on YoY basis, but lower than the April to June quarter. There were multiple factors for the lower revenue compared to the previous quarter. Firstly, compared to previous quarter, our India deliveries were at record volumes as Naren explained. However, the net realisation in India dropped sharply on a sequential basis, due to price pressure existing in the market. In Europe, our volumes were lower due to maintenance stoppages, but the steel price realisations were holding up. Our consolidated EBITDA for this quarter stood at Rs. 6,271 crs. and translated to an EBITDA margin of 10%. Excluding FX impact, the adjusted EBITDA stood at Rs. 5,817 crs. and on a per ton basis, was about Rs. 8,045. At India, Standalone EBITDA stood at about Rs. 5,135 crs. and translates to an EBITDA per ton of Rs. 10,796. The QoQ movement in EBITDA was due to drop in realisation coinciding with the consumption of higher cost inventory. Forex gain for quarter stood at about Rs. 977 crs. Excluding this, adjusted EBITDA stood at Rs. 4,158 crores. At Tata Steel Europe, EBITDA was about £199 million, translating to EBITDA per ton of about £106. Deliveries were down by about 12% on QoQ basis, as I mentioned, due to the market conditions, subdued demand and inventory build-up was in part given the plan to realign one of the blast furnaces in Netherlands. On a QoQ basis, revenue per ton was down by about £17, while total costs were higher by about £160, primarily due to consumption of higher cost inventory. Taxes for the quarter stood at about Rs. 1,308 crores and are made up of two components: the current tax was in line with profitability in India and in Netherlands. And the non-cash deferred tax charge was primarily due to the reduction in the surplus in the British Steel Pension Scheme (BSPS). I will elaborate on the pension scheme shortly. I should also mention that in Tata Steel Netherlands, there were unabSORBED tax losses [inaudible], these have now been absorbed fully and therefore, in the future, Tata Steel Netherlands will be paying the marginal rate of tax at about 25.8%.

In the past few weeks, I have got a lot of queries from many of you on what is happening in UK pension scheme, given the volatility in the bond yields and financial market turmoil in the UK post the mini budget. So, I will spend a few minutes to explain the pension situation. Many of the UK pension schemes have recently faced margin calls on derivatives used to hedge interest rates and inflation. So, while the British steel pension scheme also had to post the additional collateral to keep the derivative positions in place, given a very low risk profile, we have been able to meet all calls for the additional collateral to date without any distress selling, and have further headroom, should the need arise. The scheme remains in surplus of about £1.49 billion, based on IAS 19 as on 30th September 2022. We do not foresee any funding support as the scheme is structurally adequately ring-fenced. To de-risk the scheme, the British Steel pension scheme has an umbrella agreement with Legal and General, towards de-risking the scheme through insurance buy-ins. The scheme and L&G have been executing insurance buy-in in tranches of about £3 billion so far, which is about 30% of the scheme liabilities. This insulates the company and the scheme from any potential market movements [inaudible]. We continue to explore further possibilities with L&G, for the further tranches of buy-ins and it all depends on the market conditions. Each buy-in also results in a reduction in the pension accounting surplus, as the scheme becomes smaller. The movement in the surplus is accounted for through the OCI (Other Comprehensive Income).

Consequently, there is also a non-tax deferred tax expense, no

n-cash expense in the P & L recorded. That is why you will

continue to see some of these non-cash deferred tax expense in the consolidated account relating to the BSPS until it is fully de-risked. But given the fact that this is such an important de-risking strategy, such tax charges on the non-cash basis are bound to happen.

This quarter also saw clubbing of several large cash pay-outs. We paid about Rs. 6,292 crores on account of the highest ever dividends. We acquired Neelachal Ispat on July 4th and had to pay almost Rs. 10,000 crores. The capex for the quarter was about Rs. 3,198 crores and it was driven primarily by Tata Steel Kalinganagar project. As a result, our gross

debt increased by about Rs. 4,919 crores. However, our financial metrics continue to remain well within investment grade and our group liquidity remains strong at about Rs. 29,480 crores.

Moving on, the operating environment should gradually improve in the second half of this year, and steel margins, especially in India, should benefit from the favourable movement in the coking coal consumption cost. Most of the higher cost inventory of the first quarter has been consumed in the second quarter, which should help in normalising the working capital. We continue to remain focused on cost optimisation and operational improvements to maximise the cash flows. Our deleveraging strategy and goal continue to be the same, even though there will be challenging times when we may not be able to achieve on a quarter on a quarter basis. Our capital allocation is clearly focused on completing Tata Steel Kalinganagar project. With the improvement in the cash flows, in the future we will aim to leverage down again towards end FY22 levels, and we continue to look at opportunities to deleverage further in the future. With that I will close my comments and open up for questions. Thank you very much.

QUESTIONS AND ANSWERS

Operator

The first question is from Sumangal Newatia from Kotak Securities.

Sumangal Newatia, Kotak Securities

Good morning and thanks for the opportunity. The first question is on the domestic steel prices. Last couple of months we have seen some stability in the prices. If you could just highlight or share your guidance on 3Q, how do you see the NSR movement? And also, some outlook, given that Indian prices have been at premium to import parity, do you see any pressure in the coming months?

T. V. Narendran : CEO & MD - Tata Steel Limited

As far as domestic prices are concerned, yes, you are right. There's been stability, and because of stability people have stopped postponing purchases. That's one important change, because when the prices were dropping, people were postponing purchases. Second thing is, we are coming out of what is typically the lean quarter, the monsoon is when the construction activity slows down. So, particularly for long products it's a difficult quarter.

Thirdly, yes, you can see the auto industries doing quite well across all sectors, even the medium and heavy commercial vehicles, which had slowed down a bit, have started picking up again. So, I think all indications are that demand is quite strong. It has been quite strong for the July-September quarter and continues to be strong, as it is expected to improve post festival. Further, a lot of destocking has happened. There was a build-up of stocks, both in flat products and long products but I think a lot of destocking has happened and that's why you are seeing that balance in prices. So, we are expecting prices to be stable or trending upwards. We should also keep an eye on the coking coal cost, which had gone down to \$250/t, it's now back to \$300/t. So that's also adding to cost pressures.

As far as Tata Steel guidance on NR is concerned, our guidance for 3Q is about Rs. 800 per ton lower than 2Q, largely because of the auto contracts where negotia-

tions for H1 were concluded rather late and we had some debit and credit notes, which helped us in the last quarter particularly. But otherwise, if I look at it on a product-to-product level, if I look at the base grade commercial hot rolled coils, we are expecting this quarter to be higher. But on a weighted average basis, we are expecting the realisations to be about Rs. 800/t lower in 3Q than the previous quarter. In terms of imports, as of now there's not much pressure, simply because every now and then there is a talk of some parcel or the other coming from somewhere. But a weaker rupee obviously keeps some sort of cap on the imports. So, imports are not yet a big threat and I think there's a risk involved if you are booking today and expecting cargo to come in two-three months. And I think that's why the domestic supplies are also helping people manage their working capital better because you can book your orders and get the materials on a daily basis. So, I am not seeing, as such, any great import threat just now.

Operator

The next question is from Amit Dixit from ICICI Securities

Amit Dixit, ICICI Securities

I have couple of questions. The first one relates to the BPS scheme, particularly the umbrella agreement with Legal and General. I didn't understand it fully, if you could explain again the kind of arrangement you have and are there any conditions precedent to Legal and General stepping in and supporting the pension scheme

The second question is on coking coal. What kind of coking coal price decline, on consumption basis, can we expect in India and Europe. And in Europe, if you can also let us know the iron ore price decline that we can expect going into 3Q.

T. V. Narendran : CEO & MD - Tata Steel Limited

So, I will address the second one and then I will handover to Koushik for the first one. As far as coking coal is concerned in India, we are expecting on a consumption basis, drop of about \$80/t, and in Europe about \$100/t, as far as coking coal is concerned. Iron ore in Europe will be about \$15 per ton lower QoQ.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Yeah, so on the BPS, Amit, I wouldn't go into too much of history. But as we stand post the RAA (Regulated Apportioned Arrangement) which was undertaken in 2017 -18, what we have is a scheme which is in surplus . On an IAS 19 basis , the surplus is about 126%. The next step of de-risking is essentially to ensure that the scheme moves out of active management and gets converted into an insurance policy for the pensioners. So, there is management of the assets, and the liabilities will effectively be done by the insurance company. That process is essentially called a buy-in process. So, first up what happens is the parts of the assets company, depending on how the market is, the reinsurance market is liquid, there are tranches in which you continue to do this activity. So, of the total scheme size, say £8 billion , we have completed about £3 billion in two tranches. And effectively the assets are now managed by Legal and General, and this is backed by an insurance policy.

So as far as the scheme is concerned, they have an insurance policy of up to 30% of the liabilities which is being managed by Legal and General. So, there is no recourse to the company. The assets have moved. As it moves, the surplus also moves, on the pro rata basis, as the surplus moves, the surplus becomes smaller. And when the surplus changes happen, the accounting of that surplus goes through the OCI, and the deferred tax is a non-cash charge which comes into the P & L. So, this is, in simple terms, this is what happens. Our aim is to continue that buy-in process as and when the market gives opportunities. It's large size by any standards, especially in the UK and therefore, it goes in tranches. We did a pilot of about £500 million and then we follow

ed up with a £2.5 billion and we will continue to look for more opportunities. So that is in effect the situation. The scheme as the surplus is moving, assets are moving, the liabilities are getting moved, so the scheme surplus continues to be at about 126% on IAS 19 basis. That's how you should understand or look at it.

Operator

The next question is from Satyadeep Jain from Ambit

Satyadeep Jain, Ambit

Just a couple of questions. The first one, Mr. Naren I think we saw a CNBC flash where you mentioned, I think Europe would not be an EBITDA loss in future . Just wanted some clarity as to what is driving the confidence, if that statement is correct, given we are looking at more headwinds possibly in this second half . And related to that , there's EBITDA positive and the other one angle is cash positive. Historically, the company had talked about, a spread of about €240/t, as a breakeven point. In your own presentation, adjusting for energy and carbon, it looks like the spreads are lower than that number . So, are we looking at possibly a cash negative situation? If that is the case, where is that funding going to come from, at the debt level at the European entity . That's the first question.

T. V. Narendran : CEO & MD - Tata Steel Limited

Let me clarify what we said yesterday. I think, there was a specific question on whether we expect Europe to be EBITDA negative in the second half, and the answer was no. I think that was a more specific comment, rather than say forever it's going to be EBITDA positive , while that's what we are working towards. But my comment was related to H2. So, if I look at the specific point that you raised, yes, the traditional way of looking at spreads has changed in Europe. Because, typically when you looked at spreads, iron ore and coal were the biggest component of costs. So, while they continue to be the biggest components of cost, energy and carbon are also important components of cost. So, when you look at spread, you have to, in some sense, look at spread adjusted for carbon costs and energy costs. The carbon, energy cost, both the carbon cost and energy cost peaked about three months back. Carbon costs have dropped a bit. Long term trend may be to increase, but just now it has dropped from its highs of over €80. It is now I think around €67 or €68. In terms of energy and gas prices, as you know they have dropped significantly over the last three weeks. More than that, we've always had a hedging strategy. So, when you look at our costs, you will see that both in Netherlands and in UK we have typically hedged 75% going forward. So that's insulated us to some extent against the cost increases. On top of that, particularly in UK, we have some support from the government, which is capped, the cost, at least till April we have some comfort there. So, in terms of cost, we believe, in some sense, the worst is behind us, and we will start also seeing the benefit of coking coal prices that I guided sometime back, of \$100 drop in 3Q compared to 2Q, and iron ore which is soft to also be \$10-15 lower. On the cost side, I think we've gone [inaudible] the peak.

On the revenue side, there are two parts to it. One is the spot prices which have been lower than the long-term contract prices. The long-term contract prices are with us till December. So that gives us some comfort for 3Q. And the discussions are going on about next year's contracts. I think in Europe there is a little bit of concern amongst customers about supply reliability, because as you know there are many facilities in Europe which have shut down because of high energy cost, those who have been more exposed to energy cost. Whereas facilities like the one in Netherlands is fairly well balanced as far as energy balance is concerned. And so, we are less vulnerable to pricing energy cost than some of the other steel sites. We do see customers

wanting to contract with safer sites. And that also gives us some comfort.

That is the basis on which I talk about H2. Certainly, there will be margin compression in H2 in Europe. There will be margin expansion in India, the way we see it. Because Europe has had the benefit of high price long term contracts for most of, rather for the whole of this calendar year. So, we will deal with that, but we are, as yet not seeing a situation where we are EBITDA negative and I don't think we will be there, that is one point.

In terms of cash, yes, the Dutch business has traditionally been cash positive and we expect it to be cash positive. We have had to build up some stocks because there is a blast furnace relining, which is due in the first quarter of next year. And we built up about half a million ton of slab stocks particularly for that. So that even when the blast furnace is down,

we can keep the downstream units running based on the stocks that we built up. So that has taken a bit of a drag on the working capital. But we will keep diluting that. We are diluting the finished good stocks as things improve. And these slabs stocks will be diluted, you know as we do the shutdown. UK continues to be a challenge. And that's something that we've stated upfront. We are in discussions with the government, and we will take a call. Now that we have a new government, let's see what the response is. But UK, yes, is clearly the most fragile part of our business and it is going to be a struggle to keep it cash positive. We will deal with it when we reach there.

Satyadeep Jain, Ambit

Second question is a follow up on the UK question. Management has also been touch with government from the last two years. There are other companies that are also taking a lead in the decarbonisation and even Tata Steel Netherlands looking to sign an MoU with Ford on Hydrogen steel. Given that backdrop and you are looking at carbon border adjustment tax where allowances would start dropping in future, the UK one is the one which is higher emissions within the Tata steel Europe portfolio. Two-part question to that again. Is the 50% contribution that you are looking at from the government, or about 1.5 billion pounds sacrosanct? If you don't get that contribution, is this a no-go? And when do you say that enough is enough and there is no option but to pull the plug. Because this is going on for about two years.

T. V. Narendran : CEO & MD - Tata Steel Limited

So Satyadeep, yes, you know, Europe and UK are basically ahead of the rest of the world in terms of planning for transition, right. Because a policy framework is there, the carbon border adjustment mechanism has been announced, there are carbon costs etc. But one thing which we are highlighting that governments are providing support. This transition cannot happen without government support. And if there are governments supporting steel sites in some parts of Europe, then even to ensure a level playing field, you need to make sure that the similar principle is followed in other sites. So, the ask, generally of steel industry [inaudible], is largely at least 50% of the capex should come from the government and this is to help transition, and it's not an unusual ask. Because even if you look at the solar industry or most other industries who transitioned, the power industry's transition to green, they have got support from the government. So that is one part of it, and I think some of our peers have said that they have already got some support. And certainly, our ask of the governments we are dealing with is to get at least that much support. The second part of the support is on the OpEx. Because even in UK, the energy cost in UK even as we stand is, I mean even before the crisis, was twice the energy cost in Europe. And if you go into transition into a process route which uses more energy than the energy generated

on the gases that is the rein in a typical integrated steel plant site, then you would look for the support. So, I think the steel companies across Europe are looking at the support as a starting point for planning the transition, I think we've had submissions made and we'll await the conversations. I think in UK the conversations as you said have been going on for some time. The political situation has not helped us conclude. And as we've said before, breathing space available to us is less in UK, than in other sites. And obviously as the spreads compress and margin compresses, we are certainly running out of time, and that's the conversation we are having with the UK government. So, let's see. Over the next few weeks or months, we'll hopefully have more clarity on that, and we'll take a call as appropriate when we reach there.

Operator

The next question is from Anuj Singla from Bank of America

Anuj Singla, BofA :

Thank you so much for the opportunity. Two questions. The first is on the deleveraging target. So, when we look at the net debt for this quarter of Rs 72,000 crores, we started at Rs 51,000 crs., even if we exclude Rs 12,000 crs. for NINL, that puts the number at Rs 60,000 crores. I think Koushik mentioned in one of his comments that we are targeting Net debt to be flat versus FY22. So just some more clarity on that. Does it mean that the \$1 billion deleveraging target is on pause for this year? And the second part of that question is, what kind of working capital release are we building in the second half of the year?

The second question is on Europe. On the European side, can you talk about the disruption being caused by the energy on the customer side? I do understand that Netherlands operations are very well balanced. But can you talk about the disruption on the customer side. Because, ultimately if there is disruption on customer side, that is going to impact operations as well, indirectly. So how should we look at the 3Q numbers in that context? Thank you.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Yes. So, if you look at the second quarter, we had almost about Rs 20,000 crores of cash outgo. We had a negative working capital of about Rs. 1,400 crores, across on a consolidated basis. And obviously given the lower margins, the operating capital before that was much lower than the first quarter. And what I've mentioned is that the deleveraging, as a journey, is on the same path. There is no change. In fact, the first year, when we said a billion, we achieved a billion. The next year we couldn't do that because of the market conditions. The third year, which was last year, we could do almost three times that number. And this year, given the market conditions and the acquisition of NINL, as the two specific points, we had, obviously, a challenging second quarter, from a cash flow point of view. [inaudible] as Naren mentioned we have built up stocks in the Netherlands, for the BF6 relines early next financial year. So that is also a contributing factor towards it. Because, in India we did have a working capital release in this quarter. But I think the way we should look - our capital allocation is focussed primarily on the targets that we had given at about Rs 10 to 12,000

crores. We will be on track of that. The working capital release, in India, is something that we are looking at further in the next two quarters. Also looking at options in Europe other than stock build-up in slabs as to how we can release same. And obviously we've improved our underlying operating conditions in India. Our cash flows will be better than what we've seen in the second quarter. So, all that in together, I said our aim is to see as to how to get back to FY22 end levels, not necessarily at the net debt, but certainly at the gross debt level. And I think that is because net debt is a function of how much cash you carry. And

therefore, we should look at the gross debt numbers because those are the ones, we will be looking at repaying. We also have large number of scheduled repayments coming next year, which is what we will plan for. I think the journey is ongoing. The question is the pace and the timing of it, and given the underlying operating conditions, we will have to match up between the capital allocation as well as the deleveraging target. But the focus on deleveraging continues to be the same as before. There is no change when it is in good times and no change when it is in bad times. But every quarter you can't do it linearly. It will go up and down. And that's how the cycle moves. And that's how our actual repayments or prepayments move. So that's what I want to explain because there has been some misquoting out of context. So, I just want to explain, deleveraging focus remains the same, deleveraging target remains the same. Sometimes we overachieve it, sometimes we are struggling to meet the targets. But that's fine because we are not changing course here.

T. V. Narendran : CEO & MD - Tata Steel Limited

So, Anuj, on the second part of your question, so it's like this right. I think there was significant concern three months back because of rising energy prices plus gas availability. But Europe, as you know, started working on stocking up on gases. They encouraged a cut in consumption. And I think there has been at least 20% cut in consumption. Plus, they've stocked up quite well, you know either out of Norway or from LNG. If you generally see, most European countries have fulfilled their goals of storage. So, unless this winter is very severe, there's not much concern over the next three to six months over gas availability. There was obviously a concern on gas prices but given that the gas availability is looking stable for the next six months, gas prices have also started to drop. There is a longer-term concern, but that is more to see how you deal with next year's winter. But I think Europe is also moving very rapidly into alternate sources for gas, whether it is from the US, whether it is from Norway, or whether it is getting LNG.

So, as far as our customers are concerned, we are less concerned today than we were, maybe, three months back on energy disrupting their short to medium term operations. Second thing to keep in mind is, there are also supply disruptions. If you look at the aluminium industry, they are struggling, because they are more energy intensive than the steel industry. If you look at the steel industry, the more energy intensive sites are the sites which are more dependent on gas, or the sites which are electric arc furnace based, or sites that don't have the gas balance that we would have. So, I think, if you look at the closures in Europe, the more energy inefficient sites are getting closed. So that's also driving a little bit of demand supply balance, even if there's a little bit of a shrinkage of demand.

And, the third point is, imports into Europe. The biggest exporter used to be Russia. That's out of the system. As you know, Europe is also bringing in regulation to make sure that Russian slabs don't come in beyond, I think, October next year. There's a fair amount of control happening on that. A weaker Euro also works against imports. I see headwinds, but I also see that there are some balancing factors which will make sure that, it will be a challenging half year, but I think maybe not as bad as we had thought maybe 2-3 months back.

Operator

The next question is from Tarang Agarwal from Oldbridge Capital

Tarang Agarwal, Oldbridge Capital :

Yes, hi. Couple of questions. One, on Europe. What's the cash burn that you are anticipating for the UK business for the FY23, given the state that we are in currently.

And, number two, there seems to be a wide disparity in terms of the long-term realisation in Europe,

the prices that are

being reported and the market prices that we get. So, is it because the spot market is highly illiquid, therefore the prices may not be truly representative of what's happening in the market?

T. V. Narendran : CEO & MD - Tata Steel Limited

I'll address the second part and ask Koushik to answer the first part. You know, the spot market prices are not necessarily the price that a typical steel company realises. They are typically reflective of transactions which happen. It's a 160 million tons or a 150 million tons market. So, you know, few parcels here and there sold at some prices don't truly reflect the market prices. You typically see our realisations are higher than what is reported as spot prices, and obviously the annual contracts. Two years back it was lower than the spot prices and the spot prices went up. But in a weakening, or in a weaker market, you typically find the annual contract prices are higher than the realised prices on the regular market [inaudible].

Koushik Chatterjee : ED & CFO – Tata Steel Limited

So typically, I think, at midcycle level, with the current level of sustenance capex, its maintenance etc, we are seeing in the UK of about £100 million of cash burn, on a cash flow basis. The first quarter, for example, we were significantly cash positive, but considering the winter months and the shutdowns and where our maintenance costs are going to be,

because, as Naren mentioned, the assets in the UK are also older than in the Netherlands, and in fact, in the rest of the portfolio that we have across Tata Steel Group. So, it will become maintenance heavy in due course of time. But largely, we are looking at around £100 million on a broad basis.

Operator:

The next question is from Vishal Chandak of Motilal Oswal.

Vishal Chandak, Motilal Oswal

Thank you. So given that you've acquired Neelachal Ispat Nigam Limited and in the past, you've mentioned that you have land balance available to expand up to 40 million tons at the existing locations, would the company really have any appetite for RINL acquisition, or we are done with acquisitions in India, at least for now?

T. V. Narendran : CEO & MD - Tata Steel Limited

Vishal, I think, what we were basically saying is that at Kalinganagar, between Neelachal and our existing Kalinganagar site, we have 6,000 acres, right? So, we are today producing 4 million tons there, 3 million tons in Kalinganagar and 1 million tons in Neelachal. We can take that 4 million to 25 million tons, in that place alone, you know. When you have that opportunity to scale up in a single site, that's more attractive than most other options that you'll have. We really don't need to pursue other options. We also have an option to grow in Meramandali or Angul site, from the current level of 5 million to 10 million tons. In addition we have our strategy of setting up EAFs. So, I think Tata Steel's growth ambitions can be met through existing sites. I think that's what we would say. And obviously any opportunity will be weighed against this advantage that we have.

Vishal Chandak, Motilal Oswal

My second question was with regard to the decarbonation strategies at Tata Steel Netherlands. UK, obviously, you've clarified that if there is no government support it's a no go and you'll be looking at options on how to, you know, close the facility. I don't know if that is really an option and how that will work. But in Tata Steel Netherlands what kind of capex are we looking at, and how do we plan to fund? Would the entity [inaudible]? Can it generate cash flow sufficient by itself? Or it would ultimately be the support from the Indian parent entity as well?

T. V. Narendran : CEO & MD - Tata Steel Limited

If I were to answer it slightly differently, right, so firstly, Netherlands has been cash positive and we are working on

building a corpus to help with this transition. But having said that, I think the submission we have made to the government is that, if in Europe, some sites get support from the government, then we also need to ensure that it's a level playing field. So, there is a need for a similar support, if a site in Germany or sites in [inaudible] percent of the capex, there is no reason why we would also not ask for that. Otherwise, how will you ensure that it's a level playing field if some sites have more advantage than the other? I think that's the principle on which the submission is. Of course, parallelly we will try to make sure that we create as much of a corpus as possible. And I think our guidance to all our units, which we've said before, is that they should be self-sufficient with the cash they generate from all the plants that they have. Koushik, you want to add anything?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

No. That's perfectly fine. I think the principle is to get the government support. And the point that Naren just mentioned that we have already started internally escrowing cash flows as far as the company's contribution is concerned, from Netherlands. And between these two, it should meet the requirements and that's how we are envisaging it. It's also important to mention that these are not like spends in one year or two years. It is a spend over a period of time. So there is a longer transition period in the decarbonisation journey that will happen. And I think that is needed to be taken on board, because it will cross possibly be more than one cycle, up or down. And therefore, we will have the opportunity to keep banking the free cash flows of Netherlands and investing in decarbonisation.

Operator:

The next question is from Ashish Kejriwal of Nuvama Wealth.

Ashish Kejriwal, Nuvama Wealth

Thanks for the opportunity. My question is, is it possible to quantify what kind of inventory loss we witnessed in India in second quarter? And secondly, is it possible that we can break down the EBITDA of European operation between UK and Netherlands? And you know, can we do it in future also going forward? That will be helpful.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

So as a segment Ashish, we treat the TSE as one. And therefore, purely from a disclosure point of view, it is still one portfolio, the way we manage it from India. That's why we don't give the segregation. Because it must be followed through completely. And that's a big exercise. And we do the consolidation of TSE even for the Tata Steel board.

Ashish Kejriwal , Nuvama Wealth

The impact on P&L because of the use of high -cost inventory in second quarter.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

So, there is a mix of both. There is an inventory on the FG side and there is an inventory on the raw material side. For example , the finished goods inventory that we had, in the first quarter end, which we sold in the second quarter, and then there were raw material inventories. But just to give a sense, there was a total inventory release of about Rs. 5,300 crores during the second quarter in India, which had a price impact as well as a quantity impact. And that to me is the more important part because that was the release that happened. So that had obviously a cash impact to it and then there was a P & L impact because that included a higher cost of that. But we can't quantify between the raw materials and the finished goods how much was the per ton compression. But from a quantifiable point of view, the cash point of view, we had a release for about Rs 5,000 crores, only on account of inventory.

Ashish Kejriwal , Nuvama Wealth

Understood. Sir my only question is, while calculating for third quarter, what one should take as an EBITDA , if we assume that there will be no further

use of high-cost inventory which we have already used in the second quarter?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

So, you heard Naren say that , as far as coal is concerned, there will be on a consumption basis a \$80/t reduction. So that I think is the most important part because iron ore is not an element which has volatility as far as India is concerned. So that is certainly [inaudible] that will come in from a cost point of view, because that's consumption cost and not the procurement cost.

Operator:

I would now like to hand the conference over to Ms . Samita Shah for the chat questions. Over to you ma'am.

Samita Shah : VP CFTRM – Tata Steel Limited

Yes, thanks K inshuk . In the interest of time, we will take some of the questions, I think some are repeated . So firstly, there's a question on coal. The question is , what is the view on coal prices and why do we think, do we think they are going rise further? And if yes, why? Some colour on what we expect the coal prices to be going forward. I know we gave the guidance, but I think at a broader level what is the coal price movement expected to be?

T. V. Narendran : CEO & MD - Tata Steel Limited

I think, you know, while Iron ore reflects more demand sentiment, Coal is a balance of demand and supply. Because coal is less liquid , at least coking coal is less liquid than iron ore, right? So that's why this time of the year, normally coal prices trend upwards because there is always a concern about weather event in Australia that disrupts supplies. That's why coal prices, which dropped down to \$250, went up to \$300. We expect it to stay around this level . That's the way we see coal prices. The other reason why coal prices stopped dropping, was thermal coal prices went up two months back, when Europe started buying a lot of thermal coal. And as you know, there was a time when thermal coal prices were higher than coking coal prices. So, the overall sentiment changed a bit, and many coking coal producers also found they could make more money by selling it as thermal coal. So, there were all these things happening. But I think there is more stability now. We expect the coal prices to stay in this \$250, \$300, \$325 range and fluctuate within that range. It's not going to drop below that because even in the medium to long term , the liquidity in the market is not great.

Samita Shah : VP CFTRM – Tata Steel Limited

Thank you. There are also a few questions on China essentially saying that, have production cuts stopped in China and is there a risk that Chinese steel exports will come back and flood the market and depress the steel prices further?

T. V. Narendran : CEO & MD - Tata Steel Limited

The interesting thing is, though China has had its own set of difficulties from a macroeconomic point of view, and construction which consume 60% of the steel produced there has struggled. Still, we have not seen Chinese exports the way we saw in 2015. It is still in 5 million tons range . In fact, it is trending down for the past few months, after hitting a peak of maybe 7 million tons and now it's running at 5 million tons or lower, which is a manageable volume for the global steel industry. This is largely because Chinese steel companies are not making money at these prices. So, if you really see the margins of Chinese steel companies, pretty much everyone is negative. They have very little appetite to keep dropping prices. And that's why they are not as aggressive in the international markets. And there is also a lot of production which is being cut. The production, in some sense, has kept pace with consumption. If consumption drops, the production is also dropping. And they are coming into winter months, where there are normally production cuts as well. So, I think we are not seeing a big issue of Chinese exports. Exports are more coming out of Japan and Korea

Japan is exporting aggressively because they are benefitting from the weak yen. Korea had supply side issues, but they have traditionally been a big exporter.

Samita Shah : VP CFTRM – Tata Steel Limited

Thank you. There are a few questions on our growth plans - we have said we will double our capacity from here, but given the cash flows and given the performance of the company, are we still committed to that? And what does that mean in terms of, sort of the broader cyclic apex outlook for the company?

T. V. Narendran : CEO & MD - Tata Steel Limited

So, I think, the advantage we have today is, most of our growth plans are around organic growth. The last five years, most of our growth came from inorganic growth. So, when you are chasing or when you are pursuing inorganic growth opportunities, you are limited by the opportunities that come your way and the timing of that. This way we can pace our growth well. And just like we slowed down on the Kalinganagar expansion two three years back, soon after we acquired Bhushan, just to manage our deleveraging goals and cash flows, we have that opportunity, if really that outlook continues, you know, to be bad, which we don't think so, we can reflect on the pace that we want to grow. So we are in a good position that we have the options. We don't need to pursue inorganic growth to achieve our ambitions. We have enough sites which can grow in the existing portfolio. And we can pace our growth depending on the cash flows that we generate out of India. We believe that on a through cycle basis, the cash flows that we generate out of India will help us grow in India without adding to the debt. And I think, that's the position that we are in. But we'll review it quarter on quarter. Just now the focus is on completing the Kalinganagar expansion which should be completed in the next financial year. That will add another five million tons capacity and [inaudible] to our bottom line. And we have drawn up the plans to expand Neelachal, we are also drawing up the plans to look at Kalinganagar expanding from 8 to 13 million tons, as well as Bhushan from 5 to 10 million tons per annum. But we will decide on how to prioritise and pace those projects or phase those projects based on the situation on the ground.

Samita Shah : VP CFTRM – Tata Steel Limited

And there is a question on the Kalinganagar expansion, that I think Koushik you did mention that we are committed to it. But, since there are questions, I will ask again. What is the progress on the Kalinganagar expansion? When is it expected to reach 8 million tons? And are you still committed to completing it?

T. V. Narendran : CEO & MD - Tata Steel Limited

So, basically as I mentioned, this quarter the pellet plant and the PLTCM which is the cold rolling part of the cold rolling mill will start. Cold trials have already started. In the next financial year, we will complete the upstream. We had taken a pause on the upstream during COVID, and then we restarted it last year. So, the focus was on setting up the pellet plant which helps us bring down the cost and setting up the cold rolling mill which helps us in the product mix. But next financial year, we will be commissioning all the facilities. So, the volume impact of the expansion will be felt, not in next financial year, but in the financial year after that. Next financial year you'll see the benefit of the Neelachal Ispat Nigam Limited, facilities coming on to one million tons. By the end of this financial year, we hope to be able to ramp it up to the rated capacity, which means next financial year we'll have full benefit of Neelachal volumes.

Samita Shah : VP CFTRM – Tata Steel Limited

And the last question we will take is on Tata Steel long products. The question is why are they reporting operating losses on a back-to-back basis for the last couple of quarters? And is that

is just the royalty payment which is due? Or is there anything else which is contributing to this performance?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

I think the royalty payment certainly hurts at the time when the steel realisations are down. I think from our cost take out point of view, post integration, a significant cost has been taken out. And we have an improvement programme. So, I don't think, from an underlying operating point of view, there's any issues. It obviously is exposed to the steel cycle. But the royalty as an additional charge, and secondly if you look at also from the finance cost point of view, because the acquisition of NINL was done through TSLP, a significant part of the funding has gone from Tata Steel. And therefore, on a standalone basis, it is reporting losses. But if you look at it from consolidated point of view, the financial cost gets eliminated with Tata Steel. So, I think these are the two main reasons. We could look at it from a standalone perspective. And both are actually [inaudible] and not necessarily operations. And that's one of the reasons why this whole merger actually helps that business to consolidate with Tata Steel and ensures that some of these are addressed.

T. V. Narendran : CEO & MD - Tata Steel Limited

And in the last quarter, we had a specific impact of the Neelachal Ispat Nigam Limited's cost coming in with no revenues coming in from Neelachal, which will start changing going forward

Samita Shah : VP CFTRM – Tata Steel Limited

So, with that, I think, we will end the questions. Thank you very much everybody for joining us and if there are any additional questions, the IR team and I will be happy to take them. Thank you. And connect again in the next quarter.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Thank you very much.

T. V. Narendran : CEO & MD - Tata Steel Limited
Thank you.

Call: Feb 2023

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CORPORATE PARTICIPANTS

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PRESENTATION

Operator:

Ladies and gentlemen , good day , and welcome to the Tata Steel analyst call. Please note that this meeting is being recorded. All the attendees , audio and video has been disabled from the backend and will be enabled subsequently. I would now like to hand the conference over to Ms. Samita S hah. Thank you an d over to you ma'am.

Samita Shah: VP CFTRM – Tata Steel Limited

Good afternoon, good morning, and good evening to all our viewers joining us today. Welcome to this call , and thank you for dialling in. We have with us our CEO & MD , Mr. TV Narendran, and ED & CFO Mr. Koushik Chatterjee to discuss the results and walk you through any questions you may have . Our presentation which describes the results have been uploaded on our website. Do go through it if you haven't already. We will take que stions in audio as well as chat mode. Before I hand it over to them, I would just like to draw your attention to the safe harbour clause on page 2 of the presentation, which essentially will cover the entire discussion today. Thank you. And over to you, N aren

T. V. Narendran : CEO & MD - Tata Steel Limited

Thanks, Samita. Good day everyone. A bit of a narrative on the way we see the situation . The global operating environment has continued to be volatile during the quarter amidst inflationary pressures, tightening financial conditions , and COVID overhang . Among key economies, the US and EU witnessed a QoQ decline in industrial output, while Chin a's GDP grew at its slowest pace since 1976. Given this backdrop, global steel prices continued to re main under pressure for most of the quarter and resulted in subdued steel spreads. In EU, the steel spot spread including energy and emission related costs was close to \$200 /t. In India, the economic activity remained resilient. However, depressed internat ional prices weigh ed on sentiment.

Moving to our performance, Tata Steel India deliveries stood at 4.74 mn tons and were up 7 % YoY , primarily driven by 11% growth in domestic deliveries. Our domestic deliveries grew at a faster pace than the India n steel apparent

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consumption, which was about 8% YoY. This reflects our strong market presence across segments and agile business model. Some of the highlight s include - Value added segments like oil & gas, infrastructure, solar and retail housing growing by about 17% on YoY basis, in part due to the expanding product range and innovative solutions. Tata Tiscon, which is largely sold to retail customers, registered best ever quarterly sales . We continue to expand our physical reach via new dealers and virtua l reach through Tata Steel Aashiyana, our eCommerce platform for individual home builders . Sales through Tata Steel Aashiyana have consistently grown over 50% in the last two years. Our sales to the MSME sector have grown 25% to 30% YoY in the last two qua rters. We have moved from tracking 6 segments to 80 micro segments, which has helped us to understand customers better and enhance d the ability to move material across micro segments based on demand.

Looking ahead, we expect Indian steel prices to move hi gher based on improved expectations about Chin a demand and sustained government spending on infrastructure in India. The raw material costs are likely to remain range bound. The fourth quart

er is also a seasonally a stronger quarter in terms of deliveries, and we are looking to leverage the momentum.

We continue to progress on expanding our capacity across multiple sites in India as we look to grow to 40 mn tons. Volume wise, FY24 should fully reflect the 1 m illion tons per annum in volumes at NINL while FY25 and FY26, will reflect the 5 million ton expansion at Kalinganagar and a 0.75 m illion ton of the electric arc furnace mill in Ludhiana. We are parallelly expanding our downstream operations at tinplate, wires, and tubes. [inaudible] expansion in tinplate is from 0.38 MTPA to 0.68 MTPA . The wire capacity is being expanded from 0.47 to 0.55 MTPA and the tubes capacity from 1.2 MTPA to 1.5 MTPA. Separately, phase d commissioning of the 6 MTPA pellet plant at Kalinganagar has begun and we should stop buying pellets from 2QFY24, which will help reduce our costs. We are also looking to commission the PLTCM, which is a

Pickling Line and Tandem Cold Mill, which is part of the 2.2 MTPA CRM complex during this quarter.

On slide 19, we have provided some details of domestic deliveries across sectors. And over the years, while we have sold more volumes in automotive, its share has moved to around 15% of our total sales. This is set to rise with the commissioning of the CRM complex and incremental capacity at Kalanganagar. Similarly, the growth in long products will drive an increase in the high margin retail housing business for us.

Moving to Europe, Steel deliveries stood around 2 mn tons in the third quarter. Though the volumes were higher by 6% on QoQ basis, the sharp drop in realisations on subdued demand and elevated costs, including energy, have weighed on steel spreads. Looking ahead, uncertainty persists about supply-demand fundamentals, despite the recent pickup in the EU prices driven by hopes of a milder and shorter downcycle. Our steel realisations will remain subdued in the fourth quarter, given the lag effect of some of the contracts.

We continue to make progress on our sustainability journey to achieve net zero by 2045 via multiple pathways. We have already started initiatives such as charging more scrap into our furnaces. Our products like Tisco build Green construction blocks and Dhurvi gold which has slag as one of the inputs help us achieve solid waste utilisation as well as address customer need for eco-friendly solutions.

Before I hand over to Koushik, I'm also happy to share that Tata Steel is the only company in India to be recognized by the World Economic Forum as a 'Global Diversity, Equity and Inclusion' lighthouse and we have also been awarded a Great Place to Work Certification for the sixth time in a row. Over to you Koushik.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Thank you, Naren. Good morning, good afternoon, and good evening to all those who have joined in. Let me give you a deeper sense of the financial performance.

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Our consolidated revenues for the quarter stood at Rs. 57,084 crores, while EBITDA stood at Rs. 4,154 crores which translates to a margin of about 7%. The standalone EBITDA margin was higher at about 18%. Overall, the profitability was affected by a sharp drop in the realisations and spreads in Europe during the quarter. At Tata Steel standalone, the EBITDA stood at Rs. 5,334 crores, which translates to an EBITDA per ton of about Rs. 11,623. Excluding the forex impact, the EBITDA stood at about Rs. 4,763 crores and was up 15% QoQ. India steel prices remained subdued for most part of the quarter. The fall in prices of long product prices were higher than in flat products due to extended monsoon and the stoppage of construction in Delhi and the NCR region as per the ruling of the National Green Tribunal. However, the raw material prices were also lower as coking coal prices declined by around \$82 per ton on consumption basis. Royalty related

expense also declined by about 14% QoQ to Rs. 775 crores. Overall, the drop in costs more than offset the greater-than-expected decline in net realisation and that has led to margin expansion.

At Tata Steel Europe, the EBITDA loss stood at about £166 million. As Naren mentioned, deliveries were up 6% QoQ, but there was a sharp drop in realisation with revenue per ton being down by about £159 per ton. The sharp drop in realisations were in part, due to the higher spot sales and subdued demand given the macro conditions in Europe and high stock of inventories with customers. Costs were higher by about £31 per ton. While the coking coal consumption costs were down by about \$95/t QoQ, there was an NRV loss of about £55 million on the slab stocks being carried due to the forthcoming relining at Tata Steel Netherlands. Energy costs remain broadly stable on QoQ basis. The currency markets have also been very volatile, and there has been sharp movement between USD/INR and EUR/INR to name a few. This has led to an FX impact on the intercompany loans provided over time and this has resulted in a forex gain of Rs. 1,427 crores at the consolidated level.

Taxes for the quarter stood at about Rs. 2,905 crores and are fundamentally made of two parts, a) current tax in line with the profitability in India and b) the non-cash deferred tax charge primarily due to the reduction in the surplus in the British Steel Pension Scheme (BSPS) as part of de-risking. We made further progress during the quarter on de-risking the BSPS and expanded the insurance coverage from 30% to 60%. This buy-in transaction and the actual movement during the quarter have led to the reduction of surplus, but it continues to be material in surplus.

As mentioned in the previous quarter, the surplus reduction results in a reduction in the deferred tax liabilities in the OCI. But given the large amount of accumulated losses and the deferred tax assets in Tata Steel UK, we have to limit the movement by recording an offsetting deferred tax expense in the profit and loss account which is why you see a non-tax deferred charge in the profit and loss. Depending on market conditions, the residual insurance of about 40% liabilities will be completed in the first half of CY23, and there will be commensurate non-cash deferred tax expenses [inaudible].

Moving to cash flow, the operating cash flow for the quarter stood at about Rs. 5,000 crores versus Rs. 1,700 crores in the previous quarter and primarily was driven by favourable working capital movement. The working capital release was due to reduction in inventory value at Tata Steel UK and Tata Steel India on account of low commodity prices or lower inventory levels, but this was partly offset by increase in the slab stocks in Tata Steel Netherlands, as I mentioned earlier. As slab stock inventory gets consumed over the next two quarters, we expect working capital release at Tata Steel Netherlands over the relining period, which will be starting in April.

We continue to invest in growth in Kalanganagar and in NINL, taking our capital expenditure to about Rs. 3,632 crores for the quarter. The nine months capex has been about Rs. 9,746 crores, and we will be targeting to spend around Rs. 3,000

crores in 4Q to ensure that we accelerate the completion of Tata Steel Kalinganagar expansion project. Our net debt has remained broadly stable at about Rs. 71,706 crores, and the liquidity remains strong at over Rs. 15,000 crores. We are

not able to deleverage in this particular year due to very high volatility in the earnings and working capital. Our focus is also on completing the Tata Steel Kalinganagar project. There was acquisition of NINL, which was about Rs. 10,000 crores and the best ever dividends that we paid over Rs. 6,000 crores. Even after this, our net debt to EBITDA is within the long-term target levels of about 2x. Our

long-term target for deleveraging continues to be the same. We will continue to deleverage in FY24, and we will continue to ensure that our target of \$1 billion is fulfilled and met during the next year and going forward.

Looking ahead, the next few quarters are likely to be weaker for TSE as markets continue to be subdued. Realisations for the fourth quarter are forecast to be weaker and the drop will be higher than the drop expected in the coal and iron ore prices. Furthermore, Tata Steel Netherlands is undertaking the blast furnace relining in 1QFY24. We are working on minimizing the impact of all of these aspects, including working capital and margins. Moreover, there are few asset specific challenges. Some of the heavy assets in Tata Steel UK are reaching the end of their useful life. Any long-term solution in the UK also has to address the rising cost of carbon and the local emission reduction goals. The UK government has provided us a framework of support for the proposed transition of Tata Steel UK to a low carbon configuration. [inaudible] consists of potential partial capital expenditure grant, policy on electricity pricing, and regulatory intent to ensure a level playing field for steel manufacturers. We are currently evaluating the offer of support. We are developing investment options, which will be most capital-efficient, economically viable, bankable, and value accretive. It will be reviewed internally over the next couple of months to determine the way forward. In the interim, we will continue to run Tata Steel UK optimally for cash with minimal support from Tata Steel India.

With that, I conclude my comments, and we open the floor for questions and answers. Thank you.

QUESTIONS AND ANSWERS

Operator

The first question is from Pinakin Parekh of JP Morgan.

Pinakin Parekh, JP Morgan

The company had effectively guided to a certain set of numbers for India operations and for the Europe operations. Clearly, the earnings are far weaker than that. But it seems that the profitability is lower than peers as well. Can you walk us through as to what happened in the India business? In particular, is the cost reduction lower than what we have seen in peers? And how will this trend over the coming quarters?

T. V. Narendran : CEO & MD - Tata Steel Limited

So, Pinakin, in terms of cost reduction, I don't know if you can be more specific. But generally, one area where we had a slightly different issue in India is we were ramping up Neelachal Ispat Nigam Limited (NINL). So, if you look at it on a consolidated basis, you had the NINL business, which was incurring costs but not yet earning much revenue. That will get settled during this quarter because the production is coming up to peak and we will be selling. But otherwise, I don't know of any specific area where our costs have trended differently.

Pinakin Parekh, JP Morgan

Sure. Given that in the December quarter, the coking coal cost benefit that was supposed to be there, the margin expansion could have been higher than what we have seen. So, just trying to understand was there any [inaudible] of contract sales

5 volume issue or whether other than coking coal costs, some of the other expenditure did end up being higher than what was earlier thought in November.

T. V. Narendran : CEO & MD - Tata Steel Limited

No. When we had met in November, I think the guidance on the realisations were not as pessimistic as it turned out to be. If you really look at it, as we went into that quarter, we thought the prices would have reached its bottom and will start moving up or if not move up, will stay stable. But the realisations in 3Q in India have been about Rs. 2,000 less than 2Q. So, the margin expansion in 3Q was largely supposed to come from the drop in coal consumption cost. The coal consumption cost was lower by \$ 90/t, which is what we have g

uided in November. But in terms of what we had expected, we didn't expect the prices to drop as much as it did. And by the time it did, it was already towards the end of December. And secondly, we were also hoping to get relief on export duty earlier than when it came. It came only in the middle of November, whereas we have been hoping that it would have come earlier because the steel prices in the domestic markets were still quite low. We had a pretty good quarter as far as production is concerned. And I think at least in India, we didn't have issues.

Pinakin Parekh, JP Morgan

Sure. Fair enough. My second question is just going back to NINL, you said that it has been ramping up during this quarter. Now if you look at the medium term ROIC target of 15% on Rs. 12,000 crore investment, it effectively implies a steady state through -cycle EBITDA of Rs. 2,000 crores from that acquisition. So, when can we see that kind of earnings come through from NINL, because clearly, at this point of time, it is a material drag on consolidated earnings?

T. V. Narendran : CEO & MD - Tata Steel Limited

Basically, in NINL we were EBITDA negative in the last quarter and that changes obviously because one is we are today producing at least 50,000 - 60,000 tons a month and we hope to take it to 80,000 tons a month of steel. I'm not talking of hot metal. For hot metal, the blast furnace is already at 80,000 - 90,000 tons a month. So, the billet production is there and they're selling the end product as Tata Tiscon. So, next year, for instance, you will see 1 mn tons of production out of NINL.

So, the return on investment on NINL was also based on the expansion of Neelachal beyond the 1 mn tons, we said the Rs. 12,000 crore valuation was not for a 1 mn ton capacity, but both for the opportunity for us to increase the size, because if you look at 1 mn ton capacity, we would have been closer to what we paid for Usha Martin or something like that. What we paid extra was for the iron ore, which is coming at premium, and we've paid for the land, which is 2,500 acres of land. That's what we've paid the premium for. So, to monetize that, we obviously need to expand Neelachal to about 4 - 5 mn tons at least, which we will do. We'll go to our Board once we ramp up to 1 mn tons. We are waiting for the 1 mn tons operating rate to be reached before we go and invest capital for expansion in NINL.

Operator

The next question from Amit Dixit of ICICI Securities.

Amit Dixit, ICICI Securities

I have 2 questions. The first 1 is essentially on the non-cash deferred tax payment or provision in the consolidated numbers. Is it possible that theoretically if there is profit in Tata Steel Europe, then this can be offset at a later date? So theoretically, we can get a lower tax rate? Or is it that the profits must be in Tata Steel UK for the offset there to take place?

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Koushik Chatterjee : ED & CFO – Tata Steel Limited

Yes, Amit, the offset must be in the entity, which is carrying this, which is Tata Steel UK.

Amit Dixit, ICICI Securities

The second question relates to the spreads in TSE. Now while in the prepared remarks you have mentioned that the drop in realisation would be higher than the benefits of coking coal and / or iron ore escalation. Now will there be any NRV provisions in this quarter as well given that prices have moved up in Europe. £55 million was recorded in last quarter, will there be something in this quarter also? And will we have more EBITDA compression, or will we end up with a number lower than what we have in this quarter on per ton basis.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

So, I think to answer that question, first is, we've kind of taken all the NRV that we could estimate. As you know, the NRV is point to point, from the end of the last quarter. So, we had stocked up slabs in the Netherlands

in anticipation of the blast

furnace relining. And as the blast furnace relining will take about 120 days, you must have enough stock to do the business and service customers.

So, this stock has been accumulated over the last 6 months. At that point of time, the coal prices were north of \$450/t and iron ore prices were also high, which is why this NRV testing happened, and the write-down of the NRV mark-to-market is what we have taken in this quarter. If the prices don't fall very sharply or significantly from here, I don't see any material NRVs. I can't rule out small changes in NRVs, but nothing material in that nature. In UK and Netherlands, we don't want to run flat out for cash. And therefore, if that's the case, then we are also targeting significant stock level reductions, as far as is practical to run the business. And therefore, end March inventory number should look much lower, hence the risk of the NRV comes down.

Amit Dixit, ICICI Securities

Great. One associated question that the annual contracts that are going to be negotiated maybe from CY23, the expectation is that they would be negotiated at a significantly lower level, given that what we saw in CY22. And the quarterly contract that possibly [inaudible] will enter in March. Would again be at a significantly lower level because at that time Russia/Ukraine war was there. So, do you expect that contracts, monthly contracts or quarterly contracts will be negotiated lower and therefore, we can have overhang of lower realisation extending right into the first six months, let's say in FY24.

T. V. Narendran : CEO & MD - Tata Steel Limited

So, Amit, let me put it this way. The annual contracts that we had for last year, most of them were in excess of €1,000 per ton. So, this year, while the annual contracts are at a lower level, depending on which sector, which industry by €100 to €150 or maximum of €200 per ton, but they're still higher than the spot prices. That's one point I wanted to make. Secondly,

the spot prices are going up now . If you've seen in Europe , it's gone up by about €50 per ton. If you look at last quarter and this is an extension of Koushik's answer, the cost of 3Q is higher than the cost of 2Q because of these NRV provisions. So, despite the coal being \$90 per ton cheaper and iron ore being \$20 per ton cheaper, our cost was £31 per ton higher in 3Q compared to 2Q only because of this NRV provision.

When you look at 4Q, we expect that the realisations in Europe will be about £70 per ton lower than 3Q but expect cost to be at least £100 per ton lower on QoQ basis. So, we see a margin expansion per ton this quarter. Of course, we are still looking at gas prices and many other moving parts just now, but at least from a margin per ton or EBITDA per ton point of

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view, hopefully, the worst is behind us as far as 3Q is concerned. Now going forward, the stocks that Koushik said, basically, we had to build up about 700 kt stock. That will start getting converted into cash. While the blast furnace will be down, the sales will not be down to the extent of what production is down, and that's what these slab stocks are going to do. Since NRV correction has been done for the slab stocks, if the spot prices and the steel prices keep going up, we shouldn't have a problem.

Operator

The next question is from Indrajit Agarwal of CLSA .

Indrajit Agarwal , CLSA

I have 2 questions. First, if you can give us some indication as to what the relining capex would be and how long the shutdown be? And in view of that, what is our cash fixed cost per ton in Europe? So, at what EBITDA levels will it not need support from India? That is my first question.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

So, I think, the blast furnace shutdown is planned for about 120 days. Regarding cash, [inaudible] , but it's a question of also ordering has also been done over

the last one year. So, some part of the cash has already been spent , and there will be some spend obviously as the relining happens over the period and it is in the ballpark of about €250 million to €275 million, and some of it has already been spent and some will be spent. And I think if I can put it the reverse way, Tata Steel Netherlands is actually sitting on €600 million of cash, so they don't require any money from India.

Indrajit Agarwal , CLSA

And UK still needs the cash infusion

Koushik Chatterjee : ED & CFO – Tata Steel Limited

So that's why I said that in my comments that we would look at running it for cash. And we will minimize as much as we can [inaudible] . And including in this quarter, there is almost about Rs. 1,000 crores of working capital release. So, we will continue to push that very hard.

Indrajit Agarwal , CLSA

My second question is on coking coal. While we understand your fourth quarter guidance, but given the news flows around the Australia China trade opening up, how do you see coking coal prices trending on 6 to 9-month basis from here?

T. V. Narendran : CEO & MD - Tata Steel Limited

So, I think coking coal is obviously not as liquid a market as one would like it to be and hence is very vulnerable to be fluctuations. We see coking coal prices between \$250 and \$350 per ton. Unless there are events like the Russia – Ukraine crisis , it will fluctuate in that range. There would be some weather event in Australia for which it may spike up or something else. But we are not seeing coking coal prices drop much below \$250 per ton in the short term or medium term because, honestly, there are not so many investments being made in coking coal because generally coal has seen a bad basket to invest in. So, this is where the challenge is . But I think this is the range that we can see coking coal prices. Today, it's gone up close to \$350 per ton . Your question on China buying coking coal, well, I think one thing which China has done well as they managed for the last few years without buying Australian coking coal. So, they managed to get the quality they want

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it out of the facilities that they have. They've also been buying out of Russia. So, I'm not sure it will make such a material difference as it would have done three, four years ago because they have developed alternate sources over last few years.

Operator

The next question is from Satyadeep Jain of Ambit Capital .

Satyadeep Jain , Ambit Capital:

Thank you. A couple of questions on Europe. First on the profitability, I believe a couple of years ago, the company was embarking on a transformation program and that time we thought that at spreads of about €240/t, the company was looking at cash breakeven. Given the current spreads are also about €200/t which are not too far from those levels , the company should have possibly been at least EBITDA breakeven. Is there something maybe on the UK plants reaching end of life or

is there anything else going on that is leading to the deviation from the targeted transformation plan savings. That's the first question.

T. V. Narendran : CEO & MD - Tata Steel Limited

Yeah. So Satyadeep, I think two things. One is, of course, our traditional view of spreads now needs to get corrected for energy costs and gas costs. Because traditionally, energy and gas were hardly less than 10% of the raw material costs, whereas it went up last year to almost 40%. So, it played a very material role. Now it is coming back to around 10% to 20%. It's at a more reasonable level. So that is one thing that's why what we have traditionally seen is €225 and €250/t spreads. So that's one change. Second point is, if you really split UK and Netherlands, Netherlands business has traditionally been EBITDA positive, cash positive, for sure, every year and pretty much all quarters. Only last quarter was one of those quarters where

it was EBITDA negative, but largely because of the NRV provisions that we had to make on the slab stock, which in itself was unusual situation as a build up to the [inaudible] summer shutdown.

UK is where we have a challenge because energy costs have always been higher and have become even higher. We have some challenges on end of life. So, what happens in the end-of-life situation is the production levels are also not as stable as we would like it to be, and that leads to unplanned outages. So that's something that we are dealing with. So, a lot of the underperformance has been in UK for the last quarter. Netherlands also has not had as good a quarter as they would normally have. So, we expect in Netherlands, at least, operationally, this quarter was fine, but next quarter, we have this blast furnace relining after that things should come back to a stable state in Netherlands. The UK situation is slightly different. Cost situation is improving in both these places because industry prices have come back close to pre-Russia Ukraine [inaudible] levels. So that's the way we see it. I think Netherlands should continue to be cash positive and EBITDA positive and should not need support from India. UK is what as Koushik said, we will take a call going forward.

You should also keep in mind that Europe is today in a high inflation environment. So, the inflation is much higher than what we had thought two, three years back, and that also has an impact on cost. So, even if we have taken out a lot of costs, some of the costs because of the inflationary pressures have gone up more than we had planned three years back.

Satyadeep Jain, Ambit Capital:

The second question is on capex. The \$250 million to \$275 million for relining, I think I was under impression that this is going to be partial relining given the eventual transition to DRI sometime in the future. For a partial relining it seems somewhat high. And secondly, on the media reports indicate possibly a \$1 billion requirement for conversion for UK. If I

understand it correctly, the idea is to convert it to a standalone EAF, given the scrap supplies there. The capex required for this should be, I believe much lower than those media headlines. Is there a thought behind maybe not just looking at a standalone EAF or possibly exploring other options there?

T. V. Narendran : CEO & MD - Tata Steel Limited

On the relining, it depends on if you're comparing to a relining cost in India, obviously, \$275 million looks high. But if you compared to what relining cost is in Europe, it is comparable. Having said that, this blast furnace is expected to run at least till 2035, even in our transition plan. So that's why this is being relined for that kind of life. The blast furnace, which will go down first will be the blast furnace, which is coming up for relining in 2026 or 2027. So, we have two blast furnaces in Netherlands. So, this is being planned to be run until 2035, even in a transition plan.

As far as UK is concerned, the media reports on the numbers are speculative. So, I don't want to comment on that. But having said that, the proposal to the government was not just about an EAF, but it was also about the hot strip mill, which is also coming to end of life and some of the other assets, which were important to keep the site sustainable. So that's why the amount [inaudible] what we would spend typically on an EAF. But given what we've got from the government, we are looking at what then would be the next best thing. What is the best that we can do with that kind of money that may be available to us and the policy support that we will get from the government! So, I think this is what we are working out based on the recent inputs that we had from the government.

Operator

The next question is from Ritesh Shah of Investec.

Ritesh Shah, Investec

A couple of questions sir, first

it is, can you broadly give us some colour on the assets that we have in Europe. I think in the prior question, you indicated that there are two furnaces in the Netherlands. One, that is due for relining and will be till 2035, and the other blast furnace, it has a relining due by 2026. Is that right?

T. V. Narendran : CEO & MD - Tata Steel Limited

Yes. That's right. 2026 – 2027 around that time

Ritesh Shah, Investec

Sir, how should we understand the same aspect for the UK operations, wherein you indicate there are many assets reaching end of useful life. And if you could please put in perspective what you indicated that the framework that you are engaging with the UK government on practical grant for creating a level playing field. I don't know whether it refers to CBAM or something else. If you could marry both those verticals together, it would be great, sir.

T. V. Narendran : CEO & MD - Tata Steel Limited

Sure. So, in UK., if you look at, so one of the blast furnaces in the UK got relined about 5 – 6 years back, okay, or maybe 10 years back in 2012. So, typically, once a blast furnace is relined, it will run for anything from 15 years to 20 years. So, there is one blast furnace, which can go on for slightly longer. There are many parts in the UK business, where the assets are a bit old and need support. And that's where our proposal to the government was to say that instead of spending capital on assets, which anyway don't have a very long -term future, why don't we use that opportunity to transition into a greener

process, particularly given that the UK has a lot of scrap, which it is exporting. But the challenge there was the energy cost in the UK even before Ukraine was twice the energy costs in Europe.

So, our ask of the government was at least 50% of the capex that we need to spend should be supported and there should be policy support on energy cost so that we are not disadvantaged compared to Europe. And thirdly, of course, the policy support that the European steel companies are getting in terms of Carbon Border Adjustment Mechanism. The ask in general in Europe by steel companies of governments is typically on these principles that at least 50% of the capex that is required to be supported as grants because the industry - through its cash flows cannot justify spending out the capex that it needs for this transition. And secondly, Opex support because when you transition from coal to gas and hydrogen, your input costs are less dependent on steel prices. When you're looking at metallurgical coal, there's a correlation between the metallurgical coal price and the steel price. But when you're starting to use gas and hydrogen, the correlation is not there because gas and hydrogen are used for other applications as well. So, the ask of the government is to also say that how do you protect the industry, if it's changing from one consumable to another, which is more vulnerable to other industries. The third point, of course, in Europe is about Carbon Border Adjustment Mechanism. So, the last point is that we are also saying that there should be a level playing field, not only in terms of Carbon Border Adjustment Mechanism. But if there are some countries in Europe supporting their steel industry with let's say 50% of capex, then the other countries also need to consider that because otherwise, at the end of the transition, some of the steel companies in Europe will be disadvantaged compared to somebody else who's got more support from the government. So that has also been asked on the principle of support, and this is what has actually been discussed by us and our peers to the multiple governments in the countries that we operate in.

Ritesh Shah, Investec

Sir, if I had to conclude on that point, what is the aspirational ROI C? In the presentation, we indicate 15%. So, for standalone, whatever we do for UK operation

s, even factoring 50% hypothetically the government does contribute to the capex. What is the ROI C that we are looking at a corresponding cost of capital? Just trying to make sense of the incremental return.

Koushik Chatterjee: ED & CFO – Tata Steel Limited

So, on that Ritesh, it's more linked to the cost of capital. So, what works for in India, for example, our WACC hurdles are more than 12%. But in Europe, it will be around 9 - 10%. That's the IRR hurdle for approval of capex. But the ROI C that we are looking for is always at about 15%.

Ritesh Shah, Investec

Sure. That's very useful. And I had a couple of questions for India operations. First is, do we see leeway to increase local steel prices from an import parity mark standpoint. Second is volume guidance, if it's possible for FY25 basis, given I think the street will start to look at the company on FY25 basis. And third is basically iron ore merchant sales, is there an optionality that the company has over here, if at all, if you could detail any plans on this aspect. Thank you so much.

T. V. Narendran : CEO & MD - Tata Steel Limited

So, I think steel prices in India are also reflecting the trends in international prices. If you look at prices in Southeast Asia, they got up \$100 /t in the last four weeks, and steel prices in India, we expect it to go up by that amount over January, February and certainly by March. So that's something which is mirroring what's happening in the international markets. The demand in India has been strong. There was in between a few shipments of imports which came from Russia etc. but

I don't see import as a big threat just yet. Japan [inaudible] exporting a lot because the yen has gone to 145 and the yen has also strengthened. So, I think we are in a much better situation today as far as import prices concern than we were two, three months back. And I also think, in any case, the steel prices in India, we need to find a better balance than we've

seen in the last three, four months. I think that's reflected in the financials of the steel companies over the last two quarters. right? And particularly, if the industry needs to invest for growth, we need better cash flows than we've got in the last two quarters. So that's as far as steel prices are concerned.

Samita Shah: VP CFTRM – Tata Steel Limited

I think there was a question on volumes. So, Ritesh, as you know, we don't give annual volumes guidance at this time. We will do that once we finalize our annual plan. So maybe we can just walk him through in broad sense what we expect.

T. V. Narendran : CEO & MD - Tata Steel Limited

So, in terms of volumes next year you will see Neelachal Ispat Nigam Limited at 1 million ton. We've not seen much of Neelachal this year because we started the plant within three months of acquiring it, but pretty much the steelmaking started in November. And we have today... in fact, yesterday was the highest ever production that Neelachal has ever had. We produced 3,200 tons of steel yesterday in Neelachal. So that means the going rate is already at the capacity. So that is the incremental volume, which will come next year. We will also get some incremental volume out of the Kalinganagar. We have a new caster coming that should be up. Kalinganagar today is actually producing at over 300,000 tons a month, which is like 3.6 mn ton rate. So, we'll get some additional volumes from the caster. We'll give guidance when we do the annual results. There is some debottlenecking which will also get us some volumes. But how much more, we will guide you in the next call. In two years, we will have the Ludhiana plant also up, which is 0.75 million tons a month by this time the Kalinganagar blast furnace should have also started.

Operator

The next question is from Kirtan Mehta of BoB Capital.

Kirtan Mehta, BoB Capital

Just to continue the previous

question, you've given some colour on FY24 numbers and to get more on FY 25, which is likely to be the valuation base for the street - could you walk us through the ramp-up sequence of Kalinganagar expansion post expansion? How long would it take to ramp up to full capacity?

T. V. Narendran : CEO & MD - Tata Steel Limited

So next year, what you will see is, firstly, the pellet plant would have ramped up by the end of the first quarter, which means we don't need to buy pellets, which means cost savings for Tata Steel. Secondly, the cold rolling mill, not the galvanizing line, but the cold rolling mill will be ready. So, we will have what we call full hot CR (FHCR), which can be sold. So basically, the hot-rolled coil gets converted into cold roll. So, there's no incremental volume, but there's incremental value which comes from that. Like I said, if we have the new caster in by the middle of next year, we will get some additional volumes from steel mill because today we make more hot metal than the steel mill shops can consume. So, these are the areas where you will see the ramp-up.

The blast furnace of Kalinganagar should come up only in FY25, and that's where you will see the ramp up. Typically blast furnaces ramp up fast unless you have a problem. The hot strip mill and the steel mill shops would also be ready. And once you have the blast furnace making hot metal, ramping up the steel melt shop, and the hot strip mill is not an issue. If

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you remember the Kalinganagar Phase 1 ramp-up was one of the fastest for any greenfield site. I think we did it in about 16 months, the full ramp-up. So that's typically what it would take. We should keep in mind that it's going to be one of the biggest blast furnaces in India. So, we will obviously ramp up keeping the complexity of large furnaces in mind.

Kirtan Mehta, BoB Capital

Thanks for these details. One more question from my side. If you look at the Tata Steel and its subsidiaries, there is spread which is opened up to around 12% to 15%, if we take the conversion ratios into account. So, in fact, if we look at it from this perspective, it would be that market is pricing between 1 to 1.5 years for the merger to conclude. Do you think that's a fair estimate by the market? Or do you see the merger progressing a bit faster than that?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

So, Kirtan, I think we are at a stage where we have done the filing with SEBI and regulators, and we will be looking at getting their clearances. And since some of them are listed companies, I think a year is the honorary course of business of the NCLT, we should be able to do that. I don't see it in 1.5 years. In Bhushan, we got delayed because of multiple reasons, but these are our subsidiaries for long. So, we are hoping that we can close it before one year.

Operator

We would now like hand over the conference to Ms. Samita Shah for chat questions. Over to you ma'am.

Samita Shah: VP CFTRM – Tata Steel Limited

Thank you, Kinshuk. I'll start with the questions on India. We have a question on auto. We had said that auto sector is 15% of our volumes. What would be the growth trajectory going forward for the company on an average? And what is our

targeted mix from the auto sector for FY 24?

T. V. Narendran : CEO & MD - Tata Steel Limited

So, obviously, our growth in auto will depend largely on the pace at which auto motive segment grows because we already having 50% market share and normally auto companies like to buy from at least two suppliers, if not more. So, we are not looking at a much higher market share than we have today. So, our growth in volumes will largely depend on the growth of market sector. Having said that, once the cold rolling mill with its galvanizing line and the annealing line comes in full, what is coming up just now is what we call the PLTCM, which is basically the cold

rolling mill. But the annealing and

galvanizing facilities will be commissioned over the next 12 to 14 months. Once that comes in, then you will have a lot more to add to the product mix. So, while we have a very high market share, let's say, in hot rolled coils, which is over 55% - 60% in some cases, in auto, in cold rolled and galvanize we have in the 30% to 40% range.

So, there is a room for us to increase our market share in the galvanized, high end galvanized and cold roll anneal products, which we will do over the next three to four years. But overall, if you look at it, auto will always account for 15% to 20% of our overall volume. The other sector, which is quality conscious and which we are pursuing in a big way is Oil and gas. And I think the Kalinganagar plant is ideally suited for the Oil and gas segment, and we are making a lot of headway there. So, we expect that also to account for a big chunk of our value-added sales going forward.

Samita Shah: VP CFTRM – Tata Steel Limited

There is a question on iron ore merchant sales. Why do we not do some merchant sales as optionality is available?

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T. V. Narendran : CEO & MD - Tata Steel Limited

That optionality is available with the requisite permissions that we need to take, which we've taken. We are doing some iron ore sales, but largely our iron ore is meant for captive use because what we are producing, we are consuming. Once the pellet plant starts, we will be using more iron ore for the pellets because we don't have to then buy pellets. But having said that, whenever there is an opportunity to auction iron ore that we can't use because of the grades or whatever, then we will do that. I think one of the challenges today is not so much about auctioning it, but about the logistics of it. And I think we have done quite a few rakes of iron ore in the last two, three months. Not yet so material, but yes, it has started.

Samita Shah: VP CFTRM – Tata Steel Limited

There is then a question on RINL investment. Given our deleveraging target for year 2024 and ahead. Can we confirm that we are not going to bid for these assets?

T. V. Narendran : CEO & MD - Tata Steel Limited

So, I think what we've always said is our existing sites allow us the run rate to grow to 40 mn tons, right? So, I think our growth ambitions can be fulfilled from our existing sites. But it will be premature for us to emphatically say yes or no because there's a competitive environment and why should we announce what we want to do or going to ... ahead of when you need to do it.

Samita Shah: VP CFTRM – Tata Steel Limited

And there's another question on India, which says can you assume Rs. 16,000 EBITDA /t for 4Q. So, as you all know, we don't give a quarterly guidance. So, we will not comment on that. Just moving to Europe, there's a question about if we expect steel prices in Europe to benefit if CBAM proposal are implemented?

T. V. Narendran : CEO & MD - Tata Steel Limited

Yes, certainly, because we should keep in mind that in Europe today, we pay €80 per ton for CO₂. I mean, obviously, we get free allowances. So even, despite that, I think we paid something like €100 million a year. So, because the free allowances we get are not covering our needs fully. So that's a cost. We are paying and everyone else in Europe is paying today. And as those free allowances go down, you will pay more. So that's why there is a CBAM because if somebody can make steel, which is more carbon inefficient and ship to Europe without the cost, that's very unfair on the European steel industry. If you look at Tata Steel in Netherlands, it is the second most carbon-efficient blast furnace in the world. It emits about 1.8 tons of carbon per ton of steel. So, for blast furnace emitting that kind of carbon to pay €80 per ton, carbon cost and somebody who is, let's say, 2.5, not paying that cost is certainly unfair. So, we expect

that CBAM will come in. We

expect that steel prices in Europe will reflect the cost in Europe because some of those costs are unique to Europe and the industry will need that support.

Samita Shah: VP CFTRM – Tata Steel Limited

And there is a question around the energy costs, so given that the spreads have been, our margins have been affected by coal and gas costs - could the company please report that line separately under expenses for both Europe and India?

I would just say all of you know that we give a lot more information than any other steel company in the world actually any company in terms of the profit and loss details

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Koushik Chatterjee : ED & CFO – Tata Steel Limited

It will get covered in the MD&A when you look at the annual numbers.

Samita Shah: VP CFTRM – Tata Steel Limited

The next question is comment I think, are we regretting not considering divesting our international business when the situation was favourable? Will we revisit this in the next up cycle?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

It is a hypothetical question

Samita Shah: VP CFTRM – Tata Steel Limited

I think there is a question around debt reduction, do you expect debt reduction in 4QFY23 ?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

So, we've, in this third quarter itself, paid about Rs. 1,300 crores, but it got offset by the currency valuation. So, in principle that I can articulate as a company is, we will look for all opportunities to reduce our debt. As I said in my comments that completion of Kalinganagar is a priority, but deleveraging is also a very important priority. And therefore, whenever we get opportunity, we'll do so. We do have some scheduled repayments ahead in 2024 coming up and there will be natural deleveraging itself. And then whatever we get from a surplus cash generation, we would look to prepay our leverage.

Samita Shah: VP CFTRM – Tata Steel Limited

There is a question on profitability in Europe for 4Q, says your commentary suggested that EBITD A/t will further weaken over third quarter, can you please clarify?

T. V. Narendran : CEO & MD - Tata Steel Limited

No, I think we said it will improve compared to third quarter because while the current estimate is the realisations on an average for Europe will be £70 per ton lower in 4Q compared to 3Q, but the cost will be about £102 per ton lower, but we are watching all the costs very closely, including gas prices, energy costs which have dropped significantly over the last few weeks.

Samita Shah: VP CFTRM – Tata Steel Limited

The next question is on UK . What is way forward on UK given the package is inadequate? When can we see some concrete steps that you will take?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

As I mentioned in my comments that we are looking at an optimal model, which is investable, bankable and fix the need of the company. This is not an Excel model analysis, it's an engineering analysis and it's a technical analysis, which is ongoing . [inaudible] as Naren mentioned, the broader configuration given the current offer of the development, we are going to look at it. We've already started looking at it, and we will come back to our Board and take guidance on that. So, it will take a little bit of time, but not indefinitely

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Samita Shah: VP CFTRM – Tata Steel Limited

What is the kind of annual contract negotiation in Europe, can you give us a sense of how different it is ?

T. V. Narendran : CEO & MD - Tata Steel Limited

Compared to last year? So, like I said, depending on the industry it's, I think, in the range of €50 to €150 to €200/t, lower than last year's annual contract prices. But most of last year's annual contract prices were higher than €1,000 per ton. So, I think it's in the €850 to €1,000 range is what we see most of the contracts for this year, which is low

er than last year, but
higher than today's spot prices.

Samita Shah: VP CFTRM – Tata Steel Limited

The next question is on Europe in terms of the investigations around the environmental issues, can you please give us an update?

T. V. Narendran : CEO & MD - Tata Steel Limited

Yeah. So, I think largely, it is to do with our operations in Netherlands. Obviously, we're responding to the various notices that we get etc. There are issues related to the coke plant there and the emissions out of the coke plant and a few other instances of the past. What we have done over the last few years is one is, of course, we have a roadmap to continue to improve the situation. Having said that, I must also say, like I said before, that our Dutch plant is certainly one of the cleaner steel plants in the world, but we are conscious about the feedback from the community and from the regulators and

constantly trying to improve the facilities that we have there. So that work goes on. There are obviously investigations going on. There are questions being asked, which we are responding to. We are cooperating with authorities and doing the best that we can. But having said that, I think we are a responsible corporate, and we will do whatever is the right thing to do.

Samita Shah: VP CFTRM – Tata Steel Limited

And one question before we go back to audio is on the forex gain this quarter. It's quite a large amount, can you please explain this and provide some details.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

So, this is something which happens every quarter. There are gains and there are losses. So, there is a Tata Steel investment in Tata Steel Holding, which is the holding company in Singapore, and it is done through a debt mechanism. So, whenever there is an FX movement every quarter, it is adjusted. Sometimes it is negative, sometimes it's positive. And this quarter, as I mentioned, EURUSD and USD INR movements have been quite volatile and resulted in an FX gain, that's been accounted for in others.

Operator

The next question is from Tarang Agarwal of Oldbridge Capital .

Tarang Agarwal, Oldbridge Capital:

Hi. Three questions from me. Two on Europe and one on India. On Europe, given that your current contracts have been priced at anywhere south of €1,000 per ton. But if I look at the total cost, even if I eliminate the NRV of £55 million, the

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total cost at least for the last four, five quarters has been trending north of €1,000 per ton. So, is there something that I'm missing here or from the point of view of how it's going to play out on per ton basis?

T. V. Narendran : CEO & MD - Tata Steel Limited

The only thing I can think of is we have a lot of downstream assets in Europe. So, I don't know if there's any conclusion on those costs versus those realisations

Tarang Agarwal, Oldbridge Capital:

Second, how fungible is the cash between Netherlands and U K?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

So, in the past, when we used to run Tata Steel Europe, we used it in a very fungible manner . Given the fact that Tata Steel Netherlands has a decarbonization project , we are escrowing and ensuring that we have that capital because that will be a very material investment that has to be done in TSN. But otherwise, cash moves freely across all entities.

Tarang Agarwal, Oldbridge Capital:

Okay. And my third question that's on the India business. Between BPR , Downstream, IPP and Automotive, if you could give us a flavour in terms of how the realisations are different.

T. V. Narendran : CEO & MD - Tata Steel Limited

So, in terms of realisations, automotive contracts, the tenures are different for these contracts, right? So, if you look at it, the automotive contracts are typically three months to six months depending on the customers. So, if you have a rising market, the auto contracts look less attractive

because the spot prices have gone up above the auto contracts. In a falling market, the auto prices will look better. So that always happens, particularly when there's a lot of volatility. But fundamentally, the reason why we pursue auto customers is that they are not price buyers. They look for buying from suppliers who are approved . So that means your competition is limited to whoever has the approval for supplies. And that's why segments like automotive, oil and gas are attractive because you're not reacting to spot prices moving up and down.

IPP is where the volumes go because you have many large customers, maybe tubes, earlier cold rollers, now there are not too many cold rollers who buy hot roll coils. They are all integrated. But these are a volume play, plus you have a value-added play in that. Downstream business for Tata Steel is very big. There our policy is more on transfer pricing, which is based on an arm's length basis, but there is obviously a lag. So, if you look at some of the price increases that we take this quarter, by the time it passes on to our tubes division or the tinplate company on our transfer pricing policies, it may be a month or two into the quarter or at the end of the quarter. So, there is a lag between that. But again, we see downstream like auto gives us stability in the business. IPP is more the one which you will leverage, when the stable businesses are picking up less volumes than we would like to sell them. To answer your question, I would say, on a long-term basis, auto and downstream should rank over IPP.

Operator

The next question is from Sumangal Nevatia of Kotak Securities

Sumangal Ne vatia, Kotak Securities:

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First question is just some clarification on the UK topic. The entire transformation from BF to EAF, what is the estimated capex you're looking at? And what is the plan to fund the remaining 50%, assuming we get a 50% grant from the government?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

So, I think if you have heard Naren a little while back, our original ask was for a configuration which had an EAF and also the downstream TSC or thin slab caster, and the rolling mill. So that all was the configuration that we were discussing with the government. And we said for that, we need to get 50% support. I think what the government has given is partial of what our ask was. And therefore, we are relooking at what should be the resizing of the configuration, if to make it investable and bankable and value creative. So, I think these three are the foundations of what we are looking at. And I don't think what we had as ked for has happened, and therefore, the original configuration is to be rethought.

Sumangal Ne vatia, Kotak Securities:

Understood. Is it possible to get what is the ask in terms of billion dollars?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

No. So at that point of time, it was multiples of the 300, which we had got. But I think, let us not look at that because it' s no longer relevant. What is relevant is what we will now work on and are working on, and which matches up to the partial grant that the government is willing to give and then go back to the government and saying that this is what we can do at best.

Sumangal Ne vatia, Kotak Securities:

Okay. Got it. But given that the UK doesn't earn any free cash flow , how will the remaining part be funded? Will they raise debt? Or will there be some support from India entity.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

No. So that's why I'm saying that when you do the capital allocation, when we see, for example, say that this year's capital expenditure is say, Rs. 12,000 crores , Rs. 13,000 crores etc. We t ake every entity into account, it's not India alone. So, I think this is going to be almost like a new invest ment . It's not putting money into the current asset. So, this will

be as I said,

[inaudible]. It will have elements of Tata Steel support. Something if the existing business can give or cannot give, then it will be externally funded. So, it will be a combination, but I don't know yet what that configuration will be , let's work towards it, and then we will certainly come out and talk about it.

Sumangal Ne vatia, Kotak Securities:

Got it. That's very clear. A nd I mean, just hypothetically, if it's possible to discuss what could be plan B here? I mean, we've been in discussions with the government since more than two years now. Is there a fix ed timeline we are looking to close this? And what is plan B - divestme nt or shutting down the plant ?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

So, there is a plan B, there a plan C. But I think unless we cross the hurdle on the planning, now that the government has given us a formal proposal or a formal support structure. Let's work on this and see whether we get to that. Otherwise, there are con sequen t plan Bs and plan Cs that we can go for.

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T. V. Narendran : CEO & MD - Tata Steel Limited

And I think, to be honest, whatever we do, we also need to discuss with the other stakeholders there, the unions and everybody else. So, it only it would be fair for us to internally discuss before we announce whatever we want to do.

Operator

The next question is from Anupam Gupta of IIFL

Anupam Gupta, IIFL

What is the outlook for net steel realisations and coal consumption cost for India operations for the fourth quarter ?

T. V. Narendran : CEO & MD - Tata Steel Limited

Yeah. So, the net realisation for this quarter in India, we were expecting it to be about Rs. 1,400 - 1,500 /t higher than last

quarter. I say this because while from December, the prices have been going up. I'm looking at average of last quarter. In terms of coal, the coal costs are expected to be about \$10 per ton lower this quarter compared to last quarter. The other point I want to make is this quarter between Europe and India, we'll also have about 0.5 mn tons of additional volumes compared to last quarter.

Anupam Gupta, IIFL

Okay. And just one more question. So, we understand that profitability in U K will improve in this quarter versus last quarter, what you highlighted. But let's say, over the next one year before your any transformation capex happens, do you think it can go back to, let's say, a cash neutral situation or you will continue to have some support coming from India or, let's say, local level debt coming in Tata Steel Europe?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

No, so I think we didn't say it would improve. I think what Naren's comment was it will not worsen is the point. And as I mentioned earlier also that we're coming to the end of life of some of the critical facilities, which will mean that there will be challenges on costs, and we are trying to run it in a most optimal manner, which will require minimal support from India. That is what our target is, till we come to a decision, which is relating to what we have discussed fairly at length in this call and how do we look at the future as far as UK is concerned.

T. V. Narendran : CEO & MD - Tata Steel Limited

Clarifying Koushik's point, I said we will improve, but we will not be out of the woods.

Operator

The next question is from Sumangal Nevatia of Kotak Securities

Sumangal Nevatia, Kotak Securities:

Sorry. So, just one pending question. I mean, when do we expect the commercial volumes from KPO phase 2, is it first half of 2025 or more like second half of FY25?

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T. V. Narendran : CEO & MD - Tata Steel Limited

Firstly, from next year, you will have the FHCR, which is also part of the commercial volumes of KPO. But we should keep in mind that this is value-added to existing hot roll coils. It's not incremental volume, let me put it that way. Incremental

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volume will come from the next from FY25. I mean, some of the incremental volume will also come from the second half of this year, simply because we'll have an additional caster in the steel mill shop. We are still working out the volumes that will come out of it, and we will give you that guidance in the next analyst call. But so, starting from this year, but most of it will start coming from FY25, where first half or second half, I think we'll give you guidance when we talk the next time.

Sumangal Nevatia, Kotak Securities:

Got it. And just one last question. In Europe in the past, you said that \$50 - \$60 per ton at the entire Europe level is cash breakeven considering the capex, maintenance capex and interest obligations. I mean, when do we see reaching to that level? Is it more towards the end of FY24 or more like an FY25 as we see today?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

When you say Europe, I think Netherlands is what we just mentioned. As far as UK is concerned, the levels are somewhat a little higher than that.

T. V. Narendran : CEO & MD - Tata Steel Limited

So, Netherlands has always been EBITDA positive, cash positive. So, I think last quarter was an exception of being EBITDA negative. But I think on an annual basis, even last year and next year, it will be positive EBITDA for sure

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Post relining, it will come back.

T. V. Narendran : CEO & MD - Tata Steel Limited

Yeah. So, Netherlands is not the challenge. The challenge is obviously in the U K

Operator

The next question is from Prashant Kota of Emkay Global

Prashant Kota, Emkay Global:

Sir, my question is more on the coking coal side and the structural issue over this. Sir, you are being used to buying this coking coal at very high prices. And in fact, sorry for that word but arm-twisting or extend by the other side. Sir, if you take a step back and just look at it from an outsider. Sir, this is opposed to being a mutual long-term relationship in which both parties need each other. But here it is one-sided and, I believe the 90% of the volumes are sold on a linked to the index, where the index is decided by 10% of the spot. So, this is, it seems to be some sort of anomaly. Sir, what can we do to take a step back and say collectively be as in Tata Steel as a leader, not only in India, also in Asia because there are also poor regions that currently take a step back and say, okay, we need coal, coal guys need us and there is coal -- bit after making some profit on the same? So, can we have a new dialogue or new system of pricing this as an, okay, we can pay you this much based on what we have made in the last quarter, last couple of quarters. And something like that the way we have negotiated with auto guys. So, what is the thinking on this.

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T. V. Narendran : CEO & MD - Tata Steel Limited

So, I think it's obviously in any commercial free markets, the power will shift from the customer to the supplier or supplier to the customer, right? So, when steel prices go up, we get a lot of noise from our customers saying that it shouldn't go up. I think, in some sense, if you look at the coal companies, they will tell you the same thing. The issue is that coking coal is not a very liquid market, unlike thermal coal, it's a very consolidated market. What is also happening is you have the big miners, and you are the smaller miners. The smaller miners are not getting the funds that they used to get earlier, the financing or the insurance that they used to get earlier because coal in general is seen a bad word without drawing a distinction between thermal coal and coking coal. You can theoretically do, without thermal coal; you can't do without coking coal for at least the next 30 years, right? So, there is the situation. For India, we are very dependent on Australia as a source. We

are vulnerable to weather or climate events, and that makes the liquidity even worse or two years back, we had a problem in the railways there. So, these events happen, which [inaudible] the coking coal prices. The part that you, point you made about the indexes is a point where the steel industry globally has taken up both in Europe and in India saying that the index or most of our contracts are indexed, and that index we believe is not truly reflective of all the transactions in the market. This is something which is being discussed with the people who issued the index as well as between suppliers and customers. But I think, yes, we have a good long relationship with many of the suppliers, but they are doing ...they seem to be doing what is right for their shareholders, and we are doing what we think is right for our shareholders. So, I think we, obviously, must find that balance. But the challenge going forward, this is not a sector which is getting a lot of investment for growth. But India is already the largest importer of coking coal and Indian steel capacity is going to double over the next 10 years and will double again over the 10 years after that. So, till such time, we have enough gas or hydrogen as an alternative to coking coal, we will be vulnerable to the volatility in the coking coal market

Prashant Kota, Emkay Global:

Sir, apart from that, the net NRV losses and inventory losses across India and Europe, if you could quantify that please, this quarter, how much was that? Rs. 1,000 crores?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

There is no NRV as far as India is concerned. There was NRV to the extent of about £55 million, as far as Europe is concerned.

Operator

The next question is from Anupam Gupta of IIFL

Anupam Gupta, IIFL

Yeah. Sir, I had one question on iron ore sourcing. So, you have that iron ore mine at NINL. So, including that and other mines which you have, can you just lay out iron ore sourcing change over the next 5-6 years and also include let's say, once the existing mining leases gets over in 2030?

T. V. Narendran : CEO & MD - Tata Steel Limited

So, basically, our desire is not to buy any iron ore, and we've not been buying iron ore. We've been buying pellets, because we have enough iron ore to take care of our iron ore needs, but we didn't have enough pellets to take care of our pellet needs. But with the pellet plant coming up in Kalinganagar, which has already come up and over the next few years, we'll build another pellet plant in the Angul facility, which is a Bhushan facility. We will be self-sufficient in pellets. So, hopefully, from the second quarter of the next financial year, we shouldn't be required to buy any pellets, and we want to keep it that way.

The iron ore expansion is being planned to keep pace with our steel expansion, and so that will continue. As far as post 2030 is concerned, as of now we have about 550 mn tons of iron ore reserves for post 2050 -- I mean, 2030 because we have the Gandhalpada mine, which is a greenfield mine which we bid for and got, which we will develop by the pace that will be needed. And then we have the Kalamang mine which has come to us from Bhushan, the Neelachal mine, which has come to us with the Neelachal Ispat Nigam Limited acquisition. There's also a mine in Jharkhand, which has come to us with the Usha Martin acquisition. So, all this put together, we have, at this moment, about 550 mn tons for post

2030. We will continue to participate in auctions as they come up going forward. We will also have options on our existing mines, and we go out for auctions in 2030.

Operator

Thank you very much. That was the last question for today. I would now like to hand the conference back to Ms. Samita Shah for closing comments. Over to you, ma'am.

Samita Shah: VP CFTRM – Tata Steel Limited

Thank you, Kinshuk . Thank you everybody for joini

ng us for this call. I hope lot of your questions were answered and found that useful. Look forward to connecting again at the next call. Thank you, and bye -bye.

T. V. Narendran : CEO & MD - Tata Steel Limited

Thank you

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Thank you

Call: May 2023

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PRESENTATION

Operator:

Ladies and gentlemen , good day , and welcome to the Tata Steel analyst call. Please note that this meeting is being recorded. All the attendees , audio and video has been disabled from the backend and will be enabled subsequently. I would now like to hand the conference over to Ms. Samita Shah. Thank you and over to you ma'am.

Samita Shah: VP CFTRM – Tata Steel Limited

Thank you , Kinshuk . Good afternoon, good morning, and good evening to all our viewers joining us today. Welcome to this call to discuss our results for the fourth quarter and the year ending 31st March 2023. I am joined by our CEO and MD, Mr. T.V. Narendran; and our ED and CFO, Mr. Koushik Chatterjee. I will request them to make a few opening remarks before we open the call and take your questions. Before I hand it to them, I will remind you that the entire conversation today is governed by the safe harbour clause, which is on Page 2 of the presentation, which is uploaded on our website. Thank you, and over to you, Naren.

T. V. Narendran : CEO & MD - Tata Steel Limited

Thanks, Samita. Good morning, good afternoon, good evening depending on where you are. Just a few comments before I hand over to Koushik. Global commodity prices staged a recovery during January -March quarter and continued to face an uncertain and volatile operating environment similar to the rest of the financial year. While global inflation and rate hike dynamics have been at the forefront, there were fresh concerns about the banking sector in the past few months, which also weighed on the sentiment. Steel prices across key regions were higher in March compared to December with Western markets inching up. In the U S, prices were over \$1,000 /t. Prices of key steelmaking materials like coking coal and iron ore continued to be volatile on supply dynamics and wavering expectations about Chinese demand. Overall, the spot spreads witnessed an improvement in the fourth quarter on QoQ basis and were above the FY 2023 average levels but continued to be below levels witnessed in FY 2022. The economic activity in India continued to improve and apparent steel

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consumption was up 14% YoY for the fourth quarter and 13% for the financial year. The YoY growth in the financial year is an indicator of prevalent domestic demand and was despite the imbalances created by the levy of export duty earlier in the year.

For Tata Steel, FY 2023 has been a year of strategic progress as we continue to align our portfolio with the India growth story. India's crude steel production now makes up two – third of the overall production of Tata Steel and should further improve in the coming years. On an absolute basis, Tata Steel India achieved highest -ever crude steel production of 19.9 million tons and grew 4% YoY on debottlenecking across sites and ramping up the Neelachal Ispat asset. NINL is currently operating at a run rate of 1 million tons (crude steel plus pig iron) on an annualised basis. India deliveries grew mostly in line with the production to surpass the previous best recorded in FY 2022, and domestic deliveries grew 11% YoY with record deliveries across segments.

Moving to the quarter , our deliveries grew 9% QoQ to 5.15 million tons and saw steady improvement across sectors, particularly auto and

retail. Our net realisations improved by Rs. 1,700 per ton and were better than the guidance of around Rs. 1,400 - 1,500 per ton provided during the last earnings call. Sustainability is at the core of our strategy and Tata Steel is committed to net zero by 2045. Our route and pace of decarbonisation across geographies will be calibrated for each location based on the local regulatory framework, government support , and willingness of customers to pay for the higher cost green steel. We continue to pursue multiple initiatives to reduce our emissions, including a recently initiated trial for injecting large quantity of hydrogen into one of our blast furnaces at Jamshedpur, a global first.

In terms of growth, multiple projects are underway across India, and we are steadily progressing towards our aspiration of 40 million tons in India. We commissioned PLTCM (Pickling Line and Tandem Cold Mill), which is part of the 2.2 MTPA Cold Rolling Mill Complex at Kalanganagar, and Full Hard Cold Rolled Coils are now being produced. This marks the beginning of an improvement in product mix. The CAL (Continuous Annealing Line) and the CGL (Continuous Galvanizing Line) will be progressively commissioned in the next year or so. In Longs, we are well placed to more than double the operations by FY 2030 via multi-location growth and are also focused on product mix enrichment by expansion at our downstream operations.

Moving to Europe, steel deliveries were at 2.1 million tons in the fourth quarter and around 8 million tons for the whole year. The drop in realisations and ongoing upgradation of the cold mill at IJmuiden weighed on spreads despite moderation in costs. The cold mill upgrade is progressing, and the product mix should improve upon commissioning in the next few months. We have also commenced the relining of one of the blast furnaces at IJmuiden in early April, which will be completed in the first half of this financial year. I'm also happy to share with you that Tata Steel has been recognized by Worldsteel as Sustainability Champion for the sixth time in a row and by the World Economic Forum as Global Diversity, Equity & Inclusion Lighthouse. Thank you, and over to you, Koushik.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Thank you, Naren. Good morning, good afternoon, and good evening to all those who have joined in. Let me give you a deeper sense of the financial performance.

Our consolidated revenue stood at Rs. 62,962 crores, while our EBITDA stood at about Rs. 7,225 crores, which translates to a consolidated margin of 11%. At Tata Steel Standalone, EBITDA stood at Rs. 8,089 crores, which translates to an EBITDA per ton of Rs. 16,258. Excluding the FX impact, the EBITDA was higher at Rs. 8,318 crores and was up more than 75% on QoQ basis. As provided in Slide 28, there was margin expansion during the quarter on account of improved

steel realisation and moderation in costs. Within costs, material costs were down, while there was a slight increase in the conversion costs driven by royalty expenses and FX impact on intercompany loans provided over time. Royalty increased by about Rs. 187 crores to Rs. 962 crores due to higher production and notified IBM prices. In terms of FX impact, there was a loss of Rs. 229 crores versus a gain of Rs. 571 crores in the third quarter. Overall, the EBITDA margin improved from 18% in the third quarter to about 24% in the fourth quarter. Further improved profitability was also witnessed at our Indian subsidiaries, including Tata Steel Long Products, which turned EBITDA positive on consolidated basis within 9 months of acquisition of NINL.

At Tata Steel Europe, the EBITDA loss stood at about £176 million and on a per ton basis and was broadly similar to third quarter. As shown in Slide 13, deliveries were up by about 9% QoQ, and improvement in cost was mostly offset b

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drop in the revenue. During the last earnings call, we had mentioned a drop in revenue per ton of £70 and reduction in overall costs by about £100/t. While the revenue per ton dropped by about £58/t, the overall volumes were lower than anticipated, resulting in absolute revenues being lower than expected.

Further, the cost decreased by £60/t. While the spot prices of energy have dropped sharply, our energy costs did not fall as much as we had hedges in place. You will remember, the hedging for energy cost had helped protect us during the European energy crisis last year - while there was a spike in natural gas and power prices in spot markets, our cost did not increase as much. Spot prices of natural gas dropped sharply this quarter, but the drop in our costs will take a quarter or two to reflect in the profit and loss account.

Taxes for the quarter stood at about Rs. 1,755 crores and decreased QoQ upon lower non-cash deferred tax. You are aware that over the previous 15 months, the British Steel Pension Scheme had completed about 3 insurance buyouts of its pension liabilities up to 62% with Legal & General UK. We had previously explained that with each buy-in, a proportion or a portion of the accounting surplus of the pension is utilised to secure the insurance and a non-cash deferred tax charge is recorded in the profit and loss account. We had also guided that we expect this movement to continue till the full de-risking is completed. We can confirm that the residual insurance of 38% of liabilities is currently underway and will be completed in 1Q of this financial year, subsequent to which the business will be fully de-risked from any pension fund exposure.

Tata Steel Europe also assessed the potential impact of the economic downturn in Europe on its business outlook. Based on the assessment, Tata Steel Netherlands is expected to have adequate liquidity. However, Tata Steel UK is expected to be adversely impacted. Tata Steel UK continues to implement various measures aimed at improving its business performance and conserving its cash and liquidity. The discussions with the UK government are still ongoing, but it remains uncertain whether adequate support for decarbonisation would be agreed. Given these circumstances, we have taken an impairment charge of Rs. 11,070 crores in the Tata Steel Standalone books, reflecting investment in the overseas portfolio.

Moving to the cash flows, operating cash flow for the quarter stood at about Rs. 8,861 crores versus Rs. 5,020 crores in the third quarter, and this was primarily driven by better working capital management.

Moving to Slide 23, our consolidated revenues for the full year were broadly stable on YoY basis and stood at Rs. 2.4 lakh crores or \$30 billion. Our consolidated EBITDA stood at Rs. 32,698 crores, which translates to a margin of 13%. The standalone margin was higher at 22%, while Europe was at 5%, reflecting higher input costs due to inflationary pressures and stressed supply chain. Standalone EBITDA stood at about Rs. 28,175 crores for the year and translates to an EBITDA per ton of Rs. 15,467, while TSE EBITDA stood at about £477 million, which translates to an EBITDA per ton of about £58.4

We spent about Rs. 4,396 crores for the quarter and Rs. 14,142 crores for the full year on capex. As Naren mentioned, it was a year of strategic progress with commissioning of the pellet plant and the PLTCM line at Kalinganagar and NINL ramping up to 1 million tons on annualised basis. In FY2024, we will look to deploy about Rs. 16,000 crores in capex, of which Rs. 10,000 crores will be in India, largely focused on expediting and accelerating the Kalinganagar project. There are some subsidiaries like Tinplate, which are expanding capacity, and this will also be reflected in that Rs. 16,000 crores. Further, Blast Furnace 6 relines in IJmuiden in Tata Steel

Netherlands will also form a part, and we continue to prioritize this strategic capex over the next 12 months.

The free cash flow generated for the quarter was Rs. 4,800 crores, and our net debt decreased by about Rs. 3,900 crores during the quarter and stands at about Rs. 67,810 crores. For the year, we were successful in maintaining our interest cost, despite a 250 basis points increase in the benchmark rate by the RBI, and 475 basis point rate hikes by the Fed. Our financial strategy is calibrated to generate returns across the cycle, and our financial metrics remain within the medium-term targets. Net debt to EBITDA is at 2.07x and Net debt to Equity is at 0.61x. We remain committed to our long-term target of deleveraging whenever we generate free cash flow, which is surplus to our needs and capex and balance with growth aspirations and move towards a much more healthier balance sheet. We aim to reduce our leverage and resume the deleveraging journey in FY2024.

As mentioned in the press release, the Board has recommended a dividend of Rs. 3.6 per share. With this, I will end my comments and open the floor for questions. Thank you so much.

QUESTIONS AND ANSWERS

Operator

The first question is from Sumangal Nevatia of Kotak Securities.

Sumangal Nevatia, Kotak Securities:

My first question is on the 5 MTPA Kalinganagar plant. Could you share some specific timeline as to where we are as far as the commissioning is concerned and what sort of volume growth, we can expect in FY2024 and FY2025?

T. V. Narendran : CEO & MD - Tata Steel Limited

Yes. So, Sumangal, basically as you heard from Koushik, we have commissioned the pellet plant and also the Cold Rolling Mill without the annealing and the galvanizing facilities, which are going to come up over the next 12 to 18 months. In terms of volumes, it will come up in stages. We are adding another Caster in our steel mill shop, which will give us a couple of hundred thousand tons this year because we will better utilize the existing Blast Furnace. But the new blast furnace will not have any impact on this financial year. It will have some impact in the next financial year because it is expected to come around March or April. But the full advantage of volumes will come in FY 2026. Because you will get some benefit of volume in FY2025 and most of the 5 million in FY2026. The pellet plant will help us bring down the cost. The Cold Rolling Mill will help us add value and the blast furnace will help us add volume.

Sumangal Nevatia, Kotak Securities:

Understood. That is very clear. Thank you. My second question is on prices, both India and Europe. Could you please guide what we are looking at in terms of 1Q versus the previous quarter and in terms of cost how are the costs moving?

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Especially with Europe, we see that the spreads have improved quite dramatically, so do we expect break-even kind of profitability in the coming quarter?

T. V. Narendran : CEO & MD - Tata Steel Limited

As far as India is concerned, we are expecting this quarter to be Rs. 1,000-1,200 higher per ton compared to the last quarter. The market is still looking for some direction, so keeping that in mind, this is what we feel. In terms of Europe, it is going to be about £15 per ton higher this quarter over last quarter.

I would like to comment a little bit on the cost side. The coal costs are going to be higher this quarter compared to last quarter, both for India and Europe, because we will be consuming what was bought a few months back. The benefits of lower coal price will accrue in 2Q more than 1Q, so coal costs are expected to be at least \$10 - \$15 higher in both places. In Europe, as Koushik mentioned, we have not got the benefit yet of gas prices dropping because some of it is the hedges that we've done in the past, which benefited us last year, hence will not

benefit us this year, but will play out over the next

two quarters. In terms of actual cost versus the spot prices, it will converge maybe in 2Q and 3Q with larger convergence

in the latter .

The third comment I want to make is 1Q volumes will be lower than 4Q. I just want you to keep that in mind because in India we have had a few shutdowns . In Europe while the production will be lower because one blast furnace is down this quarter , but we will use up the slabs . So, we will not have the cost advantage that you would have when running at full capacity. The deliveries will be of slabs which were produced last year . So, to that extent it will also reflect a bit of higher cost so while spreads may not increase as much as we would have liked this quarter , they would, pretty much remain at similar levels.

Sumangal Nevatia, Kotak Securities:

Okay I got it . Just one last question , if I may , on this. On the discussion with the UK government , I heard the interview when you said that there is not much progress . I just want to understand when is the plant reaching the end of life and what is our strategy ? I mean do we shut the plant if we are not satisfied with the support and what timeline are we looking at towards the final decision because we have been hearing about this negotiation for quite some time now . Could you guide a specific time plan , sir?

T. V. Narendran : CEO & MD - Tata Steel Limited

There are two types of assets . The downstream assets are fine . It is more the upstream assets which are reaching the end of life and those assets are reaching the end of life in the next 12 to 24 months. Whenever we feel it is unsafe to run the operation in discussion with all the stakeholders, we will have to take that call . This is assuming nothing comes out of any of these discussions or nothing close to what we want comes out of any of these discussions . In some sense we'll have to take a call within the next 12 to 24 months on the heavy end if there's no support from the government.

Operator

The next question from Prashanth Kota of Emkay Global .

Prashanth Kota, Emkay Global:

Congratulations for the good set of numbers on the India front. So, my question is regarding the European operations . It's been 15 years , we've done all the hard work , we've shown integrity , commitment , and compassion . Now we are in a situation where in the UK there is an end-of-life situation and in the Netherlands, the upcoming relining .

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So eventually, we will need government help in both countries . The government will calibrate their help such that even if we are making good margins, we never make any free cash flow at all, maybe for the next 20 - 25 quarters. So, in this situation, is it not a good idea to say quits ?

T. V. Narendran : CEO & MD - Tata Steel Limited

So, Prashanth, a couple of comments. Firstly, we need to separate the Netherlands and the UK businesses because they are very differently positioned . The Dutch business has traditionally been one of the strongest steel businesses in Europe which may not have been so visible because it's always been under Tata Steel Europe. Just to give you a sense , in the last 15 years the Dutch business has not had to seek any support from India and has been able to take care of its own needs . We expect it to continue to do so . Even the year which has gone by is an EBITDA positive year, a cash positive year but obviously not in all quarters. Because of the relining , we have a challenging quarter or two but fundamentally , the business is strong. Even if we were to transition , yes, we need support from the government but also the Dutch business generates its own free cash flows, unlike the UK business. So, government support is important , but also because other governments are supporting other steel companies, so we also want to make sure there is as close to a

level playing field
as possible.

So for those reasons, we will seek support from the government but it's not like it is in the UK where the cash flows of the business don't support the transition, and investment [inaudible] . So there the call is , in some sense , more urgent, and we will have to discuss with all of the stakeholders, including the unions and everybody else and we will take the right call at the right time . Koushik, I don't know if you want to add anything to my response here .

Koushik Chatterjee : ED & CFO – Tata Steel Limited

No, that's fine. I think what you have summarized is the most relevant . These are two different businesses , which will have two different paths. As Naren mentioned , he is actually giving a timeline of 12 to 24 months . I am sure we will come back to you when the time comes and talk about our plans in detail .

Prashanth Kota, Emkay Global:

Sure, sir. The second question is regarding , given where the coking coal costs are, can we expect some more working capital release in the coming quarters?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Yes, I think we have seen significant working capital release in the last quarter . We are watchful about it, but we are taking , not just depending on the price , but also on the efficiency factors on working capital . So, each of the sites , each

of the units , and on a consolidated basis we are looking as to how to drive working capital even better, because I think some of our working capital elements like debtors etc are really at the lowest level.

But given the long supply chain, especially in Europe and elsewhere , we will look at working capital release through the year. This quarter also , in Netherlands , as they release the slab stocks for the sales , there would be some release. Working capital is high on the agenda because that is something that can generate internal cash flows for the business.

Operator

The next question from Pinakin Parekh of JP Morgan

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Pinakin Parekh , JP Morgan

Hello. I just wanted to understand what the cash burn was in Europe in the second half of FY23 , between UK and Netherlands . Between the interest payments , capex, and inventory build, what would have been the total cash loss over there?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

So in the UK , we normally have a burn of roughly £100 to £150 million in six month s' time whereas in Netherlands , we are sitting on cash of €600 million. So, there is no cash burn as such from Netherlands. Of course, when there are cycles of [inaudible] energy price increase, they will draw on working capital but otherwise they are sitting on more than half a billion euros of cash.

Pinakin Parekh , JP Morgan

And just to continue, for FY 2024, the capex guidance is Rs. 16,000 crores on a consolidated basis. Rs. 10,000 crores of that is for standalone, so that implies , probably Rs. 6,000 crores for subsidiaries . How much of that would be in Europe? As a consolidated entity, how much would Europe be able to fund of that capex and how much would be required from India?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

No, so let me explain. I said Rs. 10,000 crores is Standalone India which is Tata Steel limited , of which about 70 % would be on the Kalinganagar project and 30% will be sustenance and other projects. And , when I say Kalinganagar , I'm also including the raw materials which are linked to Kalinganagar. So that's the proportion as far as India is concerned Then I said that there are other Indian subsidiaries , which are actually on an expansion mode , be it Tinplate Company , be it Metaliks and others which would be ~Rs. 2,000 crores , and all of them are value accretive .

Tata Steel Netherlands is going to spend about Rs. 3,000 crores and this will be spent completely on their own. Of Rs.

3,000 crores , Rs. 1,100 crores is kind of one – off in the blast furnace reline and the rest of it is actually sustenance , environment , and improvement projects . And all of this will be spent by the Netherlands from its own cash . As far as UK is concerned , we are somewhere between , say, Rs. 600 to 800 crores , which is again the critical capex of license to operate , safety , compliance and so on. So, this is broadly the mix as far as the Rs. 16,000 crores is concerned.

Pinakin Parekh , JP Morgan

Thank you and just lastly , on the UK , one of the key investors' concerns we get is that what kind of shock can a Tata Steel shareholder expect in 12 to 24 months from UK? What are the two extremes in terms of capital support , which would be required if either the company goes ahead to fund the new investment, or it has to shut down operations? Is it hundreds of millions of pounds number or is it billions of pounds ? It is that uncertainty which is really creating concern . Can you give us some colour over there?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Yes, surely . So, I think , as Nar en mentioned that it is not one bucket . The downstream assets are good assets. The distribution is an important part of the UK market and there are other value -added products which come s out from downstream. They are not reaching the end of life; they can certainly continue. When we are looking at the upstream facilities, I certainly think it is hundreds of millions and not billions , that much of a point I can make. And, secondly, it is also a question of addressing it in an orderly manner . Therefore, it's not a shock that we would be looking at , at least from

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a cash flow point of view . But it is how do you orderly address that issue depending on the conversations that happen with various stakeholders, and which includes the government , unions, and other stakeholders. We will have to find an alternative where the volumes continue from a downstream point of view . If there is a solution to it , which comes in between

, we will see as to how it must be. But any incremental investment on a new asset will have to be value accretive , it cannot be one which does not have an investment case.

Pinakin Parekh , JP Morgan

I understand . That's very clear . Lastly, the company goes back to deleveraging but maybe , I missed the target . Can we expect the old target of \$1 billion a year?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

I mentioned that last year's volatility in the markets etc meant that we had to focus on creating cash flows and also, we did the Neechal acquisition which itself was about Rs.11,000 crores and along with some of the downstream ferro - alloys business - all taken together, it was Rs. 12,000 crores. So, we expect to resume deleveraging this year at about Rs. 8,300 crores, or about \$1 billion. It may not be equally paced across the year. It will be more during H2. H2 is when we will have the ability, because just now honestly, our biggest priority is to allocate capital for Tata Steel Kalinganagar, because that is the most value accretive capital deployment that we can have at this point of time.

Operator

The next question is from Satyadeep Jain of Ambit.

Satyadeep Jain, Ambit

A couple of questions. Firstly, on Europe. I think in the accounts it's mentioned that TS Global Holdings is looking to provide letter of comfort on refinancing of UK debt. Given, we are looking at different opportunities and options in the next 12 to 24 months, would it be prudent to take on that debt and refinance at TS Global Holdings? What is the thought behind that?

And tied to that, you mentioned that the downstream assets are in a much better shape. I understand the conversations with the government whatever the headline figures are, one to two billion pounds, are tied to some support for downstream

and upstream.

If downstream assets are in good shape, does the company need that support from the government for downstream also? Or is support for upstream sufficient?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Fundamentally, the letter of comfort is not something new. First of all, all of the debt is reflected in the consolidated balance sheet. So, it's not new debt that we are taking on. And over the last few years as we've been deleveraging, especially in FY20 21 and FY20 22, we have actually paid off the debt from the overseas subsidiaries and that has been our focus, because that's the weaker part of the business from a cash flow point of view, and therefore, that debt has been taken out as much as we could.

[inaudible] What we have is the remnant of that debt, which originally was much larger. And this letter of comfort is more from a going concern point of view, audit requirements etc. And honestly, we have supported that company for 15 years. So, this is not going to add any additional burden on Tata Steel, because it's the debt which is already reflected in Tata Steel books. So one shouldn't kind of worry about it, even when we look at the orderly transition, this debt is essentially Tata Steel debt.

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Second part of it is, you talked about the government support on downstream etc. Actually, what we have asked the government is a full kit, which is upstream, midstream, and downstream. If this has to transit, it has to transit through the EAF route, and that EAF includes steelmaking, it includes the TSCR, hot strip mill, and the downstream will continue. So, it is the upstream and midstream which will then feed into the downstream. And therefore, this £1 to 2 billion is not £1 billion, it's more [inaudible]. And that project size was an integrated project. It was not just parts of the project. So, I don't know if I have been able to clarify, but fundamentally, it's been a new configuration in an integrated manner.

Satyadeep Jain, Ambit

Just a clarification question on the first part. We do understand that Tata Steel - TS Global Holdings had historically provided a letter of comfort, refinanced certain debt. But given you are now looking at a situation where there could be a hard decision maybe 12 months to 24 months on the line, would it be prudent to take on the debt at the TS Global Holdings or keep that debt at TSUK and then depending on what that action is, those debt holders can also bear that liability or whatever that is based on that decision or what's the thought process behind refinancing that debt?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

That's why I stressed upon the point on orderly transition in whichever way we do. These debts are essentially debt out of our relationship banks, and we have taken the debt over many years. And one of the things that Tata Steel and indeed, Tata Group doesn't do is to leave the lenders in the lurch. So, I think that is something which is fundamental. How do you minimize the exposure by pairing of the debt or pairing of the liabilities that you have, which is what we're working on at this point of time. But I think it would be unfair for lenders to kind of bear this as a part of it. And therefore, we are typically always in the zone where we honour the stakeholders who've provided capital.

Satyadeep Jain, Ambit

Fair enough. So, second question on the capex, of the Rs. 10,000 crores you're looking at KPO -2 say Rs. 7,000 crores. How much has already been spent on KPO -2 in the last maybe 2 odd years and what is the budgeted amount you're looking at in FY24? Is there any capital cost inflation compared to initial estimates or is it largely in line? There's a lot of capacity coming online in flat steel in the next 2 years. And given Europe is also looking at Carbon Border Adjustment Tax, where do you think the

utlet for all that capacity for flat steel could be , which markets would you be looking at for that product?

T. V. Narendran : CEO & MD - Tata Steel Limited

I'll answer the second part and Koushik can address the first part on how much we spent so far on Kalinganagar. So, if you look at Kalinganagar 5 MTPA expansion, there is a 2.2 MTPA cold rolling mill coming with it. So, we will go through a time when we'll have less HR than we've had because most of the H R will get converted into cold roll. And we think the cold rolled market will continue to be strong because of auto demand and many other CR applications. So, the incremental HR that we will sell even after the expansion is not significant.

Secondly, we've always sold 85% of what we produce or often 90% of what we produce in the domestic market. And if the domestic market is growing at 7 million tons or 8 million tons a year , then again, this incremental volume that we add, we don't see much of a problem. I know others are also adding capacity, but I think we are quite confident about our reach and equity and relationships and product pipeline, et c. So, I don't see a volume pressure . Exports will always be exercised more as a strategic option for us at 10% to 15%, but balance should not be a problem for us to sell in the domestic market. Yes, Koushik?

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Koushik Chatterjee : ED & CFO – Tata Steel Limited

Yes. In the last few years, we have spent about Rs. 17,000 crores on the Kalinganagar expansion, of which about Rs. 6,500 crores were in the last financial year. So, we will do similar numbers in this financial year. And the project is broadly in line. We had slowed down the project for a year or two, but other than that, it's in line.

Operator

The next question is from Alok Deora of Motilal Oswal .

Alok Deora , Motilal Oswal :

Yes. Just had a couple of questions. First is, on coking coal , what was our consumption cost for the quarter? And how do we see that? I think you mentioned about \$10 higher for the first quarter, but with the current pricing at around or below \$250/t, what is the benefit we're looking at in the second quarter?

T. V. Narendran : CEO & MD - Tata Steel Limited

Yes. So Alok, for coking coal, if I look at it from an India point of view for fourth quarter, it was around \$267 /t, I think on consumption basis , and now it will be at around \$277 /t. These are FOB prices, so you need to add the freight. We are seeing \$10 /t increase in 1Q, but if you look at the purchase, we are buying on average so far this quarter at about \$25 /t less than what we bought last quarter. So that will certainly accrue, and if the coal prices keep softening, then, of course, it will accrue more. I think minimum of \$25 /t drop for next quarter, and hopefully more, if the coal price continues to stay soft. This is for India. And for Europe, it's about \$7 /t higher for this quarter compared to last quarter and purchasing is at about \$35 /t lower than last quarter so far.

Alok Deora, Motilal Oswal:

Sure. Also, if you could just indicate, we have seen pretty sharp correction in global steel prices across several geographies in the last couple of weeks. What's the sense you're getting and how do you see the price shaping up in near to medium term? We have seen pretty sharp cuts across the board, be it iron ore, coking coal, steel. So, I mean, just your thoughts on that would be helpful?

T. V. Narendran : CEO & MD - Tata Steel Limited

Yes. So obviously, a lot depends on what's happening in China. I think if I look at the last few months after China removed its restrictions in December, there was a lot of optimism, and everyone thought the Chinese economy is going to take off and this reflected in steel prices and everything else. But I think few things have happened since then. One is, of course, China is expected to grow at 5% plus. But China is shifting m

ore and more to consumption -led growth, and which need not be as steel intensive as the traditional investment -led growth that China had.

Second point is, as Chinese industry, steel industry particularly ramped up in anticipation of growing demand, they were almost producing at the highest level. If I remember right, they produced 96 million tons or something in March and exported, and hence they also exported 8 million tons, which is higher than what they've done for a long time, which had an impact on the global sentiment because suddenly an extra 2 million tonnes of steel coming out of China at a point in time when the rest of the world was still a bit fragile didn't help the sentiment.

The coal prices kept dropping, because, firstly, I think China has also developed other sources for coal in the absence of buying coal from Australia. So, it's not necessary that they need to buy all the coal that they used to buy earlier from

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Australia. So, we've seen coal prices soften a bit. And when coal and iron ore dropped and this happened in China , steel prices dropped because the margins were reasonably good. But now I think where we are currently, there's not much margin for the steel companies in China. So, I don't expect this level of exports or prices continuing to drop at these kind of coal prices. If coal prices go below \$200 /t, that's a different matter . Globally, of course, input costs are settling in, like we said, gas prices in Europe, energy, electricity prices, but we also feel that as some of those prices dropped, some of the user industries who were suffering in Europe because of very high energy prices will have a slightly better situation.

I mean, so while overall, yes, there is still some fragility, but we feel that this year should end up better than last year for us because overall, we don't see the volatility that we saw last year when coal prices went to \$650 and then dropped and steel prices went to \$800, \$900, and then dropped. It's a little bit more within the normal band of \$500 to \$700 /t that is fluctuating.

Operator

The next question is from Vishnu Kumar of Avendus Spark .

Vishnu Kumar , Avendus Spark Capital

Yes. This is Vishnu from Spark, sir. I just wanted to understand what the effective production would be this year considering the annualised activities .

T. V. Narendran : CEO & MD - Tata Steel Limited

Yes. FY 2024 will be 1.5 million tons higher than FY 2023 on a consolidated basis.

Vishnu Kumar, Avendus Spark Capital

Specifically for Europe, given that we will be taking some shutdown for this maintenance ?

T. V. Narendran : CEO & MD - Tata Steel Limited

Yes. So, I'm talking of deliveries. While we had a production shutdown in Europe, last year, we produced more and sold less because some of what we produced were slabs which we stocked up. This year in Europe, particularly in Netherlands, we will produce less obviously because the blast furnace will be down for 4 months, but we will sell more than we produce because we'll roll those slabs into hot rolled coils and sell . This will release working capital as well as give us more sales and production. So, when I say 1.5 million, it is sales, not production, and half of that will be in Europe and half of that will be in India.

Operator

The next question is from Amit Murarka of Axis Capital.

Amit Murarka , Axis Capital

On Europe again, we used to maintain that there is not going to be any cash support from India. But now with TS Holdings providing some support to the TS UK, is it essentially some change in policy or stance ?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

Amit, this cash, and this letter of support has been in place for possibly a decade. It is neither a guarantee nor a binding letter of comfort. This is as I said earlier , it is required for audit purposes because when you do the going con

cern testing,

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there are various stress tests that are done. And one of the stress tests is that if the company does not have the ability to support or refinance the loan that comes due , and these loans are fundamentally working capital loans. So, if that comes up for renewal, then will there be a support from Tata Steel. And that is an intent letter and not a guarantee. Nothing has changed between what has been given in the last decade versus today. It's more explicit today because that's the part of the stress test that has been done. There is no change in policy. We focus on the businesses to ensure that they are cash neutral to cash positive. In Netherlands case, the focus is to push them towards being cash positive, which is one of the reasons why I mentioned that they are sitting on €0.5 billion of cash . And in case of U.K., it is essentially working within the means to be cash neutral. So that is how we look at it. Pending the outcome of the discussions with the government and a more strategic call on the UK upstream, this is the status that has been carried on.

Amit Murarka, Axis Capital

Okay, understood. I had a question on the India Standalone business from a 4Q perspective. This quarter we have seen quite a sharp drop in our RM cost on a QoQ basis . While coking coal is down a bit, but it still doesn't explain the big drop on QoQ basis that we have seen. Could you help better understand that fall?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

One was royalty I know, that's been the iron ore royalty, which is the re-notified prices of the IBM. But we can explain it and give it to you subsequently.

Samita Shah: VP CFTRM – Tata Steel Limited

It's largely that. So, we have the royalties coming just with a lag, and that's why you're seeing some of the [inaudible] in this quarter.

Amit Murarka, Axis Capital

And could you quantify that, because I guess this will be a bit of a one-off in nature in that sense then?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

No, it's not one-off in nature. It goes through the ups and downs. The IBM prices are notified with a lag and then that affects it. So at times, it goes up, at times, it goes down. It is also benchmarked to the international prices but there is a significant lag associated with it. Unless the royalty rates are revised, which is a very different thing, which is what has happened in the past. The royalty rates have actually gone up significantly in the last few years, but the benchmark rate also moves along with a lag. So that is what you're seeing at this point of time. Maybe, Samita, you can give the exact number offline.

Operator

The next question is from Ritesh Shah of Investec .

Ritesh Shah , Investec

Sir, first question is on ESG. If I go back to September 2021, I think the company had a release stating IJmuiden operations plans to opt for hydrogen based DRI. In current press release, we have indicated about injecting hydrogen into blast furnace. So just wanted to understand thought process on hydrogen based DRI for IJmuiden economics, gas versus green hydrogen? And the same thing on what scale are we doing at Jamshedpur operations right now? That's the first question.

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T. V. Narendran : CEO & MD - Tata Steel Limited

Yes. Okay. When you look at making steel with a lower carbon footprint, there's going to be a bouquet of solutions and it depends on the context and the geography and the regulations. So if you look at Europe, the natural progression is coal to gas to hydrogen. And there's a lot of hydrogen infrastructure being built; a lot of work is going on. And so the whole plan in IJmuiden is convert from coal to gas, and then when hydrogen is available, convert from gas to hydrogen. So, which means you eventually shut down blast furnaces and build gas based DRI production, where you will substitute the gas with

hydrogen.

When you look at India, the challenge we have is most of the steel capacity not only for us but for the industry will be in Eastern India because that's where the iron ore is. And we don't see too much of availability of gas, at least at the scale at which we want, in the near future. It may be 10 – 15 years later, we don't know. Till such time, we cannot just be static and hence we are looking at various other options. So injecting hydrogen into a blast furnace is addressing the problem to some extent, you can't replace the coal with hydrogen in the blast furnace, you can replace some of what we call the PCI with the hydrogen and even that needs to be done very carefully. That's why the amount of hydrogen we injected was higher than what anybody else has done, and that's why it's caught a lot of attention globally. So in our E Furnace, which is a 500 – 550 cubic meter blast furnace, injecting hydrogen for about 4 days to 5 days, gives us a lot of data and a lot of information which helps us move to the next level of scale. In India, we will keep exploring these options to reduce the carbon footprint of the blast furnace route. In addition, of course, as you know, we are also setting up a scrap-based recycling unit in Ludhiana, which will be more about recycling and no coal. But Europe, the transition, particularly Netherlands will be in this direction, more replacing the blast furnace.

Ritesh Shah, Investec

Sir, on Netherlands, I went through some research. Whatever we have indicated in past, it's contingent on government support. There is also a level of confidence that we will have some support from the government, unlike the UK. What gives us comfort? We understand it's one of the best furnaces on carbon intensity.

T. V. Narendran : CEO & MD - Tata Steel Limited

So, there are 2 – 3 things. One is, of course, the conversations from the government indicate that they will be supportive. But what is the extent of support, we haven't concluded yet. Secondly, our transition to hydrogen is also very important from the Dutch government's hydrogen ecosystem point of view, because we will have one of the biggest off-takes of hydrogen if we convert to a hydrogen-based usage. So, when the Dutch government is building infrastructure for hydrogen, we are a very important part of the plans. Thirdly, the Dutch asset also has always been free cash flow positive unlike the UK. So, the Dutch assets has its own ability to support a lot of the transition. Of course, we need support from the government. But the situation is not as dire as one would have seen in the UK, where the cash flows of the business, don't support the transition at all. Here the cash flows of the business can also support the transition.

Ritesh Shah, Investec

Sure. I just have one question quickly on P&L and one on balance sheet. This is for Koushik sir. You indicated NR increased by Rs. 1,700 /t on sequential basis. If we look at the blended number, if it was simple math, the increase comes at Rs. 4,500 /t. So how should we look at the gap of Rs. 4,500 /t versus Rs. 1,700 /t? This is on a per ton basis sequentially.

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Samita Shah: VP CFTRM – Tata Steel Limited

Yes. Well, Ritesh, I think if you look at income from operations, it's Rs. 3,500/t, but that's the entire income. But we are just talking about steel NR when we're talking about Rs. 1,700 /t.

Koushik Chatterjee: ED & CFO – Tata Steel Limited

The income is [inaudible] . Maybe we'll break it up between the NR and the other incomes.

Ritesh Shah, Investec

Sure. And sir, last question is what prompted impairments for UK right now? And how should we look at the next testing, what will prompt more impairments? We just checked the balance sheet; I think the exposure via loans and investments is upwards of Rs. 20,000 crores. So how should we look at this number going forward?

rd?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

In the year-end, as per the accounting standards, there is always a review of the investments across any company . But in our case, we do it either on a 6-month basis or a year-end basis, and that is based on the value-in-use assessment of that unit. And as Naren mentioned that as part of the business (the upstream and the midstream businesses) are coming towards end of life in some time, we have to moderate the future cash flows, earnings, and costs and so on. And that was the basis on which the investment , the PPE in U K, had been written off many years back to a very low number compared to its original number in 2016 or 2017.

So what remains is the investment in the standalone books of Tata Steel, and that investment has been calibrated down by about Rs. 1,100 crores in the standalone books. As we move forward, this will get tested again at either quarter end or 6 months end. The assumptions will not change much in quarter-to-quarter, but certainly, in a 6-month period, it will be reassessed, and that's the discussions which we have internally along with the auditors. And the outcome of that will have to come about. So, as I said, the PPE numbers are not something which is very significant. It is there, but it has been significantly impaired over the last 6 – 7 years. And we've done deep restructuring of the assets also. So, this is something that will continue to be assessed at every period end.

Operator

The next question is from Kirtan Mehta of BoB Capital

Kirtan Mehta, BoB Capital

Couple of questions from my side. Would you be able to clarify the investment numbers that we have in the books of India towards UK and Europe? Would it be possible to sort of give us that breakup as well?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

Well, you have to look at the balance sheet when it comes and see the investment numbers . Those investment numbers are largely reflecting Europe. I think that is how we give it. We don't give UK and Europe separately, because it is flowing from Tata Steel India into the overseas holding company, which essentially holds these 2 businesses apart from Canada.

Kirtan Mehta, BoB Capital

Right. And just one more thing . There has been a mention about the delay in ramp-up of cold mill at IJmuiden. Would you be able to clarify its capacity and potential contribution to the margin to the Netherlands plant once it comes up?

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T. V. Narendran : CEO & MD - Tata Steel Limited

It's an existing plant which had an upgrade, I think the capacity is about 1.6 million tons. And there were some problems post-upgrade. One of the subcontractors who was involved went bankrupt and so there had to be alternate measures taken etc. There were some complications because of which the ramp-up post the upgrade did not happen at the speed that we had wanted.

But now we are working very closely with the main contractor, and we are improving week-on-week. We had to announce force majeure because that mill was supplying to a lot of auto customers, so we gave them enough notice to plan alternatives. Now I think we are close to a stage where we will withdraw the force majeure because there's lot more stability. It was more a mix impact than a volume impact , because if you didn't produce cold rolled then you sold it as hot rolled. I think the impact, maybe Samita can clarify. I think it was £70 [inaudible] for the quarter or something like that.. .

Samita Shah: VP CFTRM – Tata Steel Limited

Yes. It was partly reflected in the last quarter and also partly this quarter.

T. V. Narendran : CEO & MD - Tata Steel Limited

Correct. Correct. So that's also part of the reasons why the numbers were not so great for the last 2 quarters, because the product mix was worse than what we would have normally done.

Kirtan Mehta, BoB Capital

Rig

ht, understood. One more question, if I may. In terms of the India business, we recently did around Rs. 16,000 /t on the standalone operations. When we want to look at this number in the sustainable context or more in terms of the average

margin over the cycle, how far we are from the cycle in the margin, and how should we think that margin would change as we commission the pellet plant as well as the cold roll mill there?

T. V. Narendran : CEO & MD - Tata Steel Limited

So normally, we look at a long -term margin of around Rs. 14,000 – 15,000/ t. When we plan long -term, we look at it because that's been our numbers, if you look at the worst quarters, not on a quarterly basis but on an annual basis . So it fluctuates. We've seen Rs. 30,000 , and we've seen Rs. 7,000. If you see last year, despite all the challenges, we are still in that range . I'm talking about standalone, not consolidated. So pretty much Rs. 15,000 is close to range , slightly higher than the range .

Kirtan Mehta, BoB Capital

Right. And would you be able to add colour on that how this sustainable range of Rs. 15,000 could change with the commissioning of the pellet plant as well as the cold roll mill?

T. V. Narendran : CEO & MD - Tata Steel Limited

Yes. So obviously the pellet plant and cold rolling mill is impacting - the cold rolling mill is 2 million tons of value -add in a 21 million tons mix, and the pellet plant is adding about 6 million tons of pellets. So, pellet plant cost advantage depends on the pellet price. If the iron ore price is higher, then the gap is significantly higher. But I would say, typically Rs. 800 crores to Rs. 1,000 crores a year is what you would get benefit of the pellet plant. And the cold rolling mill, again, normally, if you look at HR/CR gap on a long -term basis, you will look at \$100 /t. Just now it is lower than that. If the gap is lower, then the benefit is lower. But if you go on a \$100 /t basis, and plus I think the advantage you will have with this cold rolling mill is it will really be one of the most advanced cold rolling mills in the world. In terms of the kind of product mix, it helps

us get into the very high -end auto etc. So, it gives us a high -end of the margin range. Both of these will be value accretive and will help push the EBITDA beyond Rs. 15,000 on a like -to-like basis.

Operator

We would now like hand over the conference to Ms. Samita Shah for chat questions. Over to you ma'am.

Samita Shah: VP CFTRM – Tata Steel Limited

Thank you, Kinshuk . The first question is on the ramp -up of TSK Phase 2, which I think we have answered. So the other question on TSK Phase 2 is how much raw material integration will be there, especially for coking coal and iron ore for this 5 million tonne expansion?

T. V. Narendran : CEO & MD - Tata Steel Limited

As far as iron ore is concerned, all the iron ore that we need we will produce ourselves. We are fully integrated, and the expansion of the iron ore production continues. I think this year, we are around 36 – 38 million tonnes. And we are on track to expand as fast as the need of iron ore is concerned. The goal is not to buy any iron ore or pellets in the market. Coking coal, we are typically about 15% to 20% coverage, because we can't expand in coal as fast as we can do in iron ore. We are in the middle of an expansion in West Bokaro from the current level of about 6 million tonnes of raw coal to about 10 million tonnes. 6 million tonnes of raw coal means about 2.5 million tonnes of clean coal. So, taking it up to about 4 – 5 million tonnes of clean coal is what we are working on. But by this time, our steelmaking capacity would have also grown. So, 15% to 20% is the range at which we will be in for coal. Rest we are currently importing, and we'll continue to import.

Samita Shah: VP CFTRM – Tata Steel Limited

The next question was on coking coal consumption costs, which I think we have answered. There are a lot of questions

on Europe and TS UK. What is the rationale for the impairment right now? Can you quantify what is the value of investment on the books of Tata Steel? And what will be the volume at Europe after the restructuring that you've talked about? So, I think the restructuring is what we talked about downstream, but these are some of the questions.

Koushik Chatterjee: ED & CFO – Tata Steel Limited

So, I actually answered that question a little while back, when I mentioned that the impairment is part of the annual exercise as per the accounting standards to look at investments. And this has been done effectively in a manner where the future cash flows and the value -in-use is tested against the carrying value. And depending on how the business performs, there will be triggers for looking at this potentially every quarter, if not every 6 months .

Samita Shah: VP CFTRM – Tata Steel Limited

The next question is how much coking coal do you expect to import for Indian operations in FY 2024? And how much of that will be through quarterly contracts?

T. V. Narendran : CEO & MD - Tata Steel Limited

So, overall, we buy 15 million tonnes of coking coal, both for Europe and India. I would assume, India, if I were to look at -- must be about 10 – 12 million tons, sorry, 8 – 10 million tons. Yes, and how much would be quarterly contracts, Samita , can you check with Peeyush and ...

Samita Shah: VP CFTRM – Tata Steel Limited
Yes. So, it's largely quarterly, but we can come back

Koushik Chatterjee: ED & CFO – Tata Steel Limited
Index -based.

Samita Shah: VP CFTRM – Tata Steel Limited
There is a question around funding of UK. And I'll just club some of the questions together. Given the impairment, how much funding do you expect to provide TSUK in FY 2024? And how much will your debt increase on funding to U.K. and the Rs. 16,000 crores capex spend?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
As I mentioned earlier, the impairment doesn't trigger any funding. Impairment is a non-cash charge of your investment. There is no cash impact on that. I guided in the beginning that we are looking at starting the deleveraging process in or rather restarting the process in FY 2024. It will be done more in H2. We do target about \$1 billion to do that, which has been our long-term target. And we will look forward to taking as much as cash flows that we can towards deleveraging after we meet our cash flow requirements on capex etc. and the Rs. 16,000 crore capex is largely borne out of internal generation.

Samita Shah: VP CFTRM – Tata Steel Limited
Next question is, if we decide to close the UK business, what would be the one-time closure cost incl. the pension cost?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
So, the pension is not going to be a cost at all because that's been taken care of. The closure cost or the restructuring cost, I would say, because we would certainly look at the downstream business. But the upstream, we will have to assess that, and some assessment is being done, as we speak. But it all depends on how the conversations with the government and stakeholders happen, because that's a decision which will happen after consultation with all stakeholders.

Samita Shah: VP CFTRM – Tata Steel Limited
The next question is on Kalinganagar. Could you share the total capex spent so far and the remaining capex? I think you answered this, but maybe the remaining.

Koushik Chatterjee: ED & CFO – Tata Steel Limited
Yes. I think we said Rs. 17,000 crores has been spent. This year, we will be spending about Rs. 6,500 - 7,000 crores. And thereafter, the numbers will be much smaller, maybe about another Rs. 3,000 crores - 4,000 crores.

Samita Shah: VP CFTRM – Tata Steel Limited
The next question is on NINL expansion.
ion. Could you share the timeline on the finalisation of the 5 million tons NINL expansion after completion of DFR and getting Board approval?

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T. V. Narendran : CEO & MD - Tata Steel Limited
Basically, our focus just now is on ramping it up. Now that we've ramped up, hopefully, in the second half of the year, we're already doing the work on what should be the configuration, what are the assets. And during this financial year, we will go back to the Tata Steel Board with our proposal for the next expansion, so that we can get started on that soon.

Samita Shah: VP CFTRM – Tata Steel Limited
Okay. The next question is on the working capital and the debt reduction. It says inventory is still high. Given that coking coal prices have cooled off, how much working capital unlocking is possible in H1? And does the \$1 billion debt reduction guidance assume this working capital release?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
Yes, of course. I think the \$1 billion debt reduction takes all sources of capital, which is working capital release, earnings and running the business across all geographies more tightly. So, I think it is a confirmation that the working capital release will contribute to the debt reduction.

Samita Shah: VP CFTRM – Tata Steel Limited
The next question is on the interest cost. What has helped Tata Steel maintain interest cost in a reasonable range despite the sharp increase in benchmark rates and despite an increase in your gross debt?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
One of the things that we have done is using the long-term, short-term arbitrage through the year, which ensured that in spite of the increase in the benchmark rates, we have been able to hold on to it. In the previous years, the significant

deleveraging has been one of the key aspects of ensuring that our interest rates are within control. And now with further deleveraging targeted during this year and for the years ahead, I think we will ensure that the interest rates are within the control. Our interest coverage is at a healthy 5.2x.

Samita Shah: VP CFTRM – Tata Steel Limited

The next question is on green hydrogen project. What are the economics and timelines of the pilot injection which you've done in India. What is the timeline for hydrogen based DRI at TSN? By when do you expect to do this?

T. V. Narendran : CEO & MD - Tata Steel Limited

So as far as the India experiment is concerned, it is still early stages. Smaller blast furnace, some injection, we will study it, keep scaling it up. But there is a limit to how much hydrogen you can put into a blast furnace. I think whoever is working on it is trying to see how much of the PCI that we inject can be substituted with hydrogen. And we see that when we inject hydrogen, there is obviously a net benefit. You can bring down the coke rates by about 10% - 15%. Obviously, the cost of that hydrogen, the hydrogen that we injected, for instance, in the blast furnace today in Jamshedpur has cost us about \$12/kg. But if you bring it to maybe around even \$4 - \$5, you'll have significant advantage. Of course, if you're looking at using hydrogen and scale as a reductant to reduce DRI, then you're looking at hydrogen to be made available at around \$2/kg or less. And obviously, all this must be green hydrogen if it has to make sense.

In Netherlands, there is a plan which has been submitted to the government. We are in conversation with the government. And our plan as proposed to the government was to shut down one of the blast furnaces over the next year, convert it into

gas based DRI. So that by 2030, you have one blast furnace down and a gas-based or hydrogen-based DRI line. And by 2035, you have the other blast furnace down, so that you become a completely gas or hydrogen based DRI production unit. So, that's the timeline. But

once our conversation with the government moves to the next level, we will be able to give more definite timelines.

Samita Shah: VP CFTRM – Tata Steel Limited

There's another question on hydrogen, so I'll just take it right now. It says with regards to the trial of the hydrogen injection at Jamshedpur plant, by when does it look feasible to use hydrogen more widely for Indian operations? And has there been any government support to procure hydrogen at a cheaper cost?

T. V. Narendran : CEO & MD - Tata Steel Limited

The answer for the second question is no. But yes, I think this was a big step. Like we said, nobody else has injected too much hydrogen into a blast furnace, we did it over 4 – 5 days. So that itself is first in the world kind of thing. Some others have done it by mixing it with coke oven gas and injecting it, whereas we injected hydrogen itself into the blast furnace. This is giving us more data. Typically, in process industry when you try out something new, you take it up step-by-step, because you want to see the implications of any change that you make in the process, particularly in terms of the energy balance and the constituents of what was inside a blast furnace. So, we'll do it gradually. But I think it's a big development, and let's see how fast we can accelerate it.

Samita Shah: VP CFTRM – Tata Steel Limited

There's a question on the merger of the subsidiaries. When do we expect the merger of Tata Steel Long Products to be completed? And can we expect any tax benefits from the merger?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

So, the merger process is underway with the NCLT hearings, and the first motions started. It will happen progressively for each of the companies. And the purpose of the merger is to drive synergies on all fronts. So we'll see what are the things that we can draw. Certainly, there are multiple synergies in business case, which is why we are proceeding with the merger.

Samita Shah: VP CFTRM – Tata Steel Limited

There's a question on NINL, on the iron ore mines, what is the status? Are these mines running?

T. V. Narendran : CEO & MD - Tata Steel Limited

Yes, the mines are running and are feeding the Neelachal plant. I think we are running the mines at an annualized rate of 1.5 million tons. Again, as the rest of the plant, it has gone as per plan.

Samita Shah: VP CFTRM – Tata Steel Limited

One more question on India. This is on the capex spend and the CWIP on the balance sheet. If Rs. 17,500 crores have been spent on KPO till date, the CWIP is about Rs. 30,000 crores. So, what accounts for the balance Rs. 12,500 crores of CWIP as on 31st March 2023?

There are several other projects, including KPO, there are projects relating to the iron ore mines, the infrastructure around it, the augmentation of various capacities. So, it is a large part of those CWIPs there, plus, there are significant amount of sustenance capex, which is an ongoing scheme over 5 years in each of the facilities now, be it Jamshedpur or in Kalinganagar or Meramandali and so on. So, the CWIP is, in a steel plant if you do a tracking, which has been growing, there are multiple projects that continue to grow both from a sustenance improvement perspective as well as from a capacity growth perspective.

Samita Shah: VP CFTRM – Tata Steel Limited

Then there are questions around steel demand internationally, especially given what is happening in China. So I'll just club a couple of questions. Are we seeing any production cuts in China as their demand has not picked up as expected? And what is your view on international steel markets this year? Do you see steel prices and demand subdued this year because of slowing economic growth and higher interest rates across the globe?

T. V. Narendran : CEO & MD - Tata Steel

Limited

I think on the first one, what I read was that China Iron and Steel Association (CISA) did a call actually in early May or end April to ask producers to tone down because they were concerned that if steel prices drop and everyone goes back into zero margin, then the business is not sustainable. So, I think there's already pressure on the Chinese steel producers to cut production to more reflect domestic demand. And I think while exports should go to 8 million tons, if they continue to export at that level, I'm sure there'll be trade actions which will also follow. I think that is the comment on the Chinese steel side. In terms of globally, yes, on the demand side, a lot depends on what happens in China. India continues to see strong growth in demand. Europe, we expect things to slowly get better as energy cost goes up and helps the user industry. And we also expect that the transition to other energy sources beyond Russia or transition to greener sources also will spur some investments. In the US, [inaudible] there's a lot of investments happening. So, we do see that as a positive impact.

Yes, rising interest rates typically are not good for steel demand. But I think some of the actions that I described suggest that we will have a better year. When I say better year, we saw so much volatility last year, it depends on which quarter you compare to. One data point I want to share is that steel trade as a percentage of total steel production has been dropping over the years. So that is also positive, because that means it is likely to be less disruptive. I think it has come down from about 40% of steel production to about 30% of steel production now over the last 10 years. And this is largely to do with Chinese exports being more moderated and a lot more of regionalisation of supply chains and value chains.

Samita Shah: VP CFTRM – Tata Steel Limited

Multiple questions on the steel market in India. Firstly, I think we've said there will be slightly lower volumes in 1Q. Are there any shutdowns? How do you see demand shaping up in the domestic market, specifically which sectors are you seeing growth? And thirdly, is there an impact of pre-election spend expected on steel demand?

T. V. Narendran : CEO & MD - Tata Steel Limited

So, yes, 1Q every year normally has a lot of shutdowns. That's normally the time when we plan a lot of our shutdowns. We did have a lot of shutdowns in multiple sites, nothing as big as the one we are having in Netherlands, but few days here and there. So that's why the volumes of 1Q, as I said, is about I think 400,000 tons less than for 4Q. That is one. In terms of demand, we still see auto is quite strong, commercial vehicles, passenger vehicles are strong. Motorbikes are not back to where it was in 2019 but improving QoQ. Export markets have been a little bit more subdued for two-wheelers.

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Tractors have been strong. If I look at construction, industrial construction is strong, the pre-engineered building customers have 4 months, 5 months, 6 months order books. Infrastructure is strong, of course, and that's an area where I expect some acceleration before the election, so that the government can complete both at the Central and State level. Many of the projects will have a positive impact on the public. If I look at residential, it's a bit of a mixed bag. And if I look at commercial, I think it was strong, but, of course, one needs to see the impact of tech on the overall commercial space. But generally, the sense we get is all shopping malls and those kinds of commercial spaces are quite strong. So overall, Indian demand is quite strong. I think the only part of Indian demand, which is a bit fragile is Indian customers, Indian producers who are dependent on export markets. I'm talking about Indian customers of steel, who may be exporting their products to the global markets. That

it's the only area where the slowdown across the world may have a larger impact. Yes, I think I've covered it.

Samita Shah: VP CFTRM – Tata Steel Limited

Yes. Yes. And the third question was if there is any pre-election impact on steel demand?

T. V. Narendran : CEO & MD - Tata Steel Limited

Yes. So, there I said, I believe in the infrastructure side, yes, there's more and more acceleration, there is more and more push to complete projects. So that will certainly happen. So that's right. If you talk to some of our bigger customers, they're full up in orders, construction companies.

Samita Shah: VP CFTRM – Tata Steel Limited

Some questions again on Europe. So, Koushik, maybe you could sort of talk about it a little more, again, in terms of the impairment, what is the expectation for the future? How much more do we expect? Are there any triggers? Also, a question in terms of what is the PPE? So, a lot of questions around the impact likely and the Europe exposure.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

It's like looking into the future, but I would try to articulate that if and when a decision after consultation with all stakeholders going through the due process, we do come to a conclusion on the assets, at that point of time, it will certainly trigger a full review of the value-in-use of the business because only the downstream will remain, whereas the upstream will not be there. And therefore, the cash-generating unit will certainly have an impact of how much will be the impairment. It is likely to be more in the standalone because that's the investment carrying value.

As I mentioned a little while back that the consolidated impairment has been taken some years back on the PPE, as well as through the losses that have been over the years. So, the consolidated impact will be lower, the standalone impact will be higher. And that's when the investment review will reflect on the numbers. These numbers are very hard to predict and talk about because of the fact that at the time when the impairment actually happens, that's the time when you do the full assessment of the numbers. As I said that we carry the overseas holding in the books of Tata Steel as in the investment numbers and that largely reflects IJmuiden and UK. In that a large part of it is IJmuiden in Netherlands and some part of it in the UK. Maybe taking a guess, it would be in the region of 65:35 kind of ratio.

But the other thing which I would like to say is any impairment whenever triggered is a non-cash charge and therefore, it will not have any cash impact. Other than any cost that is taken or undertaken for closure and that's when Pinakin asked whether this is in hundreds of millions or is in many billions, I said it is in millions. And I think you should take comfort from 22

that. And if that were to happen, then the residual business, the target will certainly be to ensure that it works on a cash-free basis.

Samita Shah: VP CFTRM – Tata Steel Limited

Okay. I think we have time for maybe one audio question, which we will take it before we end the call. Over to you, Kinshuk

Operator

Thank you, ma'am. The next question is from Ashish Jain of Macquarie

Ashish Jain, Macquarie

So, Koushik, I've just 2 quick questions. Firstly, you made a point that in the second half, UK had a £100 million to £150 million cash loss. How are you funding those losses today?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

It was not a cash loss, it was a cash [inaudible], it was not a loss by itself. So just now it is being funded through the working capital route mostly because there are more securitisation and more working capital arrangements, which provides the cash flow. It's like a revolving credit, which is what funds them and we stand behind them.

Ashish Jain, Macquarie

But if I can just delve into this stand behind them

thing a bit more means, in worst case, this will devolve on Tata Steel India? Is that the way to think about it?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Worst cases, it will devolve on India. One point I just want to mention, there is nothing called European balance sheet, Netherlands balance sheet, India balance sheet, Tinplate balance sheet. There is only one balance sheet, which is Tata Steel balance sheet. So, whatever is reflected in the consolidated debt of Tata Steel is for Tata Steel to service. It depends on wherever it is in the world. So, I think this must be clear. That's why I was answering that letter of comfort, it is a conscious decision to carry on till we have an orderly decision. Similarly, the amount that is in the Netherlands balance sheet of €600 million, it is reflected in the total cash. So, it is one balance sheet and one cash flow that drives Tata Steel. We don't run the business as individual parts. We run it as one balance sheet. And if there are any parts which are challenging, we deal with it. If it is something strategic to be taken, we deal with it or investment to be done, we deal with it. I think we need to be very clear that it is one balance sheet and anything that is reflected in that balance sheet, Tata Steel is responsible for it.

Ashish Jain, Macquarie

Right. Right. And just one clarification on Kalinganagar, did we say we are expecting production sometime in April 2024?

T. V. Narendran : CEO & MD - Tata Steel Limited

We said the new blast furnace, I mean there are different facilities coming up. The blast furnace is expected to come in the next 12 months.

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Operator

Thank you very much. That was the last question for today. I would now like to hand the conference back to Ms. Samita Shah for closing comments. Over to you, ma'am.

Samita Shah: VP CFTRM – Tata Steel Limited

Thank you, Kinshuk. Thank you everybody for dialling in. I hope a lot of your questions were answered and found that useful. Look forward to connecting again at the next call. Thank you, and good day.

T. V. Narendran : CEO & MD - Tata Steel Limited

Thank you

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Thank you

Call: Jul 2023

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PRESENTATION

Operator:

Ladies and gentlemen, good day, and welcome to the Tata Steel analyst call. Please note that this meeting is being recorded. All the attendees, audio and video has been disabled from the backend and will be enabled subsequently. I would now like to hand the conference over to Ms. Samita Shah. Thank you and over to you, Ma'am.

Samita Shah: VP CFTRM – Tata Steel Limited

Thank you, Kinshuk. Good morning and good afternoon to all our viewers joining us today. Welcome to this call to discuss our results for the first quarter ending 30th June 2023. I am joined by our CEO and MD, Mr. T.V. Narendran; and our ED and CFO, Mr. Koushik Chatterjee. They will share their thoughts on the results and answer any questions you may have. Before I hand it to them, I will remind you that the entire conversation today is governed by the safe harbour clause, which is on Page 2 of the presentation, which is uploaded on our website. Thank you, and over to you, Naren.

T. V. Narendran : CEO & MD - Tata Steel Limited

I'll start with a few comments and then hand over to Koushik. The economic slowdown in key regions has obviously weighed on global commodity prices and steel in general. US and EU continue to face inflationary pressures and a tight monetary policy, while the Chinese recovery has been more muted than expected. One of the outcomes of this is higher steel exports from China, which has led to a moderation of global steel prices between May - June 2023. In fact, China was exporting about 8 million tons a month, which it had last done in 2016. While key steelmaking inputs – coking coal and iron ore prices did move lower, the steel spot spreads peaked in May before moderating for the rest of the quarter.

In India, the economic activity continued to improve, and the apparent steel consumption was up 10% YoY for the quarter. Despite good domestic demand, steel spot prices declined in line with international prices and sentiments in the market. Hot rolled coil prices dropped by about Rs. 4,000 per ton during the quarter in India. Moving to our performance, our crude steel production in India was around 5 million tons. Production was up 2% YoY but marginally lower on QoQ basis because of planned maintenance shutdowns. And India production now stands at about 70% of the overall portfolio and will continue to rise in the coming years. India deliveries grew 18% YoY, primarily driven by the rise in domestic deliveries to chosen

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segments such as automotive and retail. And our well-established brands like Tata Tiscon and Tata Steelium had best-ever first quarter sales. Our net realizations improved by almost Rs. 1,000 per ton QoQ despite the market movement, primarily driven by contract sales and product mix.

Moving to Europe, our steel deliveries were around 2 million tons in the first quarter. Revenue per ton was up about £33 per ton on a QoQ basis. As we had explained in the past, our contract and product mix ensure that our net realizations are different from the benchmark, which is Northwest Europe HRD spot, with a one quarter lag. In the previous quarter, the drop in NRs was 50% lower than the decline in the benchmark; and consequently, the improvement in this quarter was also correspondingly lower. Overall, the high revenue per ton was offset by elevated input costs, including energy and the ongoing relining of one of

of the blast furnaces in Netherlands. We had guided last quarter as well, that the blast furnace would be down for relining. That will obviously impact 1Q and 2Q for us.

In terms of growth, multiple projects are underway across India, and we remain focused on leveraging the expected pan-India growth across steel end-use segments. For instance, we have leading market share in Auto. And the 5 MTPA expansion at Kalinganagar will aid in consolidating our leadership position in auto and grow our presence in value-added segments such as oil and gas, solar, etc. Similarly, Neelachal and the upcoming electric arc furnace in Punjab will drive our retail presence. And in terms of reach, we have more than 200 distributors now and over 20,000 dealers. We'll continue to expand our virtual presence with the e-commerce platforms like Aashiyana where our sales in the last 12 months have crossed Rs. 1,600 crores. We are also looking to grow in downstream portfolio across wires, tubes, ductile iron pipes, and

tinplate, where we have a dominant market share. And in tubes, we have recently commissioned, along with our partners, 2 new mills, which will increase the capacity in tubes from 1 million tons to about 1.3 million tons.

Our investments are strategically focused on business sustainability and growth. Tata Steel is committed to being Net Zero by 2045; and multiple initiatives are already underway, calibrated to each operating location. In the Netherlands, we are pursuing Roadmap+ for the last few years to bring about significant reduction in emissions, dust, odor, and noise. We are also engaged in discussions with our technology providers and the government as we make choices on the process route and the technology and transition to green steel as we have promised to do over the next few years. In India, we've undertaken various trials, including injecting hydrogen in the blast furnace to reduce emissions; and have also initiated measures to replace around 379 MW of coal-based power with renewable energy.

Looking ahead, in India, the domestic demand remains supported by government spending and improving consumption across end-use segments. However, the drop in international prices and seasonality have dampened prices. We expect a drop in realizations of around Rs. 3,100 per ton in 2Q compared to 1Q, but we will, of course, benefit from the drop in coking coal consumption by about \$57 per ton on QoQ basis. In Europe, our net realizations are expected to drop by about £38 per ton. Coking coal consumption is expected to improve by about \$46 per ton QoQ. The ongoing relining, as I've mentioned earlier, of one of the blast furnaces is taking time and will obviously continue to impact costs in the second quarter as it did in the first quarter. Separately, the upgradation of the cold rolling mill, where we had some issues post upgradation, is now getting resolved; and we should be back to normal production there as well. Thank you. And over to Koushik.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Thank you, Naren. Good morning, good afternoon, and good evening to all those who have joined in. I will begin with the quarterly performance provided on Slide 23. Our consolidated revenue stood at about Rs. 59,490 crores with improvement in realizations across geographies despite the uncertain operating environment and moderation in global steel prices. Our

consolidated EBITDA stood at about Rs. 6,122 crores, which translates to a consolidated margin of 10%. At the Tata Steel standalone level, the EBITDA stood at Rs. 7,348 crores, which translates to an EBITDA per ton of Rs. 15,895. Excluding the forex impact, the EBITDA was slightly higher at about Rs. 7,403 crores. As provided on Slide 28, there was drop in EBITDA on absolute basis primarily due to lower volumes compared to the previous quarter, as the fourth quarter is typically a seasonal

stronger quarter. Within costs, material costs were down, but this was partly offset by higher conversion costs on account of royalty related expenses which increase normally with a lag. The royalty increased by about Rs. 353 crores to about Rs. 1,315 crores due to higher notified IBM prices. Overall, the EBITDA margin was stable at about 23% QoQ. Further improved profitability was witnessed in the Neelachal operations, which turned EBITDA positive within 9 months of the acquisition.

At Tata Steel Europe, EBITDA loss stood at about £153 million; and on a per ton basis was broadly similar to the fourth quarter and in line with the guidance that we gave. As shown in Slide 30, the steel production was lower QoQ given the relining of one of the blast furnaces in Netherlands, but deliveries were close to 2 million tons, as we began to consume the build-up stocks. Improvements in revenue per ton were broadly offset by elevated costs, including energy. As previously explained, we have hedges in place, and the drop in spot natural gas prices will take a quarter to reflect in the P&L.

Other income has increased by about Rs. 1,000 crores QoQ, primarily driven by the increase in standalone accounts. We have signed a lease agreement with Tata Steel BlueScope Limited, which is a 50 - 50 joint venture with BlueScope Australia for the coated lines at Meramandali and Khopoli. And this led to the reclassification of these assets, and accordingly it is reflected in the accounts. Consolidated PAT considers a gain of about Rs.338 crores, which is net of tax, on account of this transaction.

Let me speak a few words about the taxes, which stood at about Rs. 1,331 crores. The current tax was about Rs. 1,027 crores and was broadly in line with the tax and profitability of the India operations. The deferred tax was about Rs. 303 crores on a net basis and is a combination of movement at various entities. We have completed the buy-in of the remaining liabilities, and with this, the British Steel Pension Scheme (BSPS) has been successfully derisked. Like previous instances, this has led to a non-cash deferred tax of about Rs. 1,200 crores. However, this has been partly offset by other non-cash deferred tax credits at other facilities such as Europe. I would like to mention that there is a residual asset surplus relating to BSPS in the books of about £200 million. As we get the execution completed with Legal & General, this will also be reflected as a non-cash deferred tax charge in the future.

The volatility in the steel markets has also impacted working capital and cash flows. There has been a build-up of around Rs. 2,500 crores in this quarter. However, this was more due to the price effect, as our working capital number of days remained stable at around 34 days compared to about 37 days in fourth quarter. Moreover, in the last 12 months, we have released about Rs. 9,200 crores through the various working capital measures that we have taken as a management.

We continue to commit to growth in India, as Naren mentioned, and spent about Rs. 4,089 crores on capital expenditure during the quarter. We have been steadily prioritizing growth in India, and our overall capex spend has been about Rs. 15,500 crores in the last 12 months. This will obviously lead to a consolidation of our market position. At Kalinganagar, the

5 MTPA expansion plan will drive volumes as well as positively impact our fixed costs coverage. We continue to prioritise Kalinganagar growth and have spent close to about Rs. 18,900 crores till date. Apart from that, we have started commissioning the 2.2 MTPA cold rolling mill in phases. The full hard cold rolled coil is already being produced. The CAL and the galvanising lines will be commissioned subsequently. Furthermore, the savings in operational efficiency on account of the 6 MTPA pellet plant has started to begin reflecting in our performance.

In Jamshedpur, the ongoing relining of the BF6

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is being financed by internal accruals of TSN operations. The upgradation of the cold mill (CM21) is close to completion. While the relining of BF6 will weigh on performance in the next quarter, there will also be product mix improvement on account of the cold mill upgrade. Neelachal has ramped up as well and is now close to operating capacity at the rated capacity of about 0.9 million tons. The coke plant will be commissioned in this quarter and is expected to drive cost efficiencies in the future. Overall, the working capital and cash flows on account of higher capex, have led to an increase in the net debt of about Rs. 3,600 crores on QoQ basis, which is now about Rs. 71,397 crores. Our finance costs are broadly stable on a QoQ basis. Net debt to EBITDA is about 2.9x, and Net debt to equity is 0.69x. The group liquidity remained strong at about Rs. 30,500 crores, including Rs. 19,000 crores of cash and cash equivalent.

As stated, we are keen to prioritise growth in India and are recalibrating our deleveraging targets accordingly given where the market conditions are. We are now looking to continue to deleverage. That will remain the priority over the next couple of years but focus on growth continues to take higher and higher priority. Sustainability is the core of our strategy, which includes providing comprehensive disclosures. We published our first Business Responsibility and Sustainability Report, which you would have read, covering about 14 entities that make up about 98% of our revenues. We have also published the climate change report, aligned with the recommendations of the TCFD, in the integrated report of FY23.

Finally moving to the UK, we are in regular and intense conversations with the government, who have also indicated their willingness to secure a decarbonised and competitive future for the UK steel industry. Tata Steel has clearly articulated that the solutions have to be implemented quickly, has to be financeable in an effective manner, and will require transition out of some of the end-of-life assets. So, this is broadly where we are, as far as our performance and the future of Tata Steel is concerned. Thank you, and over to the floor for Q&A. Thank you.

QUESTIONS AND ANSWERS

Operator

The first question is from Sumangal Nevatia of Kotak Securities.

Sumangal Nevatia, Kotak Securities:

My first question is on the Europe division. If you could just share what is our outlook on returning back to breakeven and [inaudible] positive at the EBITDA level over the next few quarters. And overall, are we seeing light at the end of the tunnel? We have been incurring almost \$800 million annualised loss at the EBITDA level over the last 3 quarters. What are our targets and views for next 1 to 2 years? And do we have any stiff targets, as far as return on capital employed is concerned, under which we will decide to take some tough decisions as far as that business division is concerned?

T. V. Narendran : CEO & MD - Tata Steel Limited

Yes. So, I'll give you some inputs and then Koushik can supplement. If you look at the last 3 quarters, 3Q of last year was when the highest energy prices and the lowest demand was witnessed, as the conflict in the UK panned out. While we did have some hedges to protect us for some quarters – this was where we had a challenge – particularly in Netherlands. UK is separate. And if I look at Netherlands, it has always been an EBITDA -positive, cash -positive business which had not required support from India, but the last 2 quarters have been different for these reasons: One is we were hit by these input costs going up very significantly, thanks to the conflict. And secondly, as we guided in the last quarter, there's a blast furnace relining which meant, out of the 2 blast furnaces, 1 blast furnace was shut down for 6

months. That means 1Q and

2Q of this year, so you're seeing the impact of that. We did stock up on slabs. That is why the sales drop has not been as

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much as the production drop, but those fixed costs which we have for a 7 million ton production is now distributed over a much lower production, which is reflecting in core numbers.

UK is a bit more reflective of softer steel prices. And often times when we have softer steel prices, we do have a challenge in UK. As Koushik said, in UK there is a conversation going on with the government to find a long-term solution, which we hope will come to a conclusion in the next few months. And in Netherlands, also apart from the blast furnace starting up in the second half of the year and going back to normal production levels, there is a transition plan being made, so as far as the operating performance is concerned, Netherlands should come back to normal levels, which is typically cash positive and EBITDA positive. We should come back to those levels in the second half of the year, but UK, yes, has some structural challenges which we are trying to deal with. Koushik, do you want to supplement on what I said?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Let me just try to articulate the 2 parts. I think, the next quarter will have, as Naren guided, pressure on prices. In Netherlands, our relining will get completed more around the end of next quarter, the early part of the third quarter. And

from third quarter, onwards, I think Netherlands will certainly come back to its normal operating levels. Maybe, the second half of the third quarter, onwards, it will certainly come back to its operating level. We expect that Netherlands will continue to be strong in the context of the market that exists there. And it has, historically, if I look at last decade of numbers, it has always, as Naren mentioned, been a PAT -positive and a cash -positive business, so we expect to do that. We are also taking a lot of efforts in terms of structurally improving that. And that is going to have a cost impact or cost takeout impact, but it will not happen in this year [inaudible]. We will have to become ready for the decarbonisation in Netherlands. That's the reason the cost structure will start getting aligned to the decarbonised position, which will happen in a few years' time.

In the U K, we would certainly see in the next couple of quarters a similar kind of performance. As I mentioned and as Naren mentioned, we will enter a decisive position sometime in H2 of the year. And we will have to take calls, and which is under consideration, and we will have to come to a different operating structure and operating model. But that would not happen before March 2024. The process will take time and that is what we will be looking at in the long term. In the next 2 - 3 years, we will certainly look at a different operating model. Depending on the conversations with the government, we will then have to look at reconfigured hardware in the UK and see where it goes. I am sure that we will have the time and opportunity to talk more in detail as we go along in the second half of the year. And like you, we are extremely mindful of the EBITDA losses and performance losses that happened in the European portfolio, but I can also assure you that we are working towards a structurally more robust operating configuration in both UK and in the Netherlands.

Sumangal Nevatia, Kotak Securities:

That's very reassuring. My second question is on the capacity expansion. One is on KPO -2 blast furnace. We are nearing the commissioning maybe sometime towards the end of the year, so now since we are not many quarters away. Is it possible to give some specific timeline, as far as which quarter we can see commercial production to start from KPO -2? Number two, we've put a very impressive and informative Slide 11 in our deck, as far as 2030 expansion

timelines and

potential of reaching 40 million tons. The important element here is the iron ore because, by 2030, what I understand, all iron ore mines will be put on auction. We might not be able to retain all of them, so what's our strategy on iron ore given that we are now articulating our 2030 target, as far as steel capacity is concerned?

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T. V. Narendran : CEO & MD - Tata Steel Limited

Yes. So as far as Kalinganagar is concerned, the cold rolling mill and pellet plant have already started working. The galvanising lines, annealing lines will get commissioned over the next few quarters. The blast furnace is expected to come on by February -March. That's the current timeline. Blast furnaces, as you know, ramp up quite fast, so if we have a good ramp -up, you should start seeing the volume impact clearly next year, which is the next financial year. The steel melt shop, we should be adding another stream, another caster, so that should add about 0.5 million tons straight away. We will get some benefit of that this year. That should start by October or November, but the full benefit will come once the blast furnace comes and the complete steel melt shop expansion is done. So, I think FY25 is when you will start seeing the volume impact. I think we'll give you more specific guidance closer to that, but you will start seeing the volume impact. The cost impact is already being felt because, with the pellet plant commissioned, we have stopped buying pellets. We used to buy a lot of pellets. We have also started shipping pellets to Meramandali from Kalinganagar, so our cost impact is already being felt. Cold rolling mill will again help us with margins if not with volume, because you're converting hot rolled into more value -added products, but the additional volume will start coming from second half of the year in terms of the steel melt shop. And that's why, in the beginning of the year, we had guided a 1.5 million ton increase in volume this year compared to last year. And some of it was coming from Kalinganagar, and some of it from Neelachal.

As far as our 2030 plans are concerned, all our existing mines, as in the mines which we have had for a long time, will come up for auction in 2030. As per the law, we have a right of first refusal. In any case, we will participate in the auctions, so we can always bid for it and bid to win if we want to. So that is one option. Secondly, we participated in an auction. We've got a mine already, the Gandhalpada mine. In addition to that, one of the reasons we bid for Neelachal is that it has about 110 million tons of iron ore. With Bhushan, we got another 100 million tons. The Gandhalpada mine is about 350 million tons. And with the Usha Martin steel business acquisition, we got about 25 million tons. So, we already have about 500 million tons of iron ore with us, which is with us for the next 30 - 40 years. Obviously, that is not sufficient for the kind of volumes at which we will be operating, so we will continue to bid for more iron ore mines between now and 2030. We have the option to bid for the mines which will expire in 2030. So, the objective is, of course, to make sure that we are secured on iron ore and obviously manage the weighted average cost of our iron ore. There may be some mines where we may have to bid more.

Operator

The next question from Satyadeep Jain of Ambit Capital.

Satyadeep Jain, Ambit

The blast furnace relining will be complete in another quarter or so and the energy hedges roll off. Given where the spreads are, and given all these tailwinds from rolling -off of energy hedges and completion of blast furnace relining, could we possibly look at breakeven EBITDA for the entire European entity by the end of third quarter? And tied to that would be in

the annual report there was a target of \$1 billion for debt reduction and working capital reduction. We have seen working capital increase and debt increase in this quarter, but would management maintain that target for the entire FY24?

T. V. Narendran : CEO & MD - Tata Steel Limited

We certainly expect the Netherlands business to be positive EBITDA in the second half. Plan for the year is for it to be EBITDA positive for the whole year. If you look at the current spreads, they are in the range of €260 - 270 per ton, which is better than normally you look at €225 - 240 per ton. The reason those spreads in the last year became less relevant is when you look at spreads, you don't look at the electricity prices and gas prices. Spread was looked at only iron ore, coal,

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and steel prices. Because electricity and gas prices were typically about €30 - 40 per ton, it was not as material as iron ore and coal. But over the last year, that went to €120 levels. Now it is settling back at €70 - 90 per ton levels and as it comes back, spreads at €270 per ton will also be very comfortable. In the second half of the year, you will see the lower energy prices coming back to more normal levels. We will also see the production back to normal levels, which will make sure that our costs are back to normal. So that's why Netherlands is very clearly back on track in the second half of the year, but I think UK is where we have a challenge. We are still looking at the numbers for 2H. And at this point in time, I think we will wait for the 2Q call to give you a guidance for 2H on UK.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

For the full year, certainly Netherlands will be in positive EBITDA; and that's what we are going to be working on. It will start certainly from the third quarter. And then we will look at fourth quarter as it comes, but full year, our target is certainly to be that. In the UK, there will be pressures on this as it is continuing at this point of time. On an underlying basis, for the combined European entity, we will certainly focus towards being breakeven. On a reported basis, if we move on to taking structural actions in both Netherlands and in UK in particular, there would be a structural cost takeout that will get reflected in the reported numbers in the second half. In the second half, on underlying, we will continue to focus on the breakeven and including moving towards a positive zone. But on the reported side, if we have to take structural actions, especially on the UK, some of these actions will have cost implications which will get reflected in the second half results.

On your question on the debt. I think, sometime back when we had an Investor Day, we essentially said, and I think I can remember I was criticised for saying that, why is your Net debt to EBITDA target so high. Because you would be swimming in money. But I think we have taken the right call to say that it will be between 2x and 2.5x. That Net debt to EBITDA goal will continue to be there. It is not something that we have on a QoQ basis, but certainly on a YoY basis, we will try to adhere to those levels including with the higher capital allocation. But if there are extraordinary costs that comes in because of events such as the blast furnace relining in Europe, those kinds of things do have to be absorbed to ensure sustainability of the business. Such things distort it for a while but does not take our eye off the ball, as far as deleveraging is concerned. We will continue to be in that zone. Maybe, when we are allocating peak capex, which can get breached for a while but again come back because that capex is meant for good purpose and increase our EBITDA in due course of time. I would stick to that parameter and ensure that our deleveraging is also a same priority as we grow on our capex, but in India, we are seeing a multitude of pipeline of growth, be it in Kalinganagar at this point of time or the EAF in Ludhiana. The pipeline

is really strong, so therefore we are really looking at it. While deleveraging and keeping the balance sheet at investment grade is a big priority for us, I think we will try to balance between that as well as keeping the growth engine on in a substantial manner. So, I think what you need to track, which is the 2.5x Net debt to EBITDA, which in this quarter is at 2.9x. By the end of the year, we will certainly want to bring it back to that 2.5x level.

Satyadeep Jain, Ambit

Second question, on the European decarbonisation. In the presentation, it is mentioned the blast furnace 1 will be transitioned by FY30, so can you remind us? When is the relining due for the other BF in Netherlands? How long would it take for that to complete? And the capex for that transition. Regarding, carbon border adjustment tax, that there is talk in India of a voluntary carbon pricing. If companies want to take that lower price and use that to ship products to Europe, how would European steel companies generate ROCE on the decarbonisation capex?

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T. V. Narendran : CEO & MD - Tata Steel Limited

So firstly, in Netherlands, basically one blast furnace, which is called the BF6, is being relined. The bigger blast furnace, BF7, which produces 3.5 million tons, is up for relining maybe in 2026 - 27. The plan is what we have already said when we did the BF6 relining, this is the last relining that we are doing; because we want to transition away from blast furnaces, into DRI-based production with an electric arc furnace to support it and later maybe a reducing electric furnace (REF). So those discussions are going on internally on phasing the right technology based on the technology maturity and the product mix and other conditions, so that work is pretty advanced. And a lot of work has been done already. Already, the engineering work has been done on some of these options. We are having very detailed conversations with the Netherlands government. So, in Netherlands, the advantage we have is a lot of this transition can be supported by the cash flows that we generate out of Netherlands, so we are looking at how can we find that optimal balance between the cash flows that we generate, the support that we get from the government and any project financing that we may take for

that project. So that work is going on, but it is something that we expect to be self-sufficient and taking care of itself. As far as what you asked. See basically the carbon border adjustment mechanism is linked to the tax, carbon tax, that we pay in Europe based on the carbon footprint that we have, so if you look at it from that perspective: Already our Dutch plant is one of the most carbon-efficient plants in the world. It has a carbon emission of 1.8 tons per ton of steel compared to Tata Steel in Jamshedpur, which is at 2.11 and the best in India, all right? So, if you were to apply the carbon tax, anybody shipping from India with a higher carbon footprint will be at a disadvantage. And I don't think the European government is going to allow anyone to ship material without paying that carbon tax when the local industry is already paying that carbon tax. Because then you're penalising more carbon-efficient industries like the one we have in IJmuiden and importing steel from less-carbon-efficient process routes. So, I think the way carbon border adjustment mechanism is framed is to look at your carbon footprint and pay tax accordingly. Now if you can make steel in India with a lower carbon footprint and ship it to Europe, that's a different matter, but today our European facility is one of the most carbon efficient in the world, so if you apply the principles of carbon border adjustment mechanism, we won't be any less competitive than we are today. And as we transition into a greener process route, that carbon footprint comes even lower. So, I think, while in India, the carbon border adj

ustment mechanism is being discussed at multiple levels, but from a European standpoint, it's not just us. Most of the steel industry in Europe and the governments in Europe are supporting this transition. And I'm sure that they will ensure that in Europe there is no unfair competition from less-carbon-efficient sources.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

The CBAM is actually a carbon equalisation process, so therefore, if any company in India, and for that matter, anywhere else in the world, was to adopt voluntary internal carbon pricing, which has to reflect in the product that goes to Europe. So just adopting an internal carbon pricing will not change the embedded carbon. You have to actually produce the product which has equalised carbon or less carbon than what European standards will provide. I think that it's kind of an illusion. If somebody were to think that [inaudible]. Tata Steel today applies \$40 internal carbon pricing, but as Naren mentioned, our carbon footprint is 2.1, so that doesn't make us any way competitive with the CBAM if it was to come in force today. We have to reduce it to the average levels of carbon which CBAM will specify in 2026, so I think that needs to be cleared in our minds, and all the transitions that are happening in Europe are looking at a sustainable business case and an investment case for this transition, which I would presume would be in the zone of between, say, 8 – 12% of ROIC.

Operator

The next question from Pinakin Parekh of JP Morgan

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Pinakin Parekh, JP Morgan

Yes. Sir, my first question is going back to the debt reduction. Is it fair to say that now the \$1 billion absolute net debt reduction guidelines that we had at the beginning of the year now would not stand and we should look more at Debt to EBITDA, which would mean that the absolute debt could be higher?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Let me correct myself. The Net debt to EBITDA is a frame that we are looking at. Earlier, we said 2x - 2.5x, if you recall, when we had that conversation on the Investor Day. That continues to be our frame. The \$1 billion debt reduction number is also a number that we will continue to pursue, but the question is – for example, this quarter, we had about Rs. 7,200 crores of repayment which partly we had to refinance. So that's why you don't see it in this, because the working capital increase and the capex increase have offset that number, and as a result of which, you see a Rs. 71,000 crores net debt number. Going forward, in the next quarter, we have Rs. 4,500 crores, part of which will be repaid. So, we will continue to do that on a gross basis, but the fact is that our allocation of capex is also increasing. And there is some volatility which you can see in the coal prices and steel prices, which is reflecting in the working capital. If I were to take out the working capital impact, we would have certainly seen a net debt reduction. [inaudible] This is because it is not on the gross basis but on net basis because fundamentally the raw material prices or the coal prices moved sharply down, the creditors numbers came down. So, I don't see that we are giving up on the \$1 billion target. We may surpass it, or we may fall short of it, but we will keep working on that \$1 billion and also the Net debt to EBITDA number, so there are 2 frames in this equation. We will continue to do that. All that I said is then our capex allocation are increasing more than what we have done in the past. In the past, we have also put deleveraging ahead of capex, and by which, we have also slowed down our capex, like Kalinganagar, which in hindsight has not helped us. So, the ongoing capex is not starved of funds. We will continue to push that, start getting the output of that kind of growth and continue to deleverage. It's not a binary thing, honestly, Pinakin, actually it

works in parallel, and we have to manage it based on the circumstances of each quarter and each year as it comes across.

Pinakin Parekh, JP Morgan

Sure. So just to follow up: If we were to take a view of the next 12 months, yes, there is India capex. And there are volatile earnings, but is there a risk to the target \$1 billion net debt reduction not being met because of unforeseen spending in Europe, especially in UK? Between the India capex, the Europe capex, and the debt reduction, we understand the priority is India capex, but what between Europe and the debt reduction?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

I think it's a valid point. Let's look at FY23. We had a similar \$1 billion target, but we did not meet it because we started allocating more and more capex to Kalanganagar and the volatility in working capital did affect. In Europe, for example, Netherlands is sitting on almost €0.5 billion of cash and that is reflected in the net debt number because you have that cash sitting there. Now the blast furnace relining, for example, is funded through internal generations and internal cash of Tata Steel Netherlands. And that is going to reflect in the net debt also if you are stopping your production because of the blast furnaces. And therefore, it will get related, but it will come back again and replenish that because that is actually the corpus. And we add to that corpus to ensure that decarbonisation in Netherlands is done primarily by government support as well as by internal cash flows, and that's how we are going to structure that stuff. Now in the UK, if there are any extraordinary structural cost that as I said is incurred, that will take cash out of the system. And I think that is important because, once we have done that, we will actually ensure that we get into a level where that cash bleed comes down very significantly, if not to a neutral and positive zone. If I look at till July 2024, there is certainly the objective of ensuring that

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we repay on the basis of some of our scheduled repayments, which doesn't get refinanced but paid out. That will be one target. And secondly, how we optimise on the cash that we may have to pay out to do any restructuring, as far as Tata Steel UK is concerned.

Operator

The next question from Amit Murarka of Axis Capital.

Amit Murarka, Axis Capital

The first question is on Europe again. The energy hedges have actually been impacting numbers as you have highlighted. Could you just help understand generally like what is the periodicity of these hedges? And what is the quantum of impact that could be coming in [inaudible] subsequent quarters?

T. V. Narendran : CEO & MD - Tata Steel Limited

So typically, we hedge, I think, 3 quarters at 25% every quarter. So that's why, in some sense, 1Q and 2Q would be the peak of what we hedged maybe 3 quarters back, right? In some sense, 1Q was a peak. You will see if I add the gas prices and electricity prices on a pound per ton basis, 1Q is the highest, 2Q will start dropping and then 3Q, 4Q will drop further. So that's pretty much a trajectory. Most of the drop will come in 2H. So that's why the benefits will accrue more in 2H than in 1H.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

No, that's perfectly fine. Actually, the hedging happens on a rolling basis and an increased percentage basis. We also reworked the approach to it given the volatility because when the prices are the maximum, the view from the entire analyst community is it will remain like this. And that kind of also helps us to take the hedges, but then the market has moved very differently. So, one is working on consensus, the other one is to also get a sense as to how the market moves, and how much is the risk appetite to keep it open. So, I think you will see that the impact of the hedges will wear out, and the energy prices are a lot more range bound at

this point of time. So that would not kind of make too much of an impact going forward.

Amit Murarka, Axis Capital

Sure. And is that possible to quantify, like what could be the hit of those hedges in 1Q?

Samita Shah: VP CFTRM – Tata Steel Limited

Yes. So, we can share the details with you. And just to add, in FY22, actually, we benefited from the hedges. If you see how the spot prices had moved because we had hedges in place, our costs were actually much lower in FY23. In FY24, we will see some of that impact, and we can share the number with you.

Amit Murarka, Axis Capital

Sure. My next question is also on Europe. So, this quarter, like at least from the reported P&L, I see that there's almost a \$60 - \$65 per ton QoQ improvement in the realisation. If I remember right, you had guided for a much lower, \$15, or so. Is there any one-off in that? Or has it been much better than you thought?

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T. V. Narendran : CEO & MD - Tata Steel Limited

We'll come back to you on this. But lastly, if I remember right, both the cost guidance and the net realisation guidance for 1Q compared to 4Q was pretty close to what we have guided. And basically, our guidance for 2Q is £38 per ton reduction in realisations in Europe and about Rs. 3,200 per ton reduction in realisations in India. To some extent, this is to be supplemented by coking coal consumption prices reducing by about \$50 per ton in both Europe and in India. In 1Q compared to 4Q, the guidance on the coal consumption was also close to what we guided.

Samita Shah: VP CFTRM – Tata Steel Limited

Yes. Just to add to that, Amit, while the NRs and the coal guidance we've discussed, I think there were some additional costs because of the cold rolled mill taking a little more time to stabilize. And of course, the blast furnaces being down. So, some of these costs have actually impacted the profitability, which is what you're seeing.

Operator

The next question is from Indrajit Agarwal of CLSA .

Indrajit Agarwal , CLSA

I have 2 questions. First, can you explain better the BlueScope arrangement ? What exactly have we done here? And what kind of advantages can we see?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Yes. Tata BlueScope is a 50-50 JV, which has been in force since FY06 . And it is a very significant player in the coated products market , especially building systems and construction. So as per the JV agreement, all the coated products in the building systems space are being done or should be done by the JV. Now when we acquired Bhushan Steel, we actually had similar product lines in Bhushan, [inaudible] . To ensure that we are consistent as far as the JV principles are concerned, we actually agreed with BlueScope that we will ensure that we have a long - term lease of these facilities and assets into the BlueScope JV. And that JV will effectively continue to face the market, make the products . The substrate comes from Tata Steel, and it continues to ensure that system -wise, we are compliant with the JV agreement and, more importantly, the market continues to be fed in a more aggressive manner on the coated products, which is a very value - added segment, and growing very significantly. So that is fundamentally the arrangement. The accounting implications of that, which is essentially then you derecognize the assets in your books and convert it into lease assets and we will continue to get the lease charge as well as margin on those assets going forward . This will be earnings for Tata Steel .

Indrajit Agarwal , CLSA

So effectively, when we look at the release, then it moves from EBITDA to other income. Is that correct ?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

That's correct. The turnover goes, the EBITDA goes, and it goes to the other income .

Indrajit Agarwal , CLSA

So, the current other income run rate could continue in t

he foreseeable future right or there is a one-off?

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Koushik Chatterjee : ED & CFO – Tata Steel Limited

No, no. Not in this manner. It will be in the form of a lease charges. So, this is a fair valuation transfer that has happened, which is what has got reflected. What will come in the future is basically the lease charge as well as the marginal capital charge and the margin on the leased assets. So that number will be much smaller .

Indrajit Agarwal , CLSA

My second question is about Europe There are lots of news floating around what kind of support the UK government is extending. Where are we on the discussions currently? What kind of support are we looking for and what is it that is promised ?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

I think what I would suggest is that, let us complete the whole discussion with the government because there is not just a support from a money point of view. There is also support from policy point of view. There is a lot more other enabling support that we are in discussion about . They have accelerated and picked up speed, and we would hope to come to a frame. As I said that in the second half of the year, we will be in a better position to actually come out and say what is our plan for UK going forward .

Operator

The next question is from Tarang Agarwal of OldBridge Capital.

Tarang Agarwal , OldBridge Capital

I have a couple of questions. One on Slide 10 of the presentation, it's mentioned that about 23% of the capex was for environmental and social initiatives. Is it 23% of the entire capex for FY23? And second, what is the absolute level of working capital as on 30th June? While you have explained it in a fair bit of detail as to how you see it, I just wanted to understand is there an absolute target that you would operate with, given the overall cash flow of the business?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

This 23% of the capex for environment and social is based on a total portfolio basis. That's what we have disclosed in the past also.

Tarang Agarwal , OldBridge Capital
So that's 23% of all the capex spend in FY '23?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

If I look at it, a large part of capex in Europe, be it Netherlands, in the UK, in India, we have what we call as category 1, which includes environment, which includes the license to operate, those kinds of categories, which are compulsory capex, which is safety capex and so on. Those all taken together is this number.

T. V. Narendran : CEO & MD - Tata Steel Limited

It would include investments being made to improve emissions, many other, reduce CO 2, whatever, all that will come under that.

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Koushik Chatterjee : ED & CFO – Tata Steel Limited

To answer your question on working capital, I think fundamentally, what we are saying is the gross working capital, which we manage mostly by number of days holding, whether it's inventory, finished goods, spares, slabs, and any work in progress has been pretty tight.

Now for example, there are special situations. For example, Netherlands was stocking up slabs for the blast furnace relining shutdown. So, there was an increase that happened in the last 3 quarters. But this quarter, for example, Netherlands is deeply positive in working capital release because those slabs been consumed. So fundamentally, we look at it in the efficiency metrics in number of days. And that is what is the main part . The second bit of it is the creditors, which is the net of effect on the working capital, which goes up and down based on the large buys on coal and iron ore, especially in Europe. Now that is a fluctuating bit, which ensures that we continue to manage this bit in the manner in which the creditor line can be as flat as possible. The volatility of price effect does come in. In gross working capital also the volatility of

of steel

prices gets into the debtors as well as into the finished goods . So, we manage these metrics, and we have seen this volatility not only with us, but all our peers, because that is the way with long supply chain, especially on coal and for iron ore. These do have fluctuating impacts. Even within that, we then optimise on the number of days .

Tarang Agarwal , OldBridge Capital

Just one more last question then for the annual report. If I look at the standalone financials, the capitalised expenses are in the order of about Rs. 4,500 crores. And our capex in the standalone financials was in the order of about Rs. 9,800 crores. Is my understanding right that a reasonable part of the capex in the standalone financial has gone in for the Rs. 4,500 crores of pre - operating expenses?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

We don't have pre -operating expenses. What we do is we capitalise at the end of the year assets which are commissioned. And therefore, of the total capex, it is actually additive rather than being a subset. Some part of it will be work in progress, some part of it will be capitalised. These 2 should add up to the capex that we spend for the year.

Operator

The next question is from Ritesh Shah of Investec .

Ritesh Shah , Investec :

A couple of questions. Sir, you indicated residual surplus of £200 million pertaining to BSPS. How should one understand the cash flow impact over here?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Cash flow impact is zero. There is no cash flow impact. The BSPS is a separate entity. And this was in our books, and as we did the buy -in with the insurance company, the assets, and liabilities both started going away. And it had surplus because that's the surplus that helped us to do the buy in. As it went out, the surplus also went out. And when you take out the surplus, then the deferred tax impact, which is a noncash impact, hit the P&L. There is no cash flow impact in the entire buy in that we have done of £8 billion.

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Ritesh Shah, Investec:

Sir, the reason I ask is, I think end March, there was a surplus of around Rs. 6,600 crores, and there is a technical requirement of 103% of the liability, which the insurer would like to have. It might leave out certain quantum . Is there a hope that, that could come back to the India balance sheet? The question was more pertaining from that angle.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

No hopes for that because it is a separate entity, which gets consolidated in the TS UK books and hence in Tata Steel books. But this is completely a noncash transaction. The bit on the surplus is the trigger point with not only the insurance company, but also with the trustees that when it reaches a surplus, we can do a full derisking, which is why it's, in effect, a lock, stock barrel transfer in parts, and that's what we have achieved. And in the end, there will be some residual, which will also have to be taken out because we are not the owners of the assets. The owners have moved into the insurance

company. So, there's no cash flow impact positive or negative that will happen

Ritesh Shah, Investec:

Sir, second, you indicated we'll take a decisive action on Tata Steel UK. Why did you use the word decisive? Specifically, you also have elections around the corner, which becomes a bit of a volatile situation. Is there anything that we are looking at it from a number standpoint, which made you use the word decisive?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

The decisiveness is purely because the assets are coming to the end of life. And therefore, to ensure that the safety of the employees working and compliance to all the regulatory stuff, we need to come to a view. It has nothing to do with any other extraneous factor. And when we talk about the asset, let me also be clear it is the heavy end as

sets, which are

coming to an end of life. And we need to take actions as a responsible corporate on these assets. This is essentially the reason.

Sam ita Shah: VP CFTRM – Tata Steel Limited

Just to add to the question on the BSPS charge out of the £200-odd million, which Koushik mentioned, there would be a corresponding deferred tax charge of around £50 million. So that's what you need to factor in.

Operator

We would now like hand over the conference to Ms. Samita Shah for chat question s. Over to you ma'am

Samita Shah: VP CFTRM – Tata Steel Limited

Thanks, Kinshuk. The first question is actually on the consolidated EBITDA. And can you please draw a bridge to Rs. 6,122 crores? This is, I think, really is coming from Tata Steel BlueScope and how do we kind of arrive at that number ?

Samita Shah: VP CFTRM – Tata Steel Limited

Yes. When we are looking at EBITDA, we are actually looking at it slightly differently from the way you do. We are really looking at total income and then excluding expenses, whereas I think when you are looking at it, you exclude other income, and that is essentially the difference of what gives us Rs. 6,122 crores .

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We'll move to the next question. What is driving the higher sales realisation at TSLP? Is there any one-off in that ?

T. V. Narendran : CEO & MD - Tata Steel Limited

TSLP is, of course, benefiting a bit from the strong auto market because TSLP has a lot of products going to auto .
[inaudible]

Samita Shah: VP CFTRM – Tata Steel Limited

What is the expected reduction in NRs in second quarter for India operations?

T. V. Narendran : CEO & MD - Tata Steel Limited

We said about Rs. 3,100 per ton QoQ reduction .

Samita Shah: VP CFTRM – Tata Steel Limited

This is on the Netherlands and the decarbonisation project. What sort of funding are we expecting from the government?

T. V. Narendran : CEO & MD - Tata Steel Limited

I think the conversation is still on going. It is too early to give a specific number. But I think what we also highlighted to the Netherlands government is the kind of support that the other countries in Europe are providing to our peers. Whether it is Germany, whether it's Spain, so the conversation is going on regarding fair level of funding, not only to support us in the transition, but also to make sure that we have a reasonably level playing field in Europe post the transition. I think that's where we are. When we are closer to conclusion, we can share the details, but I must say that we've had very positive conversations with the government. Of course, just now there's a change of political leadership, but we continue the conversations with the senior bureaucrats in the Dutch government .

Koushik Chatterjee: ED & CFO – Tata Steel Limited

I think this will take some time to crystallise. And I think because we will also have to come back with our capex estimation of that transition, and we are just now starting to work on the technology part as well as on the engineering and design work. It is a bit parallel conversation and that sign-off will happen. Potentially, it will take at least about a year or so to get into the final state. But there is work to be done, which is what we are doing. And the support, as I said, even in Netherlands, it's a combination of policy support as well as funding support.

Samita Shah: VP CFTRM – Tata Steel Limited

The next question is TSUK. TSUK has been importing HRC from Tata Steel India. Are these imports being done to support the operation or to be sold in the local market or both? Do these imports fall under the UK steel safeguard quotas?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

Yes. The second answer is yes. It falls within the quotas, and we are complying with the quotas. But these exports to UK are part of the downstream alignment, and we are not selling directly into the UK market. It

is actually given as a substrate

to the UK downstream, for example, [inaudible] and then Tata Steel UK converts it and sells it to their customers

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Samita Shah: VP CFTRM – Tata Steel Limited

The next question is on steel exports from India and how that is facing issues. What is the impact of higher Chinese exports? Indian steel exports have been facing stiff competition from Asian origin be it China and Japan and the Vietnamese and Middle Eastern markets? Is this a cause of concern? And are you looking to explore new export markets?

T. V. Narendran : CEO & MD - Tata Steel Limited

For Tata Steel, exports have always been about 10% -15% of our production. Last quarter, I think we've exported 5% of our production. We are not so dependent on exports to sell the volumes that we produce. But overall, yes, the Chinese exports for most of the last quarter was at 8 million tons. For 2-3 months, it was at 8 million tons a month and above, which is the highest that it has reached since 2016, because in 2016 - 17, it had gone to about 10 million tons a month, and that is when there was a lot of noise against Chinese exports across the world. Since then, it was at about 5 - 6 million tons a month level, which to me is a level which the world can live with. 8 million is certainly a cause of concern, but we believe that it's an outcome of Chinese steel producers producing more in the January-March quarter in anticipation of an economic recovery, which did not happen. And we are already seeing a tempering down of those sentiments and reflecting in the production level. So, the latest info I have is the recent month, I think the exports is likely to be between 7 million and 8 million, and we expect that it will over the next few months come down to a 5 - 6 million levels because the Chinese government is also not encouraging exports as they did 5 - 7 years back, because today, they also have carbon reduction targets. I think the steel industry is being told that they don't want to be importing iron ore and coal, leave a carbon footprint behind and export a lot of low-value steel. I think there is a discipline, which will come in anyway, and we expect the second half of the year to be more balanced. It will reflect both as a direct impact on Tata Steel because of the company's exports and includes an indirect impact because it will have an impact on the overall steel prices. I expect that if Chinese steel exports come down, then hot-rolled coil prices should be more in the \$600 - \$650 per ton range rather than the current \$550 - \$600 per ton range

Samita Shah: VP CFTRM – Tata Steel Limited

The next question is on capex. What are your capex plans for FY24 and FY25, a split between India and Europe? And on Kalinganagar, what is the remaining capex and total project cost? We don't give guidance for FY25, but maybe for FY24, you could give them some colour?

T. V. Narendran : CEO & MD - Tata Steel Limited

FY24, we have already said Rs. 16,000 crores. And I think about Rs. 11,000 crores out of that were supposed to be for India, if I remember right, largely Kalinganagar capex. Obviously, there is no constraint on supporting Kalinganagar capex. So as long as they can execute, as fast as they can execute and spend, the money will be given, and we budgeted for whatever is required by the project team. As Koushik mentioned, we've already spent about Rs. 18,000 crores on the Kalinganagar project. And as they require more funds, it will be made available. The focus is on executing the projects as fast as possible.

Samita Shah: VP CFTRM – Tata Steel Limited

The next question is on NINL. You had mentioned you would be expanding NINL. Can you please share some light on the timeline and the plans for NINL?

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T. V. Narendran : CEO & MD - Tata Steel Limited

Yes. Our first objective was to make sure that NINL is on full capacity

and all the facilities in NINL, which were set up, but

had never functioned or hardly functioned were back on track. I think we have fulfilled that objective within a year as we had wanted to. The last major facility, which will come on track is a coke plant, as Koushik said, in which already the heating is going on and should start production by August. With that, we will be at an optimal production level and at an optimal cost level in Neelachal. Iron ore mines are also operating and is feeding the requirements of Neelachal. I think, the existing network configuration infrastructure is being fully utilised.

Now comes to the next phase. We have the approval from our board to do the detail engineering in this Board meeting. So, we will now get into the detailed work. We already have worked out the configuration that we want to have to take it to about 4 -4.5 million tons with the first phase of expansion. I think over the next 12 months or so, we will finalise the full detail and go to the Board because we have also changed the way we look at some of these approvals. We do the detailed

engineering, take it to an [inaudible] level of readiness before we go to the Board, so that as soon as we get the Board approval, we also get all the environment clearances and everything else that's required, then we can hit the ground running and actually reduce the cash-to-cash cycle. The work is going on in full speed and by next year, we should be ready to get the approvals and move on [inaudible].

Samita Shah: VP CFTRM – Tata Steel Limited

Thank you. The next question is on iron ore. What would be our iron ore requirements by 2030? And how much of our iron ore capacity is coming up for re-auction?

T. V. Narendran : CEO & MD - Tata Steel Limited

So typically, requirement is 1.6 tons of iron ore per ton of steel. If you look at our plans for 2030, it's 40 million tons, let's say, 36 million tons out of that is blast furnace based. And say 3-4 million tons is EAF based. So basically, you do 1.6 into 36, you roughly have about 60 million or so. So that's the requirement, 60-65 million tons of iron ore. As I said, we already have with us reserves of 500 million tons of iron ore, 500-550 million tons of iron ore available beyond 2030. And some of these mines like the Gandhalpada mine was not a producing mine. It was a greenfield mine which we are developing. We bid for that so that we could develop it in time for 2030. So just now, we will focus on the mines we have and places like Gandhalpada will start producing iron ore in 2030 and thereabouts. Between now and 2030, we want to obviously bid for more iron ore mines in Odisha and in Jharkhand when they put up for auctions. And then in addition, in 2030, we also have option to bid for our existing mines. Our objective is to make sure that we are fully covered for our iron ore requirements. By 2030, we will anyway be producing 60-65 million tons of iron ore to support our footprint. So basically, self-sufficiency in iron ore is clearly there till 2030 and beyond 2030, we are expecting that we will be successful in our bids for our mines and also the mines that we bid for between now and then, and we will be self-sufficient after 2030.

Samita Shah: VP CFTRM – Tata Steel Limited

And the question which we often get asked. In terms of inorganic growth, are we open to assets such as RINL, NMDC steel, or even Vedanta steel assets? And is this baked into our deleveraging target?

T. V. Narendran : CEO & MD - Tata Steel Limited

I think what we said is that our focus on inorganic growth over the last few years has now given us enough sites for us to achieve our growth ambitions via pure organic growth. While we have set a target of 40 MTPA, the existing sites between Kalinganagar, the Bhushan site, Neelachal site, the existing Jamshedpur site, you can go up to 50 MTPA. In many way

s,

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our growth ambitions for the next decade can very easily be realised by making best use of existing sites and that will be the most cost optimal way because you are leveraging or better utilising the infrastructure that already exists or being created in these sites. We don't really need to pursue inorganic growth to realise our growth ambitions. So that's why we have said that our priority is on organic growth, but at the same time, obviously, we will be watching carefully what is happening in the inorganic space.

Samita Shah: VP CFTRM – Tata Steel Limited

Thank you. Just before I go back to the audio questions, there was a question on working capital. As we had explained, there was a working capital increase of around Rs. 2,500 crores this quarter. This is more in terms of prices rather in terms of days where they have been broadly stable. The overall consolidated number is about Rs. 24,000 crores, of which around Rs. 14,000 crores are in India.

Operator

The next question is from Kirtan Mehta of BOB Caps.

Kirtan Mehta , BOB Caps

In relation to the iron ore mines, where we have 500-550 million tons of reserves potential, what is the current level of production limit under the existing environmental clearances, and what are the additional environmental clearances that we have applied, which can enhance this limit? And what is the ultimate level at which this can ramp up by 2030?

T. V. Narendran : CEO & MD - Tata Steel Limited

So basically, Kirtan, the environment clearances are applied for when we need them. We typically plan the expansion of our iron ore mines to be aligned with our increase in steel production. We have enough environment clearances to take care of Kalinganagar, let's say, moving from 3 to 8 MTPA. Last year, we produced over 38 million tons of iron ore. We will move on to about 45-50 million tons over the next few years as our steel requirements, steel capacity or production keeps going up. So that's not a bottleneck. I think we planned it well so that we have all the environment clearances in place. And like I said, our goal is not to have to buy any iron ore from the market or any pellets from the market. We had to do it over the last 2-3 years sometimes simply because of inorganic growth, we grew faster than we had planned. The iron ore expansion was planned to cater to the Kalinganagar expansion. But once we acquired Bhushan and once, we acquired Neelachal, and the Usha Martin facility, we had to obviously use some of our iron ore for those facilities. So, there was a bit of a lag, but now we are back on track. And if you are going to do only organic growth, then it is much easier for us to manage the iron ore requirement.

Kirtan Mehta, BOB Cap s

Second question was on Europe side, where we have said that over the next 2 - 3 years, the Netherlands would be EBITDA positive as well as cash flow positive. In the past, we have not really shared what the Netherlands individually makes. Is it possible to share the average EBITDA that they've made over the cycle over the last 6 - 7 years, and the average cash that Netherlands facility has normally generated?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

We used to manage and run Tata Steel Europe as one entity. But if I can give you a range, the Netherlands EBITDA per ton range has been between €70 per ton to about €140 per ton. In FY22 context, it was much higher. Typically, Netherlands 19

has been free cash flow positive about €200 million or thereabouts on an average basis. And as I said, that in FY22, it had generated more than €500 million of free cash. That's why the point that Naren mentioned that over years, it has normally been positive PAT and positive free cash flow, not only EBITDA. And our expectation is that post relining when the steady state reaches, it would continue with its past performance. There's nothing that need

s to be done. What needs to be done

is to ensure that it is future ready in terms of its cost structure towards the decarbonisation. And that's a special initiative that all our colleagues in Netherlands are working towards.

Operator

Thank you very much. That was the last question for today. I would now like to hand the conference back to Ms. Samita Shah for closing comments. Over to you, ma'am.

Samita Shah: VP CFTRM – Tata Steel Limited

Thank you, Kinshuk. And thank you, everybody, for joining us today. I hope you've got the answers you were looking for. And with that, we will end here. Thank you and have a good day. Bye -bye.

T. V. Narendran : CEO & MD - Tata Steel Limited

Thank you

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Thank you

Call: Nov 2023

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PRESENTATION

Operator:

Ladies and gentlemen , good day , and welcome to the Tata Steel analyst call. Please note that this meeting is being recorded. All the attendees ' audio and video has been disabled from the backend and will be enabled subsequently. I would now like to hand the conference over to Ms. Samita Shah. Thank you and over to you ma'am.

Samita Shah: VP CFTRM – Tata Steel Limited

Thank you , Kinshuk . Good afternoon, everybody and welcome to this call to discuss our results for the second quarter of FY2024. We published our results yesterday, and there was a detailed presentation explaining the same uploaded on our website. I hope you had a chance to go through it. We had quite a few announcements also with the results, and we would be happy to share the details and provide any clarifications you may require . We will be joined on this call by our CEO and MD, Mr. T. V. Narendran; and our ED and CFO, Mr. Koushik Chatterjee. Before I hand it over to them, I would like to remind you that this entire conversation today will be covered by the safe harbour clause on Page 2 of our presentation. Thank you, and over to you, Naren.

T. V. Narendran : CEO & MD - Tata Steel Limited

Good afternoon, good morning , or good evening, depending on where you are. Thank you for joining the call. I'm going to make a few comments and then hand over to Koushik .

Tata Steel, as you know, is focused on creating sustainable value and our strategic priorities embody our commitment to responsible growth while creating an equitable share and prosperous future for all. We continue to make steady progress on this value creation journey, leveraging digitisation and an agile business model.

During the quarter, steel prices across regions moderated on slowdown in economic activity. In the US and EU, elevated interest rates to manage inflation adversely affected demand, while in China, persistent weakness in the property market continued to be an overhang on the prices. In India, the steel prices were impacted by the global sentiment, but given the resilient demand, it witnessed a lower drop in prices of 3% QoQ than the rest of the key markets. As a result, our net realisations in India declined by about Rs. 2,400 per ton on QoQ basis . We had guided about Rs. 3,000 per ton, so it is slightly better than that.

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Moving to our performance. India crude steel production was around 5 million tons. Production was broadly stable on QoQ basis, but up 5% on YoY basis. India deliveries grew by about 6% YoY and have been close to 5 million tons in the last 3 quarters. Amongst the segments, the Automotive segment had the best ever 2Q sales and was up 7% QoQ . We have started producing full hard cold rolled coils at the Kalanganagar cold rolling mill and have started receiving approvals from the automotive OEMs for cold rolled steel from Kalanganagar. Our retail sales primarily to homebuilders have continued to grow and have crossed 3 million tons in the last 12 months. Our well-established brands, such as Tata Tiscon, Tata Steelium and Tata Astrum, had best ever 2Q sales and revenues from Tata Steel Aashiyana, the e-commerce platform for individual homebuilders, witnessed an increase of more than 70% on QoQ basis. In the last 12 months, Tata Steel Aashiyana revenues have exceeded Rs. 1,700 crores.

In Europe, steel deliveries were around 1.8 million tons in the second quarter on subdued demand and the revenue per

ton was down about £50 - 60 per ton in UK and Netherlands on QoQ basis. This has weighed on performance in both the geographies. The ongoing relining of one of the blast furnaces at IJmuiden in Netherlands, which accounts for 40% of our production there, has also impacted the Tata Steel Netherlands realisation because of the adverse product mix and other expenses. The relining is expected to be completed in the third quarter of FY24, which is this quarter.

In terms of growth, multiple projects are underway across India, ranging from the 5 MTPA expansion at Kalanganagar as well as growth in the downstream portfolio. The downstream portfolio, which consists of our tubes business, our wires business, our packaging or tinplate business , and the DI pipes business is expected to grow from about 2 million tons to

7 million tons, which enables better product mix enrichment. We recently had the ground-breaking ceremony for the 0.75 MTPA EAF project at Ludhiana and are targeting to start the plant in 2026.

We are committed to achieve net zero by 2045 and are pursuing decarbonization of operations in a phased manner, calibrated to the regulatory framework, resources, government support and customers in each of the geographies that we are in. Accordingly, in September, we announced a proposed plan to invest in a state-of-the-art scrap based EAF at Port Talbot, UK at a cost of £1.25 billion with a government grant of £500 million. This is subject to relevant regulatory approvals, information and consultation process and finalization of detailed terms and conditions. The transition to EAF-based steelmaking will result in the reduction of about 50 million tons of direct carbon emissions over a decade. There will also be impairment and restructuring costs, which Koushik will explain in more detail. Tata Steel Netherlands has been working intensely with the Government of Netherlands on the contours of decarbonization project covering emissions and health standards. Tata Steel Netherlands will shortly be submitting the detailed decarbonization proposal to the Government of Netherlands seeking regulatory and financial support, which is critical to build a long-term and strong business case. The Board of Tata Steel will duly consider the project for approval at an appropriate time. In India, we are entering into an agreement to source about 379 MW of renewable power for our operations, which will enable a reduction of 50 million tons of carbon emissions over the next 25 years. This will significantly reduce our dependence on coal-based power plants.

Looking ahead, in India, net realizations are expected to improve by about Rs. 2,200 per ton QoQ, aided by domestic demand, which has shown great resilience despite the renewed volatility in the global sentiment. The coking coal consumption cost is likely to increase by about \$10 per ton QoQ. In UK and Netherlands, the improvement in costs is likely to offset the drop in NRs and drive an improvement in the performance on QoQ basis. I am happy to share that Tata Steel has received the Safety and Health Excellence recognition for 2023 by worldsteel. We were recognized for our innovative approach to real-time visualization of risk movement that aims to provide real-time insights and alerts. These initiatives display our commitment to achieve zero harm. Thank you. And over to Koushik.

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Koushik Chatterjee : ED & CFO – Tata Steel Limited

Thank you, Naren. Good morning, good afternoon, and good evening to all those who have joined in. I will begin with the quarterly performance provided on Slide 25. Our consolidated revenue stood at Rs. 55,682 crores, and the consolidated EBITDA was Rs. 4,315 crores, which translates to an EBITDA margin of about 8%. Standalone performance was broadly stable, but the UK and the Netherlands performance has been adversely impacted during this quarter.

Before we get

into the numbers, I would like to mention that we have received sanctions for the amalgamation of Tata Steel Long Products (i.e. TSLP), and Tata Steel Mining with Tata Steel Limited. Accordingly, the Standalone financial statements have been restated from 1st April 2022 to reflect the merger. With this, the merger process for 2 entities has been largely completed, and the other 5 are in progress as highlighted on Slide 20. This portfolio simplification process will drive efficiencies and prevent value leakages.

For the quarter, Tata Steel Standalone EBITDA stood at about Rs. 6,917 crores, which translates to an EBITDA per ton of about Rs. 14,365. Excluding forex gain of about Rs. 464 crores, EBITDA margin was broadly stable at about 19% on QoQ basis. As provided on Slide 31, the drop in steel realizations was offset by lower cost. Standalone NRs declined by about Rs. 2,400 per ton on QoQ basis due to market dynamics and seasonal factors. Within costs, the coking coal consumption cost was down by about \$59 per ton on QoQ basis, and the conversion costs were down by about Rs 2,600 per ton QoQ. Our conversion costs have been fairly stable over the last 3 years despite the inflationary pressures in the economy.

At Tata Steel UK, the EBITDA loss was about £132 million compared to a loss of £41 million tons in 1QFY 2024. On a per ton basis, EBITDA moved lower by about £127 per ton QoQ. As shown on Slide 34, the steel production was lower due to operational issues and the shutdown of the sinter plant. This has weighed on the cost profile of the operations and led to elevated costs, which offset the decline in the coking coal consumption cost and natural gas spend. Coupled with drop in realizations, this has resulted in lower spreads on QoQ basis.

In Tata Steel Netherlands, the EBITDA loss stood at about £110 million compared to £114 million in 1Q. As shown on the Slide 33. The drop in realizations was offset by the improvement in costs. Revenue decreased by about £60 per ton on subdued demand but was fully offset by lower raw material costs on decline of coking coal consumption cost and lower conversion costs primarily on decline in the natural gas spend, along with reduced repairs and maintenance costs. Looking ahead, the completion of BF6 in the third quarter, which is this quarter, should drive the liquid steel production and further improvements in the product mix and cost. As previously explained, we have hedges in place for energy at both UK and Netherlands and the drop in spot natural gas prices has reflected in the 2Q P&L with a lag.

I would now like to brief you about Tata Steel UK developments to supplement what Naren has said. Subsequent to the announcement of the agreement with the UK government for the decarbonisation project in September, we are in discussions and consultation with the union and the employee representatives in the UK in relation to the restructuring of the business, its configuration within the transition time and the eventual investment towards decarbonisation. The restructuring and the transition would commence after this consultation. Given our proposed plan to change the business model and the route for steelmaking, the existing heavy end assets at TSUK can only be used for a defined period.

Accordingly, we have taken an impairment charge against the investments in the standalone financial statements in relation to the UK business. We have also recorded an impairment of assets and provisions for potential restructuring, closure, and redundancy costs in the consolidated financial statements in relation to the UK business. The impairment charge in Tata Steel Standalone is Rs. 12,961 crores and the charge in the consolidated books is about Rs. 3,255 crores. Let me explain the difference. In standalone, the discounted cash flow value of every business is compared to the net carrying value of the investment made in that business. A deficit in that leads to impairment. Such impairment in standalone gets reversed in the consolidated statement. In the consolidated financial statement, the discounted cash flow of the individual businesses is compared to the carrying value of the plant and equipment and the fixed assets. In the above case, the carrying value in standalone was higher than the consolidated business, and that is why this difference.

Moving to taxes, there was a sharp drop this quarter. The current tax was about Rs. 1,105 crores and broadly in line with the tax on the profitability of the India operations. The deferred tax credit of Rs. 1,333 crores has been driven by the merger and completion of the British Steel Pension Scheme. Taxes should get normalized post all these mergers. The deferred tax includes credits on account of TSLP and the merger on mining. And there are other tax adjustments, which we can explain to you offline.

Moving to the cash flows. The operating cash flow for the quarter stood at about Rs. 4,658 crores and in part was driven by the favorable working capital movement. In the second quarter, there was a working capital release driven by the fall in the coking coal inventory volumes of around 200,000 tons and a drop in steel prices and reduction in debtors. We spent about Rs. 4,553 crores in capital expenditure during the quarter and about Rs. 8,642 crores in the first half, as we keep prioritizing growth in India, including expansion of the downstream portfolio across wires, tubes, ductile iron pipe and tinplate businesses. Overall, the operating performance at Tata Steel Netherlands and Tata Steel UK, higher capex and dividend payout have led to a decline in the cash and cash equivalent by about Rs. 6,352 crores. As a result, the gross debt has remained stable on QoQ basis, but the net debt has increased by about Rs. 5,600 crores. Our finance costs are broadly stable on a QoQ basis. The group liquidity remains strong at about Rs. 27,637 crores, including about Rs. 12,691 crores of cash and cash equivalents. As you are aware, Moody's upgraded our credit rating to investment grade in the month of September 2023. Thank you, and over to the floor for Q&A.

QUESTIONS AND ANSWERS

Operator

The first question is from Sumangal Nevatia of Kotak Securities.

Sumangal Nevatia, Kotak Securities:

The first question is with respect to the developments in the UK. One is we have taken restructuring provisions, but what is the status of the discussion with employees? And when is it likely to conclude? Also just want to understand, over the 3 years when the construction of the new plant will happen, in the previous discussions, we shared that we would look to use the downstream assets of UK. What sort of volume and EBITDA of just rolling do we expect over the interim period?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Sumangal, the first is, as we mentioned in a pretty detailed manner in our release yesterday, the consultation and the consultation process has started ever since our announcement on 15th September. There is a proper process that we have to follow, which is stipulated legally. And we are doing that, and we will do that. It is a meaningful consultation. We will obviously, as a responsible corporate, continue to hear their point of view or any other suggestions or advice or any point that they may have on our proposal. And once we have looked at it over the next couple of weeks, we will certainly progress on this conversation. I can say that this is progressing as per plan. It is dealing with a very sensitive subject, and we are mindful about that. But it is also about getting the investment process in place. So, we continue to engage with the unions, and we continue to do so until it gets formally completed. The formal process takes about 45 days at the minimum as per legal requirements,

but that formal process starts after a certain period. [inaudible] The informal process continues and gives opportunities to both sides to explain positions. We have also had detailed engagement with the advisors of the unions and have shown them the counterfactual positions and our issues in sustaining the business in its current vulnerable form and also the operational risk and the market risk that we face. It is a very intense and an exhaustive process, which we are currently in. Then we hope to complete as per the timeline that we have set for ourselves.

As far as the transition period, yes, you are right. As per the proposal that we have agreed with the government and the proposal that we've put forth to the unions, it is important for us to continue to ensure market protection and for which we will continue to focus on ensuring a stable supply chain to run the downstream unit. The volume should be in the ballpark of 2.5 - 2.6 million tons. But more details on this, I would be in a better position to give once the consultation gets over and ensure that we have tied up all the ends as far as sourcing, production, and all of that is concerned. I think it will be a good time to talk about it in the next earnings call rather than now.

Sumangal Nevatia, Kotak Securities:

Understood. That's very helpful. Second question, continuing on the Europe division. The losses in both regions are increasing. So one is, if you could just share some outlook on margins maybe next quarter and also over the next 2 - 3 quarters? How should it shape up after relining? And is the relining also getting a bit extended into 3Q?

T. V. Narendran : CEO & MD - Tata Steel Limited

Yes. Sumangal, I think on Netherlands, yes, the blast furnace relining has extended to this quarter. As Koushik mentioned, we are expecting that, by the end of November, latest by the first week of December, we will have the blast furnace up and running. We expect the numbers of [inaudible] Netherlands to be better than last quarter, but we expect it to be EBITDA positive only from next quarter, which is 4QFY24. So, there are a few things. Obviously, the blast furnace, which is down, accounts for 40% of our volume. So, you are carrying fixed costs with 60% of the volume. So that has an impact, which is seen. Secondly, as we mentioned last time, we work on a forward hedge on gas prices, et c. So, our energy cost, gas prices in the second half should be lower than what it was in the first half in Netherlands. That should help. Volumes should be better. The costs should also be better. Of course, the spot spreads are a concern in Europe just now, but we expect that given the current levels, as you know, in Europe, some of the producers have already put down blast furnaces, so there will be a better balance between demand and supply. Either coking coal prices have to come down or steel prices have to go up. That's what we expect to happen in 4Q.

Sumangal Nevatia, Kotak Securities:

Understood, and the UK existing furnace, which quarter do we mothball it? Do we run it entirely in the second half?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Sumangal, I think a safe thing to say is that we will run it fully in this quarter, which is the third quarter. And post consultation, I think we will be in a better position to tell you when and how we are going to deal with the heavy end, and that would be a better way [inaudible]. But I think that in the transition period, as I said, we will continue to operate downstream facilities.

Operator

The next question is from Tarang Agarwal of OldBridge Capital.

Tarang Agarwal, OldBridge Capital

A couple of questions from me. One on Netherlands. What is the sustainability capex outlay that you are looking at? And would you expect a similar support that we've seen for some of the other European governments that have extended to

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our peers. The second is on UK. If you could give us the net cash outflow and the timing of these cash flows as the transition plan starts. How is it going to be staggered over the next 3 year period? And what is the quantum of it? My sense is, as there will be settlements, there will be capex, but you will have a reduced maintenance capex also.

T. V. Narendran : CEO & MD - Tata Steel Limited

Thanks, Tarang. I'll let Koushik answer the second one. On the first one, we don't want to give you specific numbers now, but I'll give you a few principles. I think in Europe, when any steel producer is making submissions to government, I think the ask is 40% to 60% of the capex that is required for the transition. That is one. Secondly, on opex, it depends on the country and the advantages or disadvantages that the country has. It is more a question of creating a level playing field because different countries are giving different supports to the company. You don't want to end up at the other end of the transition at an operational disadvantage compared to where your peers are. These are the 2 principles on which the ask is curated. The specific amounts, we will not want to discuss just now simply because there is a conversation going on with the government. And once it is more definite and we have discussed with our Board, the proposal in its entirety, we will come back. But the principle is this.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Yes. On the second part of the question, which is on the cash outflows. The project cash outflow is about £1.25 billion, of which £750 million will be borne by Tata Steel, and about £500 will be grant from the UK government. That spend will start more around the second half of FY25 because we are currently in the detailed engineering phase. And this engineering work takes about 5 months or so. And once that is completed, then the grant agreement becomes effective and then we start spending the money. The initial spend is obviously done by Tata Steel, but that money comes in arrears of a quarter, etc., and it will go almost hand in hand. So that £750 million follows typically how a normal organic growth project is, which is over a 4-year period and the last 20% is after commissioning. That is how the thumb rule is. I think that is how we should take it. In the meanwhile, the restructuring cost is obviously more front-loaded than the capex spends, and the restructuring cost will be spent in the first half of the financial year FY25. The amount of that restructuring will be negotiated or agreed upon, especially in relation to what relates to employee impact during the consultation phase. We would not want to talk about it because it is commercially sensitive at this point of time. And we will obviously have to discuss the specifics of it. We know the numbers in our head, but I think commercially, it would be important to talk once the consultation is over.

Tarang Agarwal, OldBridge Capital

I understand. Sir, would this also entail reduction in your current capital outlay for the Port Talbot capacity because essentially, a part of the capacity will be mothballed, right? To that extent, you should see some savings on maintenance capex, per se?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

The total capex for Port Talbot used to be typically around £80 - 90 million a year. [inaudible] in future years or during transition, the investment in our mind is only on the downstream, which is pretty small compared to the heavy end. The category 1 and category 2 capex for the heavy, which is essentially for license to operate & safety and ensuring the quality or the condition of the assets so they can continue to operate as we are in consultation. Beyond that, big investments on the current assets are not in place .

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T. V. Narendran : CEO & MD - Tata Steel Limited

Also, I think

there will be a saving on the maintenance opex because there is a significant maintenance opex currently, which goes in UK for the heavy end .

Koushik Chatterjee : ED & CFO – Tata Steel Limited

That's correct .

Operator

The next question is from Satyadeep Jain of Ambit Capital .

Satyadeep Jain , Ambit Capital

Just switching gears to India for a bit. Just wanted to know what is the progress on KPO -2? Is it on time and budget ?

T. V. Narendran : CEO & MD - Tata Steel Limited

Yes. I think what we mentioned, the pellet plant is already operating. One line is pulled out. The second line will start this month. So, the pellet plant and cold rolling mill are operational. These are the 2 that we prioritised. The FHCR that we make out of the cold rolling mill is already getting approved by automotive customers after we have annealed it in Jamshedpur and sent it. The blast furnace should start in the next 6 months or so. In fact, earlier the better, but we are basically targeting that in the next 6 months we will start the blast furnace. We are also starting the second caster in the steel melt shop this quarter and that will give us some additional volume because with the existing blast furnace, we can produce a little bit more. I think one by one, all the facilities are coming on stream. The coke ovens will start, then you will have the third caster in the steel melt shop coming on etc. and the galvanizing lines and the annealing lines in Kalinganagar are also coming on next year. So, in the next financial year you will see most of the critical facilities being commissioned in different stages of ramp -up.

Satyadeep Jain , Ambit Capital

Okay. Secondly, coming back to Europe, you mentioned that you will finalise the numbers and operating drivers during the transition period in the next quarter. Broadly, do you expect to be cash breakeven at least during the transition period ? Also, you have taken write down based on comparing DCF with the carrying value. Given the life of Netherlands is also another 6 - 7 years and maybe your discounted value is higher right now, if you have to take a look at impairment, have you taken full impairment of heavy end assets in UK, which means have they been written down to zero? And what kind of potential writedown be there in the next couple of years or so in any other asset ?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Satyadeep, I think as far as the UK is concerned, this is a definitive play . Once you sign a term sheet with the government, providers of capital and then it is the procedures to move on. I think the upstream gets very much defined in terms of its operational longevity, certainly financial longevity. And that is the basis on which we have taken the entire write down of the upstream as part of this impairment that you see, which is both the asset side and obviously, from the investment side in the standalone. In Netherlands, we are not in that state at this point of time. In fact, as Narendran mentioned in the early part, we are relining the blast furnace. That is a renewal of life as far as BF6 is concerned. In Netherlands, the pace of decarbonisation project is high, but in terms of timeline it's behind the UK at this point of time. Therefore, once the transition plan is finalized and once the transition configuration is finalized, that is the time when we will keep doing the assessment,

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and hopefully, we will be able because Netherlands is fundamentally more profitable. So, its ability to have a more economically stable transition is much higher than in the UK because these assets in the UK have been lagging in their ability to generate cash flows for some time . So I think Netherlands and UK are in different stages at this point of time. We will be looking at the feedback from the government. And as we continue to engage with them very intensely, understand

the pace and the flow of the transition, come back to the Board and then we will know how the pacing will work. It is slightly different in Netherlands compared to the UK and Netherlands also has a very rich downstream asset portfolio, which is linked. And with the new blast furnace coming in, it is a slightly different story .

Satyadeep Jain , Ambit Capital

Just a clarification on that cash flow during transition period, just broadly, do you expect it to be cash flow positive ?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Yes. Sorry, you asked that question. I think, yes, broadly, based on our assumptions, the way we've been planning is that this business has to sustain during the transition. Our assumption is that we would be sourcing, converting, taking out costs in a manner such that it is very lean during the transition and hence be neutral on its cash flows other than the one-offs, which is the restructuring cost and the project cost .

Operator

The next question is from Kirtan Mehta of BOB Caps .

Kirtan Mehta, BoB Capital

One question as a follow-up on the UK transition cost. With the shutdown of the blast furnace in the Netherlands, we are currently running in a slab to rolling mode. What would be the gross spread that we are currently earning there. As of now, it is not sufficient to cover the high associated fixed cost . That is the reason we are running into the losses. But how does that gross spread compare with the UK when we operate only in the slab mode ?

T. V. Narendran : CEO & MD - Tata Steel Limited

There is a spot spread and there is a felt spread. The felt spread is around €240 per ton . The spot spreads are very much lower than that. That's because the coking coal prices are high, and the steel prices are low. But the spread at which we operate is around €240 – 250/t. We are making a loss in Netherlands because obviously, when you run at 60% capacity, the fixed costs get distributed over smaller volumes and at €240/t, you can not be making money . As far as UK is concerned, I think the larger point which Koushik is making is, obviously, this is all subject to consultations and where we end with the unions. But broadly, the plan is whatever we do, how we can do the transition in a cash neutral or cash positive way. I think that's primarily the objective, whether it is slabs or coils or whatever it is that we bring in because there are 2 - 3 objectives of the transition. One is how can we be cash neutral or cash positive? Two is how can we keep the downstream units running because that also has an impact . 50% of the workforce in the UK is in the downstream units. And the third and most important is how do we make sure that our customers are serviced .

Kirtan Mehta, BoB Capital

Just one clarification. €240 per ton spread, when we are talking about, is it the integrated spread. If we are not having a blast furnace and operating only on slab, then what would be the conversion spread that we earn from slab in the Netherlands currently? Would we have any idea about that number ?

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T. V. Narendran : CEO & MD - Tata Steel Limited

So, I don't know if Koushik wants to answer that. But broadly, the slabs that we used, honestly, are high-cost slabs, which we produced last year and kept in stock in anticipation of the reline. So that is part of the reason why we have a negative EBITDA, or we've had NRV losses in the last 2 - 3 quarters . You had to produce slabs when you could, and that was last year when gas prices and everything else was at its highest level. We built slab stocks of about 7,00,000 tons before the blast furnace reline. Now we have drawn down stocks that will translate into working capital release, but they were all high-cost slabs and also contributed to the financial performance of Netherlands over the last few years. But typically, slab hot rolled coil gaps are not so great and nobody

is in Europe on an ongoing basis, be looking at bringing slabs and making hot rolled coils and sell. And a lot of our hot rolled coils are also sold to customers who seek approvals, etc. So that's more a temporary situation than something that we look for as a long-term solution. Koushik, I don't know if you want to add more colour to it.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

I was just guessing the answer that you are trying to get is, in a European situation, if purchased raw materials in an integrated basis, the average EBITDA percentage is about 6 - 8%. In case of a conversion model, that falls down to somewhere around 3%. So, I think that is broadly the way in which it works.

Kirtan Mehta, BoB Capital

Understood, sir. And just one more clarification. I think you mentioned in the opening remarks about the coking coal reduction or the coking coal cost increase that we can see in quarter 3, I missed that number. Would you be able to sort of indicate that number again ?

T. V. Narendran : CEO & MD - Tata Steel Limited

It is different in different operating units. In India, 3Q is going to be about \$10 - 11 per ton higher than 2Q. In Netherlands, it's going to be about \$60 - 65 per ton lower. I'm talking of consumption, because in Netherlands, last quarter, a lot of higher cost coal was used. And in UK, I think it is going to be about \$20 per ton lower in 3Q compared to 2Q.

Kirtan Mehta, BoB Capital

Great. Against that \$100 increase that we are seeing in the coking coal prices in India, we are only anticipating increase of \$10 – 11. Are we benefiting from availability of the higher inventory of coking coal in India operations ?

T. V. Narendran : CEO & MD - Tata Steel Limited

No. I mean, basically, you're using the coking coal that you bought last quarter. So last quarter, the prices were dropping until September, then it started going up from September. Typically, you will get the coking coal 2 - 3 months after you buy it, or you contract it. That is what comes into the consumption. You had a higher reduction. I think we had a \$60 reduction in 2Q compared to 1Q, and we have \$11 increase in 3Q compared to 2Q. And the reverse is true in Netherlands where we consumed some of the higher cost coal, so we had only a \$7 reduction in 2Q compared to 1Q, but we have a \$60 reduction in 3Q compared to 2Q. So, it's basically the inventory flowing through .

Koushik Chatterjee : ED & CFO – Tata Steel Limited

It is a lag effect.

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Operator

The next question is from Ashish Jain from Macquarie .

Ashish Jain , Macquarie

My first question is, in the UK, this provision that we have taken off for roughly Rs. 2,425 crores, does that include some provision towards the onetime cost that you might incur related to employees? Is that the right way to understand ?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

There are 2 elements in the provisions that we have taken in the UK. The first one is in relation to the PP&E, which is in relation to the way in which impairment is taken. The second provision is in relation to potential [inaudible] obligations triggering out of the redundancies & closures and restructuring costs. Both have been taken .

Ashish Jain , Macquarie

Right. My focus is that Rs. [inaudible] crores number, that is our current assessment or best case judgment of what the onetime employee -related cost could be? Is that the right way to think ?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

It has got multiple elements in that. It is a broad bracket of restructuring. It has got potentially a closure or a restructuring, if there is a contract termination, [inaudible] there is a people number. It is a basket of provisions .

Ashish Jain , Macquarie

Sir, secondly, we spoke about where our costs might go down in the UK in terms of lower maintenance and all, which is well understood.

But let's assume this employee negotiation gets over in 1Q next calendar year. Shall we also assume that whatever the redundancy is, the cost related to that also goes out from 2Q itself and hence, our fixed costs will decline sharply in UK. Is that the way to think ?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

It is a sensitive subject to talk about just now before we complete the consultation because it also involves the nature of people being impacted in the context that there is a phasing that may happen based on our proposal at this point of time with pre-consultation and post -consultation. But normally, what happens is, it's not a switch off. It is a phasing. These costs will be incurred over maybe 2 - 3 quarters in a proportionately sliding scale basis based on the numbers that we agree etc. The provision that has been taken is on a gross basis. And as and when the restructuring is agreed upon or negotiated with the unions, the cash outgo will happen. Bulk of the cash outgo will be in the first half of FY2025.

Ashish Jain , Macquarie

Koushik, sorry, to harp on this, but just to clarify, maybe bulk of the onetime outgo happens in first half next year? Or whatever be the time frame. But whenever that happens from that shall we assume the fixed cost will decline? The reason I'm asking is because if I take a 24 - 36-month time frame, where we will be importing steel and servicing the UK market, if the fixed cost does not come down from day 1 or day 2, would it be a continuous drag on cash flows in the UK?

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Koushik Chatterjee : ED & CFO – Tata Steel Limited

Yes. Ashish, your understanding is absolutely correct . The whole focus of this whole restructuring , reinvestment, or the transition period, as both Naren and I have mentioned, is to run the business in transition, which does not drag on cash flows. So therefore, fixed cost is a very important part because once you don't have the heavy end, which is the bleed end of Port Talbot, then you would certainly reduce the fixed cost in one go, but the effect of that takes two quarters. But whenever it happens, it will certainly come down very sharply across the organization. And therefore, that is how it will sustain itself. As I mentioned a while back, because your fundamental EBITDA spreads also come down. And in that, if you have to make profits or cash flows, you have to ensure that your entire fixed cost overheads, everything runs very,

very tightly .

Ashish Jain , Macquarie

Right. Right. And just my second question, it's a very small question. If I extend the current spreads in Netherlands to 4Q, when we become fully operational and our maintenance and all will be behind us. On current spread basis, we would be making losses in 4Q also, I guess, right ?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Not at the EBITDA level. We will be EBITDA positive.

Operator

The next question is from Amit Dixit ICICI Securities .

Amit Dixit , ICICI Securities

I have a couple of questions. The first one is, essentially, if you could bridge the gap between TSE EBITDA for last quarter and this quarter in 3 buckets - realisations, coking coal and relining costs, that would be great. That is the first question I have ? So for example - from \$96 to \$170 /t. What is the bridge? How do we break it into 3 buckets - realisations decline, coking coal cost and relining cost ?

T. V. Narendran : CEO & MD - Tata Steel Limited

I'll give you 2 of the 3. We'll think of the third one. On the realisation, 2Q over 1Q for Netherlands was down £61 per ton . As far as coking coal is concerned, it was down \$7 per ton . Relining basically, the impact is volumes. I think we had slightly more volume in 2Q because maybe we sold more. But production wise, not so much difference between 1Q and 2Q. But both 1Q and 2Q were bad because you were only operating one blast furnace.

So, cost gets distributed over lower volumes.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

To substantiate, the volume impact between 1Q and 2Q, we have sold about 1,00,000 tons lower in 2Q compared to 1Q. The realisations, as Naren mentioned, was about €60 per ton lower QoQ . And then there were other costs [inaudible] gas prices and energy prices were also lower. Repair and maintenance prices were slightly lower. So that's broadly the bridge that we have. There were no one-offs included in this .

Amit Dixit , ICICI Securities

The second question is essentially on net debt. While we have seen net debt going up this quarter despite the operating cash flow being almost at par with capex. Now going ahead, the performance is going to improve in India as well as in Europe. Is this the peak net debt level that we are seeing for the current year and for next 3 - 4 quarters, maybe ?

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Koushik Chatterjee : ED & CFO – Tata Steel Limited

For the next 2 quarters, I would say that the assumption that the Netherlands comes back in the way that we are planning, the net debt number should be around this. There could be plus and minuses. We will certainly want to reduce net debt from where we are. But given the market conditions, especially internationally and depending on where the restructuring expenses are when it is going out, I think it is broadly in this range. It will be for the next 2 quarters. But our long-term goal of reducing net debt remains. We've been pushed back by certain events and circumstances in the market, but I think we will continue to focus on reducing the net debt from where we are .

Amit Dixit , ICICI Securities

But [inaudible] of restructuring and ex of capex, whatever we will incur at TSUK, I think it is safe to assume that given the market conditions, net debt level should come down from here ?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

That is correct. That 's what we are saying .

Amit Dixit , ICICI Securities

And last one, if I may. If you can explain the BSPS related provision in the notes and is there a cash outflow also associated with it? Because we thought that BSPS step is over , but suddenly, we saw this provision again.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

No. So this is not a provision as such. BSPS was sitting in our books, and we closed the buy-in in the first quarter. Post the buy-in getting completed, there was a certain amount of surplus, which actually belongs to the members. As part of taking it out of the balance sheet effectively, that surplus is the one which has gone in. It is not a provision. That surplus was at some point in time credited to the balance sheet, so now it has gone away from the balance sheet, and there was a deferred tax impact on account of that. There is no cash outgo. The BSPS is a done story at this point of time. In 1Q, the buy-in was completed. Now the separation has been completed in some ways .

Operator

The next question is from Ashish Jain Macquarie

Ashish Jain , Macquarie

My question is on India growth plans. I think you clarified that the Kalinganagar 5 mn ton will come in next 6 months or so ?

T. V. Narendran : CEO & MD – Tata Steel Limited

I said the blast furnace will start and will ramp up. You would see next year as a year of ramp -up of Kalinganagar .

Ashish Jain , Macquarie

Right. So, sir, what are we planning in terms of our next phase of growth because we have a well laid out plan in terms of where we want to be in FY30 in terms of domestic capacity. What is the thought process in terms of when do we take up the next phase of expansion because there is a 3 – 4 year time frame for that ?

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T. V. Narendran : CEO & MD – Tata Steel Limited

Sure. One is the ongoing projects , like I said, Kalinganagar and the Ludhiana EAF project, for which the ground -breaking has just been done. And

in the next 2 years, we should have that capacity up, that's 0.75 MTPA . These are clear cut for the next 2 years. Over the next 6 months, we would be finalizing the plans for Neelachal expansion and also working on the Kalinganagar Phase 3. In terms of opportunity, we can grow Neelachal from ~ 1 million to 5 million over the next few years and the plans are being developed . It will be taken to the Board in the next few months. We have an opportunity to take Kalinganagar from 8 to 13 million tons. As we finish this expansion, you can move seamlessly into the next phase. And there is the Bhushan plant in Meramandali, which can go from 5 to 6.5 million tons in the first phase and from 6.5 to 10 mn tons in the second phase , which we will need a little bit more land in the surrounding areas. If you look at Bhushan going to 6.5, Kalinganagar going to 13, Neelachal going to 5 mn tons . You're already at about 25 mn tons . Jamshedpur is already at 11 mn tons . So, you have 36 mn tons . You have at least 1 EAF, which is Ludhiana, so you are pretty close to 37 mn tons . And beyond that to 40 MTPA , you have an option of scaling up other EAFs. We are already looking at South as the next location .

Ashish Jain , Macquarie

Sir, I understand the road map and all because we have been talking about it. My point was more like why are we delaying taking up the expansion? Are we going slow because of our balance sheet focus? Because if I compare with what our peers are doing in terms of expansion, at least at this moment, they seem to be a bit more aggressive or ahead of time. And especially given the India growth story and the volume expectation and all, do we think that we are running the risk of losing market share from a capacity point of view ?

T. V. Narendran : CEO & MD – Tata Steel Limited

Not really. Of course, we will keep an eye on the balance sheet, and we want to make sure that we drive that balance between our debt levels, balance sheet and growth. But India is value -accretive growth. I think India business is always cash positive, and we can, in some sense, fund the growth. To that extent, the India growth will always get priority. But we are also going through a process where a lot of detailed engineering is done. We are trying to reduce the cash -to-cash cycle in our expansion projects. To that extent, we are doing a lot more engineering work before we start spending, taking it to a higher [inaudible] levels before we start the spend . The work is going on continuously. There is no slowdown in the pace of work, but we will obviously time it appropriately. And we have said we will be 40 million tons by 2030. So that is very much on track .

Ashish Jain, Macquarie

And if you can comment on it, are we likely to kind of prioritize NINL first just to optimize the cost there because the current scale is quite small, or we are open to everything at this moment ?

T. V. Narendran : CEO & MD – Tata Steel Limited

I think in terms of sequence, apart from the EAF projects which can operate independently, I think after Kalinganagar, 5 million, which is moving from 3 to 8 , the next phase is most likely to be Neelachal expansion. And then you have both Bhushan and the Kalinganagar 8 to 13 happening parallelly .

Operator

We would now like hand over the conference to Ms. Samita Shah for chat questions. Over to you ma'am .

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Samita Shah: VP CFTRM – Tata Steel Limited

Thanks, Kinshuk. So, we'll start with the questions. I think many questions on TSUK. Is the restructuring now done? And does it include employee separation costs? And what will be the capex guidance for FY 2025?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

The restructuring is not done. We have taken provisioning as both Naren, and I mentioned that we are undergoing a consultation process. That is the process laid by the law of the land in the UK and that process

s involves first the informal

consultation and then the formal consultation. We, for the last 1.5 months, have been in informal consultation with the unions, their advisors, their reps at the ground level, and we will shortly commence a formal consultation when we finish the informal consultation of hearing them and then getting us on our way forward [inaudible] transition plan as well as the financial impact that the running of that business is causing. The restructuring is planned, but it is not in the execution phase. It will happen in the way that we are proposing and in agreement with the union. The unions obviously are very sensitive to the impact of the restructuring. And we recognise that. And as I said earlier, as a responsible corporate, we do all that we can do in a coordinated manner. It is not completed, but we have a constructive obligation arising out of the fact that any restructuring poses and that is what has been provided.

Samita Shah: VP CFTRM – Tata Steel Limited

The other question was on the capex for FY 2025.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Yes. I think it would be best to talk about it in the next call when the plan gets finalized. Obviously, priority wise, Kalinganagar is the first priority to get completed. We want to ensure that the facilities get started. So that is the main priority and we can see that in FY2025 that will rank the highest. This year, our spend has been higher on India capex, and we will continue to be so in the next year, too.

Samita Shah: VP CFTRM – Tata Steel Limited

There is another question on TSUK. I think you've answered it, but maybe you could reiterate. Have we taken complete provision?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

In the UK, yes, we have taken. And we have taken provisions both on the asset side as well as on the investment side. As far as UK is concerned, we have taken the provisions.

Samita Shah: VP CFTRM – Tata Steel Limited

The next question is also on UK. It says, the International Steel Traders Association have raised concerns about Tata Steel UK utilizing most of the quotas in the past few quarters. So how will Tata Steel UK continue to import steel? And how will that work?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

I think there are safeguard quotas at this point of time, and we will look to engage formally with the trade regulatory authorities at an appropriate time. And because the quotas are also in the context of the fact that if the upstream in the UK does not upgrade, we are the only flat product producer. From a trade perspective, that will be addressed in due course of time.

Samita Shah: VP CFTRM – Tata Steel Limited

There is a question on Chinese steel imports, which I suppose is for India. It says, we have seen over 1 million tons of imports in the first half of the fiscal year. Do you think the government will start an antidumping investigation?

T. V. Narendran : CEO & MD – Tata Steel Limited

I think the government has recently mentioned that we will be looking at the certifications that are required and whether the steel coming in has those appropriate certifications. To me, yes, imports are higher than it has been last year. We have seen worse in the past. The larger concern to me is less of Chinese imports into India, more of Chinese exports across the world because that is already 8 million tons for the last few months, which is not a good situation from an international price point of view. The Indian market has been strong, and so domestic prices have been stable because everyone is able to sell what they produce. But internationally, we are hoping and expecting that China will be exporting less over the next few months than they did in the last 6 months. If you go back to the 5 - 6 million tons a month level, then you will have more stable steel prices. In the past, we

have seen 10 million tons a month level. And now in the last 4 – 5 months, it has been at 8 million tons a month. In India, yes, we are watching the imports. If it, of course, keeps going up, then there is certainly a case for looking at it, and we will talk to the government at that time.

Samita Shah: VP CFTRM – Tata Steel Limited

Next two questions are on India. This is about the subsidiaries and the merger. The first one is when do we plan to integrate NINL with standalone, and do we get any tax benefits because of the mergers of Tata Steel Long Products and other entities?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

Yes. First question on NINL. As part of the divestment process, there was a cooling off period of 3 years. This is not for NINL, it's in general. And therefore, we will have to wait for that period before we consider that. But in the meanwhile, as Naren mentioned, the expansion, the stabilisation and the sweating of the assets are continuing. So yes, there is a time period after which we can consider that. And the tax losses of TSLP etc. are part of the integration planning in which you see some of it reflected in the balance sheet.

Samita Shah: VP CFTRM – Tata Steel Limited

The next question is on our ABJA bonds. What are your plans to refinance the 2024 bond maturities? Also, another question, whether the capex and working capital trends will continue to reduce cash balance in the next quarter ?

Koushik Chatterjee: ED & CFO - Tata Steel Limited

The first one, the ABJA bonds, it forms part of our deleveraging. There are 3 elements of that bond, and we will certainly look at our cash flow planning for next year. And if we are confident about repaying some part of it and refinancing the balance, we would certainly want to reduce and get the ABJA bonds paid off in due course of time whenever they are due, mostly next year and then in 2028. And that's how we are planning our financials on that basis.

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As far as capex is concerned and the cash levels are concerned, I think the capex will soon turn into generation as the Phase 2 expansion of Kalinganagar comes in. We should start seeing benefit from FY 2025, second half in particular. And then as the ramp-up increases, FY2026 should be the one where we will get the maximum benefit. So once those kinds of things happen, the debt levels will certainly start looking down.

Samita Shah: VP CFTRM – Tata Steel Limited

The next question is back on Europe. What kind of sales volume do we expect from TSUK and Netherlands in FY 2024 and FY 2025?

Koushik Chatterjee: ED & CFO - Tata Steel Limited

So, FY2024 and FY2025, the numbers we had guided for earlier.

T. V. Narendran : CEO & MD - Tata Steel Limited

I think the projection now is about 8.5 million for FY 2024.

Koushik Chatterjee: ED & CFO - Tata Steel Limited

Yes. That is total TSE.

T. V. Narendran : CEO & MD - Tata Steel Limited

FY2025, I think, hopefully, we will go back to the longer-term level because this 8.5 million tons factors a blast furnace down for quite some time.

Koushik Chatterjee: ED & CFO - Tata Steel Limited

Closer to 10 million tons.

T. V. Narendran : CEO & MD - Tata Steel Limited

Yes. Between 9 million and 10 million tons.

Samita Shah: VP CFTRM – Tata Steel Limited

The next question again is on volumes for FY 2025, and we don't really give them so early, but I'll just take this question. What is the timeline for KPO -2 blast furnace commissioning? Which I think you answered. How much commercial volumes expected in FY 2025? I think this is more related to TSK Phase 2.

T. V. Narendran : CEO & MD - Tata Steel Limited

Yes. I think we will probably give better guidance in the next call. Blast furnaces ramp up fast. Then the steel melt shop, and the hot strip mills. In fact, we will probably have a bit of extra slabs for some time,

but I think we will be in a better

position to give guidance in the next analyst call for the next year's volumes.

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Samita Shah: VP CFTRM – Tata Steel Limited

Again, questions on UK, I'll just club a couple of them. What will be the cash outflow in onetime restructuring, excluding the staff-related cost? And what is the funding plan for the £750 million capex needs of UK transition? And will there be any further impairment charges expected?

Koushik Chatterjee: ED & CFO - Tata Steel Limited

I don't expect any further impairment charges in the UK. We have taken all of that. The funding plan for £750 million will be a mix of, first, the equity from India and part of it would be debt. That is something that we are working on. I think the cash flows are strong enough as projected to support that. We will combine the two, but there will be a larger equity component from India to support it, and then we can replace the same. What was the first question, Samita?

Samita Shah: VP CFTRM – Tata Steel Limited

This was about the cash outflow in terms of the restructuring costs at UK excluding employee costs .

Koushik Chatterjee: ED & CFO - Tata Steel Limited

Well, that's like trying to slice the cake. I think we just need to go through the consultation process first, and then we will be able to firm that up. I can give you the elements of that restructuring, which will be elements like decommissioning or mothballing any of the facilities, especially as in our current context, the hot strip mill will have to be upgraded, the caster has to be upgraded. So, during the time these are upgraded, they will be decommissioned or mothballed to facilitate that [inaudible]. I think those are the ones I would say that the redundancy provisions or the restructuring costs largely relates to, but we don't yet have a handle on the number until we complete the consultation process .

Samita Shah: VP CFTRM – Tata Steel Limited

The next question is on India, on the NRs and the market conditions. I think you mentioned it in your speech, Naren, but if you can just elaborate about it and the outlook for the rest of the quarter .

T. V. Narendran : CEO & MD - Tata Steel Limited

I think what we've guided is 3Q will be about Rs. 2,200 per ton higher than 2Q as far as realisations are concerned. Like I said, demand is strong. We've seen 10% growth in consumption on YoY basis because all engines are firing, automotive is strong, construction is good and rural markets are picking up. I think the only gap is a little bit more on what's happening in the international markets and international prices, but domestic is quite strong .

Samita Shah: VP CFTRM – Tata Steel Limited

We'll move to Netherlands, where there are questions about the potential decarbonization project. What will be the capex? What is the configuration they are looking at? Would there be a production loss in the interim? And how will we fund it?

Koushik Chatterjee: ED & CFO - Tata Steel Limited

Just now we are in conversation with the government on the configuration. Based on that configuration, the capex will be finalised. And the intent is, as we said earlier that the BF6 will continue because it is a new furnace. And the other furnace will get replaced. What is the exact configuration is something that we will be looking at. But roughly, from a volume terms, the first phase will be a 3 million tons transition. But I think the funding, the capex etc. is a matter of negotiation and

discussion with the government. And we are deeply engaged in it. The submission of the broader plan is going to happen shortly. And then based on the feedback, as Naren mentioned, we will go through the phase during which the negotiation for the support is discussed and the balance will be by the company, largely out of Tata Steel Netherlands, and that is the funding plan that we will finally

come about and disclose. There is some time to do that. It is not happening imminently, but it will certainly happen in the near future .

Samita Shah: VP CFTRM – Tata Steel Limited

There is a question on India now, which is more about our strategy vis-a-vis downstream assets. Is it about market share? Is it about profitable growth? Can you explain how you see this growth panning out in India?

T. V. Narendran : CEO & MD - Tata Steel Limited

So, I think downstream has always been an important part of our strategy because we see that as you have more downstream businesses, you are closer to the customers, final consumers and you are also insulated to some extent from the cyclicity or at least there is a lag in the cycles and that helps us. Our biggest downstream presence is in the tubes business, the pipes business, which is today 1 million tons, and we want to take it to about 4 million tons by the end of the decade, and that will keep pace with our hot rolling capacity when we are at 40 million tons of steel, we will have about 27 million tons of flat products. We think a 4 - 5 million ton tube business is a good footprint and downstream to support the upstream as well as add value to the upstream. The second big downstream business we have is the wires business, which is more linked to long products, where, again, we are the large player with more than 0.5 million tons and a strong market share in segments like the stranded wires and tire bead wires etc. There, again, we want to double it in the next few years, and that will also be aligned with the Neelachal expansion. The third one is the packaging or the tinplate business, where again, we are about 400,000 tons, and we want to take it to about 1 million tons. That will also support the flat products business because it is downstream of the flat products business. I'm talking only of India because we have a big packaging business in Europe as well . The last one is, of course, linked to Metaliks, which is a DI pipe business that is downstream for the pig iron that we make through the mini blast furnaces that we have in Tata Metaliks. There, again, we are a big player, and we aim to become about 1 million tons over the next year. These businesses, which have always traditionally added value. The EBITDA margins of downstream are lower than the typical steel business, but the ROIC tends to be higher because these businesses are run like that. And I think that's our ambition as far as downstream is concerned . There are many other smaller things that we do, but these are the 4 big ones.

Samita Shah: VP CFTRM – Tata Steel Limited

We have some more questions on the bonds. I think we have either some bond investors or some banks on the call . This is in terms of the bond maturities for next year. Will you come offshore? Or will you look to do onshore financing instead?

Koushik Chatterjee : ED & CFO - Tata Steel Limited

I think it's premature to say that, but we would certainly first look at what we can do internally and the balance outside. But typically, we will first look at options and the India balance sheet in preference to anything offshore.

Samita Shah: VP CFTRM – Tata Steel Limited

And I think the last question is on TSN. This is about, again, the performance in this quarter, and I think we mentioned about slabs etc. There are a few questions on how do we manage the slab inventory? Do we have a policy and what is approach towards managing the price risk for TSN as well as TSUK because they buy slab ?

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T. V. Narendran : CEO & MD - Tata Steel Limited

So normally, TSN, we don't buy slabs. It's just that we stocked up on slabs because we knew the blast furnace was going down, and we needed the slabs to take care of our customers and our orders. But otherwise, it is a fairly balanced facility. We make as much slabs as we can consume. And if there are extra slabs, we can al

ways look at selling it, but we don't

necessarily buy slabs in Netherlands. In the UK, also, we don't buy slabs. But going forward, depending on, as Koushik said, the outcome of the consultations and the way we plan the transition, we will decide what to do and when. But again, I repeat what Koushik and I have said, whatever we do, we will try to make sure that the business is run in a cash neutral or cash positive way .

Samita Shah: VP CFTRM – Tata Steel Limited

There's one more question, I think, in terms of Tata tinplate. This essentially says that resu lts have been poor at a time when the demand has been quite strong. Is there an excess supply of tinplate in the Indian market? And can you comment on the market position ?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

I think there are fundamentally two points. One is that the value addition, which is the gap between the hot rolled coil and tinplate has shrunk compared to the previous quarter significantly. The issue has been, there has been a lot of import of non-prime tinplate into India. And that has created a supply -demand imbalance [inaudible] . Hopefully, this will get reversed in the future. But we also see a certain amount of firming up of the value addition and improvement from the value addition that was there in the second quarter. The second quarter was really difficult because it suddenly shrunk. But as I said, it is not because of supply of prime tinplate from us and our peers, but it was more on the non -prime imports that came in .

Samita Shah: VP CFTRM – Tata Steel Limited

I think that ends the questions we have. We will end the call now. Thank you very much, everybody, for joining us today, and I hope we were able to provide you all the clarifications you sought. And until the next call, thank you .

T. V. Narendran : CEO & MD - Tata Steel Limited

Thank you .

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Thank you .

Call: Aug 2024

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PRESENTATION

Operator:

Ladies and gentlemen , good day , and welcome to the Tata Steel analyst call. Please note that this meeting is being recorded. All the attendees ' audio and video has been disabled from the backend and will be enabled subsequently. I would now like to hand the conference over to Ms. Samita Shah. Thank you and over to you ma'am.

Samita Shah: VP CFTRM – Tata Steel Limited

Thank you, Kinshuk. Good morning, everybody. Good afternoon and good evening to others as well. On behalf of Tata Steel, I am delighted to invite you all to this call today to discuss our results for the first quarter of FY25. I am joined by our CEO and MD, Mr. T . V. Narendran and our ED and CFO, Mr. Koushik Chatterjee. We declared our results yesterday. There is a presentation as well on our website which shares some more details about the financial and operating performance, I hope you had a chance to go through both. Before I hand it over to them, I would just like to draw your attention to the fact that the entire discussions today will be covered by the safe harbour clause on Page 2 of the presentation. Thank you, and may I now request you, Naren, to make a few opening comments please.

T. V. Narendran : CEO & MD - Tata Steel Limited

Thanks, Samita. Good afternoon, everyone. I'll make a few comments and then pass it on to Koushik before we open it up for questions.

During the quarter, the global steel demand across most regions was impacted by subdued economic activity and tight monetary policy conditions. In China, the moderation in demand outpaced the production cuts which led to steel exports of around 8 - 9 million tons a month to the rest of the world. In India, the steel demand was broadly stable despite some impact due to elections , heat waves and seasonal weakness that we experience particularly once the monsoon sets in. As a result, across geographies, steel prices have been a bit soft . In the US , steel prices were down 8 - 15% and domestic steel prices were reasonably stable but went down during the quarter. So, the increase that we had in the early part of the quarter got offset by reductions in the later part of the quarter.

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Crude steel production in India was 5.27 million tons and was up 5% YoY and on QoQ basis it was down 2%, primarily due to planned maintenance shutdowns. Our deliveries at 4.94 million tons were the best ever 1Q sales, aided by a 4% YoY growth in domestic deliveries. Amongst the various segments that we cater , the automotive and special products volumes grew by 9% YoY with higher than market growth in select sub segments . Our well -established retail brand Tata Tiscon witnessed a 15% YoY growth aided by enhanced reach and focus on consumer connect programs. We now have more than 10,000 dealers, over 24,000 influencers and a growing share of customers via our e-commerce portal Aashiyana. We are looking to shape construction market practices through our ready -to-use solutions and now have over 30 construction centres across India to improve the customer experience . Our ready to use solutions sales have gone up about 30% YoY. [inaudible] We registered a 1 9% YoY growth in engineering goods driven by the best ever quarterly supplies to railways and 8% YoY growth to the consumer durables industry driven by product and market development with major OEMs.

We continue to be bullish on India as a growth market and are scaling up to leverage

this opportunity via capacity expansion

as well as downstream capabilities. At Kalinganagar, heating of the stove and the coke oven batteries has already commenced as per plan, and we are looking forward to the blast furnace startup towards the end of September 2024 and we are looking forward to producing about 1.7 million tonnes from this new facility after the startup . As mentioned in the last quarter earnings call, the G - blast furnace in Jamshedpur will commence relining in the fourth quarter of this financial year and as a result the overall increase in volume will be lower and that is why we guided for the full year at 1.4 million tons for India . The continuous annealing line of the 2.2 MTPA cold rolling mill complex is planned to be commissioned in August and the strip threading for the cold run is in progress . Separately, the rolling mill which is being set up in Jamshedpur to leverage the upstream opportunity that we have in the Usha Martin steel assets that we acquired . The combi mill, as

we call it. It is a 0.5 MTPA combi mill in Jamshedpur will come up in the second half of the year, and that will help us leverage the volumes available out of Tata Steel Gamharia, which is the Usha Martin Steel plant site and also cater to the growing requirements of high quality long products for the auto industry.

In UK, we have safely ceased operations at one of the blast furnaces, which is the BF#5 at Port Talbot on 4th July. We are on track to close the remaining blast furnace (BF#4) by September 2024. This marks an important milestone in our endeavour to transition the operations to a sustainable business model. As we navigate the transition, we are committed to supporting affected employees and are providing multiple training and community support schemes. In Netherlands, we ramped up the production at BF#6 after the relining and we had quarterly steel production of around 1.69 million tons which was up QoQ and YoY. The stabilisation of operations has positively impacted the cost profile. Koushik will talk about it further in his comments and the deliveries for the quarter at 1.47 million tons were higher by 3% QoQ and 8 % YoY. Sustainable operations are integral to our strategic goals, and we have adopted a multi-pronged approach to progress on this journey. In India, we are focused on process improvement, carbon direct avoidance and carbon capture & utilisation. We recently launched a carbon bank initiative to further carbon abatement and are undertaking relevant pilot projects in partnership with technology providers, academia, and startups. We are the first company in India to use L&G powered cape size bulk carrier for transporting raw materials. I have already mentioned transition plans for the UK. Upon transition to scrap based EAF operations, the direct CO₂ emissions will reduce by 50 million tons over a decade, and similarly, in Netherlands, we are working on the transition to green steel, subject of course to the government support and necessary approvals and currently, the discussions are going on with the government. Thank you, and over to you, Koushik.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Thank you Naren. Good morning, good afternoon, and good evening to all who have joined in. I will begin with the quarterly performance provided on Slide 26.

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Our consolidated revenue stood at about Rs. 54,771 crores and the consolidated EBITDA was about Rs. 6,822 crores which translates to an EBITDA margin of around 12.5%. The consolidated EBITDA margin has improved by more than 100 bps on QoQ basis despite global cues and the adverse trade conditions.

Before I delve into the numbers across geographies, I would also like to mention that we have received sanction for the amalgamation of Angul Energy Limited and the Bhubaneswar Power Private Limited and the standalone financial statements for the quarter

reflect the merger and the past periods have been restated as applicable. Tata Steel standalone EBITDA for the quarter was Rs. 6,750 crores, which translates to an EBITDA margin of about 20%. On a per ton basis, the standalone EBITDA was about Rs. 13,661 per ton. As provided on Slide 32, the EBITDA on an absolute basis moved lower compared to the previous quarter as the fourth quarter is typically a seasonally strong quarter. The volume effect weighed on absolute revenues as well as on conversion cost. However, this was partly offset by the lower material costs, primarily because of the decline in coking coal consumption costs to the tune of about \$11 per ton and the change in inventories QoQ.

I would like to elaborate a little bit about the cost. There has been an increase in the valuation of chrome ore inventory as on 30th June 2024 and this is on account of increased accrual of royalty charges payable on closing stock. This has led to a non-cash credit of about Rs. 1,100 crores in the raw material cost line and an increase in the other expense line which includes royalty related expenses. So, the above treatment is broadly P&L neutral.

Neelachal Ispat Nigam Limited or NINL, crude steel production was 0.25 million tons and the EBITDA for the quarter was Rs. 279 crores. Within two years of the acquisition of NINL, this is the first time we got positive PAT and are operating at the rated capacity.

In Netherlands, the EBITDA has turned positive with improved liquid steel production on QoQ basis upon stabilisation of the operations, post [inaudible] BF6 relining. The EBITDA generated was £43 million in 1Q compared to a loss of £27 million in 4Q. EBITDA on a per ton basis improved by about £48 per ton QoQ. The turnaround was primarily driven by improvements in costs. Material costs moved lower, primarily driven by the favourable movement in inventories and lower purchases, despite higher raw material cost. The conversion costs also moved lower upon decline in power and fuel and bulk gases related expenses with improved availability of the byproduct gases.

In UK, the EBITDA loss widened from about £34 million in the last quarter to £91 million in this quarter and I will explain that. The underlying performance though has actually improved QoQ. To elaborate on this, on a reported basis, the revenue and material costs have remained broadly stable while conversion cost has increased by about £81 per ton, resulting in a corresponding decline at the EBITDA level. However, as stated in the last earnings call, the fourth quarter earnings included credit relating to emission rights costs and R&D spend of prior years to the tune of around £70 million. Excluding these one-offs, the underlying movement in conversion cost was favourable by about £25 per ton, translating into an improvement in underlying EBITDA of around £24 per ton QoQ.

As Naren mentioned, we are committed to growth in India and have spent about Rs. 3,777 crores on capital expenditure during the quarter, primarily on Kalinganagar expansion. We have also started to spend on EAF in Ludhiana. There was working capital buildup during the quarter, primarily due to buildup of stocks in the UK ahead of the closure of the heavy end facilities, among other factors including seasonality in India. We are focused on optimising working capital. The net debt stands at about Rs. 82,162 crores and our group liquidity remains strong at about Rs. 36,460 crores, which includes about Rs. 10,799 crores of cash and cash equivalents.

The closure of the heavy end assets and restructuring program at Port Talbot is progressing in a safe and controlled manner and as Naren mentioned, this is as per plan previously announced. The BF#5 at Port Talbot produced its last

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liquid steel on 04th July and one of the three casters has suspended operations. The BF#4 will cease operations before the end of September.

We remain in close discussions with the union in relation to the support for the affected employees based on the enhanced support package we had discussed with them. We launched the voluntary redundancy aspiration process on 11th July, and this will close on 07th August. After the elections in UK, we have also resumed our conversation and discussion with the new UK government on the execution of the grant funding agreement supporting the EAF project in Port Talbot. The Labour Party is already committed to delivering the £500 million grant previously announced for Port Talbot. All parties appreciate the need to close the agreement as soon as possible. Upon closure of both the furnaces, the downstream in the UK will continue to serve its customers by utilising imported slabs and hot rolled coil substrate. In Netherlands, we have started active engagement with the Dutch government on potential support for the decarbonisation project. The project is planned to be in two phases. In Phase I, we intend to replace one of the blast furnace with a DRP (Direct Reduced Iron Plant) and an EAF by 2030. The DRP will initially run on natural gas and later transition into hydrogen, as the availability and the cost of hydrogen becomes more competitive. We are committed to achieve about 35 - 40% reduction in CO₂ by 2030.

Moving on, finally, to the legal development with respect to the ORISED (Odisha Rural Infrastructure and Socio-economic Development Act) case in India, there has been, as you know, multiple litigations over time with respect to states' authority to levy tax on mineral rights. On 25th July, the Supreme Court has ruled that states will have power to levy tax on mineral rights and the existing mineral legislation does not contain any limitation of such power at this point of time. After this judgment, based on the petitioner's request, the Supreme Court is looking at the ruling operative from the date of pronouncement and then clarify the aspects of operations of the judgment. Yesterday, the Supreme Court reserved a decision on this matter. The implications of the ruling are obviously complex, varied across states and will have an effect on the mining linked industries in India. We await the orders of the Supreme Court. With this, I would end my comments and open the floor to questions. Thank you.

QUESTIONS AND ANSWERS

Operator

We will now begin with Q&A session and first question is from Satyadeep Jain of Ambit Capital. [inaudible]. We will now move on to the next question and it is from Sumangal Nevatia of Kotak Securities.

Sumangal Nevatia, Kotak Securities

Could you please share some details as to how we are looking at NSRs and cost movement both across India and Netherlands? And then with respect to UK, are we looking at the last quarter as far as these losses are concerned and do we still maintain that maybe from second half onwards we will have some sort of break even as far as EBITDA is concerned?

T. V. Narendran : CEO & MD - Tata Steel Limited

As far as India is concerned, our guidance on net realisations for 2Q is about Rs. 1,500 per ton below 1Q. As far as UK is concerned, the projection is flat. In Netherlands we are projecting a bout £60/t reduction in net realisations in 2Q vs. 1Q. In terms of coal costs, in India, it will be on consumption basis, \$15 per ton lower in 2Q vs. 1Q. In Netherlands, it will be about \$26 per ton lower in 2Q vs. 1Q. Coal is not really relevant now for UK going forward. In terms of iron ore, UK will be about \$7 per ton lower in 2Q vs. 1Q, and Netherlands will be about \$17 per ton lower in 2Q vs. 1Q.

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In UK, once we close the second blast furnace in 2H, at an operating level, we should be close to breakeven or slightly positive on an EBITDA basis, apart from the one-off cost that we may have to incur as part of the separation packages and other things. But on an operating

basis, the losses that you see today should go back to breakeven.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

September will be the last quarter of the losses. And then, as Naren mentioned, from the third quarter, we should get close to breakeven levels. And then as the volume ramps up on the imported substrate, we should be in positive territory.

Sumangal Nevatia, Kotak Securities

In Netherlands, given the softness in prices and this is only partly getting offset by iron ore and coal, do we expect spreads to be under pressure at these levels? Does the 1Q margin, have any loss? [inaudible] Any cost of relining or was everything included in the fourth quarter reported results?

T. V. Narendran : CEO & MD - Tata Steel Limited

No. From a capex point of view, you would see some capex in Netherlands in 1Q, which is more to do with the settling of the relining bills. From a margin point of view, we are basically operating at pretty much full level. If you see the volumes on production basis, we are almost at 6.8 million tons annualised basis, which is much higher than what we have ever been in the past, even before the relining. There is clearly operational improvement and stability. But yes, as indicated, there will be some margin compression in 2Q because the markets across the world are struggling with Chinese exports at pretty low prices. I think our expectation is at the current levels of prices and coal prices, the Chinese companies are losing a lot of money and so do we expect that this could be the low point and things could pick up from 3Q onwards, in

terms of prices.

Sumangal Nevatia, Kotak Securities

Just one clarification. At the operating results, there is no cost, right? There's no Op ex of relining in 1Q results?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

The relining got over and the performance guarantee, the retention payment, come in after a period of time. So that is there in the cash flows for this quarter and as part of the capex, but not in the opex side. In fact, the other way around. The opex has actually been better than the previous quarter because the volumes have increased very significantly.

Sumangal Nevatia, Kotak Securities

My second question is with respect to the expansion plans. Now we are on the verge of commissioning Kalinganagar, and we have been seeing this slide of 40 million tons potential since long. Even if we start today, there would be a period maybe 18 odd months, where [inaudible] we will run out of capacity and maybe start losing market share in India. What timelines are we looking at further finalising the capex plan?

T. V. Narendran : CEO & MD - Tata Steel Limited

We have 5 million tons coming up in Kalinganagar and close to a million ton in Ludhiana, and we have maybe a few hundred thousand tons coming in at Jamshedpur because we are adding a rolling mill there. We will get some additional

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volumes out of the Usha Martin assets that we acquired some time back. So that is the incremental volume you will see over the next couple of years. Later this year, we will hope fully get internal approvals for the Neelachal expansion, which will take it to 5 million tons. The Kalinganagar expansion from 8 MTPA to 13 MTPA was anyway expected to start only after we finish the current expansion. So that we will plan for. I also want to make a point when you talk of market share, actually, the market share in our chosen segments will continue to be very strong because the Kalinganagar cold rolling mill adds 2 million tons of very high end, cold rolled and galvanized products to our product mix. We have a few downstream expansions also going on parallelly. I think in our chosen segments we will continue to grow our market share. The overall market share, of course, will be a function of the upstream volumes that we get on the ground.

Operator

The next question is from Kirtan Mehta of BoB Capital.

Kirtan Mehta, BoB Capital

Thank you sir, for this opportunity. Wanted to understand, on the new round of discussions with the UK Labour party. What are the additional demands that you are seeing from the Labour party while finalising the grant agreement?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

First of all, I will say that the new government, the ministers, have been very supportive not only of Tata Steel, but the Tata Group to continue in a big manner in the UK. Obviously, there is no demand as such, they want to work together to make the UK steel industry strong because they have plans in their capital allocation for usage of that industry in infrastructure and other industrial projects. If you followed the election campaign and the manifesto of the Labour party, it is more about renewal of UK in terms of being more industrialised, focused on manufacturing, focused on renewable energy and so on. Essentially, the negotiated grant funding agreement is ring fenced in some manner. What they want is to explore more investment opportunities, if possible. That is not imposed, but if possible, and to explore what else do we need to make the UK steel business more valuable and sustainable. I think that is the broader context.

On employees, it is how can we help in the training of the employees who are moving out of Port Talbot to make them more employable. As you know, there is a transition board that has been formed under the previous government. That transition board is funded by about £80 million by the UK government and £20 million by us. So, the whole focus is, how do we best use this capital and do that. Those are the kind of conversations that we are having at this point of time. We hope that in coming weeks and maybe a month or two, we should be able to get to a frame where we have a good understanding of an agreement on where we want to move. More important, from our perspective, is to ensure that the base EAF project, which is the already approved project, gets on as per plan, and that ordering, detail engineering is something that we are coming very close to. I think in a nutshell we see continuity of our discussions with the UK government, we see more interest in the steel industry from the UK government and we see more capital allocated from the treasury on the steel industry as a whole.

Kirtan Mehta, BoB Capital

Just a follow up here. You mentioned there is a possibility of increasing the scope of the expansion. If we go through that discussion is there a sort of a possibility that this could elongate the time before we give a go ahead for the next EAF?

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Koushik Chatterjee : ED & CFO – Tata Steel Limited

As I said, that the current EA F is something that we have already captured in the existing draft of the grant funding agreement. So that has not been disturbed. The proposition is what can you do more, and for which how can we give you more . So, w hat can we do more and how much can we give you more is what the conversation is. Our focus is obviously on getting the 3 MTPA transition into the Electric Arc Furnace done on time because as that is the base case for sustainability. There are other opportunities in the downstream , if there is a business case, if there is an investment case and if the government provides us with support in capital - we will consider it and that is the conversation that we are having at this point of time.

Kirtan Mehta, BoB Capital

Thanks for this detailed clarification. Second question was about the contingent liability that we have disclosed regarding Odisha. Do we have similar demands across any other states which could have an impact from the Supreme Court judgment finalisation or Odisha is the only state which has raised such demands in the past?

Koushik Chatterjee : ED & CFO – Tata Steel L

imited

No. If you have read the notes in the SEBI note number 8, when the Odisha government did come out with the regulations on levying what is called as ORISED we had gone into the O disha High Court and the Odisha High Court had quashed the regulation itself as unconstitutional. So, there was no demand existing at this point of time from the Odisha government on us. But b ecause there is an act which had come in , which was quashed by the Odisha government, we had been reporting this as contingent liability since 2005. I think it is a question which we did out of prudence to ensure proper disclosure. There is no other direct cases or demands of this nature for Tata Steel at this point of time from any other government. The bulk of our mining is in Odisha , and we have mining in Jharkhand. But at this point of time, there isn't anything that is pending as a demand which we have not paid and therefore we are reporting. We reported this as contingent liability based on the regulation that came into being in Odisha in 2004, which we challenged in the Odisha High Court, which got quashed. That is why the state had gone to the Supreme Court and many other such states had gone to the Supreme Court, which is the judgment that has been talked about.

Kirtan Mehta, BoB Capital

What was the underlying royalty rate under this particular contingent liability ? What was the state demand actually?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Again, there is no state demand. What was basically formulated is based on the last two years production and based on the IBM price on the first day of the year, there was a calculation given of about 15% or so. So that was the basis of the calculation that was given at the time in that act which got quashed under the Odisha High Court order.

Kirtan Mehta, BoB Capital

Thanks for this clear clarification. If I may squeeze in one more question . Could you update us on the cold rolling mill in terms of the operation levels, profitability levels, at what stage ramp up we are in and what is remaining? We understand about the continuous annealing line that you just disclosed.

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T. V. Narendran : CEO & MD - Tata Steel Limited

Yes, the cold rolling mill has been operating since last year. It has been ramping up quite well. It produces what is called full hard cold rolled product till the annealing line comes in. The annealing line is coming in August. Then we will have the annealed product available, and the galvanising line will come in towards the end of this financial year and that will give us a galvanised product. So, the cold rolling mill in its entirety is best to assess after we have all the downstream facilities, because it is going to be really a state of the art mill which will be able to cater to the high tensile grades which the automotive industry requires now and also the high end galvanised steel that the automotive industry requires now. So that is where it is, so not able to give you the profitability just yet. Because not only are the volumes ramping up, but the quality is also just about ramping up. I think we are currently maybe at about 50,000 - 60,000 tons a month. You will not see it simply because that means you will sell less HR and more full hard CR. It is not a top line addition. It is value addition. You will see [inaudible] less HR and more CR.

Operator

The next question is from Amit Dixit of ICICI Securities .

Amit Dixit , ICICI Securities

I have a couple of questions. The first one is on a very broad macro sense. While domestic consumption is growing, there are instances of imports also surging . On the other hand , after the supreme court judgment, technically state governments can levy any sort of cess they want. From an industry perspective, which is growing, there is nothing being done to curb imports. At the same time, states technically have got freedom to le

vy any kind of duty. What are we thinking ? How are

we are looking at it ? As an integrated player , aren't we at a technical disadvantage here? What is the thought process?

How are we working with the government?

T. V. Narendran : CEO & MD - Tata Steel Limited

I think it's a very valid point and that is precisely the point we are making with the government. It would be very ironical if India, with all the iron ore that it has, firstly overtaxes the iron ore, and negates the competitiveness that we as a country should have at the raw material stage. I think that is one thing. We are as it is from an effective royalty rate and tax rate point of view, one of the highest taxed countries in the world as far as mining is concerned, compared to Brazil, Australia, and the other geologically rich countries. I think if we do that, there is less and less incentive or less and less room to make investments to value add on that iron ore or coal or bauxite etc. The second point which we are telling the government is most of these minerals are in the poorest states in the country. Yes, they need tax revenues, but they also need jobs. If you need jobs, then you need investments. If you need investments, there needs to be a business case where the industry makes money and can use that money to invest in new capacities. Third point is, when you look at private sector investment in India, the steel industry is one of the leading sectors. It is not just Tata Steel. All our peers have also announced significant capex. So, you have a good story there on private sector capex and if all this keeps going up, obviously, that's a matter of concern. The fourth point you talked on imports is also a very important point because oftentimes we say China is competitive. China is not competitive. They lose money at these prices. It is not that they are making money at these prices, in which case you can call them competitive. It is predatory pricing which is detrimental to the future of the industry in India. This point has been made to the government as Indian Steel Association and we are hoping that there will be some action because the rest of the world is moving fast on this matter - whether you look at the US, you look at EU or you look at many other countries. This is because China exporting 100 million tons a year is not something the world can

live with. China selling steel at less than \$500 per ton when coking coal prices are \$220 – 230 per ton defies logic. The last time China sold at these prices was during COVID, so we are seeing some circumstances where, like you said, import pressures are there and domestic cost pressures are also there, which is not good for the long term health of the industry. So, it is a very valid point. We are representing to the government at the states and the centre and let's hope that we come to a good long term solution.

Amit Dixit, ICICI Securities

On similar lines, just one clarification, Koushik mentioned that there are no demands from states as such. Now, the retrospective or prospective application of this new judgment does not really matter. The thing is that is there a possibility at this point in time what you see that states might just go ahead and levy something? Is there something in the pipeline? Is there something that they have been making demands in the recent past that might see our costs getting escalated? Retrospective of course, does not matter. I am not talking about that Rs. 17,000 odd crores liability. All I'm talking about going ahead, how will our cost increase in the present regime of tax?

T. V. Narendran : CEO & MD - Tata Steel Limited

I think, yes the states have that prerogative and that is what has been now said. Again the question for the government, both at the centre and state is what they want to do. At the centre, it is all about what are the laws which need to be amended. How do you

address this issue. Can you offset some of this? Because I think the larger point being made is a lot of these costs will pass through, particularly when you look at coal, which is today the biggest product being mined and the power sector is the one which consumes it. If these keep adding up, obviously it has an impact on the power sector and the consumers of power, including us. So that is one. Secondly, there is bauxite and aluminium, there is iron ore and steel. So, I think this is a larger issue, [inaudible] and obviously it impacts the cost of doing business which is very clear. So, let us wait and see how the next few weeks transpire in terms of what states are doing. Koushik do you want to add?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Yes, all that the courts have said, as per the current MMDR is concerned we don't see a limitation. If that limitation comes in terms of an equitable distribution of the cess between the state and the centre, then obviously that is the point Naren mentioned that the centre is [inaudible] of the issue on a much wider issue. That is the point that has to be addressed in due course of time, because the limitation is essentially a cap etc. which needs to be put in. So we will see if there is an amendment that comes in due course of time. That's the point, which will de-risk this into an issue because the same iron ore can therefore get priced differently in different states and that is not going to help either, or coal, or for that matter, any minerals, because every state is acting different and that kind of defeats the federal structure. That is how the MMDR actually said that the centre sets the policy. States collect the money or get the money and I think there is a broader discussion that has to happen, and the centre is [inaudible] of it as to how to obviate to ensure that investments occur more uniformly, and to ensure that as a country, we continue to have the advantage, competitively, to get the benefit of the minerals that exist in the country. I think that is important. I would request, if you hear the dissenting judges comment, these are precisely the points that have been highlighted. I'm sure that there will be administrative and executive stepping in after the judiciary clears the period of application of the cess.

Amit Dixit, ICICI Securities

Okay, the second question is a bookkeeping question. Just wanted to understand the bridge between EBITDA and cash flow from operations for this quarter, and whether the debt increase that we have seen was majorly due to the working capital buildup at UK operations.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

There are two parts to this as far as the debt is concerned. Firstly, there is the UK bit, which is negative, and the working capital bit. There is a loss in the UK and then there is the working capital bit in the UK. There is a working capital bit, even in India, because there is pre-monsoon preparation, and preparation for the Kalinganagar startup of the blast furnaces. These are the three elements that we see. Over a period of time, in the next two quarters, we will see a release of same.

Operator

Next question is from Ritesh Shah of Investec.

Ritesh Shah, Investec

Sir, a couple of questions. First is thank you for the explanation on contingent liability. I just wanted to understand, hypothetically if the Supreme Court does impose the judgment on a retrospective basis, what is the probability of this contingent liability translating to a cash flow impact?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

I think if in the unfortunate event it does become retrospective, we have to see what is the period at which it will be paid. Secondly, the Supreme Court has actually explained the point of law, not individual cases. So once the point of law has been explained and the operating

part of the judgment is clarified on whether it's retrospective or prospective, in the worst case scenario, as you just said, if it is retrospective each of these individual cases will go to the regular [inaudible] in the typical manner. So, yes, if, these cases, like in entry tax was kind of aggregated at Supreme Court and the constitutional bench will consider this. Each of this should ideally get back to the high courts or the Supreme Court, regular benches, etc. and then the determination will happen on those individual cases - quantum, period, payment, demand happening or not - because in many cases demands have not been raised. In our case, there is no demand. It is a contingent liability which we have disclosed. So, that operating bit has to flow in. I think it will take some time to get to that position to understand, in case, it goes to a retrospective judgment.

Ritesh Shah, Investec

Sir my second question, what is the net debt number for Tata Steel UK and Tata Steel Netherlands, say 31st March basis or end 1Q? If you could please help on that. Just wanted to understand how should one look at the debt profile for both these regions separately taking into account the incremental cash flow ask that we have?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

If I were to look at it from a broad perspective UK and Netherlands, each of them have about £600 - 800 million of debt, mostly working capital. These are essentially used for securitisation as well as working capital needs. Netherlands was actually debt-free till about 12 - 15 months back. I see them going back into a debt-free status in the next 18 months. I

think that is something that we are working on because Netherlands never actually had any debt requirement because they were always positive cash flows. It is only in the last 12 months during the BF6 relining that they have got affected. I don't see that to be an issue there. We have about £200 - 300 million of the old acquisition debt sitting also in addition to this. So that's broadly the frame between Netherlands, UK, and the acquisition that we have in overseas, apart from the Tata Steel bonds which are there in Singapore. I think that's the profile.

On your second question, on cash flows. As I said, Netherlands should have their own cash flows to bring down their debt to zero in the next 12 - 18 months because that is important and they will not have any material capex on the legacy business, the decarbonisation capex is a separate capex spend that will happen. As far as the UK is concerned, as we mentioned in the earlier part to a question that we would like to see it to be EBITDA profitable and also pare some parts of its debt. Fundamentally, the UK debt is in effect stitched to the India business because we will have to clean the business and make it ready for decarbonisation or post-decarbonisation as we get the £500 million of grant from the UK government.

Ritesh Shah, Investec

Just a related question. UK, we have indicated \$1.2 billion of capex. So, the government grant is around \$500 million. Are we looking to infuse any incremental capital from India to Singapore to Europe? The reason to ask is I think the board took an approval in May with respect to \$2.1 billion. I think we have transferred around \$875 million. I wanted to understand the end use of this \$2.1 billion. Partly, understand it was ABJA refinancing. Wanted a breakup over there and wanted to understand is there a further cash flow ask from UK which will have to be funded through the India operations.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

There are a couple of parts to this, Ritesh. One is that there is a loss funding that is happening, which is what we said that till September will continue as only when we wind down the second blast furnace, we expect to get into positive territory.

There is also a transition on

the working capital side, buying iron ore, buying coal, and then winding it down and instead buying slabs and coils. So that's a transition point that will happen. Post that, in our view, by the fourth quarter of this financial year, we get to a stable working capital position. The spikes and troughs will hopefully get into a more stable situation. The loss funding also would get off, but there is a restructuring that is going to happen. And that restructuring, including the redundancies, are funded by India. Secondly, if you look at the project, £1.25 billion, of which £500 million will be from the government and the £750 million will be from Tata Steel. We don't intend having more debt on Tata Steel UK. It will be spent over four years, but it will be spent from a Tata Steel point of view. This is broadly the flow in which the capital will go over the next couple of years as far as UK is concerned.

Ritesh Shah, Investec

And breakup of \$2.1 billion, I think \$875 million has already moved. Balance is ABJA or UK? How should we look at it?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

ABJA is in two parts. There was a \$1.25 billion. Then there is another element which is on debt, effectively about \$700 million. The total ask that we talked about is \$2.1 billion, which is the breakup, if you look at it, about \$600 million will be for UK loss funding over a period of time and the restructuring that is going to happen. Then there is a UK loan repayment of about \$200 million, which is also going to reduce the debt in the UK and the consolidated debt. There is the element, as far as ABJA is concerned, and there is some debt in Singapore which is also going to be repaid of about \$750 million.

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Operator

Next question is from Indrajit Agarwal of CLSA.

Indrajit Agarwal, CLSA

First, on Netherlands, given that it has like fully ramped up on production, can we see any further conversion cost reduction from here on or have you peaked on that?

T. V. Narendran : CEO & MD – Tata Steel Limited

I think the volumes are close to peak. We were about 50,000 tons short, what we are chasing is 7 million tons of annual production. We have not been at that level for the last 4 - 5 years. We are at 6.8 million rate in 1Q. If you get to that, that will certainly lead to a conversion cost reduction, clearly, compared to the last two years, because the last two years, one is we had lower volumes, as you saw, higher costs because of the cold rolling mill upgrade and the BF 6 upgrade. We were using a lot of high cost slabs, which we had produced earlier when the coal prices were high, and you had record high prices of electricity and gas, due to the Ukraine situation. Many of those things have corrected, some of it you are seeing, but you will see that happening. I think we have now reached the lower levels of electricity and gas prices, and CO2 prices also, which had gone to about €80 - 85, are now around €60 - 65. We would think by 3Q or 4Q, you will see a more stable cost. I mean, it will trend down. There are also many initiatives that we are taking over the next 2 - 3 years to further bring down costs. So, I would expect that on an ongoing basis, at these production levels, you will start seeing the costs reflecting some of these initiatives and the stability of operations. Of course, the bottom line will also depend on the spreads, and that's where the spread compression is also there, which sometimes negates some of the cost takeouts that we have been doing. But to answer your question, yes, conversion costs should keep trending down as we run through some of these initiatives.

Indrajit Agarwal, CLSA

My second question is, given that we have better visibility on KPO -2 commissioning, any kind of volume expectation that we can see in FY26 from KPO -2?

T. V. Narendran : CEO & MD – Tata Steel Limited

FY2026 should be close to a full year

r. I think that is what we see once the blast furnace stabilises. The steel mill shop also would have done its expansion. We will give you a guidance closer to the end of this financial year. But yes, the expectation is that we will see as close to maximum as possible. There are some logistics issues which we are sorting out. Those are some of the constraints that we want to deal with over the next six months. Just now that is not the bottleneck, but as we ramp up, that could be a bottleneck, and those are the problems we have to solve in the next six months.

Indrajit Agarwal, CLSA

Lastly, can you give me the capex and working capital buildup number for the quarter?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

As I mentioned, capex was about Rs. 3,770 crores. That is the capex number that I had mentioned during my comments. As far as working capital is concerned, I think it was about net working capital number of around Rs. 5,400 crores which had a large proportion in India and in the UK.

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Operator

Next question is from Satyadeep Jain of Ambit Capital .

Satyadeep Jain , Ambit Capital

Couple of questions. One, on the contingent liability, I just wanted to clarify. You mentioned when you are reporting contingent liability, it is based on an assumption of 15% tax, in addition to 15% royalty, 15% additional tax on whatever iron ore value you are mining from that state. Is that correct?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

It is on the production, average of last two years production at the IBM prices .

Satyadeep Jain, Ambit Capital

Would there be something for chrome ore and other minerals like dolomite also?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Yes. Anything in Odisha is what is disclosed there. There is a small amount in Jharkhand, which, because Jharkhand at that time had not notified their act, though they had passed it. If you're not notified, it's not an act. Odisha had notified, but the high court had quashed it down . So that's the basis on which we have done the calculation. This calculation changes every quarter. Over the last 20 years now, have been doing this revision to disclose. If you look at our annual reports for the last 20 years, you will see this number going up.

Satyadeep Jain, Ambit Capital

You are saying the liability of building for chrome ore and other minerals is also 15% based on 15% royalty. Same royalty rate for all the minerals?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Yeah. They have not distinguished between different minerals . It is the same rate.

Satyadeep Jain, Ambit Capital

You mentioned Jharkhand. Just wanted to understand, because was under the impression that even Bihar and then Jharkhand also had similar act. You are saying they did not notify it before this was struck down by the high court?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

If you look at this issue, there are states where the act has been passed and depending on petitioners, have been quashed. There have been states in which the acts has been passed and not notified. There have been states in which the acts have been passed, notified, and states have been collecting. So there is a mix of this between, say, Uttar Pradesh, Chhattisgarh, Andhra Pradesh. [inaudible] It is not just a notice, in fact, Odisha is one place where the high court has actually quashed the act. There are other cases, some states are collecting, some states have not notified, some states have not demanded. There is a plethora of stuff, which is why it went to the Supreme Court. So Supreme Court is actually

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settling a point of law. It is not settling individual cases. It is settling a point of law that under the MMDR act and Article 49 and 50 of the Constitution, does the state have the power to levy a cess on minerals? That is the point of law. So, the poi

nt

that they have said is, if there is no limitation in the Central act, they do have. If you do bring a limitation in the Central act, they will be capped.

Satyadeep Jain, Ambit Capital

That limitation use could be possibly brought up by amendment in MMDR act ?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

That is correct. That is the point that Naren explained earlier, that that is the point that the Centre also understands. Mind you, a ton of coal or a ton of iron in this current construct can be different in different states. It will have different cost, based on the royalty that each states in their best understanding imposes. You can have a ton of iron ore differently in Odisha, it could be different in Jharkhand, it could be different in Chhattisgarh or anywhere else. So that is the point that needs to be addressed by the Centre. And that is the point that as an industry, as a mining industry, everybody has requested the Centre to look at .

Satyadeep Jain, Ambit Capital

The second question is on UK. I think in the earlier remarks you mentioned that you are looking at, maybe considering the government is considering a wider scope, possibly looking at downstream. Just wanted to understand, is there also a discussion around DRI plus EAF and when you look at downstream, what exactly does it mean and how would you evaluate all these proposals? Even if, let's say, the capital intensity increases, if they give you the same grant of 40%, would you go ahead. How would you evaluate these proposals ?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Effectively, if you look at it, they have not said prescribed what you need to have. They basically want to say that the steel industry in the UK, which has been neglected for a long period of time, we want to ensure that without investment, no steel industry can revive. And how do you become the best in class in terms of competitive ability, and therefore, what investments are required to service the requirements of the industry and the consumers of that steel, whether it is downstream, automotive, construction, engineering, et c. That is an open discussion that we are having, including DRI as a case in point, but in DRI for us, because our primary investment case has been drawn due to the availability or the surplus amount of scrap that UK produces and UK is one of the largest seller or exporter of scrap at about 8-10 MTPA. How do we tap that for domestic value addition? That actually resonated in the investment case. So DRI, we will require virgin iron, but the proportion is much less, and it may not have the ability to make the full business case. May or may not. [inaudible], unless we become a merchant DRI player and use some for captive and outside. What we said essentially is that, look, there are many options in DRI or in downstream, but those are first of all to be taken separate to the base investment proposal on which the government and us have agreed upon in September 2023 and that needs to proceed accordingly. If you are saying I have more money to give you as grant and if you can put it in something else, we said that we will take the opportunity, do an investment case, and see what kind of investments make sense and come back to you. We will come back to you and then you can decide whether you can give it or not. Linked to that, you also have to understand it is public tax money, what kind of employment potential is there for each of these investments. If all these converge together, there will be something. We have said and the government completely understand that we need to

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implement the existing EAF project on time, on cost and ensure that we get the facilities in terms of planning permission done so that we can implement. So that is the base understanding and there is no change in that. So, this is an add on to see if we can make the whole investment case better

both from a steel industry perspective as well as from the employment perspective, that is where we stand.

Satyadeep Jain, Ambit Capital

When you look at from what I understood for a 3 million ton conversion, when you are bringing slab and converting it to HRC for that kind of configuration, I thought maybe 1,000 employees is enough, but you would have 5,000 employees. Is that fair? When you look at the slab that you are going to get, does Tata Steel India, is there a benchmark? Are you already exporting slab in the markets, and would UK buy slabs at the same price? How would that pricing for slab import for UK work out?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

We have a significant amount of downstream. In the UK we have color coated, we have automotive lines, we have packaging lines and we have cold rolling mills. So that is the reason why you see a higher number than 1,000. If it was only a hot strip mill in Port Talbot, which is bringing in the slabs, converting it and producing hot rolled coil, your number is more. In fact, your number will be higher than what we would need. So that is not the point. Because we have a significant amount of downstream and well established downstream for a long period of time with long term customers linked to it.

On your point of transfer price, it is based on the regular transfer pricing that will happen on a market basis and that passes muster through the transfer pricing regulations, both from a tax point of view as well as from commercial point of view. So, it is priced out of HR and that is how it works internationally also when the slabs are sold and that is the model that we will have. We look at both system as well as individually and that's how it should make money.

T. V. Narendran : CEO & MD – Tata Steel Limited

Just to add to what Koushik said, the timing is ideal for us because the Kalinganagar upstream with the hot metal and the steel mill shop will be able to produce 8 million tons. But the hot strip mill in Kalinganagar is a 6 - 6.5 million ton hot strip mill. So, we are slab surplus till we add something else in Kalinganagar and those slabs can be sent to the UK as we build the EAF there. So that works out well for us. Out of the 3 million tons of requirement close to it, about 1.5 million tons is going from India and a million tons close to that is coming from Netherlands and rest, we are buying from the merchant market both slabs and hot rolled coils.

Operator

Next question is from Amit Murarka of Axis Capital.

Amit Murarka, Axis Capital

Good afternoon. Thanks for the opportunity. Earlier in the call, you mentioned that you are working on setting up a 5 MTPA plant at NINL. There are options at almost every site for you to grow, maybe except Jamshedpur. What would be the order of priority on the plants now, particularly given the context that by FY 30, our older leases, are going into expiry? Will that impact the decision on the brownfield expansions, or you think that you will still go ahead, irrespective of that?

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T. V. Narendran : CEO & MD – Tata Steel Limited

I think obviously post 2030, depending on the premiums you will pay for those mines, to retain them or to have some other mines, the margin will get compressed a bit compared to where we are today, that is for sure. I think there are a number

of actions that we are taking to mitigate some of those . Even a simple thing, as we grow more and more in Kalinganagar and N INL, we don't carry forward some of the legacy costs that we have, let's say, in Jamshedpur. Also, the productivity levels, the configuration of the plant will help us run larger volumes with fewer people. There are a lot of other benefits that we will accrue from this expansion. The long term profitability will obviously be kept in mind as we plan these expansions. We will obviously do it only if it is value accretive

, which we think it will be.

The second point is from a priority point of view, N INL will get the first priority because we are more ready there than on the engineering work and everything else. Kalinganagar, 8 to 13 MTPA will maybe be six months after that in terms of getting all the approvals. Meramandali plant going from 5 to 6.5 MTPA . So, 6.5 MTPA there, 13 MTPA in Kalinganagar and 5 MTPA in NINL is clearly visible and that is what we will move towards. So that brings us to close to 25. And then you have 11 MTPA plus 1 MTPA in Jamshedpur because you have the Usha Martin business . So that brings us to around 36 MTPA . Then you have the EAF in Lithuania. If that is a good operating model, we can very quickly add other EAFs and other rolling mills in the west and south where there is scrap. That is broadly the roadmap for 40 MTPA . We can grow beyond that. Like I said, NINL can go from 5 MTPA to 10 MTPA , Kalinganagar can go from 13 MTPA to 16 MTPA , and the Angul plant can go from 6.5 MTPA to 10 MTPA . So, we have enough headroom in each of these locations to grow beyond the 40 million tons that we have already described.

Amit Murarka, Axis Capital

Earlier, the target was 40 MTPA by 2030. It seems like now you are giving a range of 35 – 40 MTPA . Is it fair to say that by FY30 we will be closer to 35 MTPA now and probably go to 40 beyond FY30 ?

T. V. Narendran : CEO & MD – Tata Steel Limited

What I've told you is already almost 37 MTPA. Like I said, we will take a call on the EAF s beyond Ludhiana in the next two years once we have the Ludhiana plant up and running and we have greater comfort with that model. Setting up an EAF actually takes a couple of years. It is only 100 acres of land, and you can set it up and the whole approach to that is to do a replica of what we are already doing in Ludhiana rather than start the engineering and do various things. I think there is an opportunity for us to do that. Again, we will take a call depending on our priorities and we have the options. I think that is a larger point and we can execute on the options depending on the cash flows of the business and the profitability and all these various taxes that are coming in, or steel imports coming in. The advantage with brownfield is that you can pace yourself. We will pace ourselves very appropriately.

Amit Murarka, Axis Capital

Tied to that, if, let's say you have to go ahead with Tata Steel Netherlands DRI capex . Will it be possible then to parallelly run those expansions in India ? How do you think about the balance sheet constraints ?

Koushik Chatterjee: ED & CFO - Tata Steel Limited

So I think in the TSN decarbonisation, that is why the conversation with the government becomes more critical, [inaudible] Understanding is fundamentally between the internal generations in Netherlands, plus the government grant and plus the residual project financing debt in Netherlands. It should be able to do that as we go forward and that is the base assumption

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that we have looked at - which is why I think there was an earlier question to which Naren mentioned on the conversion cost that we are focusing on the profitability of Tata Steel Netherlands by reducing conversion cost structurally across a range of stuff in the current business, which will give the headroom from an internal capital generation perspective . It is not a magic switch, it will carry on for many years . I think it is something that we are undertaking almost like a project to be the best in the Western European cost structure. So, balance sheet should not get impacted fundamentally because it will be somewhat ring fenced is our understanding . Of course, we will have to get past the conversation with the Dutch government and we will see what is the level of grant that comes in. The situation in Netherlands is slightly different than in the UK because o

f the context in which the steel industry stands there. We will keep giving you updates as we go along.

I think fundamentally Netherlands, we should be able to ring fence Netherlands capex , which will be larger than UK because it has got a DRI included. That is the basis if we get best case scenario, everything, we will be able to ring fence .

Operator

Thank you, sir. I would now like to hand over the conference to Ms. Samita Shah for chat questions. Over to you ma'am.

Samita Shah: VP CFTRM – Tata Steel Limited

We have a question on Sukinda which essentially says that post surrendering the chrome ore mine, why do you still have inventory revaluation and what is the impact on EBITDA? Technically we have not yet returned the mine but if you just want to comment on that maybe, Koushik, in terms of overall impact .

Koushik Chatterjee: ED & CFO - Tata Steel Limited

The surrender process is a fairly engaged process. So, when we announced that we want to surrender , that came post the board approval. Then there are stages in which it goes to different agencies which look at the proposals and then

recommend finally for the surrender. We are in that particular process at this point and pending that we have to continue to mine and account for based on the mine plan which has been approved by the IBM and pay royalties and so on and so forth. It is still an operating mine. It is still operating as a division. So, we will have to go through this. We are looking at the next 6 - 8 months to get through the surrender process.

Samita Shah: VP CFTRM – Tata Steel Limited

Thank you. There are a bunch of questions on TSN decarbonisation which also think we have answered, and I think maybe just a question which we can look about is on timelines of the decarbonisation capex. What is our timeline and where we start implementing it from next year. So maybe you just comment on that.

Koushik Chatterjee: ED & CFO - Tata Steel Limited

At this point of time, as I said that we are discussing with the government and by the next six months we should have a definitive term sheet in place, six to eight months before the end of this financial year, if the discussions go right. After that, obviously, in both the UK and Netherlands [inaudible] in some ways what is called as a Planning Permission, almost like an Environment Clearance in India. So, there is a planning permission period which is a long lead item. We will obviously have to get into a what we call as the detail engineering process to understand and fix the capex numbers and the timeline. The end is known and that it has to be done before 2030, because in 2030, the emission norms reduction kick in. After that we will have to comply with that requirement. So, just now it is actually the engineering capex that will go in the initial years and the planning permission, site preparation, community hearing all of that is the part that goes on in the initial

period. In parallel, the technology is finalised, the retail engineering, the technology suppliers agreement, even the other infrastructure requirements, whether it is power etc., those kind of stuff gets in place and then the spend. On the TSN decarbonisation, I think it is about a year behind T SUK decarbonisation project. So, we will see the UK decarbonisation project starting to spend serious money in about 12 months because June 2025 is when we will get the accelerated planning permission and then the construction period starts. As far as Netherlands is concerned, it is about a year later.

Samita Shah: VP CFTRM – Tata Steel Limited

Thank you. There are some questions on importing slabs or coils into the UK and does that attract any tariffs and how does that actually affect the entire operation?

Koushik Chatterjee: ED & CFO - Tata Steel Limited

Good question. There are quotas that are in place for imports on hot rolled coil,

not on slabs. We have a mix of slabs and

hot rolled coil. We have been working with the Trade Regulatory Authority to take out those quotas and these quotas are going to get suspended. We have been requesting for a bespoke arrangement [inaudible] so that we can give it now without any tariff implications. The whole idea is, and the government has been receptive, the regulatory authorities have been receptive only because of the fact that we are the only flat product producer of steel in the UK. There is no other competition which gets affected because of the way in which the tariffs are placed. The tariff will be structured in a manner which facilitates the import of slabs into the UK.

Samita Shah: VP CFTRM – Tata Steel Limited

Thank you. There are some questions in terms of the funding. There is a question on dollar bond outstanding 2028, do you have any plans to take it up earlier? Related question about all the equity injections which are happening in the various subsidies, how is that being funded?

Koushik Chatterjee: ED & CFO - Tata Steel Limited

One of the principles, as far as dollar bonds is concerned, I think we will run till course. There is buying back dollars [inaudible] the bonds are costlier and more complex. As far as the second question is concerned, one of our whole orientation has been to ensure that from a broader capital structure efficiency purposes, the debt is better served on the India balance sheet than on anywhere overseas. That is a broader theme than if you have been tracking the deleveraging over the last four years or so. You will find that happening and that is important because we have been paying significant amount of tax in India. So, I think we just need to kind of rebalance it and use the flow in an efficient manner so that we can optimise on the cash flows across the Tata Steel consolidated financials.

Samita Shah: VP CFTRM – Tata Steel Limited

Thank you. There is a question on our LNG powered trucks and logistics systems. Could you elaborate any more plans and what is the plan with regard to this?

T. V. Narendran : CEO & MD – Tata Steel Limited

We continue to take initiatives to make sure supply chain is greener. Already in Netherlands, there are initiatives around delivering with greener trucks to customers who want that service. In India, we have been moving cargoes on ship and on road, using greener options than we have today. So that is an initiative which will continue to be taken across Tata Steel sites because we move a lot of material around. If you are moving about 30 - 32 million tons of steel, you are moving

typically about 90 million tons of various inputs. So, there is a lot of opportunity when you look at it from a scope 3 kind of

carbon footprint point of view. Those are initiatives which will continue. Of course, as you know, long distance movement of cargo on trucks is still a challenge and the commercial vehicle industry globally needs to come out with solutions. I think short distance, it is easy to electrify and use options, but long distance is still an issue.

Samita Shah: VP CFTRM – Tata Steel Limited

Thank you. There's a question on the Ludhiana project. What is the timeline for completion and ramp up to full capacity?

T. V. Narendran : CEO & MD – Tata Steel Limited

The board approved timeline is two years from March 2024. That is March 2026. We are hopeful to have the plant up and running well before that. We will give you a more specific guidance next year and it should not take long to ramp up. It is an EAF with a rolling mill and it is a state of the art plant. Once we start some of these, it is not like starting up a blast furnace or something else. It should be much simpler to start up and ramp up to full capacity. Of course, the volume impact will largely come not in FY 26, but maybe in FY27 because that is when the plant would be ramped up.

Samita Shah: VP CFTRM – Tata Steel Limited

Thank you. And last question which we will take is on NINL, there is a resolution to fund Rs. 6,000 crores. What is this for?

Koushik Chatterjee: ED & CFO - Tata Steel Limited

This is actually not a new funding. This is when we acquired NINL, we had Tata Steel Long Products (TSLP) in between. Therefore, we had to move through Tata Steel long products some part and some part directly, because in TSLP we used to hold almost 74% so we could not equitize the company at that point of time to do this acquisition. So, we had this NCPRS, then once TSLP got merged with Tata Steel then we are holding it directly and now there is an opportunity to equitize it and ensure that the NCPRS is not in between because when you see the standalone numbers of NINL, sometimes based on the yield to maturity basis you have to accrue the interest on Standalone. So, I think it just was inefficient from that perspective. On a net basis, it is basically a conversion of NCPRS into equity if you look at it in substance.

Samita Shah: VP CFTRM – Tata Steel Limited

Thank you. With that I think we've answered all the questions. Thank you very much all our viewers for joining us. We look forward to connecting with you again next quarter. Thank you and bye.

T. V. Narendran : CEO & MD – Tata Steel Limited

Thank you.

Koushik Chatterjee: ED & CFO - Tata Steel Limited

Thank you very much.

Call: Nov 2024

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CORPORATE PARTICIPANTS

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PRESENTATION

Operator:

Ladies and gentlemen, good day, and welcome to the Tata Steel analyst call. Please note that this meeting is being recorded. All the attendees' audio and video has been disabled from the backend and will be enabled subsequently. I would now like to hand the conference over to Ms. Samita Shah. Thank you and over to you ma'am.

Samita Shah: VP CFTRM – Tata Steel Limited

Thank you, Kinshuk. Good morning, good afternoon, good evening to all participants listening to the call. On behalf of Tata Steel, I'm delighted to welcome you to this call to discuss our results for 2QFY25. I'm sure you've gone through the presentation, which has been uploaded on the website, and have questions, which we'll be happy to take. Before I hand it over and introduce our participants, I would just like to remind you that the entire proceedings are governed by the safe harbour clause on page 2 of the presentation. We have with us our CEO and MD, Mr. T.V. Narendran and our ED and CFO, Mr. Koushik Chatterjee. They will make some opening comments, and then we will take questions, first in audio mode and then in chat mode. Thank you, and over to you, Naren.

T. V. Narendran : CEO & MD - Tata Steel Limited

Thanks, Samita. Good afternoon and good morning to everyone. I'll make a few comments and then pass it on to Koushik for his comments before we open it up for Q&A.

Global operating environment has remained challenging due to subdued economic activity, inflation and sustained geopolitical tensions. US and EU have initiated rate cuts and China has announced stimulus measures. However, elevated steel exports from China have distorted global trade dynamics and weighed on regional prices. China steel exports for September were over 10 million tons, an 8 year high and YTD exports are annualising at more than 100 million tons. In response, various nations including India have initiated antidumping investigations on select steel products. While India's steel demand has continued to remain strong, steel prices have witnessed moderation.

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Moving to our performance, Tata Steel India crude steel production rose 5% YoY to around 5.3 million tons for the quarter. Deliveries stood at around 5.1 million tons and were aided by 6% YoY growth in domestic deliveries across business verticals. Automotive & Special products volumes for the quarter were aided by the increase in sale of hi-end products. Our well-established retail brand Tata Tiscon witnessed 20% YoY growth aided by enhanced reach and scale-up of consumer connect programs. During the quarter, our e-commerce portal Aashiyana expanded service offerings and two new construction service centres were launched, taking the total to 35 construction service centres across India. This will aid in scaling our ready-to-use solutions for B2B customers. We remain focused on simplifying our customer's journey and experience in construction. Industrial Product & Projects business witnessed strong growth across value-additive segments with engineering registering a 28% YoY growth. We also executed a number of orders for railways, including the first one for the Amrit Bharat Express launched by Indian Railways. We made strategic progress during the quarter, with commissioning of the 5 MTPA blast furnace at Kalinganagar. The blast furnace is operating and already producing

about 7,500 tons a day. Kalinganagar expansion is an important milestone in our journey to scale up the high margin India business. The state-of-the-art cold rolling mill is already running. The annealing lines are getting commissioned this month and the galvanising lines will get commissioned in the next couple of quarters, one galvanising line by March and the other by June next year. The new blast furnace, along with the cold rolling mill complex, will boost our production capabilities and aid in strengthening our position as a market leader in the value added steel segments. Further with facilities such as a 6 MTPA pellet plant, our cost profile will also improve. In the UK, we have safely decommissioned both the blast furnaces at Port Talbot, and this paves the way for green steelmaking project that we are executing. Our planned investment of £1.25 billion will be partly supported by the £500

million grant from the UK government, which has been signed during the last quarter. This investment will aid in preserving steelmaking in the region as well as sustain more than 5,000 jobs in the UK. We remain committed to supporting affected employees and have offered the best ever package of support in Tata Steel UK. The restructuring is going on as we speak, and you will see the benefits of it over the next few quarters.

In Netherlands, subdued demand dynamics have weighed on the prices and thereby, performance. Koushik will elaborate about the same, and we have initiated a number of cost saving measures to offset the weakness in market conditions. The production is back on track after the blast furnace relining.

We are committed to sustainable value creation and are dynamically calibrating our decarbonisation journey to the operating geography. In India, we are committed to responsible growth, and our new blast furnace in Kalinganagar has an eco-friendly design and utilizes an evaporative cooling system. For the first time in India, something like this has been used and this is expected to lower specific water and power consumption by approximately 20% compared to conventional designs. Separately, we have set up satellite R&D centres to leverage national and global technology systems and strategic focus areas such as hydrogen and mining [inaudible]. In UK, upon transition to scrap based EAF, the direct CO₂ emissions will reduce by 50 million tons over a decade. Similarly, in Netherlands, we are working on the transition plan with the government in Netherlands. Thank you, and over to you, Koushik.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Thank you, Naren. Good morning, good afternoon, and good evening to all who have joined in. I will begin with the half yearly performance. Our consolidated revenues for the half year were Rs. 1,08,676 crores and EBITDA was Rs. 13,046 crores, which translates to an EBITDA margin of around 12%. EBITDA margin improved by around 300 bps YoY aided by steady performance in India and better profitability in Netherlands compared to the previous year. Moving to the quarter, our performance has been provided on Slide 25 of the presentation. Consolidated revenues stood at Rs. 53,905 crores, 3

and the EBITDA was Rs. 6,224 crores, which translates to a margin of around 12%. Before I delve into the numbers across geographies, I would like to mention that we have received approvals for the amalgamation of Indian Steel & Wire Products limited (ISWP) and the Standalone financial statements for the quarter reflect the merger and past periods have been restated, as applicable.

Tata Steel Standalone EBITDA for the quarter was Rs. 6,734 crores, which translates to an EBITDA margin of around 21%. On per ton basis, Standalone EBITDA was around Rs. 13,176 per ton. As provided on Slide 31, EBITDA on absolute basis was broadly similar to the previous quarter despite seasonal factors. Higher volumes a

nd improvement in total costs

more than offset the drop in realisations.

I would like to elaborate about costs. There has been a decrease in valuation of chrome ore inventory as on 30th September 2024 and this is primarily on account of lower accrual of royalty charges. This has led to a non-cash charge in raw material cost and also a decrease in other expenses which includes royalty related expenses. The above treatment is broadly P&L neutral. Excluding chrome ore effect, material costs declined by around Rs. 600 per ton due to decline in coking coal consumption cost and lower purchases. However, this was partly offset by inventory movement and raw material for startup of the new blast furnace at Kalinganagar. Separately, conversion costs excluding royalty declined by around Rs. 2,000 per ton primarily on account of lower employee benefit expenses, consumables, and rates & taxes. Overall, this led to an improvement in total costs.

Neelachal Ispat Nigam Limited, is part of the consolidated performance, and is producing at rated capacity of ~1 MTPA. Its operating parameters have stabilised resulting in an EBITDA margin of 13%. We are looking forward to growing this asset in the future.

In Netherlands, the EBITDA generated was about £22 million in 2Q compared to about £43 million in 1Q. The EBITDA on per ton basis declined by about £14 per ton on QoQ basis. EU steel demand has been weighed by subdued economic activity, including the weakness in the industrial output. The PMI is now at about 42. At the same time, steel imports have remained steady, and China dynamics continued to weigh on global steel prices. Given this, the revenue per ton was down by about £43 per ton on QoQ basis. However, this was partly offset by material cost, primarily driven by lower coking coal consumption cost to the tune of \$27 per ton and the iron ore consumption cost to the extent of about \$14 per ton. Conversion costs were broadly stable. Looking ahead, our liquid steel production numbers in Netherlands will be much higher than previous year because, as Naren mentioned, BF6 is operating [inaudible]. The market conditions though remain challenging with spreads contracting in the near term, and therefore, the efforts are on across the company to improve cost.

In UK, EBITDA loss widened from about £91 million in 1Q to about £147 million in 2Q. EBITDA on a per ton basis declined by about £100 per ton. One of the fundamental reasons is that this is a transition quarter for UK. The revenue per ton was broadly stable, while total cost increased by about £100 per ton. Within cost, raw material consumed plus purchases declined by about £59 per ton given the shutdown of one of the blast furnaces, but this was more than offset by the inventory movement that led to QoQ increase of about £151 per ton. Inventory movement was primarily due to the buildup of stock in 2Q vs. 1Q. Overall, material cost increased by about £100 per ton. This, as I mentioned, has been a transition quarter, where we operated one blast furnace and also purchased slabs and coils. The fixed costs have not declined as yet, because the grant funding agreement and the completion of the union consultation got extended by four months due to the elections. [inaudible] So far, we have been issuing letters post the formal consultation at the [inaudible] individual level to the voluntary redundancy candidates. In the coming quarters, we expect that about £100 per ton of reduction in fixed cost from the current levels that we see.

Moving to the cash flows, we've spent about Rs. 4,800 crores on capital expenditure during the quarter and Rs. 8,585 crores for the half year, mostly in India. We have commissioned our second blast furnace in Kalinganagar, as Naren mentioned, which cost around Rs. 3,900 crores. In the later part of the year, we will be commissioning associated facilities in Kalin

ganagar expansion, amounting to almost about Rs. 19,000 crores in this current financial year. The work is in progress. It's a completion part. It's not that we are going to spend Rs. 19,000 crores. Associated facilities, include the continuous annealing line, continuous galvanizing line, and the air separation unit, to name a few. Separately, we have placed equipment orders for the 0.85 MTPA EAF plant in Ludhiana and have started receiving select orders. During the quarter, we have also had, after pursuing for about three years, an income tax refund. Principal amount of the refund was about Rs. 1,500 crores, which has been adjusted directly in tax assets in the balance sheet. This pertains to the Bhushan merger [inaudible]. While for the half year, you would see a working capital buildup, for the quarter we have actually released about Rs. 850 crores of inventory and Rs. 1,000 crores of debtors, resulting in better cash flows from gross working capital release. Overall, the operating performance at Standalone and Netherlands was offset by UK performance, and coupled with the working capital and dividend payout, led to a marginal QoQ decline in the cash and cash equivalents of about Rs. 485 crores. Our net debt stands at about Rs. 88,817 crores and our group liquidity remains strong at about Rs. 26,000 crores.

As Naren mentioned, we signed the grant funding agreement with the UK government for the £500 million grant support for building the EAF and are progressing on setting up the project. We have signed a contract with Tenova to deliver a state-of-the-art EAF and have completed the public consultation process on the planning application. We expect to commence groundwork at the site by around July 2025. In the interim, we will operate the UK downstream operations by utilising substrate sourced from our own operations and external market. This will help us sustain our significant market presence across the steel end use segments in the UK. We are committed to supporting the affected employees and are providing best ever support package and reskilling. We are also focused on ensuring that we will continue to work on the cost side to take out fixed cost, which is more appropriate to the operating model for the next 3 - 4 years till the EAF comes in. In Netherlands, we are engaged with the government on potential support for the decarbonisation project.

Moving on finally to the ORISED in India. In India, it is unclear in the manner in which the ORISED Act, 2004 may get enacted once the decision of the Hon'ble High Court of Orissa [inaudible] by the Hon'ble Supreme Court, which currently is pending. We are also in the process of filing a curative petition with the Hon'ble Supreme Court and in active discussions with the State Authorities on the way forward. Given the above background, we would not be able to assess any financial impact at this point of time, and we'll consider the same in due course. Presently, there is no legal obligation in respect of the levy related to the ORISED Act, 2004 and accordingly, we have not recognised any provision in standalone or consolidated financial statements. With this, I'll end my comments and open the floor to questions. Thank you so much.

QUESTIONS AND ANSWERS

Operator

We will now begin with Q&A session and the first question is from Satyadeep Jain of Ambit Capital.

Satyadeep Jain, Ambit Capital

Just wanted to start off with UK. You mentioned, we're looking at a reduction in fixed cost of £100 per ton in the coming quarters. Can you maybe give some clarity or insight into by when can these fixed costs be taken out? And the trajectory of earnings in UK over the next two quarters. By when can we expect breakeven in EBITDA and cash flow terms in UK?

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Koushik Chatterjee : ED & CFO – Tata Steel Limited

I mentioned £100 per ton of fixed cost take out over the next 2 quarters. It is a broad com

ponent. If I were to take one

minute to explain. Now we are buying substrate, whether it's supplied from India, Netherlands, external markets, and then doing the conversion and selling to our customers. So, the fixed cost base has to come down [inaudible]. A natural outcome of closing the heavy end is that the maintenance cost comes down, the stores and repairs comes down, the higher end leasing comes down, and of course, the people costs come down. These are broadly the four levers, and these are the areas that we are working on. Between 3Q and 4Q, we will be looking at these levers. This may not be the end of the cost take out, because we will have to continue to do the same. Our sense is that we have extended by four months because of the delay in the grant funding agreement. Of course, the market plays a big impact, but our objective is, during the 3 - 3.5 years of transition, to ensure that we achieve neutral to positive or breakeven. [inaudible] It is more around 1Q or 2Q of next year that we should be able to do that. The cost take out is the primary goal at this point of time in the UK, and there are enough levers to do that. To give a short answer, it's essentially by June of 2025, we should be looking at it. Hopefully, the market also supports us.

Satyadeep Jain, Ambit Capital

Second question would be on cash flows. We've seen significant buildup in working capital in the last six months. Net debt has increased almost Rs. 10,000 crores. Just wanted to understand, when you look at working capital buildup in UK, I would assume that it's the other entities within Tata Steel that are giving raw materials. So why is working capital at the consolidated level going up because of inventory buildup in UK? Further, when you look at how much inventory has been

built up in UK, what kind of working capital release can we see? Tied to debt and cash flow would be when do you start incurring capex on Netherlands decarbonisation. Basically, what kind of net debt levels are we looking at in the next 12 months or so?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

If I were to deconstruct that question, first is that the working capital level increase did not happen only in UK. We were also building up inventory levels in India for coal. I'm talking about 2Q. In 1Q, we had a significant amount of creditors to be paid off because of the Bf6 payment for the reline, which extended. When your creditors go down, you see a net working capital increase because your creditors are being paid off. So, you see double impact of that. In the UK, the stock release has also happened in terms of raw materials, the iron ore, coal that was there. We have released it. The slabs stock buildup was happening to be ready for the closure. Second is that we were also running blast furnace for as much as we could and building up the stock, so that the supply chain buffer is there for the next couple of months. If you look at it, 2 - 2.5 million tons of slabs and coil imports coming in are not small volumes. The system takes time to normalise. That's why I say this is a transition quarter and possibly the next quarter. I think once the Kalinganagar ramp-up happens, which is already on its path, and we commission more of the downstream allied and associated facilities, we will see stabilisation of that working capital. So that is certainly going to happen. The working capital buildup is not always because of the debtors and inventory or finished goods, it also happens because of the movement in the creditors. We just need to take that into account, because the creditors have also got to be paid out. It is a function of both. In fact, our number of days of gross working capital has been very tight as far as India is concerned. And it will continue to go down in Netherlands and stay stable in the UK. I think as you see this quarter, we have released about Rs. 850 crores

on account of inventory and

about Rs. 1,000 crores of debtors. So Rs.1,800 crores have come down in this quarter. You referred to the half year number, which is what you would see in the SEBI release. But for the quarter, there's about an Rs. 1,800 crores of gross

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working capital release and taking into account the creditors, it is still a positive of about Rs. 400 crores. I think that's the trajectory on which we will move.

Your second part of the question is about the Netherlands capex. We don't see Netherlands decarbonisation capex coming in the next 6 - 12 months from today. We are in negotiations with the Netherlands government and there is a process by which the grant numbers will be decided by the government based on our application, where the negotiation is on also with the European Commission on stated issues. All this will take some months to finalise. Once that gets finalised, then the question will be on the ground, the permitting process, the detailed engineering process etc. I don't see Netherlands capex coming into play in the next 12 months. UK capex will start happening, but typically, in this kind of project, the first 18 - 24 months of spends are not very significant. It's in the last 12 - 16 months that the spend actually starts picking up. 2025 - 26 will be mostly completion payments of Kalinganagar, because as I mentioned that there's almost Rs. 19,000 crores of capex which will get completed over the next few months. So those payments will come and then it will be more sustained. Next year will be light on capex compared to the last two years. But sustenance capex has to be spent, improvement capex have to be spent, but the aggregate of all that will be much lower. UK will start spending, but we will also get 40% grant on a quarterly basis. The net spending in the UK will also be not so significant.

Satyadeep Jain, Ambit Capital

Just want to get summary. Tata Steel historically had this \$1 billion deleveraging target. Now it's become releveraging in the last 12 months or so. When we look at all the capex requirements and maybe working capital, would you say this is peak debt? What could be potential deleveraging and is further deleveraging possible from here?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

[inaudible]. It is also the target. If you look at the gross debt numbers in 2022, when we undertook almost about \$4 billion of deleveraging, it was about [inaudible]. For a growing company, I think that will be the level at which we would be comfortable from a debt perspective, between Rs. 75,000 - 80,000 crores. The underlying indication of the next year being a capex-light year and a year in which we will have higher production numbers from India, and the benefits on cost takeouts, both in UK and Netherlands, we would certainly want to resume the long-term targets that we have of \$1 billion [inaudible]. That's certainly something that we are planning at this point of time.

Operator

The next question is from Sumangal Nevatia of Kotak Securities.

Sumangal Nevatia, Kotak Securities

Sir, my first question is on UK. Now we are saying that the cost takeout would be gradual over the next 3 - 4 quarters. Just want to understand how will the P&L of UK look? I mean, should we expect losses of Rs. 1,000 - 1,500 crores to continue with a declining trend? Maybe if you can give some more colour for the next 2 - 3 quarters?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

If we were in good market conditions, we would certainly have been in a much better position. I think that we are somewhat peaking in terms of the losses in this quarter. Our target is to take out more and more cost. Actually, other than the people cost, all the other fixed cost takeouts are being pushed. In people cost, there is a certain process and that process is essentially in terms of individual consult

ation. If a person is identified as redundant or will have to move towards or has

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volunteered to take redundancy, there is a process of engaging with that person over multiple rounds and it takes time. That's why four months I mentioned was important, because four months is a lot of time to engage with people. We see that a significant tranche of people will move out by end of March and there will be [inaudible] left who would possibly go off in June and some more maybe after that. We have signed up with the government that 5,000 people will continue. Our aim is to essentially come as close to that. Today, the number is much higher, because we are coming down from a base level of 8,000 +. We are expecting the level of losses to come down over the next three quarters. Our target is to ensure that we are neutral as far as EBITDA is concerned and cashflow neutral by June 2025.

Sumangal Nevatia, Kotak Securities

Koushik, in that assumption, are we expecting market to improve? Or in the current state of the market also, we are confident that we would be breaking even at the EBITDA level and cash level?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Yes, my assumption is on the current market situation. The only thing is, I would assume that the market would not be worse off than where we are today. I'm also basing the assumption that it is actually the internal levers on fixed cost which is the most important issue.

Sumangal Nevatia, Kotak Securities

Next question is on Netherlands. Now that our plant is stabilised, how do we see the spreads or, say, EBITDA per ton shaping up in the next few quarters? We used to say \$80 – 100 per ton as through cycle margins. How far are we from that level in the current market situation?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

The through -cycle margins were not €80 - 100 per ton. I would say, through -cycle margins were more around €60 - 80 per ton. Peak levels would be €120 - 140 per ton. What has happened in Netherlands is there are some structural regulatory costs, which has also started coming in, carbon is still much higher than the historical level. When we spoke of €60 – 80 per ton, the carbon prices used to be more around €18, €20 - 25 per ton. Just now I think it's more around €60 – 65 per ton. So that's one impact, but that's not the only impact. There also, we are looking at a significant fixed cost takeout and not just next two quarters, but it will continue, because we need to take out a lot more fixed cost, improve the efficiencies. The operating efficiencies, there are in certain areas, including the maintenance costs, etc. My point would be that the goalpost hasn't shifted. We still want to get to that \$60 - 80 per ton. If you look at market conditions, the spreads are really declining in this quarter compared to first quarter. It is also showing up in the third quarter. The other thing which happens is the fact that the contract prices gets settled in this quarter and next quarter for the next one year. If the base levels are low, then the contract prices does get affected. We certainly see the next two quarters to be volatile as far as Europe is concerned. We are focusing more internally than externally. The target of that €60 per ton continues to be the same.

Sumangal Nevatia, Kotak Securities

Now that we've commissioned KPO -II almost we've still not started the next phase of expansion. Do we think we are slower than desired in taking up growth projects in India?

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T. V. Narendran : CEO & MD - Tata Steel Limited

The work is already going on. Our approach to capital projects is now more about doing all the detailed engineering and getting the environment clearances ahead of going to the Board for approvals, because that gives us more certainty in the execution, often we take the Board approval and then take longer than planned on envi

ronment clearances. On 29th

November, we have the public hearing for expanding NINL to 10 MTPA. Once we have the EC on that, we can progress as fast as we want. While we have not announced the project, because we will do that after the Board approval, but the work is already going on. The Board has already approved expenses to be incurred for all this preliminary work. Immediately after this, the focus will be on NINL expansion, which will take it from 1 to 5 MTPA and after that, we have the Kalinganagar option from 8 to 13 MTPA, and the Angul plant option from 5 to 7 MTPA. So again, some of the engineering work is progressing on those two as well. Immediately after the Kalinganagar expansion, there are two facilities coming on stream. One is the Ludhiana steel plant, which is 0.85 MTPA steel plant, which should be ready by 2026 and the work is going on in full steam. In Jamshedpur, we're also setting up a 0.5 MTPA mill to service what is going to be downstream of the Usha Martin steel business that we had acquired i.e., the Gamharia steel plant. The mill is more to cater to the high-end forging quality requirements of the passenger car vehicles and the two-wheelers. We are already servicing commercial vehicles. We think the pace is just right for the current market conditions.

Operator

The next question is from Amit Dixit of ICICI Securities.

Amit Dixit, ICICI Securities

I have a couple of questions. The first one is on the forex movement in this quarter. If I look at the adjusted EBITDA v s. reported EBITDA, there is a significant gap, although the USD -INR movement was not that stark. So just wanted to get your view on why there is so much gap between adjusted and reported EBITDA. I know it's very difficult to quantify but some of the factors that led to the movement would be very helpful.

Samita Shah: VP CFTRM – Tata Steel Limited

Amit, it's not the INR -USD, but USD -EUR which is driving the consolidated level impact and that has been volatile, and that has actually translated into such a large amount .

Amit Dixit, ICICI Securities

The second point is on KPO -II. How is the ramp -up going on? What were the incremental volumes in this quarter, if any? How do we expect this to be in 3Q and 4Q of this financial year?

T. V. Narendran : CEO & MD - Tata Steel Limited

As far as Kalinganagar is concerned, the blast furnace, as we mentioned, is the largest in India. Steady state production should be 15,000 tons per day. We are already at 7,500 tons per day [inaudible] . There is a ramp -up we have planned and as per the plan, next step is to take it to 10,000 tons and so on and so forth. By 4Q of this year, we will be running at 15,000 tons per day. So that's the plan. This year, we will have about 1.1 million tons additional volume coming out of Kalinganagar. Next year, it will be closer to 3.5 - 4 million tons, and the year after will be the full 5 million tons. The reason 3.5 - 4 million tons next year is because the third caster in the steel mill shop will be commissioned by September next year. It's a step -by-step volume growth. The other facilities being commissioned this quarter are the coke ovens. The cold

rolling mill was commissioned earlier, but the annealing line is being commissioned this quarter. In the next two quarters, the two galvanizing lines will also be commissioned. The volumes are as per the guidance I've just given you, but the ramp -up is going on well. Of course, in any big steel plant, when you ramp up, you hit different bottlenecks at different points in time. Just now the bottleneck is oxygen supply, which we are sorting out. I think that's where it is, largely on track as we had planned.

Amit Dixit, ICICI Securities

You mentioned that in standalone statements, the other operating cost benefit was to the extent of Rs. 2,000 per ton . How much of it would be recurring

because some of it is due to rates & taxes that might not recur in the next quarter?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Beyond the rates & taxes, you are right it will keep going up and down. Fundamentally, we are undertaking a significant cost takeout program, which focuses on the stores, repairs, and maintenance. Now we have five sites, so we are optimizing across sites. We are working on our purchase of stores, spares, consumption patterns, predictability on maintenance, what gets done internally and externally. Then there is rework of many of our additional processing costs, which is done externally, conversion costs etc. There is a menu cost takeouts that we are working on in India , fundamentally to look at reduction in costs. I would say that this cost takeout is going to sustain after some time. This trend will continue, and we are rebasing and structurally addressing the cost. That is the only thing that you can do at this point of time when the markets are so challenging. We will continue that direction of travel and a part from the rates & taxes, the other structural costs will continue to remain.

Operator

Next question is from Ritesh Shah of Investec .

Ritesh Shah , Investec

A couple of questions. You indicated we'll go from 7,500 to 15,000 tons per day . What is the cost benefit that we can see on operating leverage for the India operations with KPO -II going full throttle ?

T. V. Narendran : CEO & MD - Tata Steel Limited

The Kalinganagar plant is going to be producing 8 MTPA with 4,000 - 4,500 people. That is one big leverage. In terms of labour productivity, it will be comparable to the best in the world. Secondly, the coke rates for these large blast furnaces, will be much better than many of our smaller blast furnaces, let's say, in Jamshedpur . Thirdly, in Kalinganagar itself, the conversion cost will come down and Kalinganagar will become the most competitive site for us across Tata Steel, because today, Kalinganagar carries a lot of costs at the 3 MTPA level, which will get distributed over 8 MTPA , because the infrastructure was built for 8 MTPA . With this blast furnace coming in, we see at least Rs. 3,000 - 4,000 per ton of benefit coming out of Kalinganagar. On a consolidated basis, we'll have to calculate to see how it translates at the Tata Steel India level. We can come back to you on that.

Ritesh Shah, Investec

Sir, you indicated in FY2026, focus will be on higher production and lower capex . You also indicated that we would strive for a \$1 billion deleveraging target. To my understanding, it would be back in FY 2027. Is it possible to give guidance for

FY2026 for UK and Netherlands separately? You already indicated for KPO -II. When we say lower capex, is it possible to break it up for, say, India, Netherlands, and UK? I'm just trying to understand the debt profile and how we're looking at it?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

As every year, we give that guidance when we get past the third quarter is when our planning numbers are in place. I think the direction of travel is what I mentioned. Specifically, I would be able to give it to you more in January or February. Fundamentally, there are some moving parts as far as Netherlands and UK is concerned. We need to stabilise that, push that, and ensure that we are doing that. As far as lower capex is concerned, it's because we are doing the engineering work for the NINL expansion, but fundamentally closing and completing TSK Phase II, there's only one part that will remain, which will happen in August or so, which is the caster 3. Other than that, most of the facilities would be commissioned. We may not get to the full capacity in FY2026 out of KPO, but a significant proportion of the capacity. So, 4 out of 5 million tons, we should be able to get there.

Ritesh

Shah, Investec

Regarding decarbonisation capex in Netherlands, we had proposed to the government, based on consultation and what's publicly available, we were looking to replace BF7 as well as coking gas plant two by 2030. We had indicated a timeline over here. Now when we say that we don't see any capex coming for, say, next 12 months, what is it that has changed from a regulatory standpoint?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

When I say that the capex is not there, during the first 18 months, we spend on engineering work, the site preparation work, the permitting part, etc., which is happening even in the UK. If you look at UK, when we signed or when we are saying July 2026, we will start work on the ground. All this time before that is on permitting, etc. I think that is the lead time that is required. What we call here as environment clearance is a permitting time there. It's the same kind of stuff. What I said is that it's not that the work will not start, but the spend is not significant at this point of time for the next 12 months. We have to comply with the 2030 guidelines anyway and the build period is typically 3.5 years. So, if you factor that in, you will see that this is broadly in line [inaudible].

Ritesh Shah, Investec

I presume, I think you will indicate that we have not finalised the configuration for Tata Steel Netherlands. But hypothetically, if we had to go for, say, only an EAF or a hydrogen-based DRI, what are the broader parameters in the marketplace from a capex intensity standpoint one can look at, from an industry standpoint, not specific to Tata Steel Netherlands? I'm just trying to understand what the potential capex outgo can be pertaining to decarbonisation.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

It's not that we have not identified the configuration. We have actually submitted our application to the government. It is a DRI-EAF combination. In UK, it was an EAF combination and because we have a pellet plant in Netherlands, the mix of Netherlands is different. So, we've submitted that. Hydrogen is not a fuel which is available in the price or quantity at this point. Europe is building up the hydrogen infrastructure at this point. EU themselves want companies to commit to the tapping in or conversion from natural gas to hydrogen over the next 15 years. In designing it, we are enabling the conversion to use hydrogen when it is available. Naren, do you want to add something?

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T. V. Narendran : CEO & MD – Tata Steel Limited

I think the other reason we are building a DRI or proposing to build a DRI plant in Netherlands is gas availability. The way it has been configured is the DRI plant that we build in Netherlands will use gas and as and when hydrogen is available in plenty and competitively, you can always switch from gas to hydrogen. That's a call that will be taken based on the economics of it. That's also part of the discussion with the government because the price at which hydrogen is available is important to make the choice. The configuration is all fixed, and that's part of the proposal to the government.

Ritesh Shah, Investec

Capex intensity indicative, if possible?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

We would do that surely. In UK, we have done a turnover contract. When we get into that stage, it is much easier to give that intensity. As far as the EAF is concerned, it will be of the similar number as UK, which is about £1.2 billion and the DRI of similar configuration is about £1 - 1.2 billion. However, it is an asset where this is an existing plant. In UK, we shut down the heavy end, whereas here, we are going to continue to run the blast furnace and build next to it. The infrastructure requirement or the ability to actually build around a running plant will have its impact on the infra and the enabling facilities, which

is what is being determined as part of the detailed engineering.

Operator

Next question is from Tarang Agarwal of OldBridge Capital .

Tarang Ag rawal, OldBridge Capital

How much of Rs. 27,000 crores of KPO -II has been spent till 30th September '24?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Rs. 18,000 - 20,000 crores, but it also includes the iron ore circuit, et c. If you take all of that, we have another Rs. 7,000 crores to spend. A lot of it is also spent after the commissioning as part of performance guarantee, retention money etc.

Tarang Agrawal, OldBridge Capital

The second question is on the cash burn in 1H in Europe. Overall, how should we look at cash flows for Europe in FY 2025? A subsequent one, when do we expect the cash payouts for the settlement with the Port Talbot Employee Union?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

That will happen over next three quarters. Some of them will be there in 3Q, but mostly 4Q and 1Q of next year [inaudible].

Tarang Agrawal, OldBridge Capital

Europe overall cash burn in 1H and overall, for FY 2025, current estimates?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

I think it would be more appropriate to talk about it when we finish 3Q, because there are certain transition cashflows that we are also building up, including the redundancies, because when you do voluntary redundancies, you can't be precise, 12

because we want to complete the redundancy process over the next two quarters. It will depend on if we can complete that with the VR. Otherwise, there will be a compulsory redundancy training program. That is a big thing as far as UK is concerned. As far as Netherlands is concerned , the operating cash flows in 3Q will be negative, but will come back, because the spreads are at about €200 per ton at this point of time. At €200 per ton , the operating costs and fixed cost numbers are significantly higher. We w ill have to look at 3Q. 4Q, we expect the turnaround to happen. In the meanwhile, we are tightening up the working capital . One other thing which helps is the lower level of iron ore and coal cost. We see, at best, a neutral cashflow as far as Netherlands is concerned, by the second half.

Operator

Next question is from Kirtan Mehta of BOB Capital .

Kirtan Mehta , BOB Capital

In terms of the India operations, we have started generating a very significant EBITDA margin in the range of Rs. 12,000 - 15,000 per ton . This is coming because of our advantage of iron ore security, value -added products, improving retail presence. Is it possible to bifurcate our EBITDA margin into sort of commodity component and additional uplift that we get from each component on a quarterly basis? Would be very helpful to understand how the volatility is getting reduced and what is our relative competitive advantage to our peers.

T. V. Narendran : CEO & MD – Tata Steel Limited

We'll do some work on that. I don't think we can share that with you just yet. Internally, we do track it very differently. Like you said, there's an iron ore advantage, which is less visible when iron ore prices are low and more visible when iron ore prices are high. If you look at iron ore prices at \$100 per ton , the difference is not so much but when the iron ore price is \$150 - 200 per ton , it's more . So that is one part of it. The other part is, if you look at Tata Steel's sales, typically, 85 - 95% of our sales is in the domestic market, largely because we have a very strong franchise. Even though we have incremental volumes , everything is sold in the domestic market . Today, in fact, most of the exports that you see is what is going to the UK. The third thing is our downstream, we have a significant presence in tubes, wires, et c., which gives us an advantage.

Regarding o ur retail presence, now we sell almost 200,000 tons per month of steel, Tata Tiscon, to the

retail segment

through our network of dealers and distributors. We have over 12,000 dealers across the country. These are the advantages that we have, and of course, our 50% market share with the auto segment, which will increase further with the cold rolling mill coming in, because we are a bit short on cold rolled and galvani sed products for auto. With our 2.2 MTPA cold rolling mill in Kalanganagar, that will get enhanced. The other approval -based business es, we sell to oil and gas, which again is growing thanks to Kalanganagar. We'll see what the best way is to capture this in a manner that is helpful .

Kirtan Mehta, BOB Capital

The second question was about the CRM complex. You have now given a detailed guidance in terms of the ramp -up of KPO -II. Would it also be possible to give similar guidance on CRM, both on volumes as well as the margin potential that we can achieve and how do we ramp -up to the full margin potential of the CRM?

T. V. Narendran : CEO & MD – Tata Steel Limited

The cold rolling mill itself has been operating for the last few months. That is going on as per plan. There's no issue there.

The annealing line is getting commissioned this month and that means you can then have the annealed product. Otherwise, you had what was called the full hard CR, which we were using in other facilities of Tata Steel or selling. We will have one

galvanizing line coming in March and the other one by June and that will help us in the mix as well. One is a volume ramp-up, which we can give you more specific guidance on each of these. The quality ramp-up is more a question of the approvals by customers. Typically, with auto customers, it's a new facility, even if you're an approved supplier, you need to go through an approval process and that will go on. You'll probably get the best product mix out of the plant maybe in another 1.5 - 2 years, because that's when it takes to get all the approvals in place. The fact that customers are waiting for us to ramp-up these facilities suggest to us that we will get the approvals as fast as possible, and we have the experience to make those kind of quality products. We can come back more specifically on ramp-up of the cold rolling mill.

Kirtan Mehta, BOB Capital

What would be the full potential of CRM facility in terms of the EBITDA generation?

T. V. Narendran : CEO & MD – Tata Steel Limited

Typically, when you look at it in the long term, for base CR grades, you look at \$100 per ton difference between CR and HR. As you go up the product mix, you get better value for two reasons. You will obviously get a better price when you make these very high-end products. Secondly, as you know, the auto contracts are typically six months. You have stability and so, that gap looks better in a falling market, because the auto price is fixed and the commodity price drops. In a rising market, that margin may get squeezed. That's why the true benefit will vary. I would say \$100 – 200 per ton is typically the range that you would look at within which to play. Of course, there is conversion cost in that, so you can take out 50% of that [inaudible] conversion cost, but this is just broad level numbers.

Operator

Next question is from Amit Murarka of Axis Capital .

Amit Murarka, Axis Capital

My first question is on the guidance that you usually provide for the next quarter. What is the guidance on coking coal cost and also the realisations?

T. V. Narendran : CEO & MD – Tata Steel Limited

In India, we are saying that the net realisations would be about Rs. 2,000 per ton lower in 3Q compared to 2Q. This is largely because in 2Q, July prices were quite high and then dropped till September. In October, steel prices started going up, but we don't expect prices in December to be the same as what it was in July. On an average basis, it will be about Rs. 2,000 per ton lower. This is also because

of the fact that a lot of the auto contracts now are on the new terms. In the first half, we had the benefit of the 1st of April prices. Overall, these are the reasons why the guidance in India is Rs. 2,000 per ton lower on QoQ basis . Coal prices are expected to be about \$20 per ton lower consumption wise for 3Q compared to 2Q. As far as Europe is concerned, I think the guidance [inaudible] for UK in 3Q is about £55 per ton lower, and for Netherlands, about £70 per ton lower QoQ . In terms of coking coal, Netherlands will be about \$10 per ton lower and Iron ore will be again about \$10 per ton lower QoQ . For UK, these numbers don't matter because we are no longer using iron ore and coal . It's more the substrate that goes out of Netherlands and India.

Amit Murarka, Axis Capital

That's helpful. Also, about the reasons for the lower other expenses, sorry, I didn't capture it too well. What did you really mention on that? And how much of that is one-off?

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Koushik Chatterjee : ED & CFO – Tata Steel Limited

Lower other expenses, I'll have to get back to you, but there are not too many one-off, but I can get back to you separately.

Amit Murarka, Axis Capital

In 2Q, your other expenses seem to have dropped, even though volume is similar. So at least if you could just help understand that, maybe even later is okay .

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Yes.

Amit Murarka, Axis Capital

On the cash outflow for the TSUK restructuring as of now, any guidance that you can provide for 2H?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

I think the restructuring cost, we had budgeted about £250 million as a total restructuring cost, of which about £150 - 160 million was on account of the redundancies. That spend has not happened. The contract termination, etc has been spent. So, I think it is more that and the people component of it, which is due, which is what I just said, that it will flow out slowly

between 3Q, 4QFY25 and 1Q of next year as we get into the people numbers.

Operator

Next question is from Ashish Jain of Macquarie .

Ashish Jain , Macquarie

Koushik, just to first confirm this number - the £150 million redundancy related is what we are currently factoring as a cash outlay in the next two to three quarters in UK?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Yes.

Ashish Jain , Macquarie

Is there high visibility for that? Or do we think there would be like meaningful upside risk to this number?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

No, it will be between £150 - 160 million. That's the number that we are looking at over three quarters, because that's effectively determined on the number of people who will either take VR or CR .

Ashish Jain , Macquarie

Secondly, based upon the numbers you spoke about in terms of KPO -II outlay for the capex . So, let's say, roughly \$900 million is pending for KPO, and we will have some capex for UK as well. Am I right in thinking that next year, the capex would decline quite substantially versus what we have been doing in the last 2 - 3 years? Or could there be new projects which we could take up in that time frame itself?

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Koushik Chatterjee : ED & CFO – Tata Steel Limited

So, that's what I mentioned that next year, compared to the last two years, we expect the capex cycle to slow before we start again in the year after, because honestly, once you complete KPO -II, there is no big start as far as capex is concerned. There is a lot of enabling work, like the NINL engineering work that is happening, et c. but it will not spend so much in the next 12 months . In UK also, the site work starts in June'26 . It will not be a significant pickup anyway, as it is 60% of the capex , not 100% of the capex on us. So, on a quarterly basis, it will be much lower.

Ashish Jain , Macquarie

My last ques

tion, the comments which Narendran sir made earlier that KPO -II cost would come down by Rs. 4,000 - 5,000 per ton once it is fully ramped up. If I also factor the commissioning of pellet plant, the product mix which will improve with everything ramped up, should we think that India business EBITDA per ton can improve easily by Rs. 1,500 - 2,000 per ton in the next, say, 24 months or so? Or that's very aggressive?

T. V. Narendran : CEO & MD – Tata Steel Limited

Firstly, I said Rs. 3,000 - 4,000 per ton but anyway, Samita please respond.

Samita Shah: VP CFTRM – Tata Steel Limited

As you know, we don't really give a guidance in terms of overall number. I think Naren was giving you directionally the kind of numbers. Obviously, it depends on a whole lot of other factors.

Ashish Jain , Macquarie

I'm not looking for a guidance. I mean, I know the dynamic business nature. I'm just saying about Rs. 3,000 - 4,000 per ton on let's say 8 MTPA capacity, which is 30% of India capacity, that itself is like roughly Rs. 1,200 - 1,300 per ton , just from that simple math. Then pellet plant, product mix improvement. If I put all that together, Rs. 1,500 per ton looks a fair safe assumption. That's the reason I just want to confirm this.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Not far.

Ashish Jain, Macquarie

Koushik, that clarification on other expenses even I was looking for that. I think you referred to some one -off in 1Q in India business , at least I thought so.

T. V. Narendran : CEO & MD – Tata Steel Limited

I think it's the water tax, Koushik.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Yes, there is a Rs. 400 crore s non-cash which is there on account of settlement of water charges with the government of Jharkhand. Tata Steel Jamshedpur draws water from the river for a century and there was a charge that kept on increasing

for a long period of time by the government of Jharkhand. There is an element which went to litigation because the rate at 16

which it was increasing was significant. That got settled because of a high court order to ask us to commercially settle it. We have been providing it on the basis of the notified order price or the cost per gallon of water drawn. Now that it's got settled, that is in excess. So that will be rebasing itself and that will not happen again. But there are other administrative and contract costs, which are also there, which are more sustainable in the future.

Operator

Next question is from Indrajit Agarwal of CLSA .

Indrajit Agarwal , CLSA

Can you talk a little bit about the current market environment in India in terms of how you are seeing demand post festive season? Are we seeing any pickup? I understand current domestic prices are at a discount to import parity. What discussions are you having with the government? What kind of pricing outlook for the market do you see in the next 6 - 12 months?

T. V. Narendran : CEO & MD – Tata Steel Limited

Indrajit, the demand side is reasonably strong. The first six months were weaker than we thought, because construction activity was a bit slower. I think this was partly due to monsoons and partly because government expenditure was a bit less, maybe because of elections and things like that. We've been told that the second half will be much better, and that's good for construction, which is good for steel, because 60% of the steel goes there. Automotive started the year well, has struggled a bit in the last couple of months. In automotive, motorcycles, which have struggled for the last 2 – 3 years, have started picking up well over the last few months, which suggests that rural demand is back. The urban demand is what has struggled a bit more. In automotive, commercial vehicles will pick up once construction activity picks up. Passenger vehicles, the expectation is it should start p

icking up. There are areas where there's a little bit of concern. Other government related areas are railways, which is strong, spending is strong. Oil and gas will also pick up. We expect second half to be better. Of course, if India's GDP grows at 7%, steel consumption in India should grow at 8 - 9%. So, that's our expectation.

Our concern is more about unfairly priced imports. China is exporting 100 million tons of steel. Most other countries have already taken action. Our submission to the government is to take action. I think government is looking at it because, obviously, China is selling steel at these prices and not making money at these prices. They shouldn't export that problem to us. I think that's where it is. That's a conversation going on. Otherwise, I think demand, we are quite optimistic about. Pricing, we'll wait and see what happens. I also think that China is taking action. They are expected to cut production by about 4%, which is 40 million tons. If that continues for another 2 – 3 years, then some of the surplus which is finding its way to global markets will come down, because China has also stopped approving any new projects on steel, even if it is for replacing capacity. I think there are actions being taken in China and now with the US presidential election, I think China will be even more concerned about its trade options, and I am sure it will take some action to reduce some of these excesses. That's the way we see it. So, more positive on demand, pricing let's wait and see. I think we've hit the lowest that we did maybe in September, October. Since then, prices have gone up. We are more optimistic about long product prices because that is less impacted by China exports, because China mainly exports flat products. Longs consumption is more dependent on construction. We are more positive about longs prices than flat prices, but flat prices also seem to be picking up now.

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Indrajit Agarwal, CLSA

From the troughs of say, Aug – Sep, have we taken any price increase so far?

T. V. Narendran : CEO & MD – Tata Steel Limited

Yes, we have. In both long and flat, we've taken price increases in October. But like I said earlier, when you look QoQ, the July prices were quite high. Prices dropped significantly in August - September. Even if you get some price increases in October, November, and December, I don't think we will reach July prices by December. That's why I'm saying that the guidance for this quarter is lower than the last quarter. Second thing is the auto contracts, which are at a higher price in 1H and some of the adjustments will play out in this quarter. That's the reason NR guidance is lower QoQ. But if you look at the international prices, this quarter is higher than last quarter, because it had hit \$450 per ton levels. Now it is in the \$480 – 520 per ton levels.

Operator

Thank you, sir. I would now like to hand over the conference to Ms. Samita Shah for chat questions. Over to you ma'am.

Samita Shah: VP CFTRM – Tata Steel Limited

I think there are some questions on our overall guidance in terms of volumes for the year. You did mention about Kalinganagar, but at a consolidated level, what do the volumes look like for the year?

T. V. Narendran : CEO & MD – Tata Steel Limited

I think at the consolidated level, we are in the region of 1 - 1.4 million tons for a couple of reasons. We have a blast furnace relining coming up in Jamshedpur, which was due to go down in 4Q. We are trying to see how we can fine tune those dates to make up for shortfalls elsewhere. This last quarter, we lost some volumes in Jamshedpur because there was a significant power outage in Jamshedpur. I mean, Tata Steel was more the victim than the cause of it, but we had a problem there. We lost some production there. So overall, we are seeing 1 - 1.4 million tons on a consolidated basis.

Samita Shah:

VP CFTRM – Tata Steel Limited

There are some questions on broader markets. I think in terms of overall market conditions in India and the kind of pricing we are seeing and the margin regime, does this incentivise greenfield investments in India, because the ROCE of integrated players is coming down? Some comments on what does this pricing regime really do to our future investments or broader investments in the sector?

T. V. Narendran : CEO & MD – Tata Steel Limited

I think this is a point we've been making to the government. I think the private sector investment, in some sense, in India, the recovery of it is being led by the steel industry. Of course, there is electronics, because of the electronics PLI schemes, etc. But I think largely, steel between Tata Steel and all the other steel makers have committed or announced significant capacity expansion plans. If steel prices stay at \$450 - 500 per ton levels, it will be difficult for any steel company to support very significant expansion. You can keep expanding, but it will not be as value accretive as one would expect it to be. I think a good place for steel prices is between \$550 - 650 per ton, which is where it will be when China exports come down to about 50 - 60 million tons. That's where we are pushing hard to say that we need some sort of comfort there and which is what other countries are doing. To answer your question, if steel prices stay at today's level, it will be very difficult to

expand in the tens of millions of tons that everyone is talking about. It will be more muted for sure. The cash flows won't support that kind of growth. If it goes back to where it was even two years back, like I said, closer to \$550 - 600 per ton, then there's a justification for those kinds of investments. We have the advantage of having all the options open. Like I described, Neelachal, of course, we need to take it forward, simply because we are short on long products. We need more long products in our mix. Because we have three sites now, we can expand anywhere, which we didn't have earlier. Ten years back, we had only Jamshedpur, so all expansions had to happen sequentially. Now that you have a Kalinganagar and Neelachal and Angul site, if the markets are good, the cash flows are great, we can start expansion in all three sites at the same time. The growth need not be sequential, and that's a big difference for us.

Samita Shah: VP CFTRM – Tata Steel Limited

Thank you. There are a few questions on the European market as well. There are some comments that the European auto giants are going through a lot of turbulence. How does that affect our business in Netherlands? In light of these changes, are we recalibrating our strategy for investing in Europe?

T. V. Narendran : CEO & MD – Tata Steel Limited

Two - three things are happening in Europe. The largest economy in Europe, Germany is struggling. Germany has had the advantage of low energy prices and strong export markets and a lot of workers from Poland and places like that, which have changed. A lot of Polish workers have gone back to Poland. Energy prices are high, export markets, particularly China has not been great. We are seeing the impact of all that in Germany and also the closure, which Volkswagen has announced. There is that disruption going on. We are watching that space. We have a product mix which is rich in Netherlands. Hence, the quality of consumption in the European market is important for us. You are also seeing supply side restructuring in Europe. You are seeing that some of our peers are having their own challenges in Europe. Not everyone in Europe will be able to make this transition, because it depends on support from the government, the financial strength of the companies, product mix and the markets they serve. It's going to be a period of some disruption, both on the market side and on the supply side. Structural

ly, we are well positioned because we are on the coast. We have traditionally been a very competitive plant. We are watching the space. Of course, the investments in Netherlands will depend a lot on the support we get from the Dutch government, same as the investments in UK were dependent on the support we got from the UK government. That's a conversation we are having with the Dutch government. Let's see where that goes. While we have submitted our proposal, let's see what the extent of support is, and then we'll take a call.

Samita Shah: VP CFTRM – Tata Steel Limited

There is a question on capex guidance for FY 2026 and FY2027. I think Koushik has already directionally mentioned it will be lower. We will give you specific guidance in the first quarter of next year. There is a question on the tax rate. Koushik, maybe you'd like to take it. It says essentially that the PBT is a round Rs. 2,164 crores, whereas the current tax is Rs. 1,142 crores, which is 53%. So why is it not the corporate tax rate of 25%?

Koushik Chatterjee: ED & CFO - Tata Steel Limited

You shouldn't see it from a QoQ basis. On a yearly basis, effective tax rate is at the marginal tax of 25%. During each

quarter, there are deferred tax adjustments, that create deferred tax assets. Our effective tax rate is at 25%.

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Samita Shah: VP CFTRM – Tata Steel Limited

There is a broader question again on the markets in terms of competing with Chinese players in the export markets. What is our strategy? How do we actually do that?

T. V. Narendran : CEO & MD – Tata Steel Limited

Firstly, traditionally, Tata Steel's exports have typically been about 10% of its production. For the next couple of years, most of our volumes of exports will go to UK, because UK is taking at least 1 million tons of steel from Tata Steel India and another 600,000 - 700,000 tons from Netherlands. In the international markets, like I said, at these prices, the Chinese steel companies are not making money, and we don't want to export at prices at which we lose money. That's why, on the earlier question of expansion, there's no point expanding if you have to export a lot into markets which are priced like this, right? It's not just about the return on capital in the domestic markets, you have to look at how much are you exporting and what's the return on capital on that. Hence, the next six months will be crucial to see what happens in China. Will they go back to that 50 - 60 million tons export level, and that's where it is. On a cost basis, we are more competitive than the Chinese, because even at today's prices, Tata Steel's domestic business is at 20% EBITDA margin. I don't think there's any Chinese company making even 5% EBITDA margin. It's not about cost, it's about the price at which we are willing to sell at, which is why we look at it from that perspective. We are one of the lowest cost producers of steel in the world. That allows us to make money even at these prices in India.

Koushik Chatterjee: ED & CFO - Tata Steel Limited

Samita, one clarification is, I think the numbers on tax, what I just saw is, I think the person who is asking the question has seen the consolidated profits, which is why he is saying 50%, because in consolidation, the tax is actually being paid out of India. In India, if you look at it, the PBT is Rs. 4,700 crores and the tax is Rs. 1,100 crores. Because in Europe and UK, we don't have any tax payable, and therefore were in losses in any case.

Samita Shah: VP CFTRM – Tata Steel Limited

Thank you. There's a question on the sales mix between long and flat. Naren, maybe you want to give it just on an annual basis, because quarter wise is less relevant.

T. V. Narendran : CEO & MD – Tata Steel Limited

If you look at Tata Steel today in India, we are producing about 21 MTPA. Capacity-wise, after the Kalinganagar expansion, we will be at 26 MTPA. In

that 26 MTPA, we are about 5 MTPA of long and the balance is flat. 5 - 6 MTPA is long, because we have about 3 - 3.5 MTPA in Jamshedpur, another 1 MTPA in the Gamharia plant, which is the Usha Martin plant that we acquired, and another 1 MTPA in Neelachal, which we acquired. So that's the 5 - 5.5 MTPA of long. The Ludhiana plant will come up by March 2026. So that will add another 800,000 tons. Hence, the next expansion that we have planned is Neelachal, which will take it from 1 MTPA to 5 MTPA. If you look at India at 30 - 31 MTPA, you will have longs at maybe 8 - 9 MTPA for us and flats at 20 - 21 MTPA.

Samita Shah: VP CFTRM – Tata Steel Limited

There is a question on our gas requirements regarding Kalinganagar expansion. What are the requirements? What are the kind of arrangements you have in place?

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T. V. Narendran : CEO & MD – Tata Steel Limited

We don't need any gas because we are expanding in Kalinganagar using blast furnaces. We use coking coal. The gases that we generate from our operations is used within the operations. We don't need to buy natural gas of any significant volume from anywhere. We are not dependent on gas as an input cost for Kalinganagar.

Samita Shah: VP CFTRM – Tata Steel Limited

I think they probably are referring to oxygen.

T. V. Narendran : CEO & MD – Tata Steel Limited

Oxygen is an important part of a steelmakers cost. I think if I remember right, it is maybe about Rs. 2,000 per ton or something like that. It is an important part of the cost. There, we typically work with global leaders. We outsource the oxygen production. We bid out the capacity. They build it for us, run it for us, and we have a contract with them, where the oxygen price is also dependent on the energy prices. Typically, the electricity cost is a pass through. So that's a contract we have in all our steel plants. Linde is the supplier for Kalinganagar.

Samita Shah: VP CFTRM – Tata Steel Limited

We'll have the last question which we will take . There are two questions, but they're both relating to the same issue . One is the jump in other income. The second question is, in the segmental EBIT, other trade related operations, there's a significant jump. Can you please clarify?

Samita Shah: VP CFTRM – Tata Steel Limited

This is on account of foreign exchange translation. There is a loan which we have, which is a EUR USD loan and the difference when the currency moves, that is what gets reflected. In the segmental allocation, it comes under trade related operations. That's what's driving bulk of the increase, and that's the same which is featuring in our other income as well. With that, I think we've answered all the questions. Thank you to all our viewers and the participants for all your questions. We look forward to connecting with you again next quarter. Thank you and have a good day.

T. V. Narendran : CEO & MD – Tata Steel Limited

Thank you.

Koushik Chatterjee: ED & CFO - Tata Steel Limited

Thank you very much.

Call: Feb 2025

February 4 , 2025

The Secretary, Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001.
Maharashtra, India.
Scrip Code : 500470
The Manager, Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1,
G Block, Bandra -Kurla Complex, Bandra (E),
Mumbai - 400 051.
Maharashtra, India.
Symbol : TATASTEEL

Dear Madam, Sir,

Sub: Transcript of Tata Steel 3QFY2025 Earnings Discussion

This has reference to our letter dated January 23, 2025 .

In this connection , we enclose herewith t he transcript of the 'Tata Steel 3QFY2025 E arnings Discussion ' held on January 28, 2025 .

The above information is also available on the website of the Company at:
<https://www.tatasteel.com/investors/financial-performance/analyst-call-recording/>

This intimation is being provided in compliance with Regulation 30 read with Para A of Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended.

This is for your information and records.

Yours faithfully,

Tata Steel Limited

Parvatheesam Kanchinadham
Company Secretary and Chief Legal Officer

Encl.: as above

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CORPORATE PARTICIPANTS

T V Narendra n, CEO & MD – Tata Steel Limited
Koushik Chatterjee , ED & CFO – Tata Steel Limited
Samita Sha h, VP Corporate Finance, Treasury, & Risk Management – Tata Steel Limited
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Ashish Kejriwal , Nuvama
Indrajit A garwal , CLSA
Ritesh Shah, Investec
Satyadeep Jain, Ambit Capital
Sumangal Ne vatia, Kotak Securities
Vikash Singh, Phillip Capital

PRESENTATION

Operator:

Ladies and gentlemen , good day , and welcome to the Tata Steel analyst call. Please note that this meeting is being recorded. All the attendees ' audio and video has been disabled from the backend and will be enabled subsequently. I

would now like to hand the conference over to Ms. Samita Shah. Thank you and over to you ma'am.

Samita Shah: VP CFTRM – Tata Steel Limited

Thank you, Kinshuk. Good morning, good afternoon, and good evening to all participants listening to the call. On behalf of Tata Steel, I'm delighted to welcome you to this call to discuss our results for 3QFY25. We have with us our CEO & MD, Mr. T.V. Narendran, and our ED & CFO, Mr. Koushik Chatterjee. We will walk you through our results and answer any questions you may have. I hope you've had a chance to go through our results, which were declared yesterday. There is a detailed presentation, which has been uploaded on our website. Page 2 of the presentation has a disclaimer clause, which will cover the entire proceedings today. I would request Naren to make a few opening comments. Thank you.

T. V. Narendran : CEO & MD - Tata Steel Limited

Thanks, Samita. Good morning, good afternoon, and good evening to everyone. During this quarter, global steel prices were subdued across key regions. In China, steel prices were close to around \$480 per ton despite stimulus measures. The construction market in China continued to be soft, leading to exports of more than 100 million tons during the calendar year, 111 million tons, to be precise. That is amongst the highest that China has exported in the past. India steel demand continued to grow but momentum eased, and domestic prices remained under pressure due to cheap imports. The DGTR (Director General of Trade Remedies), has initiated investigation to consider safeguard duty. In 2024, several nations relied on trade measures such as antidumping duty to combat the impact of steel imports, particularly from China. This, along with the new US administration's inclination towards imposing tariffs, has potential to regionalise steel trade flows with implications for prices.

Moving to

Tata Steel, our performance has been aided by progress on our strategic initiatives. In India, we commissioned the 5 MTPA blast furnace at Kalinganagar and this has aided volume growth. In UK, closure of the heavy end assets has begun to generate improvement in fixed costs and in emissions. India crude steel production rose 6% YoY to 5.69 million

tons for Tata Steel, and the new blast furnace at Kalinganagar produced around 0.56 million tons during the quarter. Presently, the second blast furnace is operating at around 8,500 tons per day, and the ramp up to rated capacity is progressing well. India deliveries increased 8% YoY to 5.29 million tons. Amongst business verticals, Automotive and special products volumes were aided by the growth in high end products. Our retail brand, Tata Tiscon, achieved the best ever quarterly sales and grew over 20% YoY, while our cold-rolled brands for SMEs, Tata Steelium, was 10% higher on YoY basis. Customer centricity and value creation is paramount to us as we progress on achieving market leadership across chosen segments, and 75% of our steel sales to automotive is processed or ready-to-use. We have service centres and stockyards close to most of the major auto hubs, enabling close partnerships with key OEMs that drives technical support and product development. Our e-commerce platform, Ashiyana, is designed for individual homebuilders, and we have more than 30 construction service centres across India to offer customised reinforcement products and solutions to the construction industry. At Kalinganagar, we have also commissioned the continuous annealing line of the cold rolling mill complex. In Ludhiana, we have started receiving equipment delivery for the 0.85 MTPA electric arc furnace (EAF) and have also commenced civil works.

Moving to UK, we reconfigured the supply chain upon closure of the heavy end assets in September and are now servicing our customers by processing purchased substrate. This has led to significant reduction in our total Port Talbot emission footprint as well as the overall fixed cost base. Our fixed cost per ton of deliveries has decreased by >£80 per ton QoQ, which has helped in improving performance. In Netherlands, a drop in prices weighed on the performance despite decline in costs and as a result, overall profitability was affected. Koushik will elaborate on the same. At the same time, in Netherlands, we have produced about 1.75 million tonnes of hot metal, which means we're running at a 7 MTPA hot metal production rate. We are committed to responsible growth and multiple initiatives are underway across geographies to reduce emissions. Tata Steel became the first steelmaker to introduce biochar in blast furnace as partial replacement for carbon intensive fossil fuel like coal. Our ESG goals underpin broader focus areas, and we are committing to foster the equality, diversity, and an inclusive workplace. We recently operationalised an all women shift at one of our mines in India. I am happy to share that we've been recognised as a Gold Employer by the India Workplace Equality for the fourth consecutive year. With that, I hand over to Koushik for his comments. Thank you.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Thank you, Naren, and good afternoon or good evening to all who have joined. Let me begin with the consolidated performance provided in slide 24 of the presentation. Market conditions across geographies are similar to conditions that existed in 2015-16, when exports from China were at an elevated level ~110 million tons. These excessive exports obviously hurt the market structure in any countries, which import steel. For instance, in the last 12 months, US and EU steel prices have declined between 25-37%, and China steel prices have been hovering around \$450-500 per ton. All of this meant that there was sustained pressure on spot

spreads, which declined to multi-year lows. However, our progress on internally focused strategic initiatives has been evident in our performance.

Consolidated revenue stood at Rs. 53,648 crores, and EBITDA was at Rs. 5,994 crores. There was an FX revaluation

impact due to sharp depreciation of the euro of around Rs. 1,100 crore s on intercompany loans, which have been provided over time. Excluding the above, EBITDA stood at about Rs. 7,155 crore s, which translates to an EBITDA per ton of Rs. 9,263 per ton and an increase of 30% QoQ . As the markets continue to be subdued, we have renewed our focus on cost reduction and efficiency measures across all geographies. Some benefits have started being visible, and we hope to continue to demonstrate more of it in the coming quarters.

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Tata Steel Standalone revenues for the quarter stood at Rs. 32,760 crores , and EBITDA was Rs. 7,624 crores , which translates to an EBITDA margin of about 23% on reported basis. As provided on slide 30, EBITDA on absolute basis improved by 13% or Rs. 1,227 per ton on QoQ basis. Higher volumes and optimisation of costs more than offset the drop in realisations. I would like to elaborate a bit more about the costs. Material costs declined by about Rs. 1,300 per ton due to decline in coking coal consumption cost and inventory build up of 156 kt during the quarter. Fourth quarter is typically a seasonally strong quarter, and hence, there is usually a slight uptick in inventory at the end of the third quarter. We also had higher production upon commissioning of the second blast furnace in Kalinganagar. Conversion costs, excluding royalty, declined by about Rs. 1,678 per ton, primarily on account of lower employee benefit expense , freight handling, and other costs. Overall, total costs have improved by about Rs. 2,700 per ton, helping to more than offset drop in realisation to the tune of about Rs. 1,500 per ton .

I would now like to mention a few comments about our subsidiary, Neelachal Ispat Nigam Limited. As you are aware, we had acquired NINL about two and half years ago in 2022. The plant was closed for two years at the time of acquisition with some imbalance in asset configuration. As part of our long product portfolio, NINL's operating performance has met all the operating targets in terms of cost and efficiencies and is operating at rated capacity. [inaudible] EBITDA margin improved from 13% in 2Q to 20% in 3Q on account of rise in volumes by about 17% QoQ and as an outcome of cost efficiency through reduction in conversion costs, which reduced by about Rs. 3,000 per ton QoQ . The process of seeking environment clearance for the expansion of NINL is currently underway.

Coming to the European operations . As you are aware, steel consuming sectors have been adversely impacted by subdued demand and high level of imports. In Netherlands, raw material to steel price spreads have dipped to multi-year lows with spreads, including energy and carbon cost currently in the region of about €170 per ton. These spreads were last witnessed in 2016. EBITDA for the quarter was neutral in 3Q compared to +ve £22 million in 2Q. EBITDA per ton declined by about £15 per ton on QoQ basis. EU steel demand has contracted in 2024, and this has led to a sharp drop in revenue per ton of around £30 per ton and NRV loss to the tune of about £13 per ton on QoQ basis. We also had higher emission rights costs of about £15 per ton on account of decline in yearly allowances due to lower production in the previous year . While this was partly offset by the decline in power and fuel expenses by around £43 per ton, the drop being less than the impact of realisations affected the margins.

As mentioned during 2Q earnings call, transformation of UK operations has begun. We have safely closed the heavy end assets, while maintaining our footprint in the domestic market. Sourcing network has been established to successfully

support our customers. Our fixed cost takeout programs are yielding results with a large part of the stated £100 per ton improvement achieved in 3Q. On an absolute basis, there has been improvement in fixed cost by about £70 million in 3Q compared to 2Q and for the nine-month period, the same was about £140 million on YoY basis. The improvement was mainly in relation to maintenance costs, employment cost, and operating charges. TSUK EBITDA loss improved from -ve £147 million in 2Q to about -ve £67 million in 3Q. While the market dynamics meant revenue per ton declined by £31 per ton, this was more than offset by improvement in cost by about £146 per ton, especially on the fixed cost side. There was also a drop of about £63 per ton in emission rights cost and freight handling charges. We expect to continue the optimisation of fixed costs, not only in the next quarter, but in the year ahead, too. Total redundancies or people who have left the company since March 2024 was about 1,900 and expect more to leave in the upcoming quarters .

I would like to now spend some time on our working capital management that has led to cash flow generation. We have taken calibrated measures such as better inventory management, improved credit terms looking at the blends and so on.

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In India and Netherlands, raw material inventory has been reduced by about three to five days. All of this has resulted in cashflow release across all geographies and net working capital of more than Rs. 4,000 crore s in this quarter alone . Looking ahead, the ramp up of Kalinganagar, as Naren mentioned, will help improve India cost profile, driven by fixed cost absorption and efficiencies of a newer plant. In UK, we have placed equipment orders for ~3 MTPA EAF and are targeting to commence civil construction in July. In Netherlands, we are engaged with the government on potential support for the decarbonisation project. With this, I'll end my comments and open the floor for questions. Thank you.

QUESTIONS AND ANSWERS

Operator

We will now begin the Q&A session, and the first question is from Satyadeep Jain of Ambit Capital .

Satyadeep Jain, Ambit Capital

My first question is on Europe . One of the largest players in the region has talked about delaying decarbonisation

investments. There are a lot of reasons - onslaught of Chinese imports, CBAM not making sense in its current form, which is also what Mario Draghi had mentioned in his document. In this context, given where margins are, where imports are and current form of CBAM, and given the strategies adopted by some of the other players where they're waiting for allocation for decarbonation investments, how are you evaluating your allocation to capital in both UK and Netherlands? Are you going to go ahead with capex till you get more clarity or any support from the government?

T. V. Narendran : CEO & MD - Tata Steel Limited

Satyadeep, on UK, as you are aware, the journey is already on. One of the reasons for this journey is that we believe that our cost position will improve once we switch from iron ore & coal to scrap. There are advantages of lower CO₂, CBAM, plus we are going to use local scrap available in UK. What we had said is that we are expecting our cost position to improve by about £100 - 150 per ton. A lot of it is to do with input cost, [inaudible] fixed cost take out, which Koushik referred to, which is happening with restructuring. As far as UK is concerned, the business case is clear, and we are sticking to the plan. As far as Netherlands is concerned, conversation is currently going on with the government to see what kind of support we can get and what the costs are going forward? How is the policy going to evolve? I think what you referred to is basically our peers in Europe who have signed up with governments in the past and in some cases, committed to the use of hydro

gen are also concerned about availability and cost of hydrogen, whereas our plan was more gas - based production in Netherlands. Conversations are going on with the government and we will wait for it to conclude and take it forward. Of course, we are also waiting to see the reaction of Europe and reactions that may be taken in the US.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Just to reinforce the point that many reactions that have come are from companies who have got the grant or financial support from respective governments and are deeply interconnected to hydrogen, not as a choice but as a core part of the transition plan. Given availability, cost, and feasibility of hydrogen, they are obviously in a difficult position because hydrogen is not available at the assumptions that we're made for granting funds. Whereas in our case, we were clear that hydrogen is an add-on at a much later point, and we are not working on that same premise. The very fact that we are putting up a DRP and EAF is because we have a pellet plant. Therefore, we said we will be focused on a gas - based solution at this point of time and any funding support will be based on that. Hydrogen can be an add-on at a later point in time. This is the premise, and we have some distance to go because we will have to go through the entire approval process. We are in deep discussion and we're getting to the stage where we will get more clarity over the next 4 - 5 months. At that

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point, final investment decision will be taken. I think it is some distance to get full clarity. I know what you are saying in terms of what our peers have indicated. There are multiple reasons for doing that.

Satyadeep Jain, Ambit Capital

I wanted to follow-up on that final investment decision. It's only 5 - 6 months from now. Would that decision be contingent on how the demand and pricing are around that time?

T. V. Narendran : CEO & MD - Tata Steel Limited

Whenever we take that FID call, there must be a business case. Not only from our side, the government before they put in taxpayers' money will also want to make sure that there's a business case. Obviously, we will look at how things are going to be going forward. We should also keep in mind, that in Europe, there is likely to be some supply side changes as well. Everyone can not transition and it depends on your ability to fund and the support that you get from the government. It's not necessary that all capacity in Europe will make it to the other side. We also need to look at what's going to happen on the supply side as much as what's going to happen on the demand side.

Satyadeep Jain, Ambit Capital

By when do you expect to reach breakeven in UK? Regarding the clean industry deal that is going to be announced sometime in February, what is your expectation? Is it in line with what you've seen in UK in terms of concessions?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

As far as breakeven is concerned, if you recall in the last quarter, we said we should be close to breakeven in the next few quarters. I still think that given the pace of our cost takeout. Our understanding of the market three months back was slightly different from where we stand today. Nonetheless, breakeven is the target for the next few quarters, and we should be in that zone in the first two quarters of FY 2026. We're certainly focusing on getting it by June 2025. There is a lot of market volatility at this point of time, but we are focusing on internal measures, which essentially include cost takeout. A significant part of the labour redundancies is on the way, and which have been approved in the past. We are also looking at consolidation of sites, product mix and sourcing strategies in a more efficient manner. A lot of activities are currently under way and significant cost takeout has already happened but will continue

to happen over the next three quarters.

Operator

The next question is from Sumangal Nevatia of Kotak Securities.

Sumangal Nevatia, Kotak Securities

My first question is with respect to Notes to Accounts [inaudible]. There are a lot of details with respect to some environment related non-compliance notices received for Netherlands facility and some penalties. Is it possible to share the nature of penalties? When do we expect to get back on the right side?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Note no. 6 that you see elaborates on the ongoing situation as far as coke ovens in Netherlands is concerned. This primarily relates to Coke & Gas plant 2, but now also includes Coke & Gas plant 1. This is at the provincial level and relates to provincial authorities. It initially started as a green push from coke ovens beyond certain permitted numbers. Green push

technically exists in all coke ovens across all geographies and facilities. We have taken very significant steps in mitigating those green pushes. In fact, the last push was somewhere in October 2023, but the provincial government has now come back and is basically talking about stack emission standards and levels and treatment of benzene. They have come and talked about some opinions on maintenance which has been significantly high in TSN for years together. We have some time to respond, which we are doing. We have also gone in to litigation on the green push and the court has given orders to the provincial authorities to rework the basis. [inaudible] Our basic point is that at Coke & Gas plant 2 as part of the decarbonisation would voluntarily be closed sometime towards 2029. Anything which happens before that will have its impact on the decarbonisation project. As Naren mentioned, we are in deep conversations with the government at all levels, be it provincial or at the central level in Hague. We expect that we will resolve this in one way or other, either through dialogues and explaining the technical basis of performance of Coke & Gas plants 1 and 2 or based on the appeals and objections that we have already filed and will soon be filed at the appropriate legal recourse. It's a comprehensive approach because this is part of the solution for decarbonisation also. The standards that were expected are higher than the regulatory standards. Therefore, these are beyond the regulatory norms that exist but even then, in the interest of inclusive way of managing business along with the community, we have set standards to improve them, and these require investments that we are planning for in decarbonisation.

Sumangal Nevatia, Kotak Securities

In case we don't reach these levels, what sort of financial impact are we looking at in the next 3 - 4 years on an annual basis?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

I think it's still early days to talk about it. There are many recourses. It can't be switched off on the fly. There must be an appropriate notice period, and I think that notice period will stretch out over the period that we are talking about up to 2029. There are other recourses, including legal recourse that we will opt for in case we don't have a bilateral solution. We are improving our own standards. These are all beyond the minimum regulatory requirements. This is additional. Some of it is also technically increasable and for some of it we are exploring options and ways in which we can manage.

Sumangal Nevatia, Kotak Securities

My second question is on overall prices and cost movement guidance, which we usually give. If maybe Naren can help us with that, with India, Netherlands, UK, all three on realisations and cost.

T. V. Narendran : CEO & MD - Tata Steel Limited

On realisations, we are seeing India realisations QoQ being flat, unless there's something significant in the budget or safeguard

orders which come, then there should be an upside. Otherwise, at minimum, we see it flat. In terms of costs, as far as India is concerned, coking coal costs are expected to be about \$10 per ton lower in 4Q vs. 3Q. Realisations in UK & Netherlands will drop simply because there are annual contracts which come up for renewal at the end of the calendar year. We've got an increase in steel supplies to packaging and there's a reduction in steel supplies to automotive. Net impact in UK QoQ is expected to be about £60 per ton lower QoQ. In Netherlands, also a similar level, 4Q lower than 3Q. While at the same time, in terms of costs, we expect coking coal cost in Netherlands to be about \$20 per ton lower in 4Q vs. 3Q. In UK, that's not relevant because we've stopped the coke ovens and blast furnaces. In Netherlands, iron ore consumption cost is expected to be about \$3 - 4 per ton lower in 4Q vs. 3Q.

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Sumangal Nevatia, Kotak Securities

Following up on Netherlands, over the next one year or so, is there any specific cost reduction self-help measure that we should expect to reflect in results? Or from here on, the profitability margins will largely be a matter of market factors?

T. V. Narendran : CEO & MD - Tata Steel Limited

No, here are huge cost takeout plans in Netherlands. There's a lot of restructuring with the plant along with teams [inaudible] because the spreads have been low. In fact, last quarter, it was around €160 - 170 per ton, which is lower than we've seen in a very long time. We are not relying on the market to demonstrate improvements. I think we're going to focus on cost takeouts, both in terms of people costs as well as maintenance costs. There are opportunities to improve. We've also done quite a bit of work on the blends that we use in terms of coke ovens. There are lots of opportunities, which we've

been working on. There's a transformation team in place in Netherlands. You will start seeing the impact of that going forward. Some of it has already happened, but you will see impact of that going forward. Even if we assume fixed spreads, we are trying to see what it is that we can do to improve performance, and we're expecting next year to have a better performance.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

The transformation program is focused on productivity, cost takeouts, both fixed and variable efficiency, including availability of the mills in terms of benchmarks and optimizing the product mix. [inaudible] I think it is also not a one-year cost takeout program. It will be multiyear, but we will want to take as much advantage of that in the next year, and it will run into a couple of hundred million euros for sure.

T. V. Narendran : CEO & MD - Tata Steel Limited

I want to add here that our first focus this year was to get operations back on track. We had been around 6 MTPA for the last few years. Of course, last year was even lower because of the blast furnace shutdown, whereas 7 MTPA is what we think is the optimal level. Last quarter, we were at 1.75 million tons, which means we are at 7 MTPA rate. That's one lever which is in our control, which is the operating performance. Then as Koushik said, managing the availability of the mills, in addition to all the other things that we talked about. There's a lot of work going on there, and hopefully, you'll start seeing the impact of that from next year or rather from the next quarter.

Operator

The next question is from Amit Murarka of Axis Capital.

Amit Murarka, Axis Capital

The first question I had was on India. On the last call, you had guided for a Rs. 2,000 per ton drop. After that, prices slid even further. In the reported numbers, at least the fall was looking much lower. Was the NR decline lower than what you thought? What was the reason for better realisations than guided?

T. V. Narendran : CEO & MD - Tata Steel

Limited

At the [inaudible] level, it dropped by about Rs. 2,400 per ton compared to the Rs. 2,000 per ton guidance. Based on various other pluses and minuses, we've ended up where we are.

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Samita Shah: VP CFTRM – Tata Steel Limited

Revenue is a combination of steel revenues, we have F&M revenues, other revenues, etc. What we give as a guidance on is the steel NRs. We had said around Rs. 2,000 per ton and it's been a little steeper than that, around Rs. 2,400 per ton. The overall number changes based on other revenues as well.

Amit Murarka, Axis Capital

On TSUK, you just mentioned a £60 per ton drop that you're expecting in NRs for 4Q. Are you guiding for breakeven in TSUK, including this decline?

T. V. Narendran : CEO & MD - Tata Steel Limited

What Koushik said is we will start reaching breakeven in the next couple of quarters. We thought we will reach breakeven sooner, but steel prices moved much lower than we thought in 2H FY 25. That's why we're taking longer to hit breakeven. If you see fixed cost takeout on QoQ basis, there's significant takeout. Hence EBITDA loss in 3Q was much less than EBITDA loss in 2Q, and we are expecting things to improve in 4Q. We will not go to breakeven levels yet unless steel prices improve but we're working on the assumption that steel prices stay where they are and looking at cost takeouts to come to breakeven. As Koushik guided, it will be closer to the July quarter than this quarter.

Amit Murarka, Axis Capital

I had a longer-term question. Iron ore leases come up for expiry in 2030. When you evaluate growing India capacity to 35 - 40 MTPA, how are you looking at IRRs for these projects? Do you include iron ore cashflows in your assessment?

T. V. Narendran : CEO & MD - Tata Steel Limited

There are a few things here. One is, we do have about 500 - 600 million tons of iron ore available to us beyond 2030 based on the leases that we've got from acquisitions of Neelachal, Bhushan, Usha Martin, plus the Gandhalpada lease that we bid for. The costs are different depending on the premiums that we paid for each of those. The value at which we've got it when we acquired those companies. The second part of it is how we can participate in more auctions and whether it's in Jharkhand or Odisha, which are going to be our two focus states. We also evaluate Chhattisgarh when it comes up because it is geographically close to our production sites. Third is to look at how much of iron ore do we want to have as captive and how much we can buy from the market because if the bid premiums are very high, then it really doesn't make sense to have 100% captive because you can get it cheaper from the market. You have OMC, NMDC, and others also producing iron ore for sales. It's going to be a multipronged approach. We have gone through it in coal similarly, 20 years back. 65 -

70% of Tata Steel's coal was captive. Today, only 15 - 16% is captive . We made the transition in coal, and we are planning the transition in iron ore, so that we mitigate the cost impact as much as possible. That is on the input cost of iron ore.

Other part is conversion cost. There's a lot of work going on across our sites in India to reduce conversion cost. Also, as we expand in Kalinganagar, which is going to be our lowest cost production site in India, it helps mitigate the cost because in Jamshedpur we have some legacy costs. In Kalinganagar, we don't have those legacy costs. When we look at Kalinganagar , Neelachal, and Meramandali sites being expanded , all of them may not have some of the costs that we have in Jamshedpur because of the way the plants are structured. Also, as we expand more capacities in Kalinganagar, Neelachal, et c. we are coming closer to the ports, so the cost of getting coal to our sites becomes less. There are a number of advantages also that we are working on. There is a st

structured program within Tata Steel to see how we can protect our

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margins in 2030 through the various initiatives that we take, not only in iron ore sourcing, but also managing our costs, the conversion costs, et c. That's our plan, and I think we will manage the transition well.

Samita Shah: VP CFTRM – Tata Steel Limited

On IRRs, we don't take the price of our captive iron ore post - 2030. We take it at market price and project IRR are higher than our cost of capital. That is what we're clear. We consider post 2030 that it will be market price.

Operator

Next question is from Vikash Singh of Phillip Capital .

Vikash Singh , Phillip Capital

Sir, wanted to understand our capital allocation policy. We are already spending in UK , we have big plans in India and at some point, Netherlands would also come into play. Given our high debt levels, what would be our priorities? Can we delay Netherlands capex considering we have some carbon credit left? How does this affect Netherlands cost of production?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

The capital allocation policy, Vikash, is primarily based on attractiveness of the project. So as far as UK is concerned, the level of bleed that we were having, plus support of the government made the case for [inaudible] , the project has significantly high IRR. Therefore, we have gone ahead with that, and this will get completed in the next three years, well before 2030. As far as India capex is concerned, it is also very high IRR and attractive, not only on volume but also downstream. Apart from Kalinganagar, there are certain downstream projects, which are getting completed like in long products, the re is combi mill project and so on. We will continue to focus on high IRR projects, both from a volume perspective, as well as product mix perspective. If we take all of that into account, both Naren and I have said that the decarbonisation project does not move forward without significant support from the government. That is the basic premise with which we have worked in UK, and we are working in Netherlands. There is also an issue in relation to permitting times that comes for any of these projects, which takes some time. As I said, FID is still some time away . Negotiations with the government are currently on multiple things. Exact time of actual cash outflow will depend based on the timing. It will be something we will take into account in our overall capital policy. Our debt levels, which is our net debt to EBITDA, if you see in this quarter is about 3.3. It did increase. With more and more volumes coming in from India and UK going towards breakeven, and as Naren mentioned, the huge structural program we've undertaken in Netherlands, our intent is certainly to bring this level below 3. The range at which we should be comfortable with is somewhere around 2.75 - 3, including the growth that we are talking about. However, we live in a very cyclical world. Therefore, in great times, it used to be under 2 but in stress times, when EBITDA gets affected because of the prices or spreads, it tips over 3. We are focused at around 2.75 level on a steady state basis. Our capital allocation is very clear that we will not want to have growth at the cost of debt. [inaudible] as well as deleveraging as soon as we can start doing that . Given the prices at this point of time and the cashflow that comes in, it becomes very difficult to do that, especially since we are finishing up Kalinganagar. We have another couple of thousand crore s to be spent in completing it in the next year. By September of 2026, we would have completed Kalinganagar and then the full benefit will start coming in. These capital expenditures , whether it is UK or Netherlands, do have their own timeframe, especially Netherlands, I think it's clearly about 1.5 years behind because the permitting time will also be building before

any capex is spent. I think we calibrate the movements of growth and capex between India , Netherlands, and UK in a manner where we can keep priority on the balance sheet appropriately . Of course, the internal measures on cost takeout or working capital efficiencies only supplement these limits.

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Vikash Singh, Phillip Capital

Sir, our carbon credit s [inaudible]. How should we look at cost of production post introduction of CBAM in Netherlands?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Free allowances will keep coming down over the years. We had an issue of BF6 delay in start up and therefore, loss of production in 2023 - 24, which is the reason there is a pickup , which will happen [inaudible] and then the allowances start coming back. There is also a cost implication that we have to factor in. I think it is balanced and we typically have to buy a

certain amount of EU ETS credits . The cost of production once we get the allowances back, will come down, except for the net off effect on the free allowances. There's an arithmetic behind it. Happy to do that offline. There is arithmetic based on which the free allowances keep coming and the offsetting impact that is happening. CBAM is very simple. CBAM is the cost that the local players in Europe pay for the carbon [inaudible] levelised or actualised for any imports that come in. If, for example, the carbon cost is €70 per ton and taking an example of a company which produces 2 tons of carbon per ton of crude steel, the impact is about €140. Anybody who's coming in from outside, there is a differential to the 2 tons in Europe vs . whatever the importing carbon emission is . Somebody who comes in at 2.5 will have 0.5 into the carbon offset impact . That's the level at which the prices are expected to improve to be neutral to the higher carbon steel that is coming in. That's the mechanism that will happen from 2026 onwards. We've already started the reporting process of any imported steel, but the tax will come in from 2026. The general view is that to the extent people who pay the carbon tax, domestic prices will improve or increase. It's an arithmetic, but that arithmetic shows that there is an increase in steel prices in EU that will happen.

Vikash Singh, Phillip Capital

Has full benefit of pellet plant and CRM been realised in EBITDA in 3Q . Is some pending which would come in 4Q onwards?

T. V. Narendran : CEO & MD - Tata Steel Limited

The pellet benefit should have come through. While the cold rolling mill itself was commissioned, the continuous annealing line has just got commissioned in December and product mix will improve going forward. In the next few months, a galvanising line will also get commissioned, which is auto galvanised, one of the very high-end lines in India, and that will all help the product mix. The CRM product mix will keep improving. It has improved from HR to CR. Now from CR, it'll go to annealed and galvanised. You'll see the product mix impact flowing in over the next few months and year.

Operator

Next question is from Ritesh Shah of Investec .

Ritesh Shah , Investec

Sir, the last DGTR application did not mention Tata Steel. Wanted your take on that because the application went from India Steel Association , and we are a part of it [inaudible]. Secondly, what are the expectations on tariff and non - tariff measures? We do hear about tweaks on import duty safeguards. How should we look at these events?

T. V. Narendran : CEO & MD – Tata Steel Limited

On DGTR, we've submitted the data that they required . Maybe we can address it offline, whether we're mentioned or not. We were one of the companies as part of ISA who had submitted the data for them to consider. What actions will they

take? We don't know. Let's see what happens. The larger point we are making is that we, as a country, need to have a strategy to deal with

with products being sold in our country at prices at which the supplier is losing money. Today, it's for steel, tomorrow, it can be for anything else. In fact, it's already started happening in other goods. While other countries are dealing with it with safeguard duties, antidumping duties, we also need to move fast because otherwise, the damage is already done. I think we've had good patient listening from the government. They've initiated the process, and we are expecting anytime soon, it should come through. We were expecting it to happen in January. Let's see if maybe something happens in the budget . The larger point is if the private sector investment needs to be protected in India, particularly in manufacturing and steel, then it's not just demand growth, but it needs to be profitable demand growth for the steel industry to invest cash flows that are required. I think that's been our submission and I think in the next few weeks, we will get more guidance from the government.

Ritesh Shah, Investec

Sir, how much is the capitalised cost as a percentage of EBITDA for 3QFY25 and 9MFY25 ? If you look at our last year's balance sheet, capitalised cost was nearly 20% of EBITDA. It was quite a significant number.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

I'll give it to you offline.

Ritesh Shah, Investec

How should we look at the debt and cash flow profile into 4Q and next fiscal , factoring working capital release? Are we still looking at one consolidated balance sheet? Could you please give debt numbers on books currently at UK and Netherlands, which I think the last time you had said was around £500 - 600 million in both the regions.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

At the end of the day, it is one balance sheet effectively, and we are progressing more and more [inaudible], it will be more reflected on Tata Steel India , because that's the strongest end of the balance sheet for many reasons, including economic. Working capital debt will be more focused in future on UK and in the Netherlands. If there are any project related debts, for example, in future if the decarbonisation project has debt coming that will be reflected more on Netherlands balance sheet, which will be serviced by Netherlands cash flows. We have a method of looking at the allocation of debt. As you

saw that this quarter because of the way in which we could tightly manage working capital, we have been able to release a significant part, and net debt has decreased by about Rs. 3,000 crore s. Our intention is to ensure that we keep holding it and decrease it as and when we move forward. However, there are times , apart from market issues, for example, this quarter, we have a blast furnace relining starting in Jamshedpur, the G - blast furnace, which will run its campaign for about 160 days or so, and it will come back in July. During that time, the working capital does need to be adhered to the loss of production out of G - blast furnace. There is a lot more scrap and DRI being used to maintain production level on the other furnaces. As you heard from Naren, ramping up of Kalinganagar is happening. Some of these are competing pressures that happen on working capital. Whenever we get the opportunity, we push for taking out not only working capital, but also cost. We're also looking at a significant number of commercial levers in terms of contracts, et c. Our sense is that we'll be hovering around that region, and we'll continue to strive to move it down. At least in the next quarter, once the G - blast furnace comes up, Kalinganagar, by end of 1QFY 26 would have been even more ramped up. Therefore, we would be able to drive cost and working capital down as far as India is concerned.

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The situation in Netherlands is different. There, it is running at full capacity. We are looking at taking down working capital more. There

has been a pricing impact of that in terms of NRs in this quarter, which if prices continue to improve, there will be a certain amount of reversal on that. Similarly, in UK, we are trying to drive working capital down. One step - up that has happened is once we closed the blast furnaces, we are now buying higher value of working capital, which is more slabs and coils than before when it was iron ore and coal. Now we are moving to drive supply chain effectiveness to ensure that our working capital is lower. Lot of efforts are going on around all sites and all businesses in all geographies. Our intention is to keep it tight and keep it going on this basis.

Ritesh Shah, Investec

Is it possible to quantify the net debt number for Netherlands and UK on December - end basis?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

In Netherlands , gross debt is around £500 million. UK gross debt will be slightly higher, around £700 - 800 million.

Ritesh Shah, Investec

Specifically for Netherlands, in the last call, you had indicated that we've already started preparatory capex. Over the last 4 - 5 quarters, we have been engaging with the government, but nothing firm yet. How are we looking at it ? Hypothetical ly, there is a capex of \$3 - 4 billion and we have to take potentially one furnace down, which will be 3.5 MTPA . How are we looking at managing the cashflows for Netherlands? Is there a n assurance that you can give to investors that there won't be fungibility of cash from India to Singapore to Netherlands?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Let me articulate this a little bit differently. First is we won't shut down the blast furnace like in UK. In UK, both the blast furnaces had come to end of life. It was bleeding and had increased our costs and therefore, we shut it down, and that's a clean slate project . In Netherlands, both the blast furnaces will run as we build the project. Cashflows are not going to be impacted from that point of view. Secondly, we've been talking to the government and government conversations do take a long period of time because it's a multi stakeholder conversation even within the government. In this case, there is a European Commission angle, which has to agree and approve on the mandate to the Dutch government before they approve. We are at a very high intensity conversation at this point of time. It's not just a conversation and they also see our model and viability because no government will give money for a failing business. All governments , whenever they give money, want a successful business on the other side of the project. There's a huge amount of due diligence that goes on. As it happened in the UK, it is happening in Netherlands. That happens for any company which has got it. Therefore, as somebody questioned earlier that people are going slow. The people are going slow because some of the assumptions are not fructifying or in line of sight, like hydrogen which is why we said we are slightly different because we've not gone for the hydrogen route and are on the natural gas path. There's a lot of conversation, diligence, legal ity, vetting that goes on as part of this conversation before the government says that, yes, we can give you and what quantum we can give and what your project delivery timelines are. What it will mean, what will be the outcome , and how the company will perform post the project, all this is part of one. Therefore, it will not be that one sudden morning either Naren or I will stand up and say £1 billion will go from next month onwards. That's not how it works. When the project is done, there is a permitting process and certain approval processes on the ground and there is a preparatory time and then the spend starts. Typically, the spend starts in tandem . One gives Rs. 1, the other person will also give his share of spend. It is a calibrated spend

that is happening even in the UK . It just started because our spend was not there till about the start of this month. This is

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the first quarter where the spend will be net of the grant. The grants will typically come in the UK at one quarter lag and as you build, you will get money. These are elements which will happen, and I can assure you that cashflow certainty comes up [inaudible] , and we will have time , position , and decision - making to decide on when that capex will happen.

Operator

Next question is from Indrajit Agarwal of CLSA .

Indrajit Agarwal , CLSA

Can you quantify what would be the conversion cost differential between the Kalinganagar Phase 2 vs . what we have currently over there? What kind of cost savings can we look forward to when Phase 2 is fully ramped up?

T. V. Narendran : CEO & MD – Tata Steel Limited

When you look at 3 MTPA going to 8 MTPA , there is certainly cost takeout because you're not doubling the number of people. The number of people will be maybe 10 - 15% more in Phase 2 than it was in Phase I, and you're getting 5 MTPA of additional facilities. Secondly, we are making better use of assets, which are already built. Like you have one steel melt shop, which used to produce 4 MTPA and will now produce 8 MTPA . One hot strip mill which used to produce 3 MTPA and will produce 6 MTPA . You have that kind of scaling up.

Samita Shah: VP CFTRM – Tata Steel Limited

Indrajit, as you know, we're looking at it as a company, and wouldn't want to give site wise details . Broadly, you can see the benefits which are coming and factor or adjust that.

T. V. Narendran : CEO & MD – Tata Steel Limited

Even the coke rates will be better because you have two big blast furnaces as compared to Jamshedpur, which has some smaller and some bigger blast furnaces. There are lots of operating advantages and no legacy costs, which you carry in Jamshedpur. In terms of conversion rate , Kalinganagar will be the lowest amongst all our sites , for sure.

Operator

Next question is from Ashish Kejriwal of Nuvama .

Ashish Kejriwal , Nuvama

Just a bookkeeping question . It was mentioned around Rs. 1,410 crore of excess liability, which we have written back. What was that liability? I assume it is included in your adjusted EBITDA of Rs. 7,500 crores ?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

Ashish, that liability was related to past claims, which are no longer required. We continue to have a process whereby we assess based on independent judicial basis. Once we no longer require it, we do an accounting release or reversal, we top it up. That's part of the ongoing process given the size and complexity of a company like Tata Steel.

Samita Shah: VP CFTRM – Tata Steel Limited

If I can just clarify , adjusted EBITDA is adjusted for FX impact, not for any other items. It includes the impact of the reversal.

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Ashish Kejriwal, Nuvama

That means this Rs. 1,400 crores are a net cash item, which reduced our other expenditure in this quarter?

T. V. Narendran : CEO & MD – Tata Steel Limited

Non - cash.

Samita Shah: VP CFTRM – Tata Steel Limited

It is a non - cash item, which reduced our other expenses.

Ashish Kejriwal, Nuvama

Looking at depreciation , we have commissioned or capitalised our 5 MTPA steel plant. Depreciation for last 4 - 5 quarters, remains almost same. How to look at it?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

You will see more capitalisation in March because in the initial period of ramp up till you reach a certain stage, you don't capitalise. Therefore, you don't see that increase in depreciation . From 1QFY 26, you will see impact of that depreciation.

Ashish Kejriwal, Nuvama

Second question is on post completion of our KPO expansion. When can we go ahead with an NINL expansion? Will capex be much lower in FY 2026 compared to

o FY 2025?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

So Neelachal, as I mentioned in my commentary , we are going through a process on regulatory clearances. Once that is done, we normally do the FEL study, which is the front end loading study for determining capex. Once these two are done, we go towards an investment case or investment decision for this. That's something that we will bring to the Board for consideration in a few months from now. [inaudible] . As far as capex for next year is concerned, the elements that will be there is certainly some part of the Kalinganagar expansion, which will be about Rs. 3,000 crores along with ancillary spend

on that expansion. There is the blast furnace relining that is currently going on. You will see that in both 4QFY 25 and 1QFY 26. There's another relining that will happen towards the end of 4Q and then there are more on improvement sustenance capex that will be there and the spend in UK, which will also start kicking in. Not in its peak form, but at least start kicking in because one has to start giving advances and start getting mobilisation on site. A nine month spend on UK will be there. On the other hand, there will be a lot more rationalised cost in Netherlands to the sustenance level that is currently there. Further, the Ludhiana project is picking up quite fast and bulk of the spend for it will be in FY2026. From today to December 2025, we will see a big part of the spend. It is something that we are optimising. Not Ludhiana, but rest of the profile on capex is optimising. We hope to ensure that whatever we do, we will be looking at putting towards the asset growth in the portfolio that we have.

Operator

Thank you, sir. I would now like to hand over the conference to Ms. Samita Shah for chat questions. Over to you ma'am.

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Samita Shah: VP CFTRM – Tata Steel Limited

There is a broad question on how we see steel prices. While you've shared the items, I think just to get a flavour of what's happening in the steel markets.

T. V. Narendran : CEO & MD – Tata Steel Limited

A couple of things here. One is if I look at domestic markets, long product prices have been kind of what we had forecasted because it's less dependent on what happens in international markets. In fact, if at all, impact on coking coal imports will add to the pressure on some long product prices because the secondary sector is getting impacted. Flat product prices in India will depend on safeguard duties or any other action taken by the government, which you'll know in the next few weeks. When I look at international prices, I'm not expecting too much of pickup because nothing is changing very significantly in China from an economic point of view. Though over the last two weeks, we've seen iron ore prices and steel futures go up about \$10 - 20 per ton, I don't have a feeling that it's going to spike up. Let's see what happens. Unless China turns the tap off on exports, I don't see international prices improving very significantly at least in the next one or two quarters. If something happens in China, and they're able to reduce their exports to the 60 M TPA level, which they've been doing for most of the last few years, then you will see steel prices going to \$550 - 600 per ton levels compared to \$480 - 500 per ton levels now. I don't see that action just yet and that's why most of our actions are assuming that steel prices stay around the levels that they are. Hence, any improvements that we show will be more from additional volume or cost takeouts. If steel prices move up, that's an upside to whatever we say. So not broadly stable, maybe we've reached the bottom. That's what I would say.

Samita Shah: VP CFTRM – Tata Steel Limited

The second question comes from some of the comments we made earlier on the Kalinganagar ramp up. You had mentioned in the 2Q call that there were some issues to

be resolved in oxygen supplies. There are many questions about whether that has got resolved and whether that constraint is still there or how is Kalinganagar ramping up post that?

T. V. Narendran : CEO & MD – Tata Steel Limited

There were issues in the oxygen plant, which was to get commissioned in October - November, and it is now commissioned. In the first week of January, we pretty much came to the levels that we wanted. The oxygen issue is behind us. I think now we are waiting for the steel melt shop facilities to get commissioned. That will happen in March. One of it will happen in March and the other in September. Normally, when you do commissioning activities in a large steel plant, there's a moving bottleneck. We need to deal with bottlenecks because it could be logistics, it could be oxygen, it could be the downstream facilities. The blast furnace is doing fine and is producing very stable 8,500 tons a day, and we will ramp it up now to 10,000 - 11,000 tons per day, and then take it to 13,000 tons per day, which is the level at which we want to be. I think we are going okay there. The oxygen issue is behind us.

Samita Shah: VP CFTRM – Tata Steel Limited

Thank you. The next question is on Sukinda, and this is saying that regarding surrender of the mines, what do we plan to do with the furnaces and what's our thinking about Sukinda and FAMD as a business?

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T. V. Narendran : CEO & MD – Tata Steel Limited

Work is going on in surrender of the mine. We have got some of the permissions that we needed from the state government, but we are still going through the procedures. Once we surrender the mines, we won't have the MDPA pressures, and there will be a better balance between our ability to produce, grow more, and ability to convert them. That brings business to a better level of stability than we've had, and we won't have the pressures of MDPA and [inaudible]. We will continue to

revisit this business and further optimize it going forward. We are trying to make sure that we don't have the losses that we had because of high MDP A production.

Samita Shah: VP CFTRM – Tata Steel Limited

Thank you. There are a few questions on our capex growth in India. I think we've talked about it earlier as well on the various projects, but just to have a sense of what our thinking is on that. Are we still on the same lines?

T. V. Narendran : CEO & MD – Tata Steel Limited

As Koushik said, the focus in the next 12 months will be completing Kalinganagar. When I say Kalinganagar, it's not just Kalinganagar, there's money being spent on raw materials. We have increased iron ore production to 45 million tons. All that is there. In addition to that, we will complete the Ludhiana project. I mean at least a lot of the capex related to the Ludhiana project will go on. That will be the focus in India. We will, in the next few months go to the Board with a Neelachal proposal. We've just had the public hearing a couple of months back and are progressing on the EC. Similarly, we will do the Kalinganagar plant expansion also from 8 MTPA to 13 MTPA ; and Meramandali plant expansion from 5 MTPA to 6.5 MTPA. These are the three things we're working on. In terms of adding capacity, Kalinganagar, which is getting completed now, Ludhiana, then Neelachal, then Kalinganagar, and then Meramandali. It will be in that order. Neelachal is what will be ahead of the others after Ludhiana.

Samita Shah: VP CFTRM – Tata Steel Limited

The next few questions are in Europe. We answered about outlook on steel prices. There is a question on cash burn currently going on at Netherlands and UK. When do we see breakeven? I think we've answered a bit of it, but maybe if you want to give some color there.

Koushik Chatterjee: ED & CFO – Tata Steel Limited

This quarter, Netherlands generated positive cashflow. That is despite the neutral

EBITDA that it had. The cashflows are positive on account of very stringent working capital management. Next quarter also, we want to continue to do the same. I think the impact of the transformation program will start flowing in from 1QFY 26. For the full year next year, we will certainly be trying to ensure that we are cashflow positive. If the question is about 3Q, cash burn is not there.

Samita Shah: VP CFTRM – Tata Steel Limited

Next question is on capex and debt reduction plans. What is our capex for FY 2026 and FY 2027? I think it's a bit early to give guidance on that. In light of all of this, what is our capex thinking and debt reduction plans?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

The exact phasing in number we can do so in our May meeting. As far as debt is concerned, I think we've given the framework within which we are working.

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Samita Shah: VP CFTRM – Tata Steel Limited

With that, we will end the Q & A. Thank you again for all your questions and hope the clarifications help you understand our numbers better. Thank you, and we will connect again next time.

T. V. Narendran : CEO & MD – Tata Steel Limited

Thank you.

Koushik Chatterjee: ED & CFO - Tata Steel Limited

Thank you.

Call: May 2025

Ref: SEC/249/2025 -26
May 18 , 202 5

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Maharashtra, India.
Symbol : TATASTEEL

Dear Madam, Sir,

Sub: Transcript of 'Tata Steel 4QFY2025 and FY2025 Earnings Discussion '

This has reference to our letter dated May 8 , 2025 intimating that post the announcement of Financial Results of Tata Steel Limited (' Company ') for the quarter and financial year ended March 31, 2025, the Company will host an Earnings Discussion on May 13, 2025.

The Board of Directors of the Company at its meeting held on May 12, 2025 inter alia approved the Financial Results of the Company for the quarter and financial year ended March 31, 2025. The Company hosted its Earnings Discussion on May 13, 2025.

In this connection , we enclose herewith t he transcript of the 'Tata Steel 4 QFY2025 and FY2025 Earnings Discussion '.

The above information is also available on the website of the Company at:
<https://www.tatasteel.com/investors/financial-performance/analyst-call-recording/>

This intimation is being provided in compliance with Regulation 30 read with Para A of Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended.

This is for your information and records.

Yours faithfully,

Tata Steel Limited

Parvatheesam Kanchinadham
Company Secretary and Chief Legal Officer

Encl.: as above
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CORPORATE PARTICIPANTS

T V Narendra n, CEO & MD – Tata Steel Limited
Koushik Chatterjee , ED & CFO – Tata Steel Limited
Samita Sha h, VP Corporate Finance, Treasury, & Risk Management – Tata Steel Limited

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Amit Murarka , Axis Capital
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Ritesh Shah, Investec

Satyadeep Jain, Ambit Capital
Sumangal Ne vatia, Kotak Securities

PRESENTATION

Operator:

Ladies and gentlemen , good day , and welcome to the Tata Steel analyst call. Please note that this meeting is being recorded. All the attendees ' audio and video has been disabled from the backend and will be enabled subsequently. I would now like to hand the conference over to Ms. Samita S hah. Thank you and over to you ma'am.

Samita Shah: VP CFTRM – Tata Steel Limited

Thank you, Kinshuk. Good afternoon , good morning , and good evening to all participants listening to the call. On behalf of Tata Steel, I'm delighted to welcome you to this call to discuss our results for the fo urth quarter and full year FY2025 . We declared our results yesterday, and there is a detailed presentation along with the SEBI release on our website, which discusses the results. We will walk you through our results and answer any questions you may have . I just want to remind all of you that the entire discussion today will be covered by the Safe harbour clause, which is on page 2 of the presentation. The call today is led by our CEO & MD, Mr. TV Narendran, and our ED & CFO, Mr. Koushik Chatterjee. Thank you very much again for joining us today , I would request Naren to make a few opening comments before we throw the floor open for questions . Thank you.

T. V. Narendran : CEO & MD - Tata Steel Limited

Thanks, Samita, and hello, everyone. I'll make a few comments and then pass it on to Koushik. FY 2025 has been an important year for Tata Steel, and it demonstrates our ability to navigate a challenging operating environment and progress on our stated objectives across geographies. For most of the year, steel fundamentals diverged across regions

with

increasing exports from China weigh ing on price sentiment . Since January, evolution of US policy and different nations focusing on protecting local industry has led to varied price momentum across India, Europe and UK . At the same time, China continues to struggle with declining steel consumption. Regions like UK which are yet to review the ir quotas, have struggled a little bit more . As you may be aware, in Europe, they have refined the quotas that are available for imports, which has acted to limit the imports. In India, also, there's a safegu ard duty, which has helped us.

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Amongst the operating geographies, India remains a structurally attractive market, and we are committed to leadership in chosen segments. Our annual performance has been aided by the commissioning of India's largest blast furnace at Kalinganagar, coupled with initiatives to enhance the cost competitiveness and product mix. We achieved highest ever crude steel production of ~21.7 million tons and deliveries of ~20.9 million tons for the full year. Across our sites , excluding Kalinganagar which is ramping up, we operated close to 100% capacity utili sation. That is an outcome of the way we design our plants, our best - in - class maintenance practices and our superior marketing and sales network, which helps us maximi se our deliveries across cycles in the domestic market . Coming to the segments, deliveries to the automotive segment were aided b y focus on new product development, especially hi-strength steels and enhanced capabilities on account of the new continuous annealing line at Kalinganagar. We became the first company to locali se select automotive product grades i.e. CP780 and through our joint venture JCAPCPL , commenced supply of DP780 grade to aid automotive OEMs in their lightweighting initiatives. We also cater to the growing requirements of high - quality wire rods for the auto industry, and these deliveries were also positively impacted by the successful commissioning of the world's longest Stelmor conveyor line [inaudible] in Jamshedpur. We expect further progress in product mix with the 0.5 MTPA Combi mill, which is being set up in Jamshedpur and will use steel that is made out of the erstwhile Usha Martin plant, which is called Tata Steel Gamharia. The furnace has already been commissioned and trials are underway. O ver the next few months, the other facilities will also be commissioned.

Our Branded Products and Retail vertical achieved volumes of around 7 million tons aided by best ever sales of Tata Tiscon, Tata Astrum and Tata Steelium. Tata Tiscon volumes grew by about 19% YoY. It is second year in succession that they've had double - digit growth, and it has reached 2.4 million tons, while our hot -rolled brand, Tata Astrum, and our cold-rolled brand, Tata Steelium, together achieved record sales of 3.8 million tons. Our e -commerce platform, Aashiyana served more than 1 la c unique customers during the year with a gross merchandise value of over Rs. 3,500 crores. Moving to Industrial Products & Projects, Engineering witnessed double digit growth and contributed to construction of around 2,500 kilometres of oil & gas pipelines. Once the Kalinganagar plant was commissioned, we had said that we will focus on oil & gas because that's also a high - end approval based business, just like the automotive business. In line with our focus to grow in chosen segments, we have now also forayed into commercial shipbuilding, supplying grades to various shipbuilders in India, including Maz agon Dock Shipbuilders, Garden Reach Shipbuilder s and Cochin Shipyard [inaudible] . Our capacity investments are also progressing well across sites. At Kalinganagar, the 5 MTPA blast furnace continues to ramp up, and the civil work is in progress for the EAF in Lu dhiana , which we hope to commission in the next 12 months. Specific to downstream, th

e Continuous Galvani sing Line s are expected to be commissioned in the coming months, while the ramp up is in progress for the 100,000 ton per annum tubular structural mill that we have set up in Jamshedpur.

In UK, we have safely decommissioned both the blast furnaces at Port Talbot and smoothly transitioned to serving

customers via downstream processing of purchase substrate. Our annual deliveries stood at 2.5 million tons and were lower on YoY basis. UK steel prices are still 8% below the levels that we saw last year due to import pressures and subdued demand situation. As such, we focused on transforming operations towards a sustainable model, and the shift in the operating model, coupled with our focus on controllable costs, has led to improvement in fixed cost base by about £230 million on an annual basis. Unfortunately, this is not visible yet in the performance due to the market dynamics. With respect to the proposed transition to green steelmaking, we have received planning permission for the EAF and are gearing up for the civil work and construction activity to begin by July. In Netherlands, liquid steel production was near capacity at 6.75 million tons, the highest in many years. This in part has led to a 17% YoY increase in deliveries to 6.25 million tons for the full year. EBITDA remained positive on full year basis and deliveries for the quarter at 1.75 million tons were the highest quarterly volumes in the last six years. We recently launched a cost competitiveness program targeting €500 million savings in FY2026. The transformation is a building block to ensure that Tata Steel Netherlands becomes one of the most efficient and sustainable sites in Europe. We are engaged with the government team to support our integrated decarbonisation and environmental measures projects.

I am happy to share that Tata Steel has been recognised by worldsteel as a Sustainability Champion for the eighth year in a row. With that, I hand over to Koushik for his comments. Thank you.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Thank you, Naren, Good afternoon, good evening to all those who have joined in. I will cover three themes: firstly, the performance; secondly, our cost transformation program across geographies, what we have done so far and what we are targeting in the next 12 - 18 months. Thirdly, an update on decarbonisation strategy and actions in UK and Netherlands. Let me start with our production performance for the quarter and the year FY 2025. While you would have seen the production filings, I wanted to highlight that for the full year in India, we have increased our production from Tata Steel Kalinganagar by 1 million tons. For the India business, our production increased by about 0.9 million tons, taking into account the shutdown that we have taken for our G - blast furnace relining, which is currently on, and we hope to complete it by July 2025. In Netherlands, crude steel production for the year was 6.75 million tons, which is almost at full capacity. As you know, in the UK, our business model has changed, and we are now operating as a finishing facility with purchase of substrate, including from India, Netherlands and external sources.

Moving to the financial performance for the quarter and full year, our consolidated performance for the quarter has been provided in slide 23 of the presentation. Consolidated revenues for the Jan to March quarter stood at about Rs. 56,218 crores, up 5% QoQ primarily driven by seasonally strong volumes in India and Netherlands. Steel realisation improved in India by around Rs. 600 per ton, but revenue per ton was down by about £53 per ton in UK and €79 per ton in Netherlands on QoQ basis. Consolidated EBITDA for the quarter was about Rs. 6,762 crores, which translates to a margin of 12%, up by about 100 basis points QoQ. India EBITDA margin was higher at 21% and translated

to Rs. 7,418 crores, and

Netherlands was about Rs. 125 crores, which was partly offset by the EBITDA loss in Tata Steel UK. Tata Steel Standalone EBITDA for the quarter was Rs. 7,105 crores, which translates to around Rs. 12,700 per ton. As I mentioned during the 3QFY25 earnings call, there was a non-cash credit of Rs. 1,413 crores or Rs. 2,670 per ton. Excluding this, standalone EBITDA has actually improved by close to Rs. 1,000 per ton on QoQ basis. I want to make a special mention about the NINL performance. It has consistently improved across the quarters and recorded an increase in EBITDA of 9% QoQ to Rs. 323 crores, which is a margin of about 23%. The most heartening part in NINL is that it has achieved Rs. 1,000 crore EBITDA in the year, reflecting an EBITDA margin of 19% and cashflow of Rs. 1,000 crores even in these challenging market conditions. NINL will remain as one of Tata Steel's most promising growth prospects in the coming years as we are working on its expansion plans. At our overseas operations, efforts towards cost reduction, operational KPI improvements and product mix optimisation are showing visible benefits despite spreads moving to a multi-year low. In Netherlands, fourth quarter EBITDA improved to €14 million and coupled with working capital release of ~€300 million, led to free cashflow over €200 million. In UK, our fixed cost improved by £69 per ton QoQ, but this was more than offset by the drop in the revenue per ton and the higher substrate prices leading to an EBITDA loss of £80 million in 4Q. UK underlying EBITDA loss in 4Q has trended down vs. 3Q. When I speak about our cost transformation program in a short while, I will cover further efforts in UK. Our consolidated operating cashflow after interest & adjustments for the quarter stood at Rs. 7,700 crores, aided by EBITDA performance and sharp focus on working capital that ensured a cash release of Rs. 4,300 crores.

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Let me now move to the full year performance, which has been provided in slide 25 of the presentation. There are four big headlines I would like to highlight - Firstly, in spite of our multi-year low in steel prices and reduced steel raw material spreads, our consolidated EBITDA for the year was Rs. 25,802 crores vs. Rs. 23,402 crores in FY2024, which is a growth of 10% YoY. This reflects 200 basis point increase in consolidated EBITDA vs. FY2024. Secondly, the structural cost takeout across all entities of Tata Steel during FY2025 was about Rs. 6,600 crores focusing on fixed cost takeout, efficiencies in manufacturing, procurement, raw material optimisation with leaner coal blends and fixed overheads. This is a company wide program, and I'll talk shortly on what we aim to do in the next 12 - 18 months. Thirdly, and even more important, is to demonstrate the cashflow orientation of the entire company. Our operating cash flows after interest & adjustments for the year increased by 37% YoY from Rs. 12,941 crores to Rs. 17,700 crores despite challenging market

conditions. Fourthly, our Netherlands operations marked a significant turnaround in EBITDA during the year from a -ve EBITDA of €426 million in FY20 24 to generation of €90 million in FY20 25, an improvement of more than €500 million. If I consider the operating turnaround at the FY20 24 prices and spreads, it would actually be a €900 million turnaround. While there is lots to do, the direction of the movement is very clear, and we will continue on this path.

India EBITDA for the full year stood at Rs. 29,285 crores with Standalone EBITDA of Rs. 28,217 crores. Standalone EBITDA stood at Rs. 13,500 per ton. The EBITDA performance was aided by a 5% increase in volumes, lower raw material and operating costs and special actions that I talked earlier. Total costs improved by more than Rs. 5,700 per ton. Our UK operations too are progressing as per stated plan, while the full year EBITDA

was -ve £385 million. It is a tale of two halves

with EBITDA in second half improving by £90 million vs. the first half. The closure of the heavy end steelmaking by September 2024 and concerted efforts to optimise costs led to reduction in fixed costs by around £160 million in the second half and £230 million for the full year.

Now let me provide some details on our cost transformation program. The structural cost takeouts in FY20 25, as I mentioned earlier, were about Rs. 6,600 crores vs. FY20 24. Looking ahead to FY20 26, our focus continues to be on controllable factors, and we are targeting further cost takeouts of almost Rs. 11,500 crores, roughly about \$1.3 billion across geographies by focusing on controllable costs. Let me outline some specifics. Firstly, in India, we intend to deliver savings of Rs. 4,000 crores by focusing on operating KPIs, employee productivity, supply chain optimisation, coupled with investment in projects with low payback period. There is a specific focus on conversion cost, and our aim is to optimise conversion costs by about Rs. 1,000 - 1,200 per ton. We have identified a pipeline of low capex, high IRR projects totalling less than Rs. 500 crores, that will improve operational cost and be completed in a short span of time. In the UK, we intend to continue progressing on achieving a lean structure by further reduction in fixed costs of 29% YoY of around £220 million. Key levers range from optimising the cost of substrate and upgradation of IT infrastructure to reduce corporate overheads and rationalisation of downstream operations to improve the profitability. Our total fixed cost in FY 2024 was about £995 million, which reduced to about £762 million in FY20 25, and we target to bring it to around £540 million in the next financial year. In Netherlands, we intend to achieve savings of around £500 million, and the program encompasses multiple areas such as volume maximisation, product mix, repair and maintenance, employee productivity and others. We are also in discussions with the unions on the transformation project.

Let me now touch upon capital allocation before moving to decarbonisation update. Of the generated cashflows in FY2025, we spent about Rs. 15,671 crores on capex. Our net debt stands at about Rs. 82,579 crores, which has come down from Rs. 88,870 crores in September 2024, by about Rs. 6,200 crores in the last six months. We plan to spend about Rs. 15,000 crores of capex in the next financial year, and of this close to 75% is [inaudible] in India, including the last part of Tata Steel Kalinganagar spend on the third caster and related facilities. The EAF project in Ludhiana is being focused and there

are several smaller projects, which are also meant for asset reliability and performance efficiency. Our work on engineering for the next phase of expansion in NI NL is ongoing and the regulatory clearance process on environment are also underway. Our capital allocation will continue to be prioritised towards capacity growth and downstream facilities in structurally attractive Indian markets. In UK and Europe, the focus is largely on decarbonisation with material support from the government. As you are aware, we have secured £500 million support from the UK government for the transition to scrap-based electric arc manufacturing. We have now got the planning approvals, identified the technology providers, and the design engineering work is almost complete. We have spent about £35 million on the project in FY20 25, and we will commence site activities in the next few months. In Netherlands, we are in intense discussions with the Netherlands government to secure funding and policy support to enable the decarbonisation and environmental project. The Dutch government has completed the pre-notification filing with the European Commission regarding the project and all stakeholders are working on various subjects

relating to the project. The Dutch government has updated its parliament, confirming talks with us and the European Commission relating to the project.

I would now like to walk you through an accounting change that we have made in the standalone financial statements in order to have a clearer view of the underlying business performance going forward. The valuation of investments in subsidiaries is tested against the present value of the future cash flows over the long term. For this, it is necessary to take a view on the business landscape in the decade beyond 2030. Tata Steel UK has transitioned its business model to a downstream only play and is undertaking an investment to build the EAF in Port Talbot by FY20 27-28 end. Tata Steel Netherlands is in discussions with the government for the project to replace one of the two blast furnaces and coke ovens with a DRI - EAF combination by around 2030. The primary drivers of the profitability for future businesses will, therefore, change from traditional steel price to iron ore and coal basket spread to the following: it will be influenced by the Carbon Border Adjustment Mechanism, infrastructure and availability of clean fuel and the carbon capture options, local availability and pricing of scrap, willingness and ability of customers to pay additional premium for low CO₂ steel and circularity and other regulatory costs, including fixed network costs for electricity, hydrogen and natural gas. These factors, which will be the primary drivers of the business in Europe, are all currently evolving with significant changes in market regulations being implemented. There are multiple risks and opportunities with relation to how they will play out over the next few years, impacting the current value of the business at this point of time. The company has, therefore, concluded that carrying these

investments in UK and Netherlands at historical cost less impairment under Ind AS 27 is no longer appropriate. Tata Steel has, therefore, voluntarily changed its accounting policy to carry the equity investment in subsidiaries at fair value under Ind AS 109. This also addresses the reliability issues that Ind AS 8 talks about. The move to fair valuation more accurately reflects the underlying value of the business, including the potential upside in valuation in the coming years, as the uncertainty over the regulatory and market factor reduces. Having opted to account these investments at fair value under Ind AS 109, the company has also opted to route the fair value changes between accounting periods through the other comprehensive income. This allows the company to keep the movements in fair value of the long-term strategic assets distinct from the underlying financial performance of the company's regular business activities. Based on the fair value assessment, Tata Steel has recognised an adjustment in the fair value in the investment in subsidiaries only in the Standalone financial statements through OCI of around Rs. 24,829 crores in the quarter and Rs. 23,606 crores in the year ended 31st March 2025, respectively. This is a non-cash adjustment, and there is no impact on the consolidated financial statements. The losses sustained by Tata Steel UK and recently by Tata Steel Netherlands in the last few years have already been reflected in the consolidated financial statements. As a result of the change in the accounting policy, there will be greater consistency between the consolidated and the standalone financial statements. As of 31st March 2025, the standalone net worth stands at Rs. 1,23,544 crores, whereas the consolidated net worth is at Rs. 87,770 crores.

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Finally, with relation to the US - UK trade deal, steel & aluminium tariffs on UK origin goods are now eliminated. This is a positive, although with limited impact on Tata Steel UK, which exports mostly packaging products of a small quantity. There is a larger positive

indirect impact for our customers through the automotive tariffs, which have been reduced to 10% for defined quota of vehicles. The automotive sector in UK is also likely to be positively impacted with UK - India trade deal. After closure of the blast furnaces in the UK, Tata Steel UK is now servicing its customers on basis of imported slabs and HRC, especially from India, after processing them at local downstream facilities. We expect no material change or impact on our supply chain from the trade deals. With this, I'll end my comments and open the floor for questions. Thank you.

QUESTIONS AND ANSWERS

Operator

We will now begin the Q&A session, and the first question is from Prateek Singh of DAM Capital.

Prateek Singh, DAM Capital Advisors

I wanted to get a sense of how prices have moved currently vs. the last quarter, both in Europe and in India?

T. V. Narendran : CEO & MD - Tata Steel Limited

In India, we are guiding that prices this quarter will be about Rs. 3,000 per ton higher than what it was last quarter. In Europe, it's about €20 – 30 per ton higher than last quarter.

Prateek Singh, DAM Capital Advisors

Given we have long-term contracts, how should we see it? Prices in the spot market have gone about \$150 per ton over the last 2 - 3 months. Would you be seeing the full impact 2 - 3 quarters down the line? Or is it futile to track those prices and prices will change at the year end?

T. V. Narendran : CEO & MD - Tata Steel Limited

I don't think it has gone up in spot markets by that much. Having said that, I think more to your specific question, we have our annual contracts, which are normally negotiated in November - December. They are typically the packaging and automotive contracts. These typically are much higher than the spot prices. So when you go up and down also in those contracts, it may be up and down compared to the previous contract, but typically higher than the spot prices. The spot price impact maybe about 30 - 40% of the volume in Netherlands and a similar level, maybe slightly higher in UK. So that's where the spot impact comes in, which is more the monthly prices on what we supply to engineering or what we supply to some of the other segments. If you look at steel prices, it has fluctuated in a \$50 per ton range. If you look at China, if you look at Southeast Asia, it's gone up and down in the \$50 per ton range over the last few months. What has helped is actually the coking coal price is going down, which has helped spreads more than steel price itself moving up too much.

Prateek Singh, DAM Capital Advisors

My second question is a medium-term question. What is your view on Jamshedpur given the legacy cost issues and a bit of operational disadvantage we have given smaller blast furnaces there? Is there a medium-term plan here?

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T. V. Narendran : CEO & MD - Tata Steel Limited

We do have some legacy costs in Jamshedpur, but a lot of work is going on to address that. Having said that, if you distribute some of the costs which we incur in Jamshedpur over the other side, the gap is not as much as it may seem because, for instance, all the R&D facilities are located in Jamshedpur. Procurement facilities are largely located in Jamshedpur. There are some of those costs which Jamshedpur bears more than the others. The advantage, as you said, in Kalinganagar is you have bigger facilities, two blast furnaces, making 8 MTPA, one steel melt shop making 8 MTPA. You start with productivity advantage; you also start with the younger workforce. These are the advantages Kalinganagar

has over Jamshedpur. So, when I look at a cost on HRC basis, the gap is now reducing between Jamshedpur and the other sites because of many of the actions that we have taken over the years. But this work continues. Also, we should keep in mind that we have almost 1,000 people retiring from

from Tata Steel amongst the unionised workers in Jamshedpur every year, between Jamshedpur and the raw material location, that also helps us bring down the legacy cost because since 2007, the rate structure in Tata Steel is very different from what it was before that.

Operator

The next question is from Ritesh Shah of Investec

Ritesh Shah, Investec

I think we have taken an approval of infusing another \$2.5 billion into Europe. Any specific reason for the same given we already are on a route where we have funding from the government in UK. And Netherlands, you have a transformation program in place. If you could please help us understand that?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

This is similar to what we did last year. It is not new investment. It is rebalancing the debt between overseas debt and India debt. Effectively, that makes a lot of sense because, a) to reduce currency fluctuation; b) to get post tax cost down. We are effectively looking at debt that sits in various parts of the overseas entities, including in UK [inaudible] to be more from an India perspective because they are anyways serviced currently out of India. Therefore, it is a rebalancing exercise, not a new investment. Only a small sliver of that investment will be the investment that is going on in the UK, which is relating to the EAF projects which is 40% shared by the government and 60% is on our account. But that number this year is not going to be significant. Fundamentally, the principle is to onshore more of the debt.

Ritesh Shah, Investec

My second question is on the cost takeout. In the prior call, we had indicated for Tata Steel Netherlands around €500 million. In this presentation, we have given a number of Rs. 4,500 crores. Is it the same number? Or is it a top up?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

It is the same number.

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Ritesh Shah, Investec

Okay. Specifically for UK, again, we have given a number of around Rs. 3,000 crores. This effectively implies 36% of the cost base ex raw material, which effectively could translate to nearly \$100 [inaudible]. What are the underlying variables that we are looking at over here? Is this an exit rate that you are looking for FY 2026?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

It is indeed the exit rate, but it is the total cost takeout. As I mentioned in my comments that we have a total fixed cost of £995 million when we were running on an integrated basis. We reduced it to £760 million this year, and our intent is to further reduce the cost to about £540 million. If I give you a sense of the itemised part, this is all fixed cost. Therefore, like the maintenance, hire and leasing, some part of it is the employment, and then there are other operating charges. These are the ones which will be going down significantly compared to FY2024. We stepped down in FY2025 and expect to go down even more in FY2026. This is the year end number that I'm talking about.

Ritesh Shah, Investec

Specifically on cost takeout. Historically, we have given disclosure for Indian operations. Likewise, if you look at Tata Steel Europe, we had indicated cost transformation programs in year FY2020, FY2021, and FY2024. I think the cumulative number is almost like £700 million plus. However, when we look at the implied cost, ex raw material, ex power & fuel, we don't see the stickiness of the cost savings, be it for Tata Steel Europe. How to better understand or appreciate the stuff that you're doing?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Let's take Europe first. So in Europe, the cost takeouts where there is also an offsetting factor. When, for example, the Ukraine War began, the gas prices changed very significantly. The inflation numbers were very high. So we had inflation as far as employment cost is concerned and the inflation impact on

the conversion cost was very clearly reflected, which did not get compensated by any price increases in steel post 2022-23. That has been one of the most important elements. In India, [inaudible] is actually an anti-inflationary KPI improvement process. So, when we look at individual physical KPIs, we were always looking at improving the KPIs and monetising or giving the monetary value on standard cost basis. While that continues and that has actually become much larger, we are now also tracking absolute costs. Absolute cost takeouts

have actually been supplemented on top of it to make it more accountable so that you can trace it from your financial statements. That's how we are looking at it.

T. V. Narendran : CEO & MD - Tata Steel Limited

Let me put it this way. When we look at improvement, we look at KPIs and are the KPIs improving. If that KPI has improved, how much is the cost saving, and that is what is normally reported in Shikhar and any of our [inaudible] programs. But let's say, if the coal price in one year is \$200 per ton and the coal price in another year is \$300 per ton, even if you've improved your coke rate by 10 - 15 kilos, that improvement, which is there gets wiped out by the increased coal price and the coke rate. A lower coke rate at a higher coke price offsets you know, what you had at a higher coke rate and a lower price. So just to give you an example of that. Secondly, in Europe, one thing which has gone up over the years is the CO₂ costs, which used to be maybe five years back, €14 - 15, which went up to €80 - 90, and now it's down to about €70. There are some elements of costs which have gone up. There are many KPIs where we have improved, particularly in

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India. In Europe, I think we are still early in this journey, particularly Netherlands, and we are running with it just now because traditionally, Netherlands has always been EBITDA and cash positive, only in the last couple of years when things went south, did we really pin in on some of these things. In UK, of course, it's been an ongoing activity. Even if I take the Netherlands and UK numbers, while Netherlands has shown an improvement in EBITDA from maybe €430 million or something negative EBITDA to about €80 - 90 million positive EBITDA. If the prices were the same as last year, it would have been actually €500 million positive. Because of the price drop, you've actually seen negation of some of the improvement. Similarly, in the UK, a lot of this cost takeout is not visible because again, the prices have dropped and wiped out whatever this £200 - 300 million cost take out that we take. I think your point is how do we reconcile this better. Maybe we'll discuss [inaudible] to see how when we present it, we can separate out the improvements from the external factors, which kind of distort some of these improvements.

Operator

The next question is from Satyadeep Jain of Ambit Capital.

Satyadeep Jain, Ambit Capital

This question basically comes from the fact that Tata Steel has been around for decades. Now these anti-inflationary cost takeout that you are talking about, which are different from the earlier ones. What has led you to now look at these cost savings that the company had not seen before? Is it the prolonged downturn that is making steelmakers like yourself look at some takeouts? If that's the case, what is unique about the takeouts you are doing? If the entire industry, including the Chinese also look at improving coke rate because of the downturn, then everybody's cost goes down, then who's the beneficiaries? I wanted to understand what is unique to what Tata Steel is doing, what others might not be able to replicate? And why now? Why couldn't you do it earlier?

T. V. Narendran : CEO & MD - Tata Steel Limited

Firstly, in our kind of business, which is cyclical, you always have to be the last man standing. Cost takeout will go

on

forever. Ten years later, also, you'll be talking of cost takeout because you'll always have to dig deeper to see how you take out costs. When you compare with the Chinese, the challenge we are facing, is that the Chinese are able to sell steel at 3 - 4% EBITDA margin or negative EBITDA margin and continue to grow. They still have money to invest in growth. It's not a model, which is market driven. There are supports, which are sometimes not visible. That has been our submission to the government. It's not about competitiveness. It's about what the cost structure is and how do these businesses survive with such low margins and still continue to grow where the cashflow is only there to invest to grow. We have to do what we have to do to keep improving the situation. For us, it's about that. The India business because of our backward integration, we continue to be one of the lowest cost producers of steel in the world. The Russians are the only ones who are maybe slightly better from a cost point of view compared to the Indian steelmakers because the rouble is where it is, and Russia has its own iron ore and coal. Globally, if you look at the Indian steel industry, not just at Tata Steel, we are favourably positioned as a country to make steel, and Tata Steel is certainly one of the most favourably positioned. In Europe, the cost structures are higher. Prices are also higher. Typically, prices in Europe are \$100 per ton higher than in India because of the fact that there are limitations on how much you can sell into Europe. Everyone's cost structure in Europe is there. In Europe, the effort is always to be the last man standing in Europe. You cannot be the last man standing in the world out of a European operation. But you can try to be the last man standing in Europe, and which is what our Dutch business traditionally used to be apart from the problems we've had in the last couple of years. To go back to your

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question, if I look at it, UK has always been doing this through restructuring, we've taken out costs, we've sold some of the assets, and we continue to restructure. But the steel industry has gone through cycles, particularly in the last 6 - 7 years with China exporting 100 million tons. We've gone through cycles, which you've not seen in the past. What was done in the past is never enough, we need to do more. In India, when we acquired these new assets, whether it's Bhushan, whether it's Neelachal, we've had a lot to do to take out costs. While Jamshedpur does what it has to do, if I look at it on a consolidated basis, in each of these whether it's Usha Martin plant that we acquired, the Bhushan plant that we have acquired, Neelachal plant [inaudible]. The Neelachal plant alone, we've taken out almost Rs. 30,000 of cost per ton. That's why Neelachal today, a plant which was shut down because it was not financially viable, is today making Rs. 1,000 crores

EBITDA and Rs. 1,000 crores cashflows . When you acquire new assets, you obviously have to do a lot of work on cost takeouts, which is what we are doing in India. When you build new assets, you can build it more cost efficiently like we built in Kalinganagar. There will always be something new to do . Today, technology allows us to see costs in far more detail than before. The analytics that we are doing, the AI that we have in our systems . For instance, on maintenance, we have moved from preventive to predictive to prescriptive maintenance . Then the asset utilization improves. You have far more insights because you have far more data than you had even five years back. You can plan your cost takeouts very differently. You can optimize on your blends of coal very differently than you could five years back because we have a lot more data. Using technology, using the learnings from the past, learnings from different assets, this is something that we are constantly pushing ourselves. Everyone else

also does that. Obviously, if you can do it better than the others, you continue to be the last man standing. Our objective in India, our assets should be one of the last man standing in the world. In Europe, it should be the last man standing in Europe. In UK, as Koushik said, and which we said before, when we closed the blast furnace and moved to an EAF, we have said that structurally, our cost improves by at least £150 per ton. Instead of importing iron ore and coal and making steel there, you're using locally available scrap. You're reducing the fixed costs like we've described by £400 million . In the next down cycle, UK will be in a much better position. Otherwise, typically when steel prices drop, the first place in our portfolio to lose money is UK. Second place to lose money is Netherlands. [inaudible] India, as you know, even in the last two years, EBITDA margin is 20% plus. Within our assets also, we try to see how we can, in the geographies that we are in, be the last man standing or last person standing. In the Indian context, we have the potential to be the last man standing in the world, and that's what we always aspire to.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Just to add, Satyadeep, to what Naren articulated, the cost takeout in Tata Steel India started in 1995 and never stopped. All that we are saying is we are upping the game to make it more structural and make it larger in size. [inaudible] it started in 1995 and never stopped. I think we are just being cognizant of the fact that uncertainties of the market need us to step up the game , whether it is unique or not, that is for others to say, but for our own sake, we need to do that. In Netherlands also, with the uncertainties in the market, higher regulatory costs, CO₂ costs in particular, it requires a structural change. There also, while it has been efficient itself, but post BF6 relines , it is actually Netherlands 2.0. We are looking at a different cost structure, a different way of making and delivering steel. And in UK, it 's completely structural change. We need to ensure that we have to be ready for FY20 27 - 28. [inaudible] We are pursuing the goal of ensuring , on an underlying basis , Tata Steel UK becomes EBITDA positive and sustaining from a cashflow point of view. So, these are the drivers which are pushing us to ensure that we relook at it in a very different context.

Satyadeep Jain, Ambit Capital

I get the point. We are trying to figure out if everybody is trying to be the last man standing, challenge is one year later everybody looks at cost, but EBITDA doesn't change. That the fundamental reality in commodity business ?

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T. V. Narendran : CEO & MD - Tata Steel Limited

I want to add a little bit to that. One is the cost side, which we described. The other side is on revenue . That's why the product mix is important . Like you said, in cost, the opportunity is not infinite. It's finite. Whereas on the other side, you have a lot more you can do . Let's say, we say we look at the high -end markets, the approval -based markets, we look at our branded and distribution business, we look at downstream businesses, so on and so forth. There is a lever on the revenue side to supplement the lever on the cost side. Both are important.

Satyadeep Jain, Ambit Capital

Last question from my side, just putting you on the spot, let's say, one year down the line, everything remains the same . Prices are the same, raw material prices, coal, power, should we be looking at € 100 per ton EBITDA for Netherlands given cost takeout . You were talking about €500 million, which is about €70 per ton and the cost savings . Everything remaining the same, you are saying we should be looking at €100 per ton EBITDA for Netherlands?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

€70 - 80 per ton is what we are seeing in Netherlands, we will move towards. Eventually, ye

s, we should be aiming towards

€100 per ton but €70 - 80 per ton is what we have basically said we should be chasing. In UK, all things remaining same, just through the cost takeouts etc. we should be EBITDA neutral or EBITDA positive, which if the steel prices have not dropped so much in the last few quarters, we would have already achieved . I think that is where we are .

T. V. Narendran : CEO & MD - Tata Steel Limited

That's correct.

Operator

Next question is from Amit Dixit of ICICI Securities .

Amit Dixit, ICICI Securities

Could you please tell us the volume guidance for India and consolidated for FY 2026?

T. V. Narendran : CEO & MD - Tata Steel Limited

The volume guidance is roughly 1.5 million tons of additional deliveries. Most of it is in India because UK will be flat, Netherlands will be slightly higher. In India, basically, we'll have about 2 million tons extra out of Kalinganagar, but we have the H blast furnace relining due in Jamshedpur. This year, we had G blast furnace relining. So, net - net, the volume increase guidance is 1.5 million tons.

Amit Dixit, ICICI Securities

Are there any additional volumes from Ludhiana?

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T. V. Narendran : CEO & MD - Tata Steel Limited

Not yet. We are hoping to commission the plant by the end of this financial year, but nothing material. You will see the volume impact next year. You will see the complete Kalinganagar volume impact next year. This year, we will finish Kalinganagar at close to 7 million tons; 6.8 million tons of steel and 7.5 million tons of hot metal. By next year, we will have a ramp-up because the steel melt shop will be complete. The third caster and everything else will come by September and next year, you will start seeing the additional volume coming out of Ludhiana as well.

Amit Dixit, ICICI Securities

In terms of cost, again, our Jamshedpur and India operation is, I would say, one of the most efficient operations, not only in India, but the world. Just wanted to understand the Rs. 4,000 crores that we have targeted for the year. Is there any tangible scope to reduce the cost further? If so, what are the broad buckets? Is it procurement? Is it supplier optimization? Considering that you achieved Rs. 4,000 crores of saving, and as you said, it is a continuous process, will there be further targets for Jamshedpur or India operations to reduce cost?

T. V. Narendran : CEO & MD - Tata Steel Limited

So I think I'll let Koushik give you more details. Broadly, this is not just Jamshedpur. This is India operations. When we say Rs. 4,000 crores, there is a lot which we are doing through, for instance, optimization of our contracts because we have multiple sites now. Each site used to have its own contracting for maintenance, services, etc. We are doing a lot of work on vendor development so that we are not dependent more and more on proprietary items. It can be sourced from elsewhere. There are a lot of these kind of initiatives, which will benefit all four sites, and there are smaller sites like Ludhiana which will come into play. Jamshedpur will continue to benefit from the reduction in wage bill because most of the older workers are in Jamshedpur, and when they retire, there is a benefit. These are conversion costs. They are not linked to raw materials. You may change a blend of coal that you buy and get cost benefit but this Rs. 4,000 crores is not hoping that coal prices drop and things like that. It is more on the conversion side.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Amit, just to give you slightly additional flavor on this. One, this Rs. 4,000 crores is based on multiple areas. Stores, repairs, maintenance, fixed cost. In fact, we have taken Rs. 533 odd crores of exceptional charge, which is last quarter we had about 1,100 people leaving the company. There is a people reduction cost. There is a store, spares, repair

cost reduction.

The model in how we procure has changed. As Naren mentioned in one of the answers, we are using a lot more digital and analytics to figure out which model works better in terms of procurement. We are doing a lot more with our vendors and our OEM suppliers. There are multiple areas, and it is now across all sites. It is in Kalinganagar, Meramandali, Jamshedpur and across mines and collieries. It is a full [inaudible] of it, and we are targeting that on a monthly basis [inaudible]. This journey is unlikely to spend and kind of get over. What happens is the first year, which was the last year, we could deep dive in and get some which are very apparent. This year, we are going to work the pieces to ensure that we get to the next level. As we go in the future, there are opportunities which are investment led. So you take this, low capex & high IRR or low payback period investments, which gives almost back in six months' time etc. Now there are times and opportunities when these come up because when we have multiple shutdowns, we can do this kind of stuff. I think that is the theme in which we are working. We will continue to work these work streams going forward too. This is not just a one year target. We have now remodelled our improvement programs. The same is happening in Netherlands also. We are also doing cross learning between India, UK and Netherlands. There are some areas where we are looking at vendors,

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we are looking at procurement. So, it is cross-functional, cross-site and cross-entity now. It is a lot of hard work, but I think there is a big prize to chase for.

Operator

Next question is from Ashish Jain, Macquarie.

Ashish Jain, Macquarie

Sir, my first question is on infusion of \$2.5 billion. You gave some of the drivers of that infusion. Should we think that this

is the final number given Netherlands will hopefully become self-sufficient from a cashflow point of view, UK cashflows should improve. From a 3 - 5 year perspective, is this final support from India balance sheet to European operations?

I also have a question on cost. If I look at our EBITDA for this year, on a consolidated level it is Rs. 25,000 crores, by and large. If I look at the last two years, each year, we have spoken about roughly Rs. 6,000 - odd crores of cost savings. Should we think that if not for these cost savings our EBITDA would have been like Rs. 12,000 crores? Is this cost really translating one-on-one in P&L and cashflows as well or is there a slightly different way to think about the historical cost savings? My last question is about Rs. 4,000 crores of saving in India. It translates to roughly Rs. 2,000 per ton of EBITDA. Again, does it reset India base case or worst case EBITDA per ton assuming last year was the worst case EBITDA at around Rs. 12,000 - Rs. 13,000 is the [inaudible] EBITDA? Is that the way one should think about it?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

So if I look at reversing your order of the questions, First is, if you look at India, we have often said that in down cycle, we've been around 20 - 22% EBITDA margin, in medium cycle, we've typically been at 25 - 28% and in up cycle close to 38 - 40%. Your question is about whether it resets. I think we are looking at the cost side, not linking it to the revenue side because the revenue will come. As TSK ramps up, our downstream facilities ramp up, our revenue per ton will increase even on a mid-cycle basis. Often when we look at EBITDA, it clouds our mind that we are good in 22 - 28%. It often takes away the fact that in the cost side, we need to drive it on an individual basis. Honestly, in a historical way, certain costs have increased because of different reasons. When we acquired Bhushan, we had to do a lot more maintenance work compared to the plan. It took a few years. Now we are in a different state. We are bringing in more digital and analytics.

Our maintenance standards will be different compared to the past. Then when we are looking at procurement, we had non-standardised procurement because each site was doing it differently based on its need. Now we are saying that we are in a steady state. We can look at standardisation of procurement. We are looking at questioning that if spares are available in one of the other sites, then why are we not using it on a consolidated basis, why do it independently. These are all practices. We have been a growing company. We've grown through acquisitions, and we're growing organically. When we have to settle on a rhythm, then it takes a bit of time. There comes a time when you can look at it when you reset the rhythm rather than reset only the cost structure. That's exactly what we've been doing for the last 12 months. This journey will continue. The rhythm will change because we'll continue to grow, NINL will continue to become bigger, etc. That is effectively how we are looking at the cost part of the game. We're using a lot more analytics to get this cost down. This is helping us in a huge manner in recent times.

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T. V. Narendran : CEO & MD - Tata Steel Limited

I just want to add one more point. Maybe 8 - 10 years back, we used to look at \$600 per ton as the all-weather steel price and Rs. 14,000 as the all-weather EBITDA per ton. Today, if we cross \$500 per ton, we are happy. But we have not changed the EBITDA per ton of Rs. 14,000 per ton, that we always chase. The average steel price at which we are expected to survive or do well or deliver 20% EBITDA margin has come down. So that 20 - 22% EBITDA margin and Rs. 14,000 EBITDA per ton is being delivered, though the steel price has been dropping and today is between \$450 - 500 per ton. I'm talking of the HRC price in Southeast Asia. That's the range and that's why we have to constantly look at cost because those prices are defined by who is willing to sell at what price. Particularly with China coming in a big way since 2015, we have to contend with that.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

On the \$2.5 billion, to answer your question looking forward, the Netherlands will be very soon be debt-free on a net debt basis because they are now generating enough cashflows. They had always historically been debt-free. When we went into relining BF6, we were sitting on €600-700 million of cash. That was an outlier year, and its effect went through next two years. In the last 6 - 8 months, we are in a much better position despite a very difficult market. Netherlands, as far as underlying conditions are concerned, will be free of debt. It may have some working capital debt, but it will have its own cash. We are not sending money to Netherlands at this point in time. When we sign up to the negotiations with the Dutch government, we will see how the financing stacks up. As far as UK is concerned, we have debt, which we want to take out through this infusion. There will be small debt. When UK becomes, on an underlying basis, self-sustaining, hopefully, we don't have to give any further debt. As far as capex is concerned, we're committed to about £750 million. That has not started yet in a meaningful way. That spend will happen in the future over the next three years. Other than that, we have overseas foreign currency bonds, which is in Singapore, which will also have to be repaid. Some of it is next year, and then in 2028, it finishes everything. Only for those specific requirements, which is anyway part of our Tata Steel obligation and consolidated debt. Other than that, most important for you to take note of is the fact that what we are working towards underlying cashflows of overseas businesses not requiring any funding support. That's our target. That's what we are close to as far as Netherlands is concerned. In fact, Netherlands never needed money, even when they were not performing well. They had taken short-term money, which they have repaid to us. The whole question is sorting the UK bit. When it becomes sustainable, we don't need to put in money. The overseas debt, whatever we have, other than Netherlands, we

will onshore it, especially in Singapore, which is a Tata Steel foreign currency debt .

Ashish Jain, Macquarie

Will this \$2.5 billion be incremental investment from India or some of it is already there and in the form of debt or something and will be converted to equity?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

It will be financed basically .

Samita Shah: VP CFTRM – Tata Steel Limited

Koushik, if I can just interrupt you. Maybe you want to explain that because the money is going as equity, I think people are interpreting it as equity.

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Koushik Chatterjee : ED & CFO – Tata Steel Limited

Not equity. I said that in the beginning that it is not an equity investment, it's rebalancing of debt. We are not putting new money in for new investments or new assets or even for any other purposes, it's essentially putting in money to take that debt out and putting it under the India balance sheet .

Ashish Jain, Macquarie

From the standalone balance sheet point of view, is it further money investment in the entity ?

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Yes, but that's how you have to account for it anyway .

Operator

Thank you, sir. I would now like to hand over the conference to Ms. Samita Shah for chat questions. Over to you ma'am.

Samita Shah: VP CFTRM – Tata Steel Limited

There are questions regarding the impact of recent tariffs in China and the US on steel markets overall. Additionally, whether we are seeing benefits from the safeguard duty. Are these benefits fully reflected in the guidance provided for the next quarter, or is there more to anticipate? Could you elaborate on that?

T. V. Narendran : CEO & MD – Tata Steel Limited

The guidance that I gave is based on things as they stand today on the safeguard duty, which is already there in India and what we've experienced so far in this quarter and what we think we'll experience in the next six weeks. The US, China, at a broader level, helps, because it tempers down the market and the concerns of volatility, the inflationary pressures, also what the high tariffs do to the Chinese economy. If the US and China can come to some understanding and trade flows both ways, and the Chinese economy is not hit more than required, then we are in a better place because obviously, China needs to take care of the construction industry, if it has to make a positive difference to steel and if they are distracted by many other issues, then that's a challenge. So, we are a bit concerned about the 10 million tons of exports, which continues out of China in March and April that happened and we are expecting that, that number should come down. If the US and China reach a deal on tariffs, we have a better chance of that number coming down. One of the reasons why this kind of volume has happened without much coming into India is also because a lot of Chinese exports are now going to Middle East and Africa, which were not the markets pulling a lot of steel earlier. That is reducing some pressure on Southeast Asia and India as far as Chinese exports are concerned. As far as US tariffs are concerned, UK – US understanding will help us. We sell about 70,000 - 80,000 tons of steel from UK to the US. We sell about 700,000 tons of steel from Netherlands to the US. That will depend on the EU - US trade deal whenever that happens. Some of the steel that we send from Netherlands to US is not made in the US. That's how we are able to pass on some of the tariff impact to our customers because they need to import, and they can't buy locally. So that's the situation as it is, and we hope that the EU

and US will come to a deal soon. Regarding the medium to long-term impact in the US, we are seeing that the EU is increasingly investing domestically to build industry, defence, and infrastructure, which is more positive for the steel industry in the medium to long-term.

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Samita Shah: VP CFTRM – Tata Steel Limited

The next question is about Tata Tiscon specifically. For all the audience, we don't give guidance on specific realisations for any product categories, so we won't be commenting on that. The question people are asking is about the individual house builder segment, which has seen a lot of traction over the last few years, as you have explained. Can you give us some sense of the industry dynamics here and Tata Tiscon's positioning and realisation? As I said, we will not comment on realisations, but maybe you could give a broad sense of the dynamics?

T. V. Narendran : CEO & MD – Tata Steel Limited

Tata Tiscon has just celebrated 25 years since its launch because we identified this as a segment where people are willing

to pay a premium to reduce the risk of purchase. It's an individual buying 3 - 4 tons of steel to build a house. In semi -urban and rural India, people build homes rather than buy homes. It's a very personal journey, with people putting their life's investments into building their house. We saw an opportunity to tell them to be careful about the steel they buy and that they can trust us. It has worked well. Today, it's a 2,00,000 tons per month business. It started as a 6,000 tons per year business. Generally, the same steel sold to a large construction company is about Rs. 5,000 - 6,000 per ton less because the large company will just go by the test certificate and not pay much of a premium for the product. They will pay a premium for the service. It's been a good story. We have a network of about 80 - 90 distributors, covering all the districts in India. We have about 5,000 - 6,000 dealers. We are doing about Rs. 3,500 crores of GMV, 90% of it is Tata Tiscon. People are ordering Tata Tiscon from the US, Canada, and the Middle East, and we deliver within 48 - 72 hours to any location in India. We are getting a lot of orders from overseas for delivery in India. We are still only at 14% market share in the retail business. It's a very fragmented business. We have been limited by our supply, but acquiring Neelachal has given us another 1 million tons, so we are looking at how we can keep expanding this business. We are also looking at different operating models because this has really taken off well. In the last two years, we've grown in double digits. Once the Ludhiana plant comes online, we'll get another 1 million tons, all of which will be sold as Tata Tiscon. The model in Ludhiana is to sell all the steel within 200 - 300 kilometres of Ludhiana to avoid spending [inaudible] moving Tata Tiscon from Jamshedpur to Ludhiana. We save on transportation costs and collect scrap in that neighbourhood to sell steel in that neighbourhood. If that model works, we will set up similar plants in other parts of India where there is scrap. It's a good business for us. It's a Rs.10,000 crore brand and growing at 20%.

Samita Shah: VP CFTRM – Tata Steel Limited

The next question, and I'm just reminding our audience again that we do not give guidance on specific product categories or sites. The question is on long products versus flat products, focusing on margins and realisations. How do the broader dynamics differ between long products and flat products? The idea is to see which is more profitable.

T. V. Narendran : CEO & MD – Tata Steel Limited

So, it goes through cycles. Traditionally, flat products tend to fetch higher prices, and you have segments like automotive and oil and gas, which are more approval -based businesses. Bigger steel companies tend to gravitate towards flat products. But the flip side is flat products is higher fi

xed cost business. So, in a down cycle, people are just trying to cover variable costs and contribute to fixed [inaudible]. The second big shift in flat products globally is that when China used to export a lot of steel 10 - 15 years ago, it was mainly long products. Today, it is all flat products because the Chinese steel industry has switched from long s to flat s, and flat products travel better than long. So, you see HRC going all over the world. Rebars don't travel so much or wire rods maybe a little bit more. So, that dynamics is changing. But if you look at 17

India, its largely a local business, and 50% of the long product supplies comes from the secondary sector, whose cost structures and drivers are different. In the last 2 - 3 years, when thermal coal prices were much lower, with thermal coal to coking coal at 1:3, secondary producers were more competitive. As the ratio narrowed, primary producers became more competitive. Currently, long product prices are higher in India than flat product prices on a commercial grade basis because most of the 100 million tons of steel China is exporting are flat products, which has depressed international flat product prices. All flat products produced in India are being sold in India, depressing flat product prices. From a return on invested capital point of view, long products are better because you can set up a long product plant for less money. If you're getting better EBITDA for that, then you are better off. But over the long term, bigger companies tend to gravitate towards flat products.

Samita Shah: VP CFTRM – Tata Steel Limited

Another question, which is slightly more long -term in nature: Do we see India risking or becoming an overcapacity steel market in the next 5 - 6 years given the expansion plans which every body has announced?

T. V. Narendran : CEO & MD – Tata Steel Limited

Honestly, I don't think so because it's not easy to build steel plants in India. It takes time, assuming you have land. If you are going to start a greenfield site, it takes even longer time. India will never be able to build capacity as fast as China did. At its peak, China was building 50 million tons of capacity per year. India does not have the capacity to build because our processes take much longer, the approval processes, acquiring land, the public hearing, everything takes much longer. The ability to build plants is also limited. So, if India continues at a GDP growth of 6 %, 7%, 8%, and as a developing economy focusing on infrastructure, steel consumption grows at a higher rate of 8 %, 9%, 10%, think India will struggle to build 15 - 20 million tons of capacity every year, forget 50 million tons. So I do believe that we will have a better balance. India will never be a big threat in international markets as a big exporter like China because whatever capacity we build in India will be just about enough for India.

Samita Shah: VP CFTRM – Tata Steel Limited

What is our guidance for coking coal and iron ore consumption for 1QFY 26.

T. V. Narendran : CEO & MD – Tata Steel Limited

For coking coal, the guidance is that it will be about \$10 per ton lower on a consumption basis, though the coking coal prices have gone up in the last few weeks but on a consumption basis, will be \$10 per ton better, both in Europe and India.

Iron ore is relevant only for Europe, specifically for Netherlands, because we've shut the blast furnaces in the UK. Iron ore is expected to be about \$10 per ton higher in Netherlands consumption.

Samita Shah: VP CFTRM – Tata Steel Limited

Now there are a bunch of questions on the developments around the BPSL judgment. The first question is whether the Tata Steel Bhushan resolution plan is at risk of the same risks. What are the differences, and do we run the same risks?

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Koushik Chatterjee: ED & CFO – Tata Steel Limited

There is no litigation on this m

atter as far as Tata Steel Bhushan is concerned. We've gone through two rounds. First, when the acquisition, we've done this as guided by the C oC within the timeline of the IBC. And subsequently, we have also gone through the full process of merging the business within Tata Steel. So there is nothing on a similar basis .

Samita Shah: VP CFTRM – Tata Steel Limited

The second question is if this asset comes up again on the block, would Tata Steel be interested in acquiring it .

Koushik Chatterjee: ED & CFO - Tata Steel Limited

We would rather not answer that question because it is related to a different company, and it 's not fair to answer.

Samita Shah: VP CFTRM – Tata Steel Limited

What are our deleveraging targets? Is there a plan to deleverage for the next year?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

We've always said that our target remains to continue deleveraging while investing in growth projects. In September 2024, at the peak of the downturn, we were at about Rs. 88,000 crores consolidated net debt. Now, we are at about Rs. 82,570 crores. We've reduced more than Rs. 6,000 crores of debt across entities and geographies in the last six months. We will continue this pathway into FY2026. And we want to just ensure that the - in fact, somebody asked that question, why certainly the cost initiatives? Well, this is one part of also using the cash flows for deleveraging .

Samita Shah: VP CFTRM – Tata Steel Limited

There is a question on why our interest costs have gone up. I would like to remind the audience that global interest rates have increased by almost 400 basis points. But I think t here is a broader question regarding our interest costs and their direction .

Koushik Chatterjee: ED & CFO – Tata Steel Limited

The net finance cost for FY2024 was ~Rs. 6,700 crores, and the net finance cost for FY 2025 is ~Rs. 6,300 crores. So, I didn't see any increase in interest costs. But there is one point that I would like to say that when we are doing more and more onshoring, you would find that the headline cost increasing, but the effective post -tax cost going down. So it may not show in the P&L, but effectively from a net post -tax basis [inaudible] .

Samita Shah: VP CFTRM – Tata Steel Limited

There are still many people lined up for the audio questions. We will take a couple. Back to you.

Operator

Next question is from Amit Murarka of Axis Capital .

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Amit Murarka, Axis Capital

I just wanted to get a sense now on expansion plans, I believe FY 2026 capex guided is Rs. 15,000 crores, which I understand doesn't include any planned new expansion projects in India. Where do we stand on the NINL and KPO3 and such expansions, particularly in the context of 35 - 40 MTPA capacity target we had given for FY 2030.

T. V. Narendran : CEO & MD - Tata Steel Limited

The capex here is largely focused on raw materials and on Kalinganagar completion. It includes the Ludhiana plant, which is ~0.8 MTPA , but we hope to push it to 1 MTPA . If you look at it from a growth point of view, after Kalinganagar this year , we have some downstream expansions. We have the 0.5 MTPA Combi mill, which will convert some of the billets that we are making in the erstwhile Usha Martin facility into special bars for the automotive industry. In terms of major expansion projects, the next one, which will go to our Board is the Neelachal one. We have already gone through the public hearing. Now the way we look at expansion projects as we go to the Board only after we get all the regulatory approvals. Earlier, it used to be the other way around, you get the Board approval and then get the regulatory approvals, so which used to bring a lot more uncertainty into the schedules, whereas we've already done the public hearing and have applied for an

environment clearance, to go up to 9.5 MTPA for Neelachal. That will be first. We are then working on the Kalinganagar

next phase as well as Bhushan expansion from 5 MTPA to 6.5 MTPA . These are the two projects which will follow the Neelachal one, but the one, which is most ready is the Neelachal one, which during this year, we will go to the Board .

Amit Murarka, Axis Capital

Is it fair to say that it looks more like 30 MTPA by FY 2030 rather than the earlier 35 - 40 MTPA that we were expecting?

T. V. Narendran : CEO & MD - Tata Steel Limited

What we expect to have by FY 2030 is all these projects at different stages. Hopefully, we start the Neelachal project now. At least the first phase will finish, and we can start the other two, which will be at different degrees of finishing in FY 2030 - 31. Yes, we will not have completed capacity by FY30.

Koushik Chatterjee: ED & CFO – Tata Steel Limited

Fundamentally , when we look at what we used to do earlier is to announce projects, then do the design , engineering and the regulatory approval and then do the project construction. I think when we will announce projects now, we will be ready to start construction. There is a different phasing that we have done. We've tweaked it to make it more certain and make it more focused on the completion timeline. So, the preparatory work post -announcement has been changed to pre - announcement and then straight away into the execution stage.

Operator

Next question is from Sumangal Nevatia of Kotak Securities .

Sumangal Nevatia, Kotak Securities

First question is on the Europe operations. Is it possible to share and explain what is the impact of reduction in carbon allowances in FY 2026? What would be the likely cost impact of that?

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Koushik Chatterjee: ED & CFO – Tata Steel Limited

So as far as UK is concerned, it's now zero. There is no impact of CO 2 in UK. There is a certain amount of free allowances UK will get and that is good enough for the downstream entities to compensate for it. In fact, what we see today is from FY2025-26, there will be no impact of CO 2 as far as UK is concerned till the start of FY2027-28, when the next phase of the EAF starts, and that will be of different nature. As far as Netherlands is concerned, there is a deficit that happened until last year . It will gradually converge, but there is an increased cost on account of carbon, and that is happening because of the fact that the allowances are reducing, and there is also a CO 2 levy that has been coming in as far as the Netherlands is concerned. So, it is close to about €80 million a year .

T. V. Narendran : CEO & MD - Tata Steel Limited

This carbon allowances will reduce along with CBAM, right?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

Next year onwards, what happens is that on a longer term or a medium term, when the CBAM comes, it will neutralise the cost because arithmetically, the cost of the steel prices will reflect CBAM, which will cover up for the cost of the carbon.

Sumangal Nevatia, Kotak Securities

Understood. I have one question on the entire cost saving s topic. So how is it expected to phase in FY 2026? Is it more of a gradual thing or back -ended? As Naren mentioned, EBITDA of € 70 - 80 per ton for Europe, given the Rs. 4,000 crore number for India, keeping the spreads aside, can we expect Rs. 1,500 - 2,000 increase in the EBITDA on a per ton basis?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

First of all, as far as Netherlands is concerned, that project has just kicked off, as I mentioned in my commentary . One of the important parts of that is also the productivity gains . The productivity gains involves the process of consultation with the works council, etc. So, in Netherlands, while some part has been realised and many of the non -productivity work streams are moving forward, it is more a second quarter plus onwards, but it is not so secular because it is something that will happen more around the 3Q - 4

Q. As far as India is concerned, we started this project last year. As I said, we've taken out Rs. 1,800 crores of cost plus Rs. 900 crores on coal optimisation. That is a lot more secular in India, but it is more from June onwards . After June, we should see the results in the financial statements. I think your last question was whether you can see the improvement on a per ton basis. The answer is yes, ceteris paribus, everything else remains the same.

Sumangal Nevatia, Kotak Securities

Just one last clarification. Given that today, there's a continuous pressure on Chinese steel prices, our calculations are suggesting domestic prices are at Rs. 2,000 - 3,000 premium. So, are we sensing a peak in steel prices and some pressure going forward? I understand Rs. 3,000 is what we are expecting in 1Q. On a spot basis, what are your thoughts?

T. V. Narendran : CEO & MD - Tata Steel Limited

Obviously, this gap is there now because Chinese prices again dropped. It's been fluctuating, like I said, in a \$50 range. But imports are still not coming in a big way yet because people are concerned about the dollar. The dollar has been also all over the place. And also the risk in , you book today, and it comes in after two, three months, you don't know the price

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then. You have a monsoon season coming and do you want to import cargo coming in during monsoons. I don't see imports flooding in just yet. Of course, when we went to the government with a safeguard request, the original request from the Indian Steel Association was 25%, the government said 12% because it wanted to keep all other stakeholders' interest in mind. If we, again, see a flood of Chinese imports , we will certainly go back to the government and see what can be done because the private sector investment in India , in some sense , is being led by the steel industry. We are seeing Rs. 15,000 crore capex, peers are also putting in big capex. The industry needs to be financially healthy to be able to put in this kind of money and new capacities. I think that's a submission to the government .

Operator

That was the last question for today. I would now like to hand the conference back to Ms. Samita Shah for closing comment. Over to you, ma'am .

Samita Shah: VP CFTRM – Tata Steel Limited

Thank you, everyone, for your participation and your questions. We hope we were able to address your queries. Look forward to connecting again next quarter. Thank you.

T. V. Narendran : CEO & MD - Tata Steel Limited

Thank you .

Koushik Chatterjee: ED & CFO – Tata Steel Limited

Thank you .

Call: Aug 2025

Ref: SEC/ 690/2025 -26
August 6 , 202 5

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BSE Limited
Phiroze Jeejeebhoy Towers,
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G Block, Bandra -Kurla Complex, Bandra (E),
Mumbai - 400 051.
Maharashtra, India.
Symbol : TATASTEEL

Dear Madam, Sir,

Sub: Transcript of 'Tata Steel 1QFY2026 Earnings Discussion'

This has reference to our letter dated July 25 , 2025 intimating that post the announcement of Financial Results of Tata Steel Limited ('Company') for the quarter ended June 30, 2025, the Company will host an Earnings Discussion on July 31, 2025.

The Board of Directors of the Company at its meeting held on July 30, 2025 inter alia approved the Financial Results of the Company for the quarter ended June 30, 2025. The Company hosted its 1QFY2026 Earnings Discussion on July 31, 2025.

In this connection, we enclose herewith the transcript of the ' Tata Steel 1QFY2026 Earnings Discussion '.

The transcript is also available on the website of the Company at:
<https://www.tatasteel.com/investors/financial-performance/analyst-call-recording/>

This intimation is being provided in compliance with Regulation 30 read with Para A of Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended.

This is for your information and records.

Yours faithfully,

Tata Steel Limited

Parvatheesam Kanchinadham
Company Secretary and Chief Legal Officer

Encl.: as above
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PRESENTATION

Operator:

Ladies and gentlemen, good day, and welcome to the Tata Steel analyst call. Please note that this meeting is being recorded. The attendees' audio and video has been disabled from the back end and will be enabled subsequently. I would now like to hand the conference over to Ms. Samita Shah. Thank you, and over to you ma'am.

Samita Shah: VP CFTRM – Tata Steel Limited

Thank you, Kinshuk. Good afternoon, good morning, and good evening to participants listening to the call. On behalf of Tata Steel, I'm delighted to welcome you to this call where we will discuss our results for the first quarter of FY2026. The call is being led by our CEO & MD, Mr. TV Narendran, and our ED & CFO, Mr. Koushik Chat terjee. As is the norm, we will make some opening comments before we open the floor for questions. Before I hand it over to them, I just wanted to remind all our participants that the entire discussions will be governed by the Safe harbour clause, which is on page 2 of the presentation. Thank you, and over to you, Naren.

T. V. Narendran : CEO & MD - Tata Steel Limited

Good afternoon to everyone. As Samita mentioned, I'll make a few comments and then pass on to Koushik. At an overall level, US policy, geopolitical tensions and macroeconomic situations in China are shaping steel trade flows leading to volatility in regional prices. Steel prices increased in April in India aided by expectations around safeguard measures but with China Steel exports averaging between 9-10 million tons per month, the pricing trend softened a bit by June and in July as well. More recently, in China, we've seen the prices

go up in the last few days, but the impact of that is yet to be seen. While the raw material prices continue to moderate steel spot spreads peaked mostly in April and since then have

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faced some pressure. Amidst this Tata Steel has delivered a strong improvement in 1Q performance on a QoQ basis as well as on a YoY basis.

I'd like to now make some comments on the performance in each geography. In India, crude steel production was at 5.24 million tons, while deliveries stood at 4.75 million tons. This is lower than the previous quarter due to the seasonality as well as maintenance shutdowns. And while the ramp-up at Kalinganagar is as per plan, one of our large furnaces at Jamshedpur has been down for relining for the last few months and should come back on track over the next few days. We did have an issue with one of our furnaces in Neelachal Ispat Nigam Limited (NINL), which had undergone a maintenance shutdown, and we didn't have much production from there in April. As a result, the crude steel production was down 4% QoQ. Further in fourth quarter, seasonally strong deliveries led to inventory drawdown, which has been replenished in 1Q to normal operating levels. This coupled with the drop in production led to a decline in overall deliveries, NINL is back at normal operating levels and the relining in Jamshedpur, as I mentioned, is at its last stages and the blast furnace G, which is being relined should come back in the next few days. We could offset the impact of volumes by an increase in net steel realisations to the tune of about Rs 2,600 per ton on QoQ basis in India. This is despite an early onset of the monsoons. Higher net realisations are partly on the back of increase in broader market prices in April and partly led by our ability to maximize volumes in certain chosen segments. We also drove a number of initiatives, which helped us achieve the planned cost takeouts. This has helped us deliver an EBITDA margin of around 24%, which is close to the 10-year average.

At a business vertical level, the deliveries to the automotive segment were aided by 4% YoY growth in high-end products. We remain focused on new product development and within six months of the continuous annealing line being commissioned in Kalinganagar, we have successfully established grade approvals for high strength and ultrahigh-strength steels, including for skin panel applications. We expect to make further progress with the commissioning of the state-of-the-art continuous galvanizing line at Kalinganagar. The first coil from the new continuous galvanizing line was produced in June, and we are in the process of getting the approvals for the CGL products as well. Our retail business is shaping up well and Tata Tiscon is growing systematically aided by deep consumer connect and reach. Based on consumer insights, we launched Tata Tiscon SDCR, which is super ductile corrosion-resistant steel to meet the demand for corrosion resistant steel in the coastal areas of Andhra Pradesh, Tamil Nadu and Kerala. In terms of reach, our dealer & distributor network is now over 25,000 and is ably complemented by our e-commerce platforms, Ashiyana and DigECA. Together, they witnessed a gross merchandise value of about Rs 1,350 crores in 1Q, which is up 39% YoY and works out to around Rs 5,400 crores on an annualized basis. The Industrial Products and Projects deliveries were aided by value-accretive segments such as engineering and ready-to-use solutions. The engineering segment grew 5% YoY on improved volumes to oil and gas and railways. Further enhanced product mix [inaudible] to solar (i.e. the steel that we supply for the solar panel supports) increased by 4 times the volume compared to 1QFY25. We will continue to strengthen our downstream portfolio, and our color coated volumes have been steadily ramping up through our joint venture with BlueScope Steel, the

Tata BlueScope JV that we have. This JV now sells around 300,000 tons of color coated steel, a large part of which is through the high -margin Durashine retail brand. During the quarter, we had also commissioned 100 KTPA tubes mill, which utilizes an innovative direct forming technology that offers productivity and quality benefits over conventional mills.

Moving on to UK , deliveries stood at around 0.6 million tons and were marginally lower on QoQ basis. UK steel prices are still 6% below a year ago due to the subdued demand and import pressures despite safeguard quotas being in place. Quotas for some products are more than the prevalent domestic demand in the UK . As such a sustained focus on controllable cost continues to yield results and has aided our 1Q performance. This quarter also marked a significant

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milestone in UK's transformation journey with the groundbreaking ceremony on 14th July at Port Talbot, marking the official start of construction for scrap based Electric Arc Furnace .

In Netherlands, liquid steel production stood at 1.7 million tons and deliveries were at 1.5 million tons. Our performance was aided by favourable sales mix as well as moderation in controllable costs. We are committed to 35% - 40% reduction in carbon emissions and are engaged with the government team on support for the integrated decarbonization and environment measures project. Thank you , and with this, I hand over to Koushik for his comments.

Koushik Chatterjee : ED & CFO – Tata Steel Limited

Thank you, Naren. Good afternoon, good evening to all those who have joined in. I will begin with the consolidated performance provided in Slide 22 of the presentation. As you would be well aware, the market conditions and trade tensions across geographies remain pretty complex. However, the steel spot spreads over raw materials have improved primarily aided by moderation in coking coal prices and iron ore prices during the last quarter. This, along with our progress on internally focused cost takeout initiatives, which we have discussed in our May '25 call, have led to an improved consolidated performance on QoQ as well as on YoY basis.

Let me give the headline financial performance. The consolidated revenues for the quarter stood at Rs 53,178 crores, and the EBITDA was about Rs 7,480 crores. 1Q EBITDA increased by 11% on QoQ basis, translating to a margin improvement of about 200 basis points and per ton EBITDA improvement of around Rs 2,400. I would like to point out that our consolidated EBITDA is now broadly similar to the India EBITDA and our intent is to continue the transformation process in UK and Netherlands, such that this trend continues and is sustained even though we are faced with volatile market conditions due to trade and tariff -related issues.

Now let me talk about the global cost transformation program of Tata Steel that I had spoken in our earlier call. Firstly, this is a cross geography cross functional efficiency initiative that goes deep on the structural review and looks at to push the bar towards further efficiencies. During the quarter, we have delivered a traceable improvement of about Rs 2,900 crores across the three main geographies with India at about Rs 1,100 crores, Netherlands at about Rs 1,400 crores, and UK delivering about Rs 400 crores of cost transformation across supply chain, spares, repairs and maintenance, raw material efficiency, energy management, logistics and freight, broader productivity areas, and fixed cost. The efforts continue to realise the full gains in the future quarters. As mentioned on Slide 12, this translates to about 98% compliance to our own first quarter plan. Therefore, we are in a good position to continue this program. In India, we achieved about 100% compliance to the plan and the initiatives or focus areas that yielded results were leaner coal mix, optimization of stores, repairs and maintenance,

reduced scrap consumption and operating KPIs relating to freight & handling and power & fuel.

In UK, we are better than plan on account of further reduction in maintenance costs, hire & leasing and other operating charges. In addition, we are also focused on optimizing the cost of purchased substrate or the feedstock that goes in for conversion. In the Netherlands, we were marginally below plan as is the pace of consultation with the Central Works Council. Excluding the employee relating costs, we were at about 100% compliance with the plan and this was driven by better product mix or downstream sales, optimization of supply chain and procurement costs, along with other controllable costs.

Let me now provide a deeper understanding of India, UK, and Netherlands performance individually. Tata Steel standalone revenues for the quarter ended Jun '25 was about Rs 31,014 crores and EBITDA was Rs 7,263 crores, which translates to

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a margin improvement of about 275 basis points or Rs 2,600 per ton on QoQ basis. As Naren mentioned, our volumes were sequentially lower in the first quarter due to maintenance shutdowns. As a result, the total revenue from operations declined by about Rs 3,400 crores QoQ despite higher realisations to the tune of about Rs 2,600 per ton. However, this was more than offset by the improvement in the controllable costs, leading to an increase in the first quarter EBITDA by about Rs 158 crores or 2% v s. 4QFY25 on reported basis. Within costs, material costs declined by about Rs 2,900 crores, primarily driven by decline in coking coal consumption cost by about \$12 per ton as well as leaner coal mix and inventory management. To elaborate on inventory, there was marginal inventory buildup in the first quarter vis -a-vis the drawdown in the fourth quarter, which is a seasonally stronger quarter. Conversion costs decreased by about Rs 700 crores, primarily aided by decline in stores, repairs & maintenance and power & fuel related expenses as a result of the cost transformation program, despite having an adverse operating leverage on account of lower volumes.

I would like to mention a few comments about our subsidiary, Neelachal Ispat Nigam Limited or NINL. The EBITDA for NINL was about Rs 220 crores for the quarter, and this translates to a margin improvement from 23% in 4Q to about 24% in 1Q. On 24th July, 2025, we successfully completed the residual acquisition to make NINL now a 100% subsidiary. Looking ahead, the blast furnace operations have resumed in NINL, as you heard from Naren, and we expect the production to pick up in the subsequent quarters.

In the Standalone P&L, depreciation for the quarter was Rs 1,627 crores, which was up by about 7% YoY. We have capitalized about Rs 5,500 crores during the quarter, primarily on account of Kalinganagar expansion and the remaining will be capitalized during the course of the financial year.

Coming to the European operations, I would like to elaborate about the local market dynamics before moving on to the performance. The UK and the EU have been impacted by steel imports, which has impacted the demand conditions as well as the supply-demand balance. The capacity utilization of the European steel industry currently is about 60% to 65%. As such, both the UK and the EU have undertaken measures to safeguard the local industry with varying impact across the two regions. In Germany, the HRC prices are up 4% compared to a year ago, while in the UK, the HRC prices are still 6% below the year ago levels. UK steel safeguard quotas by product have been liberalized every year and are now a larger proportion than even in 2018, when it was started, even as the UK demand has contracted. This meant that quotas for selected products are higher than the demand. The EU has already reworked the country quotas and the UK government is currently working to intervene

in respect of the quotas. These initiatives are expected to stabilize the price regime in the future with a lag effect. We are also keenly following the details of the trade deals that are being finalized between the EU and the US as also between the US and the UK.

Given these dynamics, Tata Steel UK has focused on fixed cost and strategic initiatives to aid performance. In the first quarter, Tata Steel UK has managed to halve its EBITDA loss despite the challenging market conditions and the uncertainty on tariffs. UK revenues for the quarter stood about £536 million and declined by 3% or £15 million on QoQ basis due to marginal drop in volumes. At the same time, total costs have declined by about 9% or £55 million, leading to an improvement in the EBITDA by about £40 million or £58 per ton. Within costs, fixed costs have improved by about £17 million and first quarter fixed cost base on an annualized basis reflects a reduction of more than £200 million in FY 2026 versus FY20 25. Apart from fixed costs, a decline in substrate cost, power & fuel, bulk gases related expenses have also aided the performance.

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Moving on to Netherlands. Revenues for the quarter were about €1.5 billion, and were down 6% or €105 million on a QoQ basis. Realisations improved and better sales mix with a drop in volumes led to the revenue movement. At the same time, total costs have declined by about 10% or €155 million, leading to an improvement in EBITDA of about €50 million or €35 per ton. Material costs declined by about €184 million but were partly offset by the marginal increase of about €30 million in conversion costs. Improvement in material costs were largely driven by inventory movement and decline in coking coal consumption cost despite the incidence of US customs duty on select volumes. The US business of Tata Steel Netherlands is very profitable, and the material is shipped from Netherlands to the US for further processing before selling to the customers in the US. These shipments incurred about 25% duty until early June and 50% thereafter. Tata Steel Netherlands had negotiated with customers and some of them have agreed to bear some of the additional costs and tariffs. Net adverse impact on EBITDA in the quarter was around €14 million. We are hoping to get more clarity of the EU-US trade deal on the final tariff principles and export of steel to the US. Overall conversion costs rose by about €30 million QoQ, primarily on account of two factors. One was a noncash actuarial adjustments and employee benefit provisions reversals that we had in 4Q to the tune of about €27 million, and the other was the increase in emission rights costs to the tune of about €6 million primarily on account of improved production and marginal increase in the EU ETS prices. Excluding these, our conversion costs have actually moderated on QoQ basis.

Moving to the cash flows, we spent about Rs 3,829 crores on capital expenditure during the quarter, majority of this was in India. There was working capital buildup primarily due to replenishment of stocks in India and in Netherlands after a strong 4Q. As the production improves in India, we expect that the optimization on working capital in the next quarters. Net debt was at about Rs 84,835 crores, and our group liquidity remained strong at about Rs 43,578 crores, which includes about Rs 14,118 crores of cash and cash equivalents. While net debt has witnessed a marginal increase v.s. end March, we are committed to deleveraging and with a slightly stable trade environment, increased volumes on account of completion of Kalinganagar project and the benefits of cost transformation in the second half of the current financial year, we will endeavour to continue the deleveraging process.

On capital expenditure and projects, the Board of the company has yesterday approved the expansion of the tinplate business to almost double the capacity of the

existing facilities in Jamshedpur and also invest to ensure sustainability of our captive coking coal mining capacity. In the UK, the EAF project is progressing well and in Netherlands, we continue to be engaged with the government about the support of decarbonisation and the environmental measures impact. Lastly, moving to our disclosures, we're committed to transparent and responsible business practices and also actively engaging

and embracing the global frameworks. We have recently adopted the TNFD's LEAP approach and published our inaugural TNFD report, which is on nature related financial disclosures, which is up on our website. It marks an important milestone in our journey towards becoming more conscious of the risk of nature loss and also demonstrates our commitment to continue to be a responsible organization. With this, I'll end my presentation and open the floor for questions. Thank you.

QUESTIONS AND ANSWERS

Operator

We will now begin the Q&A session, and the first question is from Sumangal Nevatia of Kotak Securities.

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Sumangal Nevatia, Kotak Securities

Good afternoon, everyone, thanks for the chance. I'll start with the bookkeeping one. If you can share what is the price and cost outlook in the coming quarter v.s. what we've seen in 1Q in India, UK and Netherlands?

T. V. Narendran: CEO & MD - Tata Steel Limited

Sumangal, as far as the price is concerned, the guidance we're giving for India is that the net realisations will be about Rs 2,000 per ton less in 2Q as compared to 1Q. As far as UK and Netherlands are concerned, it will be flat or slightly higher. As far as cost is concerned, the coking coal costs are expected to be about \$10 per ton lower in each of these geographies from a consumption point of view. And in Netherlands, the iron ore cost is also expected to be about \$7 to \$8 per ton lower from a consumption point of view for 2Q compared to 1Q.

Sumangal Nevatia, Kotak Securities

The next question is on the cost transformation. Congratulations on delivering on 1Q. I just wanted to understand, one, how is the breakup between India, UK and Netherlands in 1Q. And when we're saying breakeven in UK if you can share what's the latest thoughts by when? Is it still 2Q? And this cost transformation, is it in addition to breakeven in terms of we going into positive in UK as well? Or this is basically, including the cost transformation, we will be approaching breakeven?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

I gave the breakup in the cost transformation between regions in my narrative, but I can repeat it again. It's about Rs 1,100 crores in India, Netherlands at about Rs 1,400 crores, and the UK at about Rs 400 crores. See, when we chase breakeven, I presume you're talking about UK. Fundamentally, you cannot have breakeven and then something else, something else then leads to the breakeven. So, this cost transformation is also a very important part to achieve the breakeven. The goal of getting the breakeven is very important for us as a company and we continue to chase that. The market has been very volatile, and you understand that, including the uncertainties on tariffs, because the tariffs affect not just us directly, but also indirectly our customers. Therefore, in UK, there has been a 15% reduction in the automotive sales or automotive demand in the last quarter. We're seeing multiple elements to that. But there is an effort to ensure that we get to the breakeven by the end of this year, for sure.

Sumangal Nevatia, Kotak Securities

Last question on expansion. We have not yet announced or taken Board approval for NINL expansion. So just want to understand what is holding us back, given we are already ramping up Kalinganagar and maybe in 18 - 24 months, we will be running at a rated capacity. So, when do we expect some announcement on expansion?

Koushik Chatterjee: ED & C

FO – Tata Steel Limited

One of the things which is important for us, what we do now is we do the front-end work a lot more than what we used to do earlier. Earlier, we used to announce and then do the environment clearance, then the basic engineering and all the approvals, etc. Currently, we are in the engineering part and it's very advanced as well as the environment clearance process. There is a public hearing that has already happened. So, the process for the EC is getting completed, it will take a couple of months more and once we are done with all this, when we go for FID or the final investment decision, that time, we are execution ready. That's our approach, which was not the case earlier and which we used to suffer from time delays

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as well as cost delays. So, we've changed the process and that is what is happening in the NINL process. Naren, you want to add something?

T. V. Narendran: CEO & MD - Tata Steel Limited

I think you articulated it. Basically, once we get the FID, we are ready to move to order placement and construction. I think that's what we're looking for. Whereas earlier, once you've got the Board approval, you waited for another year, 1.5 years to get the work started until you got all the approvals. So that's a shift in our approach. Neelachal is at a very advanced stage. I think we are ready to go to the Board maybe by October, November as soon as we get the environment clearance. What you will see over the next 12 months is, of course, the Ludhiana plant coming into action that will add another 0.75 million tons and the Comb i mill in Jamshedpur, which is 0.5 million tons, which converts some of the extra billets we have

in the Gamharia plant into steel. So, you'll see a lot more value addition and some volume growth in long products before the Neelachal one comes in.

Operator

The next question is from Prateek Singh of DAM Capital Advisors

Prateek Singh, DAM Capital Advisors

The first question is largely on prices. Indian steel prices seem to be at a 10% discount to China prices despite safeguard duty and we have not yet seen any improvement in trade prices. So, does this mean that the seasonal impact this time is quite bad and as a corollary, how are we seeing the government spending, especially state governments. Some states are facing fiscal pressure. So, can we see some price hikes happening or would it happen once monsoon is behind us? That's the first question.

T. V. Narendran: CEO & MD - Tata Steel Limited

I think Prateek what's happening is a lot of capacities which were down because of maintenance shutdowns because pretty much most of the major steel companies are doing shutdowns and maintenance work in 1Q. So that is back by end of June, and that coincided to some extent with the onset of early onset of monsoons. That's why there was some sort of pressure. Internationally, if you look at it, [inaudible] China domestic prices have gone up about \$35 to \$40 per ton in the last few days with the announcements that they made on 1st July. So, we are seeing internationally a bit more stability on the pricing. Domestic demand is traditionally weak in this quarter, as you said, but we expect it to pick up once the monsoon ends for two reasons. One is, it looks like a good monsoon year and secondly, once monsoon is over, construction activity will start, and thirdly, the festival season is on to us. So, we are more optimistic about the prices going forward. This will be a slightly difficult quarter because of what I just described. The other thing you should keep in mind is because international prices are low, the exports out of India is much less. So, earlier from India we used to export anything between 7 to 10 million tons of steel, that's not happening, because international prices are not great. So pretty much all Indian producers are selling most of what they produce in the domestic market.

And that's why we say there's enough supply in the domestic market, leading to some price pressures as we felt last month, but I think we see things improving from next quarter.

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Prateek Singh, DAM Capital Advisors

The second one is for Koushik. Koushik, you mentioned in UK, we are optimizing on the cost of substrate. If you can elaborate a bit more on that. Given it's a commodity, what else are we thinking about? Is it going better? So, [inaudible] what is the measure that you have in mind?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

The model in UK, obviously has changed since last September because we are buying substrate, which is slabs and then converting it to downstream products. Some part of it or a large part of it goes from India and some of it from Netherlands, but there are also external purchases that we do from our peers across the globe. Given where the price points are, we also want to ensure that our model on pricing spreads and the stock levels are correct so that we do not have a mismatch in terms of the price at which the substrate comes in, and the price at which we convert and sell it to the customers. That optimization model took some time, and it is still maturing and that is something that we need to do right, which also means that how we plan for the supply chain in terms of procurement of substrate, the grades at which we buy, versus the grades that we sell, ensuring that the product mix that is done during the planning and during the actual sales is similar so that we don't downgrade the product at any point in time just to ensure that we have to get the volumes out. So, those are the kind of initiatives which we are currently doing, and it is backed by investments in the IT platform so that we have real-time data for the decision makers at the time of procurement and sales.

Operator

The next question is from Satyadeep Jain of Ambit Capital.

Satyadeep Jain, Ambit Capital

Two questions. First question is on the profitability of mini mills in general in UK and Ludhiana. If we look at Ludhiana and UK during the transition period and once the EAF comes up, it would be a state-of-the-art plant and I would believe at par with any mini mill in Europe. During this transition, we are obviously importing substrate and running it through, the only constraint being the safeguard quota in UK, which is pulling the overall profitability down and maybe not realizing the breakeven EBITDA in the near term. Is that the only constraint? And if that is not solved, could that maybe be a structural constraint. Just trying to understand in the UK and Ludhiana which is again on EAF, as we don't really have a lot of cases of EAF profitability. So, if you can maybe guide as to how do we look at profitability of Ludhiana, once it comes up? So that's the first question on profitability of mini mills.

T. V. Narendran: CEO & MD - Tata Steel Limited

Satyadeep as far as UK is concerned, there are 2-3 issues. What we are facing currently is the tariffs that have been

announced by President Trump on the UK, not only on us but on our customers and as that settles, there's been some disruption and some reduction in production forecast of automotive manufacturers in UK, etc. The second is that, even today, there is a discussion between US and UK on the melt and pour issue because today, the US is insisting on melt and pour in UK, whereas our point is till 2027, we are going to be bringing the slabs from Netherlands or India. And so that's a part of the US - UK discussion. The third part is the quotas in the UK was set at a point in time when the demand was much more. Since then, the demand has shrunk, but the quotas have not. As a consequence, imports into the UK which are allowed, sometimes exceeds the requirement. So, UK has seen a divergence of prices as compared to Germany

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and other such places, as Ko

ushik mentioned. So, these are the issues which we've taken up with the government, and the government is addressing them. I think on the quotas, they've already announced some changes. Some of it will take effect over the next few months because it's not just, as you know, the UK government is now running what was earlier British steel. So, they are themselves feeling the pinch. We do expect that some of these policy issues will get sorted out. Going forward, when the EAF is there, we are going to use locally available scrap which is one of the reasons why we set up the EAF where UK is a big exporter of scrap. So that's a big part of the cost, and we believe we will be much more competitive buying local scrap than importing scrap or the earlier model of bringing in iron or coal and running it in the UK and we had guided earlier that we expect the cost to decline by at least £150 per ton once we shift to the EAF. The second part is energy cost in the UK. Here again, the UK government has recently announced some more concessions, and that's going to help us as well. That was one of our asks. So, by the time the EAF comes up, we will have the benefit of energy costs, which are lower than it is today. These are the reasons why we believe that the UK business during the transition as well as once the EAF is up, should be EBITDA positive. And obviously, we have a much smaller footprint. So, the maintenance requirements of a new state-of-the-art EAF, as you mentioned, will be much less than the maintenance costs that we were incurring in an old sinter plant, old coal ovens, and old blast furnace. Already the cost takeout is visible in the numbers that we have and that's why we believe UK will be in a much better position than we were prior to it, and some of these issues are getting addressed. And the last point I want to make is you'll have the carbon border adjustment mechanism as well. The carbon footprint of Port Talbot is down from 6 to 1 million tons. So, in the earlier context, you would have been paying carbon cost for those free allowances, which would go away once CBAM rolled out. So, there again we will have some support for the domestic market. This is as far as the UK is concerned.

As far as Ludhiana is concerned, we know that the cost of producing steel through the EAF will be higher than the cost of producing steel through the blast furnace route. But the model here is slightly different. Firstly, we are targeting the retail markets where our realizations are much higher. We are also looking at setting up these furnaces in places where there is scrap and hence, the scrap processing facility in Rohtak and the steel plant in Ludhiana. Thirdly, we are also looking to sell all the steel that we produce within 300 kilometres of where we have produced it. So, we will also save Rs 2,000 -3,000 per ton on transportation, which we incur today in shipping the steel from Jamshedpur or NINL to some of these markets. So, we believe that these mitigation actions will bring down the cost disadvantage of EAF vs. the regular routes of production. And of course, it'll have a emission of less than 0.3 per ton of crude steel and with the government's new policy on giving advantage to what the government calls Green Steel, we will have an advantage in Ludhiana, even over the rebars that we make in Jamshedpur or NINL. So, these are the multiple reasons why we believe this model can work for us. We also have a state-of-the-art long product mill that we are setting up, which is very energy efficient and has good manpower productivity as well. So, if this model works, we want to replicate this in other geographies as well and the other advantage is you can set it up in 2-3 years. You can set it up by spending about Rs 2,000 - 3,000 crores. You need only about 100 acres of land. So, you're not limited by acquiring a lot of land and doing lots of things like that.

So, it's an

opportunity for us to focus on iron ore-based production in East, where we have three big sites, Jamshedpur, Kalinganagar and NINL (as one site) and Meramandali, and in other parts of the country leverage scrap, leverage the other advantages of being close to the market to do scrap-based production. We are starting with bars. It could also be special steels that we could produce.

Satyadeep Jain, Ambit Capital

Just a follow-up on this quota. This decision on the transition in UK company took some time back and the safeguard quotas were already in place at that time also the argument could have been the quotas exceed demand. But now going

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to government when you've already started the entire process, would it not have been prudent to do it before going into the entire transition? Would you slow down since you're already committing capital before there is a review of safeguard?

T. V. Narendran: CEO & MD - Tata Steel Limited

Satyadeep, the issue at that time was that we did not have the actions that the US is taking now. So, the issue is because of the trade actions being taken for the US and the increased exports from China, you have a lot more trade flows looking for markets and EU has changed its quotas once this has happened. So, we're telling the UK government to what the EU has done. So, they are sensitive to that and they are open to that. So, the situation has changed and hence, we ask of them to look at the quotas. So that's where it is. Nothing changes from our point of view because in the long term, we don't expect this to be a big issue. Koushik, do you want to add to that?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

I think the quota discussion was there, and it has been on the table for the UK government. The previous government when we signed the term sheet and then the new government. The trade related authorities, the UK TRA, was fully involved in that. In fact, they allowed us bespoke import of slabs and for HR coil because there was import duty on the HRC earlier, which they kind of created for the transition. So, it has been on the table. It's that, as Naren mentioned, the trade dynamics did change significantly post January 2025 and it needs to be addressed more in a customized manner, which is what the UK government is currently doing. It takes process. It's not that we were blindsided by this. It was there, it just took the government a longer period of time to intervene in the manner in which it needs to be done because just now the way in which the imports have been flooding all over was significantly different than what it existed one year back.

Satyadeep Jain, Ambit Capital

The second question is on the expansion. You mentioned environmental impact study, hopefully available in the next couple of months. Given there is a different process, now you're starting construction after approvals, how should we, let's say, the company does get approval by October. What is the timeline we should be looking at for actually commissioning of 5 million tons in the first phase, 24 months or 24 to 30 months from the date of construction, is that the timeline we should look at? And how should we look at the letter of intent in Netherlands? Any maybe update on discussions and timeline we can get there?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

As far as the timeline is concerned, just wait for the FID because, I wouldn't want to pre-empt the Board during the discussion, the site is in our control. It is not land acquisition, etc. But 24 months, I don't know if any steel plant gets erected on an integrated basis. We will come and give you the specific details. I think it will be longer than 24 months. It will not be 24 months. It is one of the reasons why we have changed our process is to ensure that we do. One is cash to cash cycle is compressed as much as it can be done. Secondly, there

is a lot of replicability between our Kalinganagar expansion

and NINL [inaudible] and do it quickly. Third is to ensure that we are able to execute the projects in a parallel basis rather than sequential. So, there are a lot of project management efficiencies being added to. When we do the FID, I think we will come and give you a more specific answer that will stand. As far as Netherlands is concerned, as you may be aware that the government has fallen, and they are currently in the pre-election phase. However, our project has been endorsed by the parliament. In Netherlands, they classify major decisions into two parts. One is what they call as controversial, which essentially means that needs government in power with a mandate to agree and the other one is the normal course of

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business. We are not in that controversial zone because it has been parliament blessed. So, we are in the normal course of the business. That's why we are continuing to engage with the government in Hague as well as with the local provinces in Netherlands where we are located. There are multiple issues that will happen. The letter of intent is also to be placed before the current parliament before it goes for recess for election. So, we'll see as to how we can do it. There's also an EC angle to it because the EC has to bless it in some ways before that letter of intent goes. Thereafter, the negotiations for the binding agreement will happen with the new government and the new parliament. So that's how the sequence is done. We spend a lot of effort in getting what we think is an important transition project for Netherlands and for Tata Steel. And we are also looking at the capital cost, engineering, all of that, which is in our control, which is also what we've been focused on.

Operator

The next question is from Amit Murarka of Axis Capital.

Amit Murarka, Axis Capital

I wanted to know a bit about the rollout of CBAM. We are now only five months away, like I was reading some reports that the government has exempted up to 50 million tons of annual imports by any customer, which exempts 90% of the customers from the obligations of CBAM, and that's what I was reading. Could you just throw some light about how do you think the rollout is shaping up to be and are we on track for a timely rollout of January 2026?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

I think, CBAM for January rollout, which is currently a reporting stage. There is no single government as it is decided by EC and all the other (27 EU countries) actually sign for the CBAM. I presume you're talking about Europe and not about another geography or UK, because EC is very clear it will be done. There is a consultation process, they are initiating in order to make CBAM more watertight. That is something that has been one of the ask from the players because in Europe, we do not want to see CBAM where there is a work around CBAM regulations and imports into Europe. [inaudible] I think EC is currently working on it and in the next couple of months, will be opening up for a consultant. But the current CBAM anyways is scheduled to get online for 1st Jan 2026 implementation.

T. V. Narendran: CEO & MD - Tata Steel Limited

In fact, if I were to add to that, across European countries and in UK, the government is putting money into this transition. So, they're putting taxpayers' money into this transition on the assumption that there is a CBAM and all that. So, it's in the government's interest also to be consistent on the policy based on which these investments are being made. So, I don't think there's going to be any deviation. If at all, then the government will allow you to continue with the free allowances etc, but we don't see anything specific on that.

Koushik Chatterjee: ED & CFO – Tata Steel Limited

I think what is there, is a 50 thousand tons and not 50 million tons of the

minimum import into EU because that's like first

50,000 for any importer will get an exempt, it's like the trial ball in a cricket match.

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Amit Murarka, Axis Capital

I didn't mean million, sorry, yes. But exempts, I believe 90% of importers was what some of the articles are suggesting?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

Well, for the first 50,000 tons, it will be imported, but it's also backed up by the quotas. So you have a quota then the CBAM and then this so when you gross up the numbers it will not be significant and that is exactly what the current review of the CBAM is being done because the players are basically saying that it needs to be much more watertight than to have these kind of leakages [inaudible] and as Naren mentioned that with governments participating all across Europe with public money, they will want to ensure that the CBAM effectiveness is very high.

Amit Murarka, Axis Capital

And just a bookkeeping question. Like in 1Q, like how much cost did you book for the Jamshedpur relining cost on the relining expense?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

I think it was about Rs 600 crores or thereabouts somewhere half around it because bulk of it is between 1Q and the previous year 4Q and that will be capitalized in this quarter once the furnace gets up and running.

Amit Murarka, Axis Capital

Nothing is expensed in the P&L. It's all Cap ex.

Koushik Chatterjee: ED & CFO – Tata Steel Limited

No, that's how we do.

Operator

The next question is from Ashish Jain of Macquarie.

Ashish Jain, Macquarie

My first question is on this cost savings that you have spoken about and thanks for quantifying that. But if I just look at the EBITDA movement for QoQ, it's kind of up marginally, and this is in spite of pricing being higher, and we're also talking of eleven billion rupees of savings. How will we triangulate this? And where do we see these cost savings really getting reflected. Can you elaborate a bit more on this? Because I would think without cost savings, our EBITDA would have been actually down. Is it as simple as that to give it or there's some other way that one can view this?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

Without the cost savings, EBITDA would be down because we are low on the volume so that is for sure. One of the reasons is cost savings and second one is in relation to the prices. I think the visibility of cost savings would be on a YoY basis when we get in the 4Q of this year because what I gave the numbers was in relation to the averages of last year [inaudible],

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because we started this initiative effectively somewhere in the early second quarter of last year. And it has been tracing down. When we close financial year 2026 and then compare it with the FY2025, it will be more prominent. We do a traceability exercise and I think about 85% of the cost benefits are traceable to the general ledger and that is very important for us to ensure that you can see on the face of it. But fundamentally, and it will also be reflecting, if you see on the cost of goods sold & despatch cost. [inaudible] But effectively, from an average to average for FY yearly basis, you will find that more traceable.

Ashish Jain, Macquarie

Right. But Koushik, just to understand this a bit better. So let's say, coking coal is down by \$50 per ton hypothetically, that will not be counted in this number, right?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

No, price effects are not taken into account. The raw material efficiency elements are taken into account, leaner blends are taken into account, but not the price. So, the contracting on fixed volume, fixed contract v.s. spot buying, all those are into account, but not the base prices, neither on steel, nor on raw materials.

Ashish Jain, Macquarie

Secondly, but let's just sa

y, for NINL, whenever we announced, can you at least given the preparedness, we're talking about at the time of announcing the Capex, shall we think that the execution timeline could come down to between 2 to 2.5 years or that's too aggressive in terms of the execution period?

T. V. Narendran: CEO & MD - Tata Steel Limited

So normally, if you've seen a typical integrated plant, like Koushik said, you would say 3 to 5 years. So that would include at least 1 year and 1.5 years of all the approvals, etc. So that's the one you will save. So, that will be for an integrated steel plant. If you look at the Ludhiana plant, we're building it within two years because that's a simpler plant. In an integrated plant, it's not just a steel plant, you have to plan all the logistics, raw material movement, and in NINL, we're talking of moving it from 1 million to 4.5 million. So, there's a lot of work and like we do it in Jamshedpur, it is being constructed as an operating plant. So, there are some complexities related to that. So that's why we would typically look at a time in that range, around 3 to 3.5 years is what we think is realistic. But if we had started from scratch, it would have been 4 to 5 years for sure.

Operator

The next question is from Vibhav Zutshi of JP Morgan.

Vibhav Zutshi, JP Morgan

Just one question on the FX side. So given the debt-to-equity refinancing, is FX volatility expected to reduce because this quarter had a lot of adverse movements in both pound and euro, but it looks like we didn't have impact.

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Koushik Chatterjee: ED & CFO – Tata Steel Limited

Yes. So, with more and more onshoring of FX debt into rupee debt that will certainly show up as a benefit and the volatility will certainly be lower in the future. The trade-related FX are different.

Samita Shah: VP CFTRM – Tata Steel Limited

He is referring to the intercompany FX variations.

Koushik Chatterjee: ED & CFO – Tata Steel Limited

That we have converted into equity. So therefore, that doesn't come into our account.

Operator

The next question is from Amit Dixit of Goldman Sachs.

Amit Dixit, Goldman Sachs

The first one is on the sales volume. So, if I look at FY 2026, the start has been relatively subdued, of course, due to the maintenance shutdowns and all. What kind of volume do we expect in FY 2026? And what will be the contribution of KPO II in this volume?

T. V. Narendran: CEO & MD - Tata Steel Limited

We guided at the beginning of the year about 1.5 to 1.6 million tons more this year compared to last year. This is despite the fact that you have one of the biggest blast furnaces in Jamshedpur down for relining, and so we are losing volumes there. If you look at Kalinganagar, I think the forecast is around 6.7 to 6.8 million tons of crude steel production this year, which is at least 2 million tons more than last year. So that's broadly the numbers. Kalinganagar like we said, it's ramping up. So, the third vessel is up in May. The third caster is up next month. So, at least from a steelmaking point of view, we will have all the facilities up during this quarter. The cold rolling mill is up and that continuous annealing line and one of the galvanizing lines are also up. So, you will see not only the volumes growth in Kalinganagar, but the mix also improving over the next few months.

Amit Dixit, Goldman Sachs

In TSUK, we expected some of the benefits to come from the employee cost restructuring. Does this number that you mentioned include that? Or we will see some more benefit of the employee cost restructuring going ahead? Also related one is that do we expect, provided things remain where they are, TSUK to become EBITDA level positive from next quarter?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

On the employee cost restructuring, we had about 400 people leaving the company in 1Q. So, we are

releasing the

provisions that we had made based on the people leaving. There is going to be the full year impact of the employee leaving

which will most ly be seen from H2 because that's when we started last year. So, you will see some of the full year impact
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in FY 2026. The program that we had looked at was 1,800 people leaving the company is almost done, and there are some natural attritions, which also happen anywhere. The employee part is largely done. There are some tail end of it that will continue to happen in 2Q. As far as the breakeven, if I take the market conditions average of last year, we would have certainly looked at maybe second quarter or third quarter changes. But the market has been really tough especially as we discussed earlier in the call, what Naren mentioned, and I talked about. But we still want to ensure that the FY 2026 exit in 4Q is on a breakeven. That's actually the focus there. We see ways to do it in terms of areas to look at it. Cost takeout is fundamentally the most important. We're talking about, as I mentioned in May '25 call, £200 million from UK. But more importantly, we're looking at how do we manage the spreads now that we are on a conversion model on substrates and therefore, to get some more work to be done on the supply chain side, which will get us there. But I think that's a clear pathway to get there.

Operator

The ne xt question is from Ritesh Shah of Investec .

Ritesh Shah, Investec

How should one look at the Tata Steel BSL taxation part . I think the debt, which was waved off, it will have some implication on taxes. Is it something that one should worry about if you could quantify numbers would be great?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

Ritesh, my counter question is if y our banks waive off the debt, is it an income in our hands? That's fundamentally the question that if as an arrangement, if the banks have agreed to waive the debt voluntarily as part of the transaction . And that we said that we will apply 25% tax on that because that's your income.

Ritesh Shah, Investec

Logically, I'm with you, but law is law.

Koushik Chatterjee: ED & CFO – Tata Steel Limited

So, law is also the same. That's the point. So , since i ts subjudice , I don't want to talk more about it , that's why I said [inaudible] the framing is the most fundamental bid. And sometimes these kinds of things happen, you have to fight it out legally and logically in the court of law. But essentially, I would have told is fundamental ly the question to answer.

Ritesh Shah, Investec

But would it possible for you to quantify, if at all, or is it a pass?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

No, I don't think we should get into that zone because on the fundamentals of the argument that if there is a waiver, it cannot be deemed to be an income in somebody's hand then the whole I BC will fall off. Because I BC is a process whereby the creditors in the interest of the industrial organization or any entity for its continuation [inaudible] . On the other side of the line, it has to be sustainable and that's why the past dues to the extent not based on fundamentals is a waiver that is
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done by the creditors but that cannot be held to be an income or a taxable benef it in the eyes of the buyer . I'll leave it at that.

Ritesh Shah, Investec

In annual report , there was a contingent liability with respect to ORISED , which was around Rs 16,500 crores , it has been taken off. How should one read into this?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

Fundamentally, there was a basis when it was first demanded, and we were also disclosing it as in a manner in which that was transparent. However, it is important to understand that the principles of ORISED has been interpreted differently by the courts. It is still in the courts, and we will see what is more applicable also in con

text of the fact beyond 2015 when the

MMDR act came in with a new format. These issues relate to regulatory dues from the mining activity , which have also been articulated pretty clear ly. We have complied with that, and we will continue to comply with that because it's part of our mining operations. So, in the prudence of not being speculative ti ll the courts and the governments decide , it was important to mention about it but not continue on a mechanical basis a number which is becoming more theoretical.

Operator

The next question is from Tarang Agrawal of Old Bridge Capi tal.

Tarang Agrawal, Old Bridge Capital

Your target to contain debt by Rs 6,000 crore to Rs 8,000 crores for FY 2026, that remains?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

Indeed, yes. If I were to reword your question, our enterprise strategy to contain debt by about Rs 6,000 to Rs 8,000 crores is not getting deprioritized. But markets being where they are and honestly, last couple of years we could have achieved that. However, on the other side, we wouldn't have had the ability to invest in Kalinganagar. So sometimes, we look at what comes ahead to get us more cash. For example, there were a lot of questions today on NINL. When NINL comes in, in the initial years, the spends will be lower, but there will be a year or two when it will be peak year where the construction has to be completed. At that point of time, if markets are good, the deleveraging will also continue. If markets have softened and moderated, our interest and priority is to complete the project first, because we can always do that deleveraging in the year after when the commissioning is done. So that's how we look at it, honestly. But from a structural point of view, the fact that we will keep our balance sheet de-risked through deleveraging, does not change by the season.

Tarang Agrawal, Old Bridge Capital

Couple of questions on the European business. In 4Q, you had commented that the gross spreads in the Europe market have been at a multi-quarter low. Has that trend continued? My sense is it has, so I just wanted your comment on that. How has that played out in 1Q? Because what we see, these are fairly illiquid prices. So, they're generally not representative of what's really happening on the ground. So that's one. I mean when I say the prices, the prices that we see from publicly available sources, they may not be representative of the prices at which the contracting activity is happening in the market. Secondly, Europe has been fairly sluggish now for almost two years, right, this entire operating

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environment, specifically for the steel industry coupled with the fact that there's significant transition expenditure that the industry is to undertake. Has there been a change in the structure of the industry in terms of participants in the industry or the financial health of the industry?

T. V. Narendran: CEO & MD - Tata Steel Limited

The spreads improved during the last quarter, partly because the prices improved a bit as well as the costs came down, not only in terms of conversion costs which is more relevant to us, but more in terms of input costs when you look at the spreads. So, iron ore and coal came down and steel prices stabilized a bit, and that's why the spreads improved last quarter. This quarter also, we expect the spreads to be around that level, maybe dip a bit, but largely okay. There is not much of a concern and it's moving closer to the €225 to €250 per ton which, is a long-term average, whereas when Koushik commented last time, it was we had gone down to even €150 to €160 per ton levels which was very low.

The second part is, yes, when we look at spreads, we are always looking at base HR and compared with iron ore and coal, etc. Whereas when you look at the realized value, you will look at the product mix. We have a significant downstream pr

esence in Europe, and we leverage that and also we leverage the fact that we are a big supplier to the auto industry, to the packaging industry, so on and so forth. The team always looks at how, despite given HR, how can I manage a better mix, and that's how you improve on that. Third part of what you said is, obviously, Europe is one geography where the steel consumption today is still lower than what it was in 2008 and hence, all the challenges that we've had in the last 15 years. In 2008, it was maybe about 160 million tons and it's stuck at 130 million. It's around that 130 million tons level, which has been quite stable, not growing, but not shrinking either.

What we see in Europe is over the last one year, certainly there is a lot more interest in preserving the steel industry in Europe because of the issues that Europe is facing with Russia, which used to be a supplier of substrate before. More recent focus in Europe is to build a defence industry. And also, the focus to try and become self-sufficient in some sense of the term and not depend on other geographies for critical inputs. And steel being a base industry feeding into all critical industries across European countries, we are seeing a lot more interest in preserving the steel industry in Europe and hence, the support that they're willing to give, and the safeguards and all that. So, we are seeing that there's more support for the industry in Europe. What we are also seeing is that while the auto industry demand may shrink a bit because of tariffs because of other things, we are seeing the steel consumption in defence go up a bit over the next 8 to 10 years. On the supply side, as you said, there is restructuring going on. Not everyone will survive this transition, because if the CBAM happens as we expected to, I don't think anybody will reline a blast furnace and hence forth in Europe we probably did the last relining a couple of years back. If that is so, when blast furnaces have come to end of life, they will close. And only the financially healthier companies can invest to build new capacity. So, you do see a Voestalpine, Salzgitter, thyssenkrupp, Tata Steel, SSAB, and ArcelorMittal relooking at investment plan, but focusing just on EAFs and not going beyond that. So, there will be a restructuring of the supply side, for sure. Not everyone who's producing steel today will be there 10 years from now. So, we do expect this restructuring of the steel industry to help the demand-supply equation more than the fact that demand is going to take off certainly. So, demand may be stable. There may be some shrinkage in auto, which will be made up by defence, etc. But the supply side will certainly get restructured a bit, and that is something we expect. Koushik, you want to add to that?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

No, that's perfect. And I think just to add one data point. Currently, the utilization levels have gone down to about 60% - 65%. We see some mothballing also because of the response to price. Hopefully, with CBAM coming in and quotas being

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implemented actively and with some stabilisation on tariffs with the US, expect the stabilisation as far as pricing is

concerned. And I think the point that Naren mentioned on the structure of the industry will change because it's also dependent on which governments will prioritise its own NDC outcomes to fund how much and through which energy source in the next two decades. So, I think that will also determine who will get that viability gap funding to make that investment.

Operator

Thank you, sir. I would now like to hand over the conference to Ms. Samita Shah for chat questions. Over to you ma'am.

Samita Shah: VP CFTRM – Tata Steel Limited

Let's start with Europe and then maybe we will move to India. So, many of the questions on Europe have been addressed. I think the only incremental question I can

see is, do we have any visibility on which green steel projects are actually progressing and in terms of timelines, commissioning etc.

T. V. Narendran: CEO & MD – Tata Steel Limited

I think maybe the investments by Salzgitter, Voestalpine are going more or less as per schedule thyssenkrupp is progressing, but I'm not so sure if it's on schedule. The Scandinavian projects are all delayed that you must have read about. I think whether it's to green steel, SSAB etc. SSAB has already announced, I think a 1-1.5-year delay. So, that's what we see, and parallelly ArcelorMittal has called off some investments, and in some investments, they will build the EAF and not the DRI. So, there is obviously a bit of a mix bag there. I think future progress I see most are Voestalpine and Salzgitter.

Samita Shah: VP CFTRM – Tata Steel Limited

We'll move on to India. I think there are some questions in terms of Kalinganagar forecast for FY2026 and FY2027. I think you've already answered for FY 2026. And as we all know, we typically give guidance once a year in May, and we'll do that in six months from now for FY 2027. But if you just want to talk about broader volume growth, over the next couple of years.

T. V. Narendran: CEO & MD – Tata Steel Limited

So Kalinganagar will ramp up and the exit rate at the end of the year will be at the max rate. So that's not the issue at least as far as steelmaking is concerned, and that allows us to send slabs to the UK as we are doing today because the hot strip mill will produce about 6 - 6.2 million ton, and so you will have some slabs extra. And one of the other projects which we look at once the UK starts or around the same time is how do we add more value to the slabs with a plate mill or something like that. So that's one track. The cold rolling mill will certainly ramp up, and it's one of the most advanced cold-rolling mills in the country along with galvanizing lines. So, you'll have a very good product coming out of that and already auto companies have approved the products out of continuous annealing line, and we are working with them on the galvanizing lines. So I think the volume side is up, I think the part which you need to factor in, like in this year and for next few years is that we have a few blast furnace relining coming up in Jamshedpur. So, you have the G furnace happening this year. You have the H furnace, which will happen sometime in the next financial year. We're still working out what would be the right schedule. There will be some offset from the volume side because of the relining in Jamshedpur. But like I said, you will have some 0.8 million tons of steel coming onstream next year from Ludhiana and 0.5 million of value - 19

added product coming out of Jamshedpur from the combi mill. So, these are some of the additional volumes that we expect to get.

Samita Shah: VP CFTRM – Tata Steel Limited

There's a question on Sukinda in terms of the surrender and what is the view going forward for FAMD?

T. V. Narendran: CEO & MD – Tata Steel Limited

I think the surrender of Sukinda mines, was planned and we had already submitted it last year and we were waiting for the government approvals. The process is going on. It's at a very advanced stage.

We are recalibrating the ferrous alloys business because we are looking at it, more as to how do we optimise the capacities that we have, given the mines that we will retain and how do we bring this business back to profitability and not be subjected to the various demands that we get from the government on various regulations. We are simplifying the business and recalibrating it so that it's profitable. There will be some more developments related to this business, which we will announce at the right time.

Samita Shah: VP CFTRM – Tata Steel Limited

There are some questions on our iron ore strategy post 2030 and how

we will sort of manage without the captive mines.

T. V. Narendran: CEO & MD – Tata Steel Limited

Captive mines make sense from a cost efficiency point of view, if it adds value, if it's value accretive. Some of the premiums that are being bid, it really doesn't make sense to have iron ore available at that cost just, so that you can say you have a captive mine. So, we believe that it's worth having a captive mine if it's value accretive to the business. In the past, we

used to be 70% captive for coal. Today, we have 20% captive coal. So we have gone through this journey for another critical input, and we believe we can go through this journey, and we will optimise around the costs, whether it is signing up with merchant players in India or looking at imports because at very high premiums, it actually makes sense to import the iron ore. You get better quality iron ore sometimes lower alumina iron ore, which is going to be very important for the future. So, we are looking at it from that point of view. We'll continue to bid for the mines that are coming up. We've already got, as we mentioned in the past, more than 500 - 600 million tons of ore in mines post 2030 available with us, based on what we already have. So, it's not that we don't have anything. But at the same time, we will keep adding to that bank based on the financial viability of the new mines that we would bid for.

Samita Shah: VP CFTRM – Tata Steel Limited

Some questions on Neelachal (NINL). So essentially, in terms of capacity utilization and whether we see the profitability of Neelachal moving in line with India profitability over a period. And, I think some questions about whether Neelachal is just selling pig iron. So, if we could just clarify.

T. V. Narendran: CEO & MD – Tata Steel Limited

No. Basically, Neelachal (NINL), as you saw last year delivered more than Rs. 1,000 crores of EBITDA. This year also, we expect it to deliver similarly. What Neelachal doesn't have is a rolling mill. So, what we do is we take the billets from

Neelachal. The blast furnaces are running full out. We make the billets, and we convert it into finished products, like Tata TISCO N at our accredited conversion agents who produce for us and the product is in the market. So, to some extent, the value will accrue to Neelachal more once we expand and build a rolling mill there. But as of now, pig iron is not on a planned basis, but if there is some extra material which comes out of some imbalance temporarily, of course, we try to use it in some of our other plants rather than sell it in the market. So that's where it is. But Neelachal is running full out. We lost production in April, but we would make up those volumes. In fact, the limit on Neelachal is pretty much our current EC, which limits the production to where it is today. We could have produced maybe a little bit more if we had a higher EC. But with the approvals that we have sought, which is around 9.5 million tons approval from the EC so that we don't keep going back. And once we have the 9.5 million approval, then we can expand to the pace at which we have the appetite.

Samita Shah: VP CFTRM – Tata Steel Limited

There's a specific question on Kalinganagar Air separation unit. Maybe we have some common shareholders with Linde India as well. But there are a couple of questions actually in terms of when the second air separation unit will get operational at Kalinganagar?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

I think there is a process in which both from a finishing point of view, completion of the project and the contracting etc. So sometime in the 2nd or 3rd quarter of this year, we should be in that zone. And the agreements are in place between Tata Steel and Linde. I think, in commercial interest, this is all that I can talk about.

Samita Shah: VP CFTRM – Tata Steel Limited

I think the last qu

estion was on cost savings. It says that out of the Rs. 11,500 crores of cost savings which you have announced. Is half of that in FY 2025? I think you mentioned earlier, Koushik, that we had started doing this from the previous year, and maybe that's caused a little bit of confusion.

Koushik Chatterjee: ED & CFO - Tata Steel Limited

[inaudible] We said in May '25 that Rs 11,500 crores is over the next 12 to 18 months. And whatever has happened in FY2025 is banked already. The baseline is from FY 2025. I just wanted to ensure that we understand that this process started not after the new financial year started. We had started it last year but got more structured and built into our annual plans and been followed up vigorously on that basis.

Samita Shah: VP CFTRM – Tata Steel Limited

Thank you. With that, I think we've answered all the chat questions. Thank you, everyone, for your participation, and I hope you got better visibility in terms of our results. Look forward to connecting with you again next quarter. Thank you.

T. V. Narendran: CEO & MD - Tata Steel Limited

Thank you.

Koushik Chatterjee: ED & CFO – Tata Steel Limited

Thank you.

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Exchange Plaza, 5th Floor, Plot No. C/1,
G Block, Bandra -Kurla Complex, Bandra (E),
Mumbai - 400 051.
Maharashtra, India.
Symbol : TATASTEEL

Dear Madam, Sir,

Sub: Transcript of 'Tata Steel 2QFY2026 Earnings Discussion'

This has reference to our letter dated November 7 , 2025 , intimating that post the announcement of Financial Results of Tata Steel Limited ('Company') for the quarter and half -year ended September 30, 2025, the Company will host an Earnings Discussion on November 13 , 2025.

The Board of Directors of the Company at its meeting held on November 12 , 2025 , inter alia approved the Financial Results of the Company for the quarter and half -year ended September 30, 2025. The Company hosted its 2QFY2026 Earnings Discussion on November 13 , 2025.

In this connection, we enclose herewith the transcript of the 'Tata Steel 2QFY2026 Earnings Discussion'.

The transcript is also available on the website of the Company at:
<https://www.tatasteel.com/investors/financial-performance/analyst-call-recording/>

This intimation is being provided in compliance with Regulation 30 read with Para A of Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended.

This is for your information and records.

Yours faithfully,

Tata Steel Limited

Parvatheesam Kanchinadham
Company Secretary and Chief Legal Officer

Encl.: as above
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CORPORATE PARTICIPANTS

T V Narendran, CEO & MD – Tata Steel Limited
Koushik Chatterjee, ED & CFO – Tata Steel Limited
Samita Shah, VP Corporate Finance, Treasury, & Risk Management – Tata Steel Limited

CONFERENCE CALL PARTICIPANTS

Amit Murarka, Axis Capital
Ashish Kejriwal, Nuvama
Pallav Agarwal, Antique
Prateek Singh, DAM Capital Advisors

Rajesh Majumdar, B&K Securities
Ritesh Shah, Investec
Satyadeep Jain, Ambit Capital
Sumangal Nevatia, Kotak Securities
Vibhav Zutshi, JP Morgan
Vikash Singh, ICICI Securities

PRESENTATION

Operator:

Ladies and gentlemen, good day, and welcome to the Tata Steel analyst call. Please note that this meeting is being recorded. The attendees' audio and video has been disabled from the back end and will be enabled subsequently. I would now like to hand the conference over to Ms. Samita Shah. Thank you, and over to you ma'am.

Samita Shah: VP CFTRM – Tata Steel Limited

Thank you, Kinshuk. Good afternoon, everyone, joining us in India and from the Far East, and good morning to all of you who are joining us from the West. On behalf of Tata Steel, welcome to this call where we will discuss our results for the second quarter of FY2026. We published our results yesterday, and there is also a detailed presentation on our website, which you can refer to if you haven't done already. As always, the entire call will be governed by the Safe harbour clause, which is on page 2 of the presentation. To help you understand the results better, we have with us Mr. T V Narendran, CEO & MD Tata Steel and Mr. Koushik Chatterjee, ED & CFO Tata Steel. They will make some opening comments before we open the floor for questions. Thank you again, and I will request Naren to make his comments.

T. V. Narendran: CEO & MD - Tata Steel Limited

Hello everyone. As Samita mentioned, I'll make a few comments and then handover to Koushik and then we'll do the Q&A. Global dynamics continue to be shaped by tariffs, geopolitical tensions, and elevated steel exports. Chinese steel exports are expected to cross 100 million tons again this year, and this obviously has

an impact on pricing across the world. Amidst this, Tata Steel has delivered strong improvement on QoQ and YoY basis.

I'd like to now make some comments on the performance in each geography. In India, our crude steel production was up 8% QoQ and 7% YoY to 5.65 million tons largely driven by ongoing ramp up at Kalinganagar and completion of the relining

of the G blast furnace, which was down for almost six months. We continue to stay focused on driving sales, even in a challenging environment and we were able to ramp up sales in line with our production ramp up without having to build inventory. In fact, we increased our domestic deliveries by 20% QoQ - a testimony to the strength of our customer relationships and our marketing and sales network.

While average HRC spot prices were down about Rs 2,300 per ton on QoQ, we were able to limit the drop in our net realisations to about Rs 1,700 per ton. We were also able to offset this impact through higher volumes and the ongoing cost transformation which has resulted in an improvement in EBITDA margin by 80 bps to 25%. Some segmental highlights: The seasonal rains in 2Q impacted construction activity across India but we successfully grew Tata Tiscon volumes by 27% QoQ as our expanding channel network and digital platforms enabled us to leverage insights into customer behaviour and cater to the evolving needs. Industrial Products & Projects deliveries grew by 22% QoQ aided by value accretive segments such as Engineering and Ready-to-use solutions.

In the UK, our deliveries stood at ~0.6 million tons, marginally lower on QoQ basis. We continue to work on transforming the business and building the 3 MTPA EAF project at Port Talbot. In Netherlands, Liquid steel production and deliveries were broadly stable QoQ at ~1.7 million tons and ~1.5 million tons, respectively. Our performance was aided by continued improvement in controllable costs. In September 2025, we signed the non-binding Joint Letter of Intent with the Dutch government on an integrated health measures & decarbonisation project. We are committed to working with all stakeholders on resolving the outstanding points before proceeding towards an investment decision. I will now hand over to Koushik for his comments. Over to you Koushik.

Koushik Chatterjee: ED & CFO – Tata Steel Limited

Thank you Naren. Good morning, good afternoon, or good evening to all who have joined in. Before I talk about the results for the company, I would like to stress on what Naren mentioned that we should consider the backdrop of continuing global macroeconomic uncertainty especially in the context of trade, tariffs, currency and heightened exports, which have crossed 100 million tons and are likely to move towards 120 million tons in the context of the financial results that has been delivered by the company in the first half of this financial year.

Let me now begin with some headline financial performance for the first half ended September 30, 2025, of the current financial year. Our consolidated revenues for the half year were Rs 1,11,867 crores and EBITDA was Rs 16,585 crores at a consolidated EBITDA of Rs. 11,037 per ton reflecting an EBITDA margin of about 15%. The EBITDA margin expanded by 280 bps in the first half of this financial year, reflecting our continued focus on the India growth volumes, cost competitiveness and cashflows. Our global cost transformation program continues to deliver tangible results, with around

Rs 5,450 crores achieved in the first half and as highlighted on Slide 13 of the presentation, this translates to about 94% compliance to the 1H plan. I will explain a bit more on this later. Turning to the 2Q performance provided on Slide 23 of the presentation. Our consolidated revenues stood at Rs 58,689 crores, up 10% QoQ primarily driven by strong volume growth in India and continued improvement in cost transformation program led

to improvement in total costs of ~Rs 1,300

per ton. As a result, EBITDA improved by Rs 1,000 per ton QoQ and this marks an improvement for the second quarter in a row in a very difficult market.

Expanding on the cost transformation program, as a company we have delivered an improvement in costs of more than Rs 2,561 crores during the quarter and are on track as planned across geographies. More specifically, in India the cost transformation program achieved full compliance to our 2Q plan with leaner coal mix, optimisation of stores, repairs and

3 maintenance expenses and operating KPIs which delivered cost transformation of Rs 1,036 crores for the quarter. In UK too, the cost transformation was focused on reducing fixed costs in hire & leasing, lower fuel and operating charges. In Netherlands, the program delivered ~Rs 1,059 crores for the quarter. We are on plan in all operating areas such as optimisation of supply chain, procurement and product mix along with other controllable costs. However, we are delayed on the people restructuring timeline and the consequential benefits of the same in this year, as the discussions with the Central Works Council are ongoing. Across geographies, we remain focused on execution of the cost transformation targets for the full year.

Let me now provide an understanding of India, Netherlands, and the UK quarterly performance individually. Tata Steel Standalone Revenues for the quarter stood at Rs 34,680 crores and EBITDA was Rs 8,394 crores, reflecting a QoQ improvement in EBITDA margin of ~80 bps to 24%. As Naren mentioned, our volumes were significantly higher in 2Q and this along with improvement in costs led to an uplift in EBITDA margin. Our wholly owned subsidiary, Neelachal Ispat Nigam Limited recorded ~Rs 260 crores of EBITDA for the quarter, up 17% QoQ and reflecting a 20% EBITDA margin of 20%.

Let me now turn to the UK market and our performance. Amidst the growing trade protectionism across the world, UK remains a very vulnerable market as the import quotas of steel across several product grades are higher than the total consumption of the country making it open to cheap imports. In addition, the market demand has shrunk due to a weak economy resulting in decline in domestic prices by more than £150/t since January 2024. UK demand for flat products has declined by 33% since 2018, but the quotas have increased by 20%. In 2025 YTD, UK imports are up 7% YoY, and this has continued to impact prices as well as spot spreads. As a result of severe market pressure and despite significant cost take out program, the TSUK EBITDA loss has widened from -ve £41 million in 1Q to -ve £66 million in 2Q. As an industry in the UK, we have brought the current policy disparity to the attention of the UK Government and are engaged on the subject. Given the current market condition, we are focusing on optimising fixed costs, and they are down £90 million compared with 2QFY25 but on a sequential basis, are marginally higher by £7 million due to annual maintenance activity during the quarter.

Moving to Netherlands performance, revenues for the quarter were ~€1.5 billion, on improved volumes partly offset by lower realisations. On the costs side, Material costs increased by €75 million QoQ, largely due to inventory drawdown in contrast to a build-up in 1Q. This was largely offset by €72 million reduction in conversion costs, aided by lower employee benefit expenses and emission rights related costs. We are also watching the policy developments in the EU especially on the EU Steel Plan 2.0 announced by the EC as it will have long term ramifications on the domestic steel industry in the EU.

During the half year, we generated ~Rs 10,000 crores of operating cashflows after interest, tax and working capital. Of this, we spent about Rs 7,000 crores on capital expenditure and paid dividend for FY2025 of ~Rs 4,490 crores. As a result, Gross

debt was almost flat with a marginal increase of Rs 842 crores vs. end-March while Net debt stands at Rs 87,040 crores. The net debt has witnessed increase vs. last quarter as it also includes the cash utilised for the dividend paid of ~Rs 4,490 crores. Our Net debt to EBITDA stands at 3x on a consolidated basis.

As part of our strategic realignment following the planned surrender of the Sukinda mining lease, we are optimising our ferrochrome processing footprint. In line with this, we have announced the proposed divestment of our Ferro Alloy Plant located in Jajpur, Odisha. The transaction is signed and is expected to be completed within the next three months, subject to requisite regulatory and stakeholder approvals. We have often stressed about our focus on value added portfolio and

4 hence as part of growing the portfolio in India, we executed yesterday a share purchase agreement with BlueScope Steel Australia to acquire the balance 50% stake in Tata BlueScope Steel Private Limited. The sale is subject to regulatory approvals, and we believe that it will be value accretive as it leverages the synergies with Tata Steel in multiple areas.

As Naren mentioned we have recently signed a non-binding Joint Letter of Intent with the Government of the Netherlands and the Province of North-Holland, concerning Tata Steel Nederland's decarbonisation journey. This Joint Letter of Intent

is an expression of mutual intent to explore a framework for transitioning to low CO₂ steel production. I want to emphasize that this project will be designed and phased in a manner that is financially prudent. Both the Government and Tata Steel have conditions to fulfil and we are working on each of them. There is no material spend in the immediate period and we will talk in more details on the project cost, financing structure and the project phasing closer to the binding agreement next year. We are also looking at prioritisation, optimisation and sequencing of the capex spend such that it is affordable for all stakeholders. The final investment decision on the project will be taken next year after engineering preparedness, completion of the conditions, assessment of the regulatory clearances and negotiations with the new Government in the Netherlands on the tailor-made binding agreement.

With this, I'll end my presentation and open the floor for questions. Thank you.

QUESTIONS AND ANSWERS

Operator

We will now begin the Q&A session, and the first question is from Vibhav Zutshi of JP Morgan.

Vibhav Zutshi, JP Morgan

Yes, thanks for the opportunity and congratulations on the strong results. The first question is basically on the European steel industry in the context of the October 7th protectionist measures and CBAM implementation. Some of the European steel players have talked about higher inquiries from EU customers and a bit of a restocking cycle happening next year. So, just wanted to get your thoughts on how you see utilization and prices moving into the next year. And also, UK is probably not going to be directly benefited from the protectionist policy, right. So yeah, some thoughts on that. Thank you.

T. V. Narendran: CEO & MD - Tata Steel Limited

Sure, Thanks. Yes, the announcements in Europe have helped the sentiment as far as we are concerned because what Europe is doing is to make sure that the quotas for steel imports are brought down by 50% and have an import duty of 50% on any volumes exceeding the quotas. So, this is a positive move for the European steel industry and in a sense, Europe is actually working hard to have a stronger, resilient steel industry in Europe to take care of Europe's strategic needs, particularly defence and other areas. So, this is part of the plan. So, it's good from Tata Steel Netherlands point of view. We have already started seeing it having a positive impact on the price discussions with customers for the annual contra

cts for next year. And certainly, as you said, imports have stopped coming, in anticipation of this and the restocking etc., will lead to some positive impact for us in Netherlands, particularly from 4Q. Maybe 3Q is already a bit too late and we are still dealing with the hangover of the last two quarters. But 4Q onwards, we certainly see an improvement in Netherlands. And this also has a long-term impact because these actions are also going to come with melt and pour conditions. So, if you want to participate in the European market, you have to make in Europe rather than make somewhere else and ship slabs to Europe to participate in the potential CBAM-protected market in Europe. So, there are multiple

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reasons why this is a positive move for Tata Steel Netherlands. As far as UK is concerned, like you said, UK is left out of this. In fact, our discussions with the UK Government is that the UK Government also needs to take some actions. Otherwise, UK will bear the brunt of material which can't find markets in the US and Europe. We've not made headway yet. The government is saying they are looking at it, but that's one of the reasons, as Koushik said, we've struggled with our performance in UK. I think all that we were supposed to do ourselves, we've done. And the cost takeout plan, the fixed cost takeout plan, everything is as per plan, but the market has not moved as per plan and we would need some support from the government to make that happen. So, UK is negatively impacted by these actions. But if the UK Government takes some action to not only help Tata Steel, but the UK Government is also invested in steel production in the UK just now, so they also have another reason to make sure that the UK steel industry is supported a bit.

Vibhav Zutshi, JP Morgan

Okay, got it. That's helpful. And just on UK, would you reiterate the 4QFY26 guidance of EBITDA breakeven?

T. V. Narendran: CEO & MD - Tata Steel Limited

If there are no actions from the government, it will be difficult to get EBITDA breakeven by 4QFY26. But if there is some action similar to what is being done in Europe, then of course we can move closer to that. Like I said, all the actions that we had planned we've taken. The cost takeout is as per plan. But the market needs to improve a bit for us to come to EBITDA breakeven. Koushik, you want to add to that?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

I think the spreads at this point of time make it very difficult for any amount of positive EBITDA, given the fact that the prices at which steel is currently trading in UK with the imports are very, very unsustainable [inaudible]. So, we certainly need policy intervention from a protection point of view.

T. V. Narendran: CEO & MD - Tata Steel Limited

I think just to supplement what both of us said. If you generally see, the US prices traditionally have been about \$100 higher than Europe and Europe has been about \$100 higher than India. So, that's been the ladder. Over the last year or so, US prices are almost \$200 higher than prices in Europe because of the actions taken in the US. We expect the

European prices to start moving towards the US prices, they may not match the US prices but the gap could come down as it is today because of the actions being taken by EU. But in UK, the prices are moving the other way. It's coming closer and closer to prices in India, which is not sustainable for the steel industry in UK. So, that's why our appeal to the government and they are also evaluating it from that point of view.

Vibhav Zutshi, JP Morgan

Got it. Thank you so much. And just a second question on India. So, on the Neelachal capacity expansion, any timelines with respect to the Board approval, because earlier we were planning to get it by October 2025, so any reason for the delay and the updated timelines? Thank you.

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T. V. Narendran: CEO & MD - Tata Steel Limited

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The reason is largely related to environment clearances and all the clearances that we need to have, because as per our current way of work, we go to the Board after we've got all the approvals in place. But behind the scenes, the work is going on, engineering, planning and detailing, all that is going on. So, that happens. But the FID will be taken once we have the environment approvals, which we expect in the next few months. There are some forest clearance issues, environment clearance issues, which we are going through. Koushik, you want to add to that?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

Yeah, I just want to mention that we are pretty advanced in the environment clearance process. And as Naren mentioned, we are progressing on it and we will take it to the Board once we are in a position. The engineering work is also pretty advanced in many areas. And therefore, we are getting the investment case ready for the Board's review sometime soon.

Operator

The next question is from Sumangal Nevatia of Kotak Securities.

Sumangal Nevatia, Kotak Securities

Good afternoon, everyone, thanks for the chance. Sir, my first question is if you could share our guidance on the cost and the prices, both for India and the Netherlands & UK separately for the coming quarter. And then, generally, just want to understand what's happening with regard to the safeguard duty. The provisional duty has expired and we're yet to see the government notification. So, just want to understand what is the latest here and what is our expectation.

T. V. Narendran: CEO & MD - Tata Steel Limited

Yeah, so I'll give you some guidance on the cost [inaudible], and if Koushik wants to add on conversion etc., he can do that. So, if you really look at it from a realisation point of view, our 3Q guidance for India will be about Rs 1,500 per ton lower than 2Q. 2Q was about Rs 1,500 per ton lower than 1Q. So, we had guided Rs 2,000 per ton, but we ended up at around Rs 1,500 – Rs 1,600 per ton. In terms of coking coal prices, we are saying India consumption cost will be about \$6 per ton higher in 3Q than it was in 2Q, because it's starting to turn the other way. Coking coal has firmed up a little bit in the last few weeks. As far as the Netherlands is concerned, 3Q guidance just now is about €30 per ton lower in 3Q compared to 2Q but we expect 4Q to be much better because of what I said earlier. Coking coal consumption costs in Netherlands will be down about €5 – €10 per ton, largely because they have more stocks in the system and so, they will be consuming what they bought earlier. As far as UK is concerned, prices are generally seen as a bit flattish, no real drop. But our concerns are the levels at which prices are today rather than the trend of the prices. And that's what we are working with the government on. In terms of safeguard duty, yes, what you're saying is right. The notification I think has expired in November and we are waiting for advice from the government on safeguard. We are working with them and let's see where it takes us, because the larger point is that the steel industry in India is impacted by steel prices internationally and some of the imports which are coming in. I think if the industry has to continue to invest the way it is planning to, obviously, we need to see what is the support we can get from the government in India as is being done by other governments elsewhere.

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Sumangal Nevatia, Kotak Securities

Understood. So, given the spot spreads in UK, we are expecting the losses to widen. Is that the right understanding? And also, Netherlands, given the pressure on prices at least for third quarter, we are looking at some softer margins?

T. V. Narendran: CEO & MD - Tata Steel Limited

In UK, maybe things shouldn't get worse, let me put it that way. We're trying to see how to improve - 2Q was worse than 1Q, but it's not necessarily

3Q should be worse than 2Q. We're still working some of that and we're looking to see what help we can get in the Netherlands, maybe some margin compression, but we're again looking to see what we can do there to manage that because, like I said, the coking coal prices are lower. They are also getting some benefit on electricity

and some of the other costs in 3Q compared to 2Q. So, they will get some benefit there. In India, well, there is some margin compression, but India will have half a million tons more volume in 3Q than in 2Q. So, we will have a volume upside in 3Q because of the Kalinganagar ramp up.

Sumangal Nevatia, Kotak Securities

Got it. Sir, my next question is on expansion. Now, in India, is it safe to assume 3 – 3.5 years once we take the Board approval, timeline in terms of Neelachal expansion? And what is the peak level of volumes we can achieve in the existing capacity? I mean the question is coming from the background that maybe from FY27 onwards, we will lack further room in terms of growth. So, if you can explain that. And also, with Netherlands, you said next year is the timeline where we are looking to freeze all the discussions with the government. So, FY28 is the year when Cap ex actually starts and any Cap ex intensity you can share there?

T. V. Narendran: CEO & MD - Tata Steel Limited

Yeah, so I'll start and then Koushik can kind of continue. As far as the volumes are concerned, yes, Kalinganagar is currently running - I mean if I look at it last month, it's running at 7 million tons per annum rate, and it can go up to 8 million tons. So, that's on Kalinganagar. Neelachal is pretty much; you can get another 200,000 - 300,000 tons more once you have all the environment clearances because the existing volumes can go up a bit more. Today, we are limited by the EC levels. We have the Ludhiana plant coming up next year, so that's another 0.8 million tons. We are looking at debottlenecking some volumes in the Gamharia plant, which is the Usha Martin plant, to support our combi mill. And we are also looking at some debottlenecking in Meramandali. So, we will get some additional volumes from all these places in addition to the 0.8 million, which we will get out of Ludhiana. The timeline that you said, yes, post-board approval, 3 to 4 years, certainly we want to complete the Neelachal project before that and try and see if we can do it faster. What you also should keep in mind is that the product mix is also getting richer. The cold rolling mill has just started ramping up in Kalinganagar. The galvanizing line, one of the two lines has come in, the other one will come by December. We have a combi mill, which is a state-of-the-art long products plant of half a million ton which has just got commissioned last quarter. So, you will see multiple initiatives. And then of course, this BlueScope acquisition that Koushik talked about. All this will lead to a much richer product mix. So, there will be a volume growth opportunity, as I mentioned. There is also an upside potential on getting a better, richer mix and better realisations. In Netherlands, even if we sign by next year, it's not as if immediately you'll have to spend capex because we will take a couple of years to get all the planning permissions that are required to start the project. So, it's a slightly more long drawn-out journey. But Koushik can add more colour to that and the other comments I made.

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Koushik Chatterjee: ED & CFO – Tata Steel Limited

Yeah, so Sumangal, I think there are two points. One is that as far as Netherlands is concerned, we'll finalise the tailor-made agreement sometime next year and the FID will be next year. Then there is a permitting process and post the permitting process, the major spends will start on the site etc. So, I don't see major cash outflow in Netherlands in the next couple of years even after the FID. I think the focus is clear

ly on the NINL expansion. And once we get through, we should be site ready when we get into the FID or almost in that kind of a position. And therefore, from there about 3 - 3.5 years to get it done. Coming to your question on existing assets, we are also looking at Tata Steel Meramandali. When the blast furnace there goes for relining, it will expand capacity, which includes putting up a finishing facility that will take the Kalinganagar's 1.5 million-ton slabs i.e. build up a thin slab caster. So, there are at least – if I were to say 7.5 million tons of growth in consideration or in planning at different stages. When it is ready, we should be taking the Board approval to spend. And then, some of these brownfield sites, especially in Meramandali, should have a shorter execution time than a greenfield site. So, this is currently the pipeline, other than what Naren mentioned. Further, Ludhiana will get commissioned, and we will also look at another EAF, either in the West or in the South.

Operator

The next question is from Satyadeep Jain of Ambit Capital

Satyadeep Jain, Ambit Capital

I just wanted to start with UK. We understand that the CBAM in UK actually kicks in 2027, one year after the EU CBAM. Then in the context of current imports, what options, what is the process, because from my understanding based on Europe is that EU Parliament has to approve the report and findings of EU Commission, EU Council and EU Parliament and the current safeguards expire in June 2026 or so. When you look at UK, what exactly is the process timeline? Do they have to take the entire study and then the decision will be taken by Parliament? So, the entire process, are we looking at some kind of support in 2026 or not? And the cost savings that were there in the Rishi Sunak Government on network tariffs and power costs being declined, has it already kicked in? So, just wanted to understand Europe and UK in general first.

Koushik Chatterjee: ED & CFO – Tata Steel Limited

So Satyadeep, two things. One is when you talked about the European part, the European Steel Action Plan that Naren talked about in terms of reduction of quota, tariffs beyond quota etc., and melt and pour is going to kick in from June 2026 because they are currently in the consultation process. Once the consultation is done, various stakeholders give their point of view on if they have to change or modify etc., and then it starts from June. So, that will kick in from June. As far as UK is concerned, at this point of time, the consultation process on CBAM hasn't started. It is in a formulated position, but it

has not yet started. They are scheduled to go live one year after the EU CBAM, which is 2027, as you mentioned, but we have not seen that happening. And that is one of the conversations that we are having with the UK Government. We are having conversation with the TRA, the Trade Regulatory Authority, on the quotas. The UK is behind the curve as far as EU is concerned [inaudible] as far as these initiatives are taken. So, if it is 2027, then when in 2027 is not yet determined. So, we are actually trying to get an understanding as to when the consultation process will start, how much time it takes. It normally takes six to eight months, maybe a year. So, we want to kick that off faster and to ensure that it is in time when our EAF comes. So, compared to the policy announcement that happened last year, they are behind is the short answer. We'll see as to where this will progress in terms of timeline. But to us, the more important priority here and now is actually the quotas and then the CBAM. The CBAM discussion can happen in parallel.

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Satyadeep Jain, Ambit Capital

The quota also, given it needs to go through a formal study, the final decision will be taken by the UK Parliament or is it an executive decision? Is there a realistic chance of this quota reduction in UK if it goes through in 2026

or are we looking

at maybe a quota reduction also in 2027 or 2028?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

No, so 2027 – 2028 is simply very late, by which time the UK Government would have also lost a significant amount of money because of what they are managing in the steel industry in Scunthorpe. I think they are working on it and that is the assurance that we have got; the TRA has got all the data. That validation process is done. I think they will have to recommend it from the Cabinet and ratify it in the parliament. That process in the UK is pretty fast. But I think the more important point is to get to that process and that's what we are talking to the UK Government about.

Satyadeep Jain, Ambit Capital

Okay. Secondly on Netherlands, in the joint letter of intent that is mentioned - I'm just checking on the wording of the joint letter of intent. It is mentioned that there will be support of up to €2 billion for phase one. But explicitly, it is also mentioned that there will be no tailor-made support for phase two as things stand. So, does it mean that government is making it very clear they will not support any expansion beyond phase one? And also, this import quota that we are looking at needs to be ratified by the parliament. There's a lot of opposition from downstream users in Europe. Hypothetically, if we see this go through and European steel prices converge with US. Do you see some challenges? I just want to understand because Europe historically has been a very different market versus US, but with the opposition. So two-part question, one on the joint letter of intent and overall, some of it potentially getting diluted or is that not a risk, this current import quota reduction that we're looking at?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

So, I would first talk about the part on the Netherlands bit that you mentioned. The answer is yes. This tailor-made agreement is specifically towards phase one and our commitment is to do the phase one. The phase two is left to the Company to decide as to when and as far as timing, the technology to be used, the project cost to be done etc., is one reason why they also want Tata Steel Netherlands to be significantly profitable to ensure that they can afford to do the phase two whenever it is due. So, that is how the understanding is. There is no commitment on funding and neither a commitment on when we have to do the phase two. So, all the discussion is on phase one. The circumstances and the policies may change in phase two also. As far as the EU consultation is concerned, it is ongoing. From the sense that we get, there are people who have been quieter or neutral, there are people who are supportive and there are people who obviously have some views. So, that's for the EU to proceed and then get a sense. Maybe Naren, you can add.

T. V. Narendran: CEO & MD - Tata Steel Limited

I think what you're saying is right. There is a disadvantage if you are making stuff using steel and exporting out of Europe, then if you have a higher cost of steel you may have a disadvantage. The auto industry is one such sector. But I think everyone is also looking at building strategic autonomy in Europe and that's where there is a consensus that the steel industry is important for Europe. So, even in Netherlands we get a lot of support from that fact. They are not asking us why do you need a steel plant in Netherlands. It's more about what is it that can be done to have a strong steel company or a

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steel business. So, I think the conversation has changed in the last two years, [inaudible] the Russia - Ukraine issue, the US trade issues etc. So, the second thing is, as the European governments are putting money in the industry, they also have in some sense a skin in the game. So, there is an interest from that point of view to not put money in the industry and then end up destroying the industry

ry for whatever reasons, right. So, I think these are the things which we think are supportive for the steel industry. I also think the supply side in Europe will get restructured because as more and more blast furnaces come up for realigning, unless you have tied up with the government for a transition, it will be very difficult to justify blast furnace relining for most of the steel companies in Europe. So, there will be some supply chain side restructuring as well in the next 10 years.

Operator

The next question is from Vikash Singh of ICICI Securities

Vikash Singh, ICICI Securities

Thank you for the opportunity, sir. Just wanted to understand, if you look at the slide 10 of your presentation, though we have given a guidance to 40 million tons per annum, we have not given the timelines for the same. And also, the flat products are also increasing and long s is coming after that. I believe that the long s is Neelachal. So, which is the last portion of that flat product, which expansion we are expecting, and if you could give us the timelines for that?

T. V. Narendran: CEO & MD - Tata Steel Limited

Yeah, so let me put it this way. The sequence is not to do with the time. So, as Koushik said, what we are most ready for is the Neelachal expansion. And the Neelachal expansion is a long products expansion. So, [inaudible] in Neelachal from 1 million tons it will go to about 6 million tons. And from 6 million tons it can go to about 10 million tons. That's the second phase of the Neelachal expansion. Kalinganagar, as we complete 8, we can go to 13 million tons - that's the next phase. And from 13 million tons we can go to 16 million tons. In Meramandali, we are first looking at taking it from the current level of around 5 million tons to about 6.5 million tons and then after that we can go to about 10 million tons. So, in all these areas, the work is going on. In Meramandali, we need to acquire some land. In Neelachal, we are waiting for the ECs etc. and in Kalinganagar also a lot of work is going on in the background. So, all these are at different stages of readiness. And as we mentioned earlier, we will now go to the Board only after we've got all the requisite approvals. And that's why we've kept the timelines a bit open. The second thing I want to say is, we are also pacing our growth depending on the demand growth in India, the profitability and how to pace it, etc. And we are also looking at adding more and more downstream businesses. And that's why the BlueScope expansion and the combi mill expansion in Jamshedpur and there are a few other proposals that we are looking at. So, it's not just the volume growth, we are also looking at the value growth through investing more and more in downstream. So, it'll be a mix of both. The advantage we have is we can pace ourselves depending on the situation in India because between these three sites alone, as I gave you the numbers and with Jamshedpur, we can go to 45 million tons per annum, right. So, it's more a question of the appetite, the balance sheet, the demand requirements, the profitability of the industry and the priorities that we want to give.

Vikash Singh, ICICI Securities

Sir, my second question pertains to Netherlands. So, we remember that we had this free carbon credits, which are gradually going down. So, just wanted to understand, as we're starting to turn green at a later part and that obviously would take some time. How should we look at our cost structure in terms of the carbon credits reducing?

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Koushik Chatterjee: ED & CFO – Tata Steel Limited

So, I think the free allowances will come down; started to come down slowly, and we have mitigants. For example, we are using more scrap charge; currently, we are at about 18% - 19%. Our target is to max out on scrap to ensure that we get to it. I would also like to mention that in Netherlands, our CO₂ emission as of last quarter,

which I just got the number of a couple of days back, is at around 1.6. So, that's kind of one of the lowest. We've gone down to 1.59 this quarter and last quarter we were 1.6. And we're taking a lot of effort in reducing the CO₂ also including usage of scrap as a percentage. And last quarter, we were not able to max out more because of some volume issues. We will go beyond 20%. And once we get to more and more scrap, we will be able to reduce CO₂. So, as the natural reduction happens on free allowances, we want to also undertake internal decarbonisation efforts because there is a clear cost advantage to this. So along with our cost transformation program on other cost areas, I think we will continue to work towards reducing the conversion cost in Netherlands, including CO₂, energy, natural gas and other costs. So, that's the trend and that's the basis on which we think that the expansion on the margins will happen [inaudible]. It's not based on how the prices will come or when the prices come due to the steel plan or the CBAM etc., that will be on top of that.

Operator

The next question is from Ritesh Shah of Investec.

Ritesh Shah, Investec

Hi Sir, thanks for the opportunity. A couple of questions, first on Tata Steel UK. Sir, what is the exposure from a revenue mix that we have from UK to Europe? And how are we looking to de-risk hypothetically if there are delays on the UK Government taking a stance?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

So, that's about 25% volume on the current basis. I was waiting for who will ask that question, but that's the third lever of the negotiations with the government, because in 2021 the EU and the UK had signed an agreement of no quotas and no tariffs between most of the grades except for some galvanized grades where there are specific quotas. But this new regulation that comes in as a steel plan, will require the UK Government to revise that understanding with the EU. So, that's the third leg of the engagement that we have requested the government to do quickly, which they are cognizant of because that's important. And as politically UK talks about the coalition of the willing, I think this is also something that they will be looking to work towards. And that's what our request is.

Ritesh Shah, Investec

That helps. Sir, my second question is on Tata Steel Netherlands. I think we have laid out certain details with respect to EAF initially on natural gas, and subsequently on CCS, and finally with biomethane and/or hydrogen. So, there are multiple permutations over here. We also indicated support of up to €2 billion. Is it possible to give, say, some high level thoughts on what could be the Capex number because we know it is up to €2 billion, but we don't know what the capex number is. So, how are you looking at the cash flow math? You did indicate no major cash flows next two years. But from a ROCE standpoint, from a cash flow standpoint and from a capacity standpoint, how should we look at TSN? And if not for support in phase two, would we still continue with our stance that we will maintain our volumes for Tata Steel Europe? I think that's something that we had guided earlier. So, would we stand to it?

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Koushik Chatterjee: ED & CFO – Tata Steel Limited

So, Ritesh, if I may, since you wanted high level, I'll keep it high level. But I think the point when you talked about the different feeds of natural gas, hydrogen and biomethane, it is the switchability which will be built in from natural gas to hydrogen to biomethane depending on the economics and the availability at scale of each of these. Natural gas is not a problem because Netherlands is kind of the hub for natural gas. And that's why we're building on it. Earlier when the EC was looking at these decarbonisation projects, they were very insistent on hydrogen, and if you see, some of our peers had gone ahead of us. The agreements or

the conditions that EC had given was purely on hydrogen, which is the reason why many of them have gone slow. So, we actually did not want to go that hydrogen route because it's very uncertain on the availability as well as on the economics. So, we were more focused on natural gas, and we have an optionality to auction for biomethane because after hydrogen that is the one, which is being proposed as the next best fuel. So, on biomethane, we have the optionality for auctioning of this or tendering, and if it comes in at the right economics and availability, then the switchability will be looked at. [inaudible] So, we have those optionalities to be tested out but that is to be tested much later. It's not immediately on commissioning - it will be post -2035, etc. So, I think that is the construct that we have as far as our understanding on the JLoI with the Dutch Government as well as blessed by the EC. So, what we are currently doing is [inaudible] the engineering process is currently on. We have allocated a little bit of money to complete that process. Engineering will be known on capex somewhere around, say, May or June. That's my best estimate at this point of time. Because it's a complex process, it has three elements. It has the element on the health issues, which is the coverages. Then, it has the EAF and then it has the DRP. So, there are three sub-parts to that process within the integrated process. So, I think it will be more fair to talk about this somewhere in six months time, by which case the investment case will also be very clear. And our understanding on the policy changes that we have asked for as a condition to the tailor-made agreement will also be clear, which is our network cost, electricity, the coal ban or usage, etc. So, those policies will also be, once the new government comes in, we will be able to engage more deeply because those are conditions for final FID. And there are some asks from them towards us, which we are working on with the local environmental agencies.

Operator

The next question is from Rajesh Majumdar of B&K Securities.

Rajesh Majumdar, B&K Securities

Thanks for the opportunity. So, I had a question on the cost takeout. You have already talked about Rs. 5,450 crores in the first half. How much of this has come from the Kalinganagar plant efficiencies and how much more can be expected as we ramp up gradually to the full capacities with the value-added segments?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

So actually, this is unrelated to capacity utilisation because this is on the baseline. There is some element at capacity utilisation, but largely, it is run in an integrated manner. For example, we run it as one program on, say, stores, spares and maintenance. So, it is not just one side, but it is across the combination. And this combination is actually the power of this program because when our colleagues run it on, say, stores management across four sites, it's much more efficient than managing it across four individual sites, right from procurement to usage, to usage pattern to storage and even inventory etc. So, it's very difficult to give it site-wise, but it is more specific by theme-wise. For example, stores using leaner coal mix

or energy efficiently. So, those are the kind of themes we run across sites and that's why organisationally we are consolidated to do that.

Rajesh Majumdar, B&K Securities

More specifically, sir, you earlier guided about I think Rs. 2,000 - 2,500 kind of lower costs in Kalinganagar. So, how much of that is achieved and how much of that is likely to be achieved over the next few quarters?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

So, I think we said Rs. 2,500. I don't think we said site-wise, but we said Kalinganagar...

T. V. Narendran: CEO & MD – Tata Steel Limited
I think we said at one time, as we fully ramp up Kalinganagar

there will be a benefit because obviously it's a much more productive site.

Koushik Chatterjee: ED & CFO – Tata Steel Limited
It's a volume effect.

T. V. Narendran: CEO & MD - Tata Steel Limited
Correct, that's a volume effect.

Koushik Chatterjee: ED & CFO – Tata Steel Limited
So, that's a per-ton volume effect, which will happen by the end, by the time we exit this year, we should be able to get there and that's our target on the volumes anyways. We had some slowness in the first quarter, but second quarter onwards we have been able to increase our capacity utilization, and we'll continue to do so in 3 Q and 4 Q.

Rajesh Majumdar, B&K Securities

Right, sir. And my second question is actually on your ferrochrome unit sell-off. I mean we bought this unit just three years ago and we earlier proposed a 50% expansion along with C PP and we also have the chrome ore mines. But suddenly, you decided to sell this business. So, what is the problem here? I mean if it is a small thing then, it was a small thing even three years ago when you acquired it.

Koushik Chatterjee: ED & CFO – Tata Steel Limited

It is linked to our Sukinda resources. And if you really look at it strategically, if we were to continue Sukinda, one was this whole confusion that happened on the MDPA et c., because Sukinda needed underground mining to sustain itself but the resources, the way we were doing it, was coming to an end. So, if you look at the investments required for underground mining, the ferrochrome market in general globally and the way in which the duty tariff structures et c. works, our call was to exit the mining lease of Sukinda because of the high underground capex. And once we took that decision, it was necessary to rebalance the sources of mining. We have two other mines, more specifically one more mine which is more

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useful. We do not want to be just a converter without a mine and that is the basis on which we then took a decision to get out of it. And the buyer is consolidating in that space, so it helps him also.

T. V. Narendran: CEO & MD - Tata Steel Limited

Basically, we wanted to limit our production to what we largely need for in-house consumption rather than be in the market because we were surrendering the Sukinda mine and the changes in the MDPA et c. was not making this business as attractive as it was before. So, it was more a rethink on this portfolio given the current context.

Operator

The next question is from Prateek Singh of DAM Capital.

Prateek Singh, DAM Capital

Hi, thanks for the opportunity. The first question is on UK. So, given all the uncertainty and volatility that we are seeing in UK and Europe, how confident are we of the level of profitability once the EAF comes in? Or to put it differently, what kind of EBITDA do we see is doable, given the current environment, current pricing and current raw material costs? That's the first question.

T. V. Narendran: CEO & MD - Tata Steel Limited

So, if I were to start and then maybe Koushik can add, you know when we did the EAF, the larger point was, we said the cost position of UK will improve by about £150 per ton, okay, because we were taking out a lot of fixed costs, we were using locally available scrap instead of imported iron ore, coal et c. So, which meant that in longer term, with the steel pricing that we've seen in the past, the UK business should be EBITDA positive and should be able to stand on its own because an EAF run operation has much less requirement of support on maintenance and many other things because you don't have the sinter plant, the coke ovens and blast furnace and many other such facilities. So, that hypothesis stands. What we are seeing now is a very abnormal situation, which is coming out of what's happened in the US, what's happened in Europe now, what's happening in China. So, we don't expect these things to stay o

n forever. On internal cost side, we

are on track to what we said we would achieve. But the external aspects, we expect actions to be taken like Europe has already taken to protect the European industry. And as Koushik mentioned, the UK Government is also bleeding because of their investments in the other steel plants in UK. So, we are expecting some resolution to this in the next few months. So, it's a hypothetical situation. If today's situation continues forever, of course, there's a challenge. But we don't expect today's situation in the market to continue forever.

Prateek Singh, DAM Capital

Sure, just as a follow-up to this, so what kind of capacity does UK in particular need? I mean was there ever a discussion that maybe not put as big a capacity as we are planning and maybe scale down a bit, given we don't need that much, given how the environment is right now or we are okay with the capacity that we've announced for UK?

T. V. Narendran: CEO & MD - Tata Steel Limited

Yeah, we are comfortable with the current capacity level. I think the issue which has happened in UK is the quotas have not been changed even though the demand has shrunk over the last few years, unlike EU where the quotas have been

changed and have been tightened further. So, our submission to the UK Government is, they need to keep realigning quotas, import quotas, to what is the domestic consumption. And I think that's what we expect them to be doing. But otherwise, 3 million tons with maybe 10-15% exports is fine. And optimally also, that was the right capacity for us, given the balance of plant and everything else. Yeah, Koushik?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

Yeah, no that's the same point. I think there's nothing wrong with the capacity in the context of the demand. It's the issue of the imports that has come in. Also, the UK Government [inaudible], they were all focusing on infrastructure and that infrastructure, when it actually starts rolling, will require a lot of steel [inaudible]. So, I think there is a policy issue that the government needs to address, which is what is being worked on in terms of growth for the economy itself. But as far as the steel capacity is concerned, I don't think we could have done it anything lower because we have a very tied-in downstream network of our own, which uses the base grade HRC or the quality of HRC for further value addition. So there is nothing wrong there, as Naren mentioned, we have taken out significant cost and we continue to do so. This year also there is continuing momentum on cost. But there has to be an uplift in the metal over margin, so to speak, which is, what is the price at which you are buying the metal and what is the price at which you are selling the metal. So, that metal over margin is an important thing, that has shrunk significantly and that's purely because of the fact that cheaper imports are flooding the market.

Operator

The next question is from Pallav Agarwal of Antique

Pallav Agarwal, Antique

Yeah, sir, firstly, congratulations on the good set of numbers and also on the cost transformation initiatives broadly on track. So, on the Ludhiana EAF, what kind of profitability can we look at compared to the standalone Indian operations? Obviously, it should be lower, but to what extent would it be lower?

T. V. Narendran: CEO & MD - Tata Steel Limited

Yeah, so there are a couple of things happening with Ludhiana. Of course, like you said, the profitability will be lower. Typically, an EAF kind of operation in the Indian context, I would say, is more of Rs 5,000 to 7,000 EBITDA per ton kind of thing. But you should look at it in this context also that you're getting almost a million ton for Rs 3,000 crores or less. So, when you look at it from a different angle, that's the equation that we look at. What we're doing in Ludhiana to

suppl
ement the margins that would normally be available, is to see how can we reduce costs because of the fact that you're getting scrap from a 200-300 kms radius and you're selling steel in a 200-300 kms radius, right. So, a lot of the logistics costs that we incur when we make steel in Eastern India and ship it to Ludhiana or elsewhere is what we're trying to save. So, there are a number of initiatives on the route to market, the logistics cost, the supply chain costs et c., so that we maximize the revenue potential in that geography. And of course, pretty much all that is produced there is going to the retail market where our realisations are higher than it is in the project market. So, there are a number of initiatives but what I've described is the starting point. And let's see how we can bridge the gap between a project like this versus the back end, which is more iron ore and coal based. But from a speed of execution, capital intensity et c., there are a lot of advantages in this model. And we do believe that while Tata Steel can continue to grow based on iron ore and coal in Eastern India, and like I described earlier, between the three sites we can go to, or four sites including Neelachal, go to 45

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million tons per annum, in North, West and South, we have an opportunity to grow in a bit more capital-light way. You need just 100 acres of land to build a steel plant, you don't need 3,000 acres. You can do it much faster. So, we will refine this model. Ludhiana is the first step. And as Koushik mentioned earlier, we are looking at opportunities to set up similar facilities, maybe even for a richer mix. This is for retail, but tomorrow's plants could be for alloy steels for automotive et c., long products basically, in the West and South.

Pallav Agarwal, Antique

Sure, sir. You know, secondly, we used to highlight that probably on the pipe expansion part, I think we were looking to expand from 1 million ton to 4 million tons per annum, so, I've not come across that in the recent presentation. So, where are we on that initiative?

T. V. Narendran: CEO & MD - Tata Steel Limited

Sure. So basically, most of that growth would have come through assets that we would lease. Even today, whether it's in

long products or in pipes etc., a lot of our capacity goes to assets that we lease, which means 100% of that capacity is committed to us. So today, I think the pipes business is heading towards 1.5 million tons, which includes the pipe business that we acquired through Bhushan plus all the leased -out capacities. I think I'm not remembering the exact numbers, but maybe 40% to 50% would be our own and the rest would be leased out. So, most of the growth will come through that. We recently invested in a precision tube mill, which has added 100,000 tons of high -quality pipes in Jamshedpur. So, wherever it's high quality, specialized like we have the large -diameter pipes, API pipes, are all available from the Khopoli plant. Wherever it's high end, we will make the investments. Wherever it's regular stuff, where the value is more in our branding and distribution, we will lease out capacity. So, that work is going on. And as our hot roll ed coil capacity grows, we will continue to expand the pipe capacity and the ambition is to get to 4 million tons. Maybe you can share more details , Samita, in the next pack or something.

Samita Shah: VP CFTRM – Tata Steel Limited

Sure. And I just wanted to also add that for the EAF blast furnace sort of comparison . The other s et of cost differential benefit will obviously be there when there are carbon taxes because EAFs emit significantly lower blast furnace . So, when India introduces carbon pricing and we've seen that over a period of time that will come through, then you will also have that benefit due to the EAF operation.

T. V. Narendran: CEO & MD - Tata Steel Limited

I think

typically the difference is \$100 between an EAF route of production and a blast furnace route without factoring the capital cost. I'm just saying the opex kind of thing. And as Samita says, as and when , I mean already there's a carbon cost which is coming in. And as that increases, that's why in Europe et c., once the carbon prices go up, the economic case for EAF becomes stronger.

Operator

The next question is from Ashish Jain of Macquarie. Ashish, please go ahead. Ashish, we are unable to hear you. We request you to please send in your question via chat or rejoin the queue.

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We will now move to our next question. The next question is from Amit Murarka of Axis Capital. Amit, please go ahead.

Amit Murarka , Axis Capital

Hi, thank you. On iron ore, I wanted to get some thoughts. How are you kind of thinking about securing iron ore for Indian assets? I think in the last call you did speak about it a bit, but could you also help us understand that, are you looking to get into some tie ups with OMC as well or it will be broadly merchant purchases? How are you thinking about it?

T. V. Narendran: CEO & MD - Tata Steel Limited

Yeah, so I think we , as we said last time, obviously we already have some iron ore. We have maybe about 5 00-600 million tons of iron ore with us today, which is available beyond 2030 based on our existing mines which we bought through our acquisitions or through auctions. Second point I want to make is, when we bid for the mines it needs to make sense. There is no point bidding a price at which the cost of iron ore is so high that you'd rather buy it from the market. Third is what you're saying is right. It can't be all spot purchases. So, we are already engaging with OMC, NMDC et c., to look at what could be the arrangements that we could have. OMC is of particular importance to us because a lot of our sites and production and growth is happening in Odisha. Fourthly, we are also looking at various other options depending on what is the cost of iron ore in India. We already have a mine in Canada , for instance, which is very high -quality iron ore, very low alumina iron ore. It's 63 % plus Fe while alumina of less than 0.5. So today, we sell from there into Europe etc. And there are some challenges which we've dealt with over the years. We are getting a shipment into India to test out that material. Traditionally, India is not an attractive market. But if iron ore costs and prices continue to stay high, then all options are available. Imports is also an option that we look at. But it's not necessary that we need to have 100 % captive. I think we will do that if it makes economic sense. Otherwise, we will look at buying in the market, even coking coal, at one time Tata Steel had 100% captive, today we're at 20% captive while 80% is what we buy from the market. So, we will exercise that option. The other part is , our ambition and our actions on going more and more downstream is to also help push us on the revenue side so that the revenue per ton keeps going up as we progress towards 2030, so that the cost per ton is less impacted by any increase in iron ore price , or rather the margin is less impacted. Let me not put it as cost per ton, yeah.

Amit Murarka , Axis Capital

Also, like is there any ballpark cost number that we can think of for your current captive iron ore mining, or if you have done any calculations around it, what will be your cost of captive iron ore mining?

T. V. Narendran: CEO & MD - Tata Steel Limited

I'm not sure we are sharing that. Are we doing that, Samita? No, yeah, because we have a full range from expensive to cheap ones. So, we also decide on what to produce where. I don't think we are sharing that publicly. Yeah, Samita?

Samita Shah: VP CFTRM – Tata Steel Limited

That's right. We don't actually comment on any specifics or any product or raw material details, but obviously it's significantly lower than market price.

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Operator

The next question is from Ashish Kejriwal of Nuvama.

Ashish Kejriwal, Nuvama

My question is on domestic demand environment because, see, after so many months or years we are seeing that our prices are much cheaper than the landed cost of imports despite the fact that safeguard duty is implemented. So actually, and when we see overall demand environment or demand, you can say volumes from JPC, it seems to be on a higher side but actually price is not getting that reflection. So, my question is, are we seeing excess supply scenario or lower demand which is affecting our prices? And in light of that, when we have guided Rs 1,500 per ton price decline in 3Q, are we factoring in December no price increase? That's my first question.

T. V. Narendran: CEO & MD – Tata Steel Limited

Yeah, so see, it's not that demand is not there, demand is quite strong and India is the only major country which is showing double-digit growth in steel consumption. And I think, given the focus on infrastructure building in India, I do expect the demand growth to be more than the GDP growth rate, which is what happens in most developing countries including in China when they were growing. So, if the economy is going to grow at 6.5-7%, steel consumption growing at 10% is to me par for the course. So, demand is not the issue. Obviously, supply side, as you know, when we add capacity we add in big chunks, right. So, we've added 5 million tons, JSW has added something, JSPL has added something. So, you will go through years when a lot of new capacity is coming on stream at the same time. But I do believe in the medium to long-term, it is not going to be easy to build lots of capacity very quickly in India, given the regulatory environment, the approvals that we need to take, the time which takes in India to build a steel plant, et c. So, I expect there to be a better balance going forward and which should get reflected in the prices. The more specific question you had, yeah, this is factoring in November and December. We've not factored in major price increase in December. We are saying that we operate close to November levels. If there's an increase, there's a potential upside to what I just guided. So for now, we've been a bit conservative on this.

Ashish Kejriwal, Nuvama

Sure. So effectively, you are saying in October and November also we have not seen any price increase and in our assumption, we are not taking any price increase in December also?

T. V. Narendran: CEO & MD – Tata Steel Limited

As a seller of steel, we will always try to increase prices, but it's the market which decides whether they're willing to accept those prices. So, we will always try to push, and let's see where we end up.

Ashish Kejriwal, Nuvama

Okay. Understood. Secondly, see, we have acquired 50% stake in BlueScope and at Enterprise value of something like Rs 22 billion for the company, which is having net profit of Rs 62 crores and Rs 30 crores in last two years. So rational-wise, I understand that we are going into downstream but the amount which we are paying is seems to be much higher if I look at on the profitability basis. So, how can we explain that?

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Koushik Chatterjee: ED & CFO – Tata Steel Limited

Yeah. So, first of all, I think this JV has been making about 19% ROE since inception. Second is, it is a combination of two parts. One part is that we have, this JV company had its own color coating, metal coating facilities. And then, post Bhushan, as per the JV agreement, we had to ensure that the same facilities that were there in Bhushan, in Khopoli et c., were also used by the JV, the substrate of which was passed on by Tata Steel. And that is the arrangement that we had with the JV and the JV partners, which is ourselves as well as BlueScope. And in

some ways, there is a split in the profitability because of the transfer pricing etc. So, you do not see the system profitability of this business. You just see, for that part of the business, only the downstream profitability, excluding the transfer price and the markups and so on. So, I think it is important and we were hindered in this segment because we were the first to come in 2005, to grow this business significantly, which is I think in our domain and the leverages and the synergies and network of Tata Steel and enriching the product mix, also fungibility of the product mix between market segments and so on. And that is the basis on which we actually wanted to consolidate. And BlueScope also, in their strategic understanding wanted to therefore exit the business. So, if you look at it from an underlying EBITDA perspective, it is 7x, which from a value-added downstream perspective is what the numbers will effectively look at, excluding the Khopoli and the ones which are leased because that brings down the performance of the Company. So, that is the basis which when post the acquisition you will see it more on a system

basis. And we will certainly explain the same to you. And you can see the numbers at that point of time.

Operator

I would now like to hand the conference over to Ms. Samita Shah for the chat questions. Over to you, ma'am.

Samita Shah: VP CFTRM – Tata Steel Limited

Thank you Kinshuk. So, we've answered I think a lot of the chat questions in the discussion so far, but I think there are a few which maybe we can touch upon. So, firstly, I think there is some question on Thailand, despite being an EAF operation, it is highly profitable. And can we expect that kind of profitability, either in India or UK? So, maybe you just want to give people a sense of Thailand duty structure et c.

T. V. Narendran : CEO & MD - Tata Steel Limited

Yeah. So, there are two or three things when you look at EAF profitability. About 70% of the cost is scrap, so the price at which scrap is available etc., has a big impact and about 15% of the cost is energy. So, these are the two factors which drive EAF profitability, apart from operating performance et c.

In Thailand, what you're seeing is an upsurge because, if you recall, there was an earthquake in Thailand, I think it was around April, there was this viral video which went around of a tall building which collapsed. And you know the conclusion at that time was that a lot of this is happening because of the poor quality of steel, which is used, and the quality standards need to be looked at once again. And because if you use poor quality construction steel, you run the risk of this kind of a thing happening, particularly if there's an earthquake. So, as a consequence, a lot of local production which seemingly were not meeting quality standards had to be closed. And Tata Steel Thailand is seen as one of the best quality producers of steel in Thailand, has a good name, we have the Tata Tiscon brand operating in Thailand as well and they got the benefit of that. That's why you see much better performance than we've seen in the last few years. But having said that, they are still settling. Traditionally, it's been a profitable business. It's never required any support from India. It's always been cash positive; EBITDA positive. So, it continues to be that way. And as quality considerations become more and more important, we think that's positive for Tata Steel Thailand.

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Now, whether that kind of profitability, again, like I said, we are in a much better place on the cost curve in Europe post EAF than we were in the past because of the fact that you're not using imported ore and coal, you reduced your fixed cost by about £400 million and you're using locally available scrap, right. So, certainly, we'll be in a much better cost position than we were before in UK.

And

similarly, in Ludhiana, compared to the iron ore-based production in Jamshedpur, you'll be at a higher cost position. But we look at how do we make this model work, taking out costs beyond the production costs, like logistics costs, route-to-market costs and so on and so forth. As Samita said, as and when carbon prices come up, because the CO₂ footprint of the Ludhiana plant is going to be 0.2 - 0.3 tons of CO₂ per ton of steel compared to Jamshedpur, which is the best in India at 2.1 - 2.2 tons of CO₂ per ton of steel and Netherlands which is one of the best in the world at 1.6 tons of CO₂ per ton of steel, as Koushik said earlier. So, Ludhiana is going to be at 0.2 tons of CO₂ per ton of steel, because it will use green energy. So, when you start looking at paying a premium for low carbon steels, that's when some of these businesses will make even more sense than it does today.

Samita Shah: VP CFTRM – Tata Steel Limited

Thank you. The next question, there are few questions on cost transformation, so I'll just combine them for you, Koushik. First, are we on track, and what is the kind of number we're expecting for 3Q FY26? And then, there's a question, because of the delay in employee-related discussions in Netherlands, are you reducing your target for the year?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

So, that looks like an exam question, but I think it is important to mention that our target is the same. I mentioned when we started this that it is an 18-months program. Obviously, the work that can be done is being pursued across the geographies, across teams and across functions. I think we will continue to maintain the secular basis on which we are - we've gone through the first two quarters.

The compliance in Netherlands is lower, as I mentioned, because of the employee restructuring going slower than what we had planned. But that is a timing effect and I'm very hopeful and all of us are working with the CWC to ensure that we get to it. But the point is less about QoQ performance, it is more about getting structurally fit. It is about getting the competitiveness in place, so that we become all-weather. I also want to say that the target will also keep changing once we achieve it, there will be more where we want to build a pipeline of it, and we continue this as a journey.

Tata Steel India has always done that for about 20 - 25 years. But this time around, we have taken more structural view because we have become multi-site and our capacity has increased significantly. That's why this is an important journey in the competitiveness of Tata Steel. We have expanded to all our global sites also, most critically UK and Netherlands.

So, we are going to continue this journey. I think it is not to be just taken as a quarterly target. It is more about ensuring that structurally we are in a better place.

Samita Shah: VP CFTRM – Tata Steel Limited

Yeah, thank you. There are a few questions on TSN decarbonization, which again I'm just going to combine. Essentially, the question is that given the political changes in Netherlands, do we expect the government to follow through this commitment, which they've done, is 2030 a sacrosanct deadline? So, there are some questions around the timing and maybe the probability of the government actually going through their push for decarbonisation.

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T. V. Narendran : CEO & MD - Tata Steel Limited

I think, if I look at the way we have built up our conversation with the government and across the political spectrum, it has been largely bipartisan in terms of, across parties because it was a parliament mandated process to get through to the JLoI. Subsequently, when we were signing the JLoI, it had to go back to the Parliament for placement and noting.

So, with the political parties being the same, it is certainly the assumption that we are working in, that the government will

continue to work on it because it's of national importance and it is something of a commitment. We do have a journey in

terms of final negotiations on the binding tailor-made agreement. But I don't think any of us have a doubt that the government will not stand behind what they have signed, the new government.

We have to give the time for the new government to form. The election got just over. Unlike in India, it takes a little bit of time, and we must give that and then we will sit down with them on the tailor-made agreement. In the meanwhile, both sides are anyway working at the background on the conditions that need to be fulfilled. In terms of preparing for the new government when it comes that we will have a very clear understanding of what needs to be done before we sign the tailor-made agreement. That's where it stands.

This is also where the timing of the project and the feasibility and practicality of doing it within certain years will also be considered, and due action taken. Because we have to take the practicality of changes in policy, in the permitting process, the construction, the site work required and so on so forth. So, we will have a conversation around that subject also. And I think the political world in Netherlands is fully aware of that.

Samita Shah: VP CFTRM – Tata Steel Limited

Thank you. I think there are multiple questions on capacities of each of our downstream products or capacities. But I would just like to remind people that we don't really give guidance on individual product capacities. Naren mentioned a broad guidance and our overall growth path, so we will not take that up. Then, there is one broad question, Koushik, which you might like to address on our leverage targets and how we are sort of balancing that or what is our approach towards leverage.

Koushik Chatterjee: ED & CFO – Tata Steel Limited

I was wondering when that question will come up. I think we are managing our balance sheet pretty well under the circumstances in the context of our operating cash flows, with all geographies being focused on working capital and profitability. This quarter we had a significant amount of cash outflow on our dividend, which is an obligation that we are clearly focused to fulfil as part of servicing investors.

It is important to mention that our Net Debt to EBITDA is at about 3, even with the kind of spend that we have. As I've already said that in the past, that between 2.75 and 3 is where we would like to maintain ourselves on a more sustained basis. At times, when there are significant market challenges or volatility in prices, which impacts the working capital, because steel, coal and iron ore prices do change significantly, especially on the seaborne market, that's the time when we do get beyond that matrix. But largely, 2.75 to 3 is what we would like to maintain. In a mid-cycle period like this or a low mid-cycle period like this. In an up-cycle we are on a different platform. So, we would keep the matrix like that.

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Any opportunity to deleverage, we'll continue to deleverage. But we also look at where best to apply that capital apart from leverage, in short-term payback period projects or acquisitions like the BlueScope that we've done because that actually effectively will help in consolidating the margin and the footprint and helping our product mix to grow. So, these are decisions that we do take, and then look at what the leverage allows us to do.

When we look at NINL we will certainly look at the phasing spend and how quickly we get the cash-to-cash cycle up and that's why Naren mentioned that we want to go at a time when we are ready, site ready to start work so that we can compress the period as much as we can. So, leverage is an important part in the entire not only of our financial strategy but also in the business strategy and how we run the business.

Samita Shah: VP CFTRM – Tata Steel Limited

Thank you. With that, I think we've answered all the questions. So, thank you to everyone who's dialled in. And look forward to connecting with you again next quarter.

Koushik Chatterjee: ED & CFO – Tata Steel Limited
Thank you.

T. V. Narendran : CEO & MD - Tata Steel Limited
Thank you.

Call: Feb 2026

Ref.: SEC/ 1884 /2025 -26
February 12, 2026

The Secretary, Listing Department
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001.
Maharashtra, India.
Scrip Code : 500470
The Manager, Listing Department
National Stock Exchange of India Limited
Exchange Plaza, 5th Floor, Plot No. C/1,
G Block, Bandra -Kurla Complex, Bandra (E),
Mumbai - 400 051.
Maharashtra, India.
Symbol : TATASTEEL

Dear Madam, Sir,

Sub: Transcript of 'Tata Steel 3QFY2026 Earnings Discussion'

This has reference to our letter dated February 2, 2026 , intimating that post the announcement of Financial Results of Tata Steel Limited ('Company') for the quarter and nine months ended December 31, 2025 , the Company will host an Earnings Discussion on February 6, 2026.

The Board of Directors of the Company at its meeting held on February 6, 2026 , inter alia approved the Financial Results of the Company for the quarter and nine months ended December 31 , 2025. The Company hosted its 3QFY2026 Earnings Discussion on February 6, 2026 .

In this connection, we enclose herewith the transcript of the 'Tata Steel 3QFY2026 Earnings Discussion'.

The transcript is also available on the website of the Company at:
<https://www.tatasteel.com/investors/financial-performance/analyst-call-recording/>

This intimation is being provided in compliance with Regulation 30 read with Para A of Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended.

This is for your information and records.

Yours faithfully,

Tata Steel Limited

Parvatheesam Kanchinadham
Company Secretary and Chief Legal Officer

Encl.: as above

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CORPORATE PARTICIPANTS

T V Narendran, CEO & MD – Tata Steel Limited
Koushik Chatterjee, ED & CFO – Tata Steel Limited
Samita Shah, VP Corporate Finance, Treasury, & Risk Management – Tata Steel Limited

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Satyadeep Jain, Ambit Capital
Siddharth Gadekar, Equirus Securities
Sumangal Nevatia, Kotak Securities
Vibhav Zutshi, JP Morgan
Vikash Singh, ICICI Securities

PRESENTATION

Operator

Ladies and gentlemen, we thank you for your patience. A good day and welcome to the Tata Steel Analyst call. Please note that this meeting is being recorded. All the attendees' audio and video has been disabled from the back end and will be enabled subsequently. I would now like to hand over the conference to M s. Samita Shah . Thank you and over to you, ma'am.

Samita Shah: VP CFTRM – Tata Steel Limited

Thank you, Kinshuk. Good evening, everyone who is joining us from India and the Far East and good afternoon to those of you joining us from the West. We are starting a few minutes late and thank you for your patience. I'm delighted to welcome you all to this call on behalf of Tata Steel where we will discuss our results for the third quarter of FY2 026. I hope you've had a chance to go through our press release as well as the presentation, which is up on our website. And to help you better understand our performance, we will walk you through some of the details and obviously take any questions you may have. We have with us today Mr. T.V. Narendran, our CEO & MD , and Mr. K oushik Chatterjee, our E D & CFO. Before I hand it over to them, I would just like to remind you all that this call will be governed by the safe harbor clause, which is on page two of the presentation. Thank you and over to you, Naren.

T. V. Narendran: CEO & MD – Tata Steel Limited

Thanks, Samita. Good evening, everyone ; sorry about the delay. So let me start with a few comments before I hand it over to Koushik. The global operating environment remains complex with policy uncertainty and resource prioritization reshaping

the interplay between geopolitics, social and market dynamics. At the same time, Chinese finished steel exports have crossed 110 million tons for the second time in a row, which had a significant impact on the regional as well as the global trade in steel. Steel prices diverged across the regions during the quarter and amidst this , Tata Steel has delivered a consistent performance with our consolidated EBITDA margin improving by about 300 basis points YoY for the nine months ended 31st December 2025.

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India is a core market, and our crude steel production rose about 12% QoQ and YoY to about 6.34 million tons . The sales ramped up in line with the production and outpaced the domestic demand, taking quarterly deliveries past 6 million tons for the first time for Tata Steel in India. Along with the ongoing cost optimization, this helped offset the drop in net steel realisations on a QoQ basis and deliver a 23% EBITDA margin during the quarter. Some of the segmental highlights are that the Automotive & Special Products business delivered the best ever quarterly and nine -month volumes driven by rapid OEM approvals for the advanced steel grades from our Kalinganagar plant. The cold rolling mill and the galvanizing lines are ramping up very well. The auto downstream mix is now more than 50% of the nine month sales level, reinforcing our leadership and preferred supplier position. We continue to strengthen our position in the retail segment. Our well-established retail brand, Tata Tiscon, achieved the best ever third quarter volumes while our cold rolled brand for MSME s, Tata Steellium grew 20% QoQ helped by the cold rolling mill in Kalinganagar. Our omnichannel model is deepening customer engagement and with A ashiyana and Dig ECA, we achieved a gross merchandise value of about R s. 2,380 crore s which is up 68% on YoY basis . Our commitment to product development and innovative solutions has helped secure internationally certified steel grades for Oil & Gas and Shipbuilding . We have also introduced mobile bore pile cages for the first time in India, offering a ready to use solution that enhances productivity and lowers project costs in challenging terrains. Our tubes business achieved the best quarterly volumes on account of a 0.3 million ton capacity addition and a dominant share in the high value infrastructure projects.

We remain committed to the India growth strategy by investing in capacity, downstream facilities and sustainable steel making. And in relation to our recent announcements, I'm happy to share that we consolidated our stake in the color coated business and completed the acquisition of the 50.01% stake in T hriveni Pellets Private Limited.

Moving to UK, our deliveries stood at 0.5 million tons, lower QoQ due to the subdued demand . The UK steel safeguard measures are due to expire in June 2026, and the framework needs to be revised to reflect the market conditions and narrow the policy gap with the EU. In Netherlands, the liquid steel production was broadly stable at 1.7 million tons, while deliveries were 1.4 million tons. Lower steel realisations were partly offset by better controllable costs and the sentiment in EU is improving, supported by the CBAM rollout and expected safeguard revisions from June 2026. We also commissioned a new production line for packaging steel using patented Trivalent Chromium Coating Technology to enable sustainable and regulation ready manufacturing. With that, I will now hand it over to K oushi k for his comments.

Koushik Chatterjee: ED & CFO – Tata Steel Limited

Thank you, Naren. Good evening to all of you who's joined in. I will begin with some headline financial performance data for the nine months ended December 31st, FY2026 before moving to the quarterly performance. Firstly, our consolidated EBITDA increased by 3

1% YoY from Rs. 19,040 crores in the nine months ended December 2024 to Rs. 24,894 crores in the nine months ended December 2025. EBITDA margin expanded by 300 basis points, as Naren mentioned, from 12% to 15% and reflects a disciplined execution in an environment marked by macro uncertainty, currency volatility and persistently high finished steel exports from China. Secondly, our performance demonstrates the impact of the cost transformation program, which has achieved Rs. 8,600 crores of savings in the nine months across geographies. To put it in context, on a YoY basis, lower steel realisations across geographies led to an adverse impact on revenue of about Rs. 7,400 crores, which was mostly offset by higher volumes and declining raw material related costs. In terms of execution, the cost transformation program has achieved 93% compliance to the internal plan. The deviation is primarily on account of extended consultation with the Central Works Council in Netherlands. In November 2025, we reached a formal agreement on the employee restructuring social plan, leading to the recognition of a restructuring provision of ~Rs. 737 crores in the consolidated accounts under the exceptional items.

At a geographic level, India continues to be the anchor of our performance with EBITDA growing at 12% YoY to Rs. 24,431 crores. The EBITDA margin was 24% and remains close to the 10 year average. Our performance in UK and Netherlands has improved materially on a YoY basis. UK losses have narrowed by £135 million to -ve £170 million while Netherlands EBITDA nearly tripled to €210 million. Combined UK and Netherlands EBITDA turned positive for the period. Overall improve profitability and effective working capital management has enabled us to generate operating cash flows of ~Rs. 20,500 crores before capex and dividend and a free cash flow of Rs. 5,640 crores which is significantly higher than the nine months ended December 2024.

Moving on to the third quarter performance provided on slide 24 of the presentation, our consolidated revenues stood at Rs. 57,002 crores and EBITDA was Rs. 8,309 crores, translating to a margin of 15%. While steel realisations declined in India and Netherlands, they were more than offset by the benefits from our cost transformation program. Expanding on the cost transformation program, as a company we have delivered an improvement of more than Rs. 3,000 crores during the 3

quarter. India delivered cost transformation benefits of around Rs. 890 crores. Key cost efficiencies were driven by purchase optimisation of spares, reduced refractory consumption, increased use of coastal waterways, which offer a structural cost advantage over the other modes of transport, higher power wheeling and leaner coal mix. UK outperformed their cost plan by achieving a benefit of Rs. 570 crores driven by calibrated maintenance cost, stronger spares management discipline, insourcing of product testing, and improved efficiency in natural gas and electricity consumption. Netherlands delivered quarterly benefits of around Rs. 1,600 crores via optimisation of coal blend leading to decline in procurement cost and deployed value-in-use concept to improve operating efficiencies such as fuel rate, scrap consumption, etc.

Let me now provide a deeper understanding of India, UK and Netherlands quarterly performance. Tata Steel standalone revenues for the quarter stood at Rs. 35,578 crores and EBITDA was Rs. 7,940 crores. Excluding the FX impact, the adjusted EBITDA stood at Rs. 7,902 crores and was marginally lower on absolute basis versus 2Q of this financial year. As Naren mentioned, our volumes crossed 6 million tons for the first time in a quarter and this coupled with the improvement in costs, has helped partly offset the drop in the steel realisations on a QoQ basis. Separately, Depreciation and Amortisation has increased by 6% QoQ to Rs. 1,826 crores upon capi

talisation of downstream facilities. For example, the CRM complex

in Kalanganagar and the Combi mill in Jamshedpur. Our wholly owned subsidiary Neelachal Ispat Nigam Limited (NINL) recorded Rs. 350 crore s EBITDA for the quarter, which was up 35% QoQ and reflecting an EBITDA margin of 22%.

Moving to UK, the local steel makers are having to contend with weak demand, volatile input costs and cheap imports. Steel prices continue to hover around £500 -£510 per ton and have been in contraction for the last two years. Existing steel safeguard measures are set to expire in June 2026 and the revised safeguard framework is yet to be formally announced. In this context, our EBITDA loss has remained broadly stable at about £63 million on a QoQ basis. Conversion costs per ton were largely maintained, demonstrating cost discipline despite the adverse impact of lower volumes on operating leverage. Separately, work is progressing on the 3 MTPA scrap based Electric Arc Furnace (EAF). Major demolition work has been completed and securing access to high power electricity is critical for our planned transition. We are working with the Electricity System Operator and National Grid for the new electrical infrastructure which remains critical for the project commissioning. In Netherlands, the third quarter EBITDA stood at about €55 million which translates to €39 per ton. Impact of lower volumes and realisations were partly offset by the improvement in the costs to the tune of about €21 per ton on a QoQ basis. TSN performance for the quarter also reflects the partial impact of the US tariffs. The US business of Tata Steel Netherlands was a high revenue and high margin business catering to automotive, packaging, etc. The levy of tariff to the tune of 50%, weighed on the performance.

Overall, we generated more than Rs. 10,300 crores of operating cash flows before capex aided by profitability and tight working capital management. Of the cash flows, we spent on capital expenditure of about Rs. 3,290 crores with majority focused in India. Free cash flows for the quarter were about Rs. 7,054 crores and were significantly higher than the second quarter. As a result, Net debt at Rs. 81,834 crores was lower by about Rs. 5,200 crores vs. the end of the previous quarter in Sep '25, and lower by about Rs. 3,900 crores v s. Dec'24. Our net debt to EBITDA stands at about ~2.6x, well within the stated range of below 3x for the cycle.

Managing regulatory complexities has now become a strategic imperative across geographies. Let me put this in context using Tata Steel Netherlands. In the nine months ended December 2025, TSN generated an EBITDA of around €210 million after considering the emission rights related costs of about €150 million and the adverse impact of tariffs from the US at about €50 million. Excluding these costs, the EBITDA works out to more than €400 million or around €93 per ton. This illustrates the cost of burden currently borne by the EU steel producers. On January 1st, 2026, CBAM entered its definitive phase with carbon costs being embedded into imports and structurally improving the competitive landscape for the EU producers. The CBAM's definitive phase requires importers to verify embedded emission intensity. Verification is expected to take time and importers who fail to verify will face carbon costs calculated using the default values by the

country of origin. Separately, EU intends to revise its safeguard measures [inaudible] by reducing the product quotas and raising the duty for imports beyond the quotas from 25% to 50%. The effectiveness and timing of the CBAM effect and the trade related quotas will determine how quickly the imports retreat from the EU market and the utilization of the local steel industry increases which will have positive implication on the price regime.

Before I close, I would like to reiterate our commitment to creating sustainable

long-term value. India remains our core

growth market, and we are scaling upstream as well as downstream capacity. In December 2025, we had outlined our India plans including the strategic partnerships with an eye on the raw material security and to cater to growing markets in Western and Southern India. At the same time, we are progressing with the transition of the UK and Netherlands operations to a more sustainable operating model. Our capital allocation will be prioritized, optimized and sequenced

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across geographies to ensure consistent returns over time. With that, I'll end my presentation and open the floor for questions. Thank you so much.

QUESTIONS AND ANSWERS

Operator

Thank you, sir. We will now begin with the Q&A session. The first question for today is from Vibhav Zutshi of JP Morgan. Vibhav, please go ahead and ask your question.

Vibhav Zutshi, JP Morgan

Thanks for the opportunity. The first question is on Europe. Now some of the European players have come out with very strong commentary on pricing. ArcelorMittal has actually raised April delivery prices to €700/t, which is another €60/t higher than spot. Just want to understand how sticky and sustainable could these be because it looks like demand is still weak, but like you mentioned, expectations are around higher utilization levels as imports start to come down. Thank you.

T. V. Narendran: CEO & MD – Tata Steel Limited

When you look at what's happening in Europe, while the demand has been quite stable at around 130 million tons for the last few years, imports had gone up to about 30 million tons. And as Koushik mentioned, the quotas that have been announced are going to halve those imports to about 15 million tons. So that's going to happen by June-July and in addition to that you have the CBAM, which has already started, and the CBAM has an impact on the import prices as well. So, if you're selling into Europe, even in this quarter, you'll have to factor in the impact of CBAM on the prices, and then on top of that, you're going to have a reduction in imports. So that's what is getting reflected in steel prices going up in Europe. So, over the last 2-3 years, we had seen the European prices move more towards the Asian prices, and increasing the gap with the US prices. But, because of these actions, we expect that prices in Europe will move away from Asian prices and move towards the US steel prices. It may not reach the levels of US steel prices but certainly will move closer to that.

Vibhav Zutshi, JP Morgan

Okay, thank you, that's helpful; the second question is on India. Firstly, congratulations on the improving leverage ratios. Just want to understand the broad timeline for all the capacity expansions - NINL, then this 2.5 M TPA at Meramandali and any indication that you can provide for the Maharashtra greenfield. And also, how to think about debt as capex will likely accelerate from now on.

Koushik Chatterjee: ED & CFO – Tata Steel Limited

In December when we said that we had the in-principle approval of the consideration of the board for the NINL expansion, we are working on it. We are maybe weeks away from getting the environment clearance and once we get that, our basic engineering ordering is in progress. So, I guess it will take about 35-40 months when we get into the execution level. I think it is also important to mention that we will get to the FID in the next couple of months. So that will stitch in as far as this expansion is concerned. Maharashtra is slightly longer term because it is at the enabling level, and we will have to get into the project and the DPRs etc. So that's slightly longer, but parallel work is happening in terms of planning and conceptualizing it. As far as the Meramandali expansion is concerned, we have to get the EC clearance. So, the first one is the NINL, the second one is the Meramandali and the third will

be the Maharashtra or Kalinganagar expansion, whichever

we are ready with. So that's the time frame or rather the sequence. The time frame will [inaudible] over the next three years or five years. The second part of the question that you asked about debt; I think we've said that broadly we would like to be up to about 3x Net debt to EBITDA. And sometimes when you have cyclical issues, we move to 3.2x, and when in better times or when we are able to generate more cash flows, it comes down, as you see now, we are at 2.6x. So that's the kind of range. We will not bust that range because we have a strong pipeline of capex which are productive. There is also a program for the downstream projects as we mentioned last time - the HRP GL has got approved, Tinplate is underway, TBSP we have completed, and we have more downstream in the long products segment including wires which is being

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worked on. So, it is in that range of the balance sheet that we will work on, in a mid-cycle. If the cycle becomes much better, then we will recalibrate, but effectively the pace of growth will also be calibrated to that extent. Hope that clarifies.

T. V. Narendran: CEO & MD – Tata Steel Limited

And to add to what Koushik said, we also have the Ludhiana plant coming up in the next couple of months.

Vibhav Zutshi, JP Morgan
Sure . Thank you, sir.

Operator

The next question is from Satyadeep Jain of Ambit Capital. Satyadeep, please go ahead.

Satyadeep Jain, Ambit Capital

The first question is on Europe. What is the status now on UK, the safeguard s and what discussions are you having with the government? Is there any progress there? And secondly on that front in Europe, given CBAM and the emissions have not been verified for a lot of importers, what is the trend in imports? Have they significantly reduced in Europe given the uncertainty on verified emission so far?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

So as far as UK is concerned, as I've said in the narrative and in the previous narrative also , we are deeply engaged at all levels to get the safeguard and quotas out. We are hopeful that it will happen soon. We know it is progressing, and we are encouraged by that. But it has not happened . So, we are looking forward to the safeguard s because it is in the interest of the UK domestic steel industry, not just us , to ensure that we have the recalibration of the quotas and the safeguards. It is also important for UK to do that in the context of the fact that EU has come out with the quotas and with their steel action plan, and therefore there is a need to harmonise it. So that is work in progress. As far as the CBAM is concerned, I think it's very early days , because there was some amount of stocking that happened pre -December. That's why I mentioned that the effectiveness of CBAM, we will have to see as to how the imports reduce because the default rates are high at this point of time ; the first year default rates are significantly high . For example , in case of China, it is about 3.1, in case of India, it's about 4.2 . So, I think we just need to see as to how it works. As Naren mentioned , irrespective of the demand condition s, there will be a n uptick in prices because arithmetically , it has to work in that manner. And then comes the steel action plan. There are two very fundamental regulatory triggers in EU which will push up the prices and will have an effect of pushing it towards the US prices . And if you look at the markup in the CBAM, it is a 10% markup in 2026, and a 20% markup in 2027. So , till the verification happens, the markup keeps increasing. So technically the prices should increase. Fundamentally , what's going to happen post the steel action plan comes in June or July is that the marginal cost of new supplies , either beyond quota or within the EU , which are the capacities that are shut down , will come a

t a marginally

higher cost, that will also have a cost push element on the prices. So , we are certainly expecting that the price buoyancy to remain in the EU for a longer period of time.

Satyadeep Jain, Ambit Capital

Thank you for that, K oushik . Secondly, on India, just wanted to seek your comments on the budget proposal for National Waterways 5 in Odisha linking Kalinganagar to Parad ip. I know these projects can take long. What's your expectation there in terms of timeline and impact on cost? And if it comes through, does it make you rethink your decision to look at Maharashtra , because many players are also actively considering staying on the East Coast, including ArcelorMittal who has announced a greenfield plant on the East Coast. If that comes through, would that change your decision anyway?

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T. V. Narendran: CEO & MD – Tata Steel Limited

So, if I could comment on that . Firstly, Maharashtra is in addition to our plans for the East Coast . It's not in place of any plans . Because , if you look at our own plans for the East Coast, between the Kalinganagar complex that we have and Neelachal which is across the road, we have the opportunity to build about 25 million tons of steel capacity there, which is today at 9 million tons; 8 million tons in Kalinganagar and 1 million ton in Neelachal . So that opportunity exists , and this waterway that they are talking about will help that site. Then you have the Bhushan plant in Meramandali which can go up to 10 million tons. So, in Odisha, we have the opportunity to go up to 35 million tons as against the current 14 million tons. Maharashtra is in addition to that and gives us optionality on the iron ore and servicing western and southern markets. India is one of those countries where waterways account for a very small percentage of logistics. Whereas , if you look at most other geographies, whether it's the US, whether it's Europe, or whether it's China, a lot of material including steel, moves on the waterways. I think the government's ambition is to create a network of waterways and we are glad that they picked this waterway which is close to our Kalinganagar site because we think it will help us bring down the logistic s cost, which as you know in India is still higher than what it is in other countries. One of the reasons is the mix , because in India there's a higher mix of road compared to other geographies , and t here's a lower mix of waterways compared to other geographies. Having more waterways is certainly going to help the logistics cost . But I think we don't have a timeline yet. I guess it will take some time because it means creating the infrastructure, it also means dredging, to m ake it an all -season kind of waterway. You also need to have handling facilities and barges. So , there's a lot that needs to be done, but we are happy that it's on the radar of the government.

Satyadeep Jain, Ambit Capital

Thank you so much.

Operator

Thank you, sir. The next question is from Pinakin Parekh of HSBC. Pinakin, please go ahead.

Pinakin Parekh, HSBC

Thank you very much. So, my first question is on UK. The losses in the UK operations are relentless, and there does not seem to be any policy support coming through. So how should we look at UK over the next few quarters? There's a safeguard in India, the re's CBAM in Europe, but there's nothing in UK.

T. V. Narendran: CEO & MD – Tata Steel Limited

In UK, a lot of actions have been taken by the team. We have ourselves reduced fixed cost by more than £400 million in the last two years, almost £500 million. So, I think in terms of cost takeout, all that could be taken out has largely been taken out. As Koushik explained, it is a problem because of the fact that the quotas in UK are higher than the demand in UK and that's what the government is expected to revise and more so, because of the actions taken in the EU. So we've been pr

omised that these revisions will happen soon. You must also realise that the UK government itself is invested in the steel industry because of the steel plants that they've taken over. So, when the steel industry is losing money, it directly hurts the UK government as well. We are hopeful that some actions will be taken because, with these levels of quotas and these prices, it's obviously not looking good from an EBITDA point of view. What has happened because of the actions we've taken, as Koushik said, is that EBITDA losses have halved. It is still there, and we expect it to keep improving because of the actions we are taking, but it will not become positive till there is some action from the UK government on the imports or if the steel prices go up in UK. So, I think we are expecting that some actions will be taken in the next few weeks by the UK government and once it happens, hopefully we are on track to make sure that UK is on positive EBITDA territory. But yes, it is a challenge, but given the actions being taken in the US, in Europe, in India and elsewhere, we expect the UK government also to be taking those actions soon. Koushik, you want to add to that?

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Koushik Chatterjee: ED & CFO – Tata Steel Limited

No, I think that's perfectly fine. I just wanted to tell Pinakin that we also have some actions being planned. But fundamentally, because we will also look at building a new plant, we don't want to do anything which will affect the long term. And therefore, we are also looking to ensure that the assets run at the most optimal ability and the conversion cost continues to be in a manner where we can be competitive, post the build of the EAF. So, just now, we are looking for more external policy support as an industry.

Pinakin Parekh, HSBC

Thank you. So just continuing on that, Tata Steel is doing everything it can, but it is facing the twin problem of making an investment while having EBITDA losses. On the policy perspective, you would expect support from the government on the existing steel environment and assume that there would be policies related to the capex. So, would the company at some point of time wait for the policy to fructify before stepping upon the capex or will the capex continue irrespective of whether there is any immediate support from the government?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

So, if I may just try to articulate it. See, once the EAF is built, our cost structure will be different. When our blast furnaces were running, our cost structures were high. We transitioned to plan for the EAF because the cost structure would be lower than what we were running at. We are at an intermediate phase where we are buying the substrate and then working on the conversion cost. So, the point is that if we were to not progress with the EAF, we are going to delay that transition into a more profitable unit. So, I think there is no upside in delaying the investment. On the other hand, if all factors are aligned, and here we are dependent on the National Grid for the electricity connection and also our own internal projects for getting it done. But the quicker we can convert it to that stable state, at least we will be in a better cost position, better working capital position, and not cutting slabs and rolls from all over the world. So, we have done that analysis and scenarios, and it makes sense to continue to do the project. Take the money which the government has given, as it is a participant and that's the basis on which we continue to execute the project at this point of time. In the longer term, we hope that the government for its own requirements, as Naren mentioned is also a big participant now, and a direct owner or a controlling entity of the rest of the steel industry in the UK, is also very mindful of the fact that this bleed needs to stop; not just for us but also for them. And I

hope that it is in a matter of weeks now.

Pinakin Parekh, HSBC

Got it. Just lastly, with the safeguard duty placed in India, and the price hike that we have seen in India in the spot steel market between December and February, is it fair to say that the December quarter EBITDA per ton was probably the low, till the safeguard duty is in place?

T. V. Narendran: CEO & MD – Tata Steel Limited

I think December quarter prices, particularly the first part of that quarter was probably the lowest in the last five years for flat products, and pretty low for long products as well. So, in some sense, that was the bottom as far as the prices are concerned. So yes, we expect better numbers this quarter. But we should keep in mind that coking coal prices are also

going up ; we are conscious of that. But still , prices are certainly coming back to the levels where it should be , because it used to be at a discount to import landed. Now it has caught up with import landed [inaudible] .

Pinakin Parekh, HSBC

Yeah. Got it. Thank you very much.

Operator

The next question is from Prateek Singh of IIFL Capital. Prateek, please go ahead.

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Prateek Singh, IIFL Capital

Hi, thanks for the opportunity. So, the question is more strategic and regarding the fixed cost takeouts in India and the medium-term human resources plan. How are we preparing for the iron ore mines expiry, if any in 2030 ? Any plans to move to a MDO model for mining in the medium term to strengthen the employee transition ? I understand that we mine much more than our peers and there is always an element of contractual costs as well. But I think our standalone employee costs would be higher than that of our largest peers in our operations and that of the largest listed iron ore miners in India combined. So, is there any way to get a sense as to what percentage of India employee cost is on mining and how are we planning to do this transition over the next four years?

T. V. Narendran: CEO & MD – Tata Steel Limited

I'll maybe give it a shot and then Koushik can supplement. So firstly, I'm not sure if our mining costs are much higher than others because we run a very, very efficient mining operation both for coal and iron ore. If you look at Tata Steel's legacy costs, a lot of the legacy costs are in Jamshedpur . So, if you look at the cost structure, and the demographic profile of our employees in Kalinganagar and other sites, it's much better ; we don't have those legacy costs. As Tata Steel grows more and more in Kalinganagar, Meramandali , etc., the impact of the legacy costs in Jamshedpur keeps coming down and we are addressing the legacy costs in Jamshedpur. So , because of these actions, the cost disadvantage we may have in some sites vis-a-vis our peers will keep reducing , and we will be doing this obviously in an accelerated way till 2030. That is one part. The second part is , because of the fact that all our sites are within 200 kilometres of each other , we have some advantages of scale because if we are moving to 40 – 45 MTPA , all of that is going to be produced in about 200 kilometres from each other and that gives us a lot of advantages on scale economies , etc., which will also help us negate some of the impact , post 2030. Thirdly, as we mentioned earlier, our move into Maharashtra, and our move into recycle based steel in north and west, are also actions that we are taking to mitigate the impact. And fourthly, the move into downstream basically looks at how we improve the mix, how we get better realisations , and so forth beyond all the cost takeouts that we are planning. All these are expected to mitigate the impact of any cost increase that we will face in 2030. This is broadly the plan and Koushik you can add to that.

Koushik Chatterjee: ED & CFO – Tata Steel Limited

Yeah, I'll just add two points Prateek. One is the fact that we are not going to exit cap

itive mining. We have mining reserves

which are opening up and therefore mining as an activity will continue for Tata Steel. Mine Developer and Operator (MDO) as an option will always remain and we will be looking at certain opportunities. We also now have BRPL which will be in that space , if required. So, I think the transition planning for 2030 has already started. We are looking at various alternatives as Naren mentioned ; even Maharashtra is an important alternative. So, the manpower cost is not so much of an issue. We also do [inaudible] of contract workers in there, so it is not that we are very heavy . In the sense , from a cost point of view , cost of ex-mines iron ore for us at this point of time is possibly one of the lowest. I think it is not at all high compared to the rest of the industry. With more mines opening up, be it Kalamang, Koira, Gandhalpa da, etc., we will be redeploying people and reworking on how we can ensure that the transition costs are minimised.

Prateek Singh, IIFL Capital

Understood. So , I understand that , would there be any way to get a very ballpark sense as to what percentage of the entire employee cost is on specifically mining operations.

Koushik Chatterjee: ED & CFO – Tata Steel Limited

I don't have it off hand, maybe we can do that later.

Prateek Singh, IIFL Capital

Thanks. And the second question is largely on Europe. As an earlier participant mentioned as well , the prices have risen quite a bit , to \$750 /t from \$650/t a few months back. So wanted to understand the nature of our contracts , and with what kind of lag do we see these prices coming up to our P&L.

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Koushik Chatterjee: ED & CFO – Tata Steel Limited

So, contracts are about 35%, largely in packaging which is one area where there are one year contracts and six months contracts. Automotive is the other; automotive has its own cycle. That's the point I mentioned that the benefits of the EU domestic prices will depend on the effectiveness of the CBAM as well as the quotas, both together. So, I think the full impact of that will come gradually and not in one jump. And I think the estimation is that there is an opportunity for almost €100 /t increase in prices over the full year. So, we just need to watch the space and see all that is said and done. If there is a Euro on the table, our colleagues in Netherlands will certainly work to ensure that we get it. But it will happen in at least

two stages; one is CBAM now and secondly when the tariffs come in post June 2026.

Prateek Singh, IIFL Capital
Understood. Thanks, and all the best.

Operator

Thank you. The next question is from Vikash Singh of ICICI Securities. Vikash, please go ahead.

Vikash Singh, ICICI Securities

Thank you for the opportunity. So, my first question pertains to Netherlands. How much carbon credits do we have as a percentage of overall requirement right now? Since in the last call you said that your emission levels are already closer to 1.6 tCO₂/tcs, does that mean that whatever carbon credits we have, these are surplus, or we still have to pay or buy some additional carbon credits?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

The reference point I'm using is the CBAM. So, the reference point for CBAM for EU domestic producers is 1.37 tCO₂/tcs. So, if it is 1.37 tCO₂/tcs and we are producing at 1.66 or 1.68 tCO₂/tcs, there is a gap and there is a free allowance that comes in. So, we have to buy the net of that. I think we will still be buying, and we'll continue to buy till we do the transition because the reduction in free allowances is going to happen from this year to 2032 or 2034.

Vikash Singh, ICICI Securities

Noted, sir. And the second question is regarding your outlook on the price increase in 4Q. If you could give us that.

T. V. Narendran: CEO & MD – Tata Steel Limited

Price in India or Europe?

Vikash Singh, ICICI Securities

Both geographies, India and Netherlands, price and the cost, especially the coking coal cost changes.

T. V. Narendran: CEO & MD – Tata Steel Limited

I think the guidance we are giving is, India prices on QoQ will be about Rs. 2,300 /t higher, and on a spot basis of course, hot rolled will be much higher, but I think when you look at the mix and you look at some of the contracts that we have, we see an improvement of about Rs. 2,300 /t. In UK, it's going to be about £5 /t higher or so. In Netherlands, on a spot basis it is going to be higher on the hot roll coil, but because of the mix issues that Koushik referred to, and the fact that the packaging contracts are getting renegotiated, we are seeing a QoQ reduction of €30-33/t per ton from 3Q to 4Q. But having said that, we expect Netherlands to more than offset this reduction in realisations because of cost take out, so we expect

an EBITDA expansion in Netherlands, and a slight improvement in EBITDA in UK. Also, because we expect Netherlands to be selling almost 400,000 tons more in 4Q compared to 3Q. And India will also see an EBITDA expansion because although the coking coal cost impact is going to be about \$15 /t, the benefits that we will have from the prices, the slightly higher volumes as well as the mix is going to be better in India. So overall we expect EBITDA to be better in 4Q compared to 3Q, and volumes to be almost half a million tons better in 4Q compared to 3Q.

Vikash Singh, ICICI Securities

Noted, sir. Thank you.

Operator

The next question is from Pallav Agarwal of Antique. Pallav, please go ahead.

Pallav Agarwal, Antique

Good evening, sir and thank you for the opportunity. So just want to check, with CBAM coming in, will some of the exports that were going to Europe, come back to India and pressurise domestic prices?

T. V. Narendran: CEO & MD – Tata Steel Limited

You mean as an industry? Because Tata Steel doesn't sell much to Europe. We send slabs to UK for our plant, but otherwise we are not a big exporter of steel to Europe. Maybe some of our peers are, but I don't think that volume will be so significant as to make an impact in the domestic market in India, because the demand is pretty strong in India. In the last couple of quarters, there was a little bit more ramp up of capacities because our capacity ramped up and a few others, but now there's better balance in the domestic market. So, I don't expect that to have an impact on prices in India.

Pallav Agarwal, Antique

Sure sir. Any volume guidance for FY2027?

T. V. Narendran: CEO & MD – Tata Steel Limited

Because we are in the process of finalising a plan, we'll give you that guidance in the next analyst call.

Pallav Agarwal, Antique

Sure sir. Lastly, are there any premium products in the UK or Europe that can actually come into India despite the safeguard duty? Is there any opportunities in the Indian market for that?

T. V. Narendran: CEO & MD – Tata Steel Limited

No, I think the competitiveness will not be there. If you look at the costs in Europe and the prices in Europe, it doesn't make sense to ship from there to India. But what we are certainly doing is working very closely together in many areas because there are many applications that we have in Europe, particularly in the construction industry, which we are bringing back to India from the experience that we have. There are of course some special products which come from UK. For instance, IKEA when they build their warehouses, the roofing sheets actually come from one of our UK plants. So, there are these kinds of specialised requirements but not very significant volumes.

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Pallav Agarwal, Antique

Thank you, sir.

Operator

The next question is from Aditya Welekar of Access Securities. Aditya, please go ahead. Aditya, we are unable to hear you. We request you to please send in your question via chat or rejoin the queue. We will now move to the next question. The next question is from Ashish Kejriwal of Nuvama. Ashish, please go ahead.

or rejoin the queue. We will now move to the next question. The

next question is from Ashish Kejriwal of Nuvama. Ashish, please go ahead.

Ashish Kejriwal, Nuvama

Two questions, one in Europe and second in India. In India, is it possible to share how much price drop we have seen in 3Q versus 2Q and, how much coking coal cost reduction we have witnessed in 3Q.

T. V. Narendran: CEO & MD – Tata Steel Limited

So, for India, the price drop was about Rs. 2,100 /t, in 3Q compared to 2Q. We had guided Rs. 1,500 /t but the market was softer, particularly in October and November. Prices started going up only towards the middle of December. In terms of coking coal, I think the consumption cost was up by \$4 /t for India, in 3Q compared to 2Q.

Ashish Kejriwal, Nuvama

And secondly, is it possible to share the UK conversion cost because from what we understand, in UK, even if government gives support and steel prices increase, obviously our slab prices will also increase. The cost takeouts which we have already taken and most of the efficiencies have already taken place in terms of cost reduction. So, what kind of government measures are we trying to look at to make EBITDA positive in UK. And in Europe, while you are guiding reduction in prices because most of our contracts start from January, we have witnessed spot price increases. So even if the entire price increase will take into account the entire year, how are we going to see the reduction in prices in Netherlands in 4Q. And at the same time, when you are seeing that cost reduction will help in offsetting all the price decline and EBITDA will expand, this is on account of only cost reduction or when prices increase will we expect higher EBITDA?

T. V. Narendran: CEO & MD – Tata Steel Limited

So, I'll let Koushik address the UK question. In Netherlands what's happening is that it's more of a mix issue, rather than a price issue. The price at a hot rolled coil level is going up. We don't do so much on spot basis. But it's going up by about £20-25/t, from 4Q to 3Q. Where we are getting hit a bit is in packaging. Two things are happening on packaging contracts. Firstly, there's a renegotiation of packaging contracts because of new contracts, and then there is a price drop. The second thing which is happening is that a lot of volumes of packaging used to go to the US, but the volumes are being cut to the US. That volume which does not have so much of a market in Europe, is being sold in, let's say engineering grades and other grades. So, from a mix point of view, there is a dilution. This £33/t is more of a mixed dilution impact rather than a price drop impact - it's more of a mix impact. But like I said, the cost takeouts are going to be more than this and hence, we expect the EBITDA to get better. Going forward, as Koushik said, we expect this momentum on prices to keep getting better in Europe and that's why we are more bullish about the prices in Europe for this calendar year. Koushik, you want to comment on UK?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

Yeah, so very broadly, if you look at the price drops that have happened over subsequent quarters or years actually in UK, the average price at a point in time used to be well over £900 /t. Now, at this point of time, we have multiple downstream products. There is tin plate, there is color coated, there is automotive, tubes, etc. So, what we are looking at essentially is, if the quotas are in place and the tariffs are in place, then the spread will increase and I think that spread increase of say, £75-80/t would be good enough for us to look at increasing the profitability to make it neutral. Ideally, if the right quotas are

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in place in a similar manner in EU, the price increases should recover to somewhere over £100 /t and that will help in the profitability significantly.

Ashish Kejriwal, Nuvama
So, sir, do y

ou mean to say that at a spread of around £100/t, we will break even?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
Delta. From where we are today.

Ashish Kejriwal, Nuvama
At what spread will we break even in UK?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
So, I'm saying that, wherever the spread is today, that spread has to expand by about £100 /t to make it a profitable entity.

Ashish Kejriwal, Nuvama
Okay. Thank you so much.

Operator
Thank you. The next question is from Indrajit Agarwal of CLSA. Indrajit, please go ahead.

Indrajit Agarwal, CLSA
Thank you for the opportunity. I have two questions. First, when is the next auto contracts renewal due in India and what kind of price increase can we look over there

T. V. Narendran: CEO & MD – Tata Steel Limited
I can't give you guidance on the price increase but certainly prices will be higher. We expect it to be higher to reflect what's happening in the spot markets. Contracts are due for renewal in April, I think, and the next set of new prices will be effective April. So, we are not seeing the benefit of auto prices this quarter. Whatever we see this quarter is a benefit of the spot orders.

Indrajit Agarwal, CLSA
These are now quarterly pricing contracts, right?

T. V. Narendran: CEO & MD – Tata Steel Limited
Largely, yes. Auto is now largely quarterly contracts. Sometimes you may negotiate two quarters in one shot, but it's typically a quarterly contract in India.

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Indrajit Agarwal, CLSA
Sure, thank you, that's helpful. My second question is on spot basis, what are the spot steel prices and coking coal costs vs. the 3Q realisations that we had?

T. V. Narendran: CEO & MD – Tata Steel Limited
In India, you're asking?

Indrajit Agarwal, CLSA
Yeah, both in India [inaudible].

T. V. Narendran: CEO & MD – Tata Steel Limited
Coking coal, like I said, on a consumption basis will be about \$15 /t higher in 4Q compared to 3Q. On a mixed basis, India prices will be Rs. 2,200/t higher, but if I were to look at the hot rolled coil, I think it will be about Rs. 3,500 /t higher.

Indrajit Agarwal, CLSA
Now, I want to check that you will have some inventory and some in transit for coking coal as well, right? So, let's say if I were to look at 1Q, would there be a further \$10 -15/t increase in 1Q FY 2027?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
Indrajit, what he's saying is on a consumption basis. That takes the stock into account.

T. V. Narendran: CEO & MD – Tata Steel Limited
So, if I look at purchase, it is actually \$22 /t higher in 4Q compared to 3Q, but the consumption is \$15 /t because of what you said. We have materials in transit and things like that, and some of this will flow through into the next quarter.

Indrajit Agarwal, CLSA
Sure, that answers my question. Thank you so much.

Operator

Thank you. The next question is from Sumangal Nevatia of Kotak Securities. Sumangal, request you to please go ahead and ask your question.

Sumangal Nevatia, Kotak Securities

Thanks . So, the first question is on the volume growth headroom . Just want to understand , given our rated capacity, what is the potential volume we can achieve in the next two to three years without NINL . I believe , Koushik mentioned that NINL would take around 40 odd months. So, am I right in expecting that the commissioning would not be before FY 2030?

Koushik Chatterjee: ED & CFO – Tata Steel Limited
FY2029.

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T. V. Narendran: CEO & MD – Tata Steel Limited

If you look at next year 's volumes, while we'll give the specific guidance when we do the next analyst call, next year we will not have any major blast furnace relines. This year , we've lost a significant volume because we had a blast furnace relining scheduled in Jamshedpur. We won't have that, so that will be a positive for next year. S

second thing is that we'll have the

Ludhiana plant starting up maybe by the middle of March. That's also a plus that we will have. Thirdly, this is not in absolute volume s, but in terms of mix, you will see significant improvement because the cold rolling mill, the galvanizing lines, and the combi mill in Jamshedpur, are all ramping up in the second half of the year . So, next year you'll see the full benefits of all this. These are the areas where we see some benefits for next year , at least as far as India is concerned. But we'll give you more specific guidance when we do the next analyst call.

Sumangal Nevatia, Kotak Securities

Understood. But, mathematically, two to three million tons is the headroom before the next expansion kicks in. Is that right? I'm just comparing with few peers who are much more aggressive in expansion. So, is a market share loss over the next few years , a point of worry or consideration for us in evaluating all the expansion plans?

T. V. Narendran: CEO & MD – Tata Steel Limited

So, there are a couple of comments that I want to make. Firstly, the way we approach an expansion plan is now changed. We first get all the environment clearances and everything else before we get the FID done , because we find that gives us more definitive timelines. Let's say Neelechal also, as Koushik said, we could have said last year itself that we are expanding, but then there's no EC, so there's nothing you can do till then . So, that's one thing that has changed. Second thing is, as we said earlier, there is a lot of focus on increasing our downstream capacity and product mix. Generally , in Tata Steel, we always look at whether our market share in attractive segments be twice our overall market share . So, if we are a 15 -20% market share player, then in the attractive segments, we should be at least 40% or more . So that's what we chase because that gives us a better realisation s, better product mix, and less vulnerability to cycles. So that's why , whether it's auto, whether it's oil and gas, or whether it's retail business, we are chasing more and more downstream . So, in our downstream mix, for instance, we are moving towards a million tons or more of tubes. We've just approved some expansion in wires, and we have about 700 ,000-800,000 tons of wires and that to very high end wires. I think these are the areas we will focus on. We will be looking at market share, but we will be looking more at market share in the right , attractive segments, which are more quality conscious and less vulnerable to cyclicalities. So yes, we have the runway to grow, and we will continue to grow.

Sumangal Nevatia, Kotak Securities

I understand, that's very helpful . There's a lot of news flows with respect to Thyssen krup and one of the Indian peers evaluating it. Just want to know your view on how do you see industry structure changing . Any consolidation or anywhere we are looking to participate in any form and how does it change the market?

T. V. Narendran: CEO & MD – Tata Steel Limited

I think in Europe, we are focused on transformation, and transforming our facilities . As Koushik just explained sometime back. In UK, there are a lot of cost take outs, and the transformation will put us in a better cost position. In Netherlands, it's more about driving cost efficiencies and the impact is already visible, but we need to do some more of it and then do the transition. So , we are focused on these two sides and making sure that they are in the right place on the European cost curve. But the second point is, I do believe that in Europe there will be supply side restructuring simply because anyone whose blast furnace is up for relining will think hard before relining a blast furnace. They will probably not reline a blast furnace and not everyone who has a blast furnace up for relining will have the ability to invest in new facilities. So that

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depends on your balance sheet and that depends on the support you get from the government , etc. So, I do see some sort of supply side restructuring. There will be bigger players who have the ability to invest in the transformation , and there will be some who will not have the ability to invest in the transformation. And so , when their blast furnaces come up for relining, you will see some restructuring on the supply side, which helps the overall market dynamics in Europe. So that's why given

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CBAM, quotas, and the supply side actions that are happening in Europe, we do see Europe looking more attractive in the next few years than it was in the past few years.

Sumangal Nevatia, Kotak Securities
Got it, got it. Thank you and all the best.

Operator

Thank you. The next question is from Rajesh Majumdar of 360 ONE Capital. Rajesh, please go ahead.

Rajesh Majumdar, 360 ONE Capital

Hi, good evening. So sorry to harp on the Netherlands a little bit more, but I just had a question. Are we to assume that the price increases we are seeing there are going to be a pass through or are there any costs that we should be cognizant of in terms of the environment? In there so something more in the CBAM or what we're already paying or any other change in the cost from what it is right now. I know that you have contracts, but ultimately, should the price increase pass through in terms of the bottom line or could there be any other cost that we should be aware of.

Koushik Chatterjee: ED & CFO – Tata Steel Limited

No, the price increases that are looked at on account of CBAM and tariff are pass throughs. There wouldn't be any impact on additional cost. In fact, this is CBAM cost is a compensation of the cost that we pay with the imports that come in. So therefore, it is more of a reimbursement of the cost that we pay. So, I think that is how we should look at it and that quotas are effectively related to the imports that are happening. So, that has no additional cost implication for us as such. So, the short answer is no in terms of any relatable costs. There are other cost factors that are there in EU, but those are unrelated.

T. V. Narendran: CEO & MD – Tata Steel Limited

In fact, if at all, we are focused on cost takeouts, which as you're aware, have been effective in the last year and a half, and will continue to be so going forward.

Rajesh Majumdar, 360 ONE Capital

Sure, sir. Also, there is a class action lawsuit filed against Netherlands in December by an environment related company. What is the status of that and is there any development on that front?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

So that has been filed, as you know, by a foundation or a trust, which is backed by professional litigation financiers. It is kind of a suo moto class action, and there is a three months or four months phase during which we are required to submit our defence, and that's the process that is currently going on. We are obviously looking at it carefully and seriously to ensure that we can put what is actually the truth on the ground. So, that is in the initial phases at this point of time.

Rajesh Majumdar, 360 ONE Capital

Right. My second question was on the color coated business. What is your target capacity in this business, because that is a high value-add business where I think the realisations can be quite significantly higher. So, what is the kind of capacity you are targeting in this business and over what period of time.

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Samita Shah: VP CFTRM – Tata Steel Limited

Yeah. The current capacity is around 600,000 tons and the idea is to also change the product mix more favourably in the color coated business. We are obviously doing a lot of retail, but the idea is to increase that further. So, there will be an improvement in the overall product mix and in the next stage, we will evaluate capacity expansion in this business.

T. V. Narendran: CEO & MD – Tata Steel Limited

I think what it does, apart from giving us the ownership of the JV, is that it also frees us up from some of the JV conditions which limited our opportunities to get the most out of all the color coated lines that we got when we acquired Bhushan. So, there is an opportunity for us to make better use of the lines, some of which were underutilised because we were restricted to participate in the construction market other than through the JV. So, I think there are a lot of advantages we are seeing and obviously beyond de-bottlenecking and increasing production, we will work on the product mix. We will also want to scale up. We have an opportunity to also expand in Kalinganagar as a downstream. So, there are multiple options. We also have an opportunity or an optionality in Jamshedpur where we have a 250,000 tons line to convert the metal coating into color coating. So, there are many options that we have, and our aim is to actually double the profitability of the business in the next year or two.

Rajesh Majumdar, 360 ONE Capital

Thanks.

Operator

Thank you. The next question is from Prateek Singh of IIFL Capital. Prateek, please go ahead.

Prateek Singh, IIFL Capital

Thanks for the opportunity again. Any update on how are we going ahead with the H Isarna pilot project? I understand that Nucor is also looking into it and I think that the Department of Energy also proposed a funding for this pilot project. Can we expect any such thing by the Indian government as well in our case?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

As we mentioned that it is fundamentally a Tata Steel IP, and we will be looking at doing it in Jamshedpur. Yes, the conversation with Nucor is happening at this point of time, but this is something that we will set up in Jamshedpur. The mechanism or method of participation with Nucor is under discussion. Then we will see as to when we can go post the engineering work, which is commencing, and then we go for the FID to develop this plant in Jamshedpur.

T. V. Narendran: CEO & MD – Tata Steel Limited

Yes, we will of course work with the government if there are any opportunities to get some support, but largely the value we see in this project is that you have far more flexibility in use of the raw materials. You don't need to have a sinter plant, a pellet plant, coke plant, etc. The CO₂ that you emit is far more amenable to carbon capture and utilization and we've been working on this for more than 10 years. We worked along with Nucor in running the pilot plant in IJmuiden quite successfully for the last two to three years. So, we are very bullish about the prospects of this project and as Koushik said, we'll be setting it up in Jamshedpur.

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Prateek Singh, IIFL Capital

Thanks. And given the expansion that you are seeing in the data centre space and the government also announcing tax holiday, do we have any plans for electrical steel like CRGO, because I think that the transformer industry has been kind of complaining for some time that India is short of electrical steel capacity. So, any plans there?

T. V. Narendran: CEO & MD – Tata Steel Limited

So, there are two aspects to what you said. Data centre in itself offers a lot of opportunities for steel because of the fact that the buildings will use steel, the storage racks and everything else will use steel. There is a focused effort on looking at what we can supply to the data centres and what are the steels that we can develop and provide. I think that is one part of it. The second part is that, yes, CRGO is part of our plans. We are assessing it and most likely the plant will come up in Jamshedpur, but we are still looking at various aspects of it. So, we are working on it.

Prateek Singh, IIFL Capital

Just one last question. Can we get the number

of overall deliveries from Europe because there might be inter-segment deliveries as well between UK and Netherlands?

Koushik Chatterjee: ED & CFO – Tata Steel Limited

No. They're not too many.

Prateek Singh, IIFL Capital

Okay, so we can just add them up and take it.

Koushik Chatterjee: ED & CFO – Tata Steel Limited

Yeah, there is some amount of slabs which goes to the UK, but it is not material. I mean, it is not the biggest part of their transfers.

Prateek Singh, IIFL Capital

Understood. Thanks for the opportunity again and all the best.

Operator

Thank you. The next question is from Siddharth Gadekar of Equirus Securities. Siddharth, please go ahead.

Siddharth Gadekar, Equirus Securities

Just on the European side, if we look at the OECD capacities, there are around 213 -215 million tons while Europe production has been in the range of 130 -140 million tons. So, do you have any sense of how much is the effective actual capacity in Europe and over the next five to six years, given that everyone will have to transform or go for the transformation journey, what would be the effective capacity in the next five to six years that would be there in Europe?

T. V. Narendran: CEO & MD – Tata Steel Limited

So, capacity is sometimes a very misleading kind of number. How much of that 220 million tons is produced steel, is a question to ask. Generally, in Europe, you will see that production is roughly around 130 million tons, and there are exports

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and imports. Imports have largely been about 30 million tons and exports have also been around that level. So that's been

the balance . Second part is that a lot of these capacities are very high cost capacities . If you look at the European cost curve of production, there are efficient or low cost plants like some of our plants, or some of the Arcelor Mittal plants . And then there are high cost plants and those are the ones which tend to get mothballed . Some of them are inland and logistics costs are higher . So, like I said, if the quotas are reduced, that means more capacity will come on, but those capacities which come on or mothball capacities which come back on are higher cost. And that's why we believe that our plant in IJmuiden is well positioned to have the advantage of higher prices in Europe. That is one. Secondly, like I said, people will think hard if any blast furnace is due for relining in Europe . I don't think anyone is going to reline a blast furnace in Europe now. So, it's more of a question of running it as long as you can and then if you have the ability, invest in a new process route. That's why I feel that over the next 5 -10 years, there will be a fair amount of restructuring on the supply side in Europe. I think you're already seeing that , even some of the bigger guys have announced closures of some of the blast furnaces and not necessarily replacing all that capacity with new process routes.

Siddharth Gadekar, Equirus Securities

But then , is it fair to assume that over the next couple of years, we can see , if things stand where they are, demand outpacing the production in Europe?

T. V. Narendran: CEO & MD – Tata Steel Limited

Demand will grow. So, what's happening in Europe is , given the intention to spend a lot more money by European countries , we do see a pickup in infrastructure spend , particularly led by Germany. We do see an increase in defence expenditure. I'm not even counting what happens if the Ukraine war stops and there's reconstruction there . So, even as it is, we do see growth in some sectors, but there is also a bit of degrowth in some other sectors. For instance, if , let's say we were exporting a lot of automobiles from Europe to the US, some of that may get impacted . You will have some volumes dropping and some volumes increasing. But overall, I don't see demand growing very significantly and I don't see it shrinking. It will go up maybe 5 -10 million tons at best . It's more of the supply side which we are talking about, both from imports being limited and domestic capacities also going through this transition , either to new process routes or closing down blast furnaces.

Operator

Thank you, sir. I would now like to hand over the conference to Ms. Samita Shah for the closing comments. Over to you, ma'am.

Samita Shah: VP CFTRM – Tata Steel Limited

Thank you, Kinshuk, I think we've answered all the chat questions which have been asked. We'll not raise them again. Thank you very much for joining us today and we look forward to connecting again with you all next quarter. Thank you.

T. V. Narendran: CEO & MD – Tata Steel Limited

Thank you everyone.

Koushik Chatterjee: ED & CFO – Tata Steel Limited

Thank you very much.

Call: May 2026

Ref.: SEC/ 353/2026-27
May 20, 2026

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Maharashtra, India.
Symbol : TATASTEEL

Dear Madam, Sir,

Sub: Transcript of 'Tata Steel 4QFY2026 and FY2026 Earnings Discussion'

This has reference to our letter dated May 12, 2026 , intimating that post the announcement of Financial Results of Tata Steel Limited ('Company') for the quarter and financial year ended March 31, 2026, the Company will host an Earnings Discussion on May 16, 2026.

The Board of Directors of the Company at its meeting held on May 15 , 2026, inter alia approved the Financial Results of the Company for the quarter and financial year ended March 31, 2026. The Company hosted its 4QFY2026 and FY2026 Earnings Discussion on May 16, 2026 .

In this connection, we enclose herewith the transcript of the ' Tata Steel 4QFY2026 and FY2026 Earnings Discussion '.

The transcript is also available on the website of the Company at:
<https://www.tatasteel.com/investors/financial-performance/analyst-call-recording/>

This intimation is being provided in compliance with Regulation 30 read with Para A of Part A of Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended.

This is for your information and records.

Yours faithfully,

Tata Steel Limited

Parvatheesam Kanchinadham
Company Secretary and Chief Legal Officer

Encl.: as above

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CORPORATE PARTICIPANTS

T V Narendran, CEO & MD - Tata Steel Limited
Koushik Chatterjee, ED & CFO - Tata Steel Limited
Samita Shah, VP Corporate Finance, Treasury, & Risk Management - Tata Steel Limited

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Indrajit Agarwal, CLSA
Ritesh Shah, Investec

Satyadeep Jain, Ambit Capital
Sumangal Nevatia, Kotak Securities
Tarang Agrawal, Old Bridge Capital
Pallav Agarwal, Antique
Pinakin Parekh, HSBC

PRESENTATION

Operator

Ladies and gentlemen, good day and welcome to the Tata Steel Analyst call. Please note that this meeting is being recorded. All the attendees' audio and video has been disabled from the back end and will be enabled subsequently. I would now like to hand the conference over to Ms. Samita Shah. Thank you and over to you, ma'am.

Samita Shah: VP CFTRM - Tata Steel Limited

Thank you, Kinshuk. Good afternoon, everyone on this Saturday afternoon and welcome to our call to discuss our results for the fourth quarter and the full year FY2026. We have with us Mr. T.V. Narendran, our CEO & MD, and Mr. Koushik Chatterjee, our E D & CFO. They will make a few opening comments and then we will take any questions you may have. As always, the discussion will be covered by the safe harbour clause on page two of our presentation. I hope you had a chance to go through the presentation which was uploaded on our website yesterday. So, with that, I will request Naren to make a few opening comments. Thank you.

T. V. Narendran: CEO & MD - Tata Steel Limited

Thanks, Samita and hello everyone. I will make a few comments before I hand it over to Koushik.

Tata Steel delivered a strong performance in FY2026, with improved margins expanding across operating geographies despite subdued pricing and challenges during the year. This performance is the cumulative impact of multiple decisions and disciplined execution over the past few years and positions us well for the next phase of growth and value creation. India is the key anchor of our growth strategy, with annual crude steel

production and deliveries increasing by 8% YoY to around 23 million tons. The successful ramp-up of the 5 MTPA expansion at Kalinganagar, alongside the commissioning of downstream facilities, reflects our value-led growth strategy in India. This is supported by a strong marketing network and deep customer engagement, and we maximised deliveries to chosen segments. Some segmental highlights are as follows. Automotive and Special Products delivered best-ever quarterly and annual volumes. Our Continuous Annealing and Galvanising lines at Kalinganagar which is a state-of-the-art facility, secured over 25 new grade approvals across ultra-high strength steels and coated products, enabling customers to meet evolving safety and lightweighting requirements. FY2026 marked a shift in our approach to customer relationship, from engagement-led initiatives to solution-oriented partnerships

anchored in innovation and AI-led enablement. As a result, our branded and retail segment continued to scale. Tata Tiscon, our retail brand, achieved 'best-ever' annual volumes while Tata Steelium, our cold-rolled brand, achieved robust growth in volumes of ~28% on YoY basis. Innovation continues to differentiate our construction solutions and help cater to complex project requirements. We deployed the InQuik modular bridge system at Varanasi-Ranchi-Kolkata Expressway in just 24 days and introduced, a first-of-its-kind Mobile Bore Pile Cage solution, significantly enhancing on-site efficiency. In discerning segments, we strengthened our presence in shipbuilding and oil & gas, aided by international certifications that enable us to participate in higher-specification and globally competitive orders with stringent quality and reliability requirements. Downstream business including Tubes, Wires and Colors achieved best-ever sales while Tinplate witnessed record annual sales of PAXEL edible oil cans.

We remain committed to our India growth agenda, with continued investments across capacity, downstream integration and sustainable steelmaking. During the year, we commissioned our first scrap-based 0.75 MTPA Electric Arc Furnace at Ludhiana, and progress continues on the proposed expansion at Neelachal Ispat Nigam Limited (NINL), which will support the next phase of value-accretive growth.

In the UK, our annual deliveries stood at ~2.2 million tons, reflecting subdued demand dynamics. We welcome the recently announced revisions to safeguard measures, including 60% reduction in tariff-free quotas and higher duties, which are expected to support a more balanced market environment. Continued and calibrated policy support will be critical to enable a sustained recovery in the market. In Netherlands, liquid steel production was broadly stable at ~6.7 million tons while deliveries were ~6.1 million tons. Policy measures, including tighter safeguards effective from 01st July and the ongoing implementation of CBAM are reshaping trade flows and enabling preference for local supply. Recently, our operations have been impacted by a temporary suspension of the Direct Sheet Plant at IJmuiden following emission observations. However, we have now resolved the issue, and the Plant is expected to restart soon with due regulatory clearance. Separately, we continue to deeply engage with the Province (of North Holland) and the environmental regulators on emission compliance at our coke and gas production facilities and the future of these facilities. I must emphasise that the company has undertaken several measures in the last 2 years to enhance its environment standards in the Coke and Gas Plants. Given the age of these plants, we are considering closure of these plants in the future. However, any decision on closure of these plants will have to be done in a safe, planned and controlled outcome.

Finally, developments in West Asia have increased costs and supply chain risks around energy, freight and some

raw

materials. In the near term, improved pricing trends across India, Netherlands and UK should help absorb these cost pressures. In India, our upstream are largely operational though there has been some impact on our downstream

galvanising, tinplate and color coated lines, because of the shortage of some critical inputs like Propane. We are actively trying to mitigate this and most of the lines are now back in full operation. We continue to monitor the evolving situation closely with a close eye on demand dynamics. With that, I will hand it over to Koushik for his comments. Thank you.

Koushik Chatterjee: ED & CFO - Tata Steel Limited

Thank you Naren. Good afternoon or good evening to all who have joined in. In the recent years, global markets have been continuously reshaped by repeated disruptions including the pandemic, geopolitical tensions, supply chain dislocations and evolving regulatory frameworks. Together, these factors have led to a highly uncertain and volatile operating environment especially for long and complex supply chain industries like steel.

In the quarter ended March 2026 and for the financial year 2025 -2026, Tata Steel has delivered a resilient and consistent performance through a series of deliberate, value accretive actions across our portfolio to navigate multi-year trough in steel prices while managing unprecedented levels of uncertainty. Today, I will talk on three areas, firstly on performance management, secondly on Balance Sheet & Growth and thirdly on some recent developments in Netherlands and the UK. Firstly, on performance, the financial year 2025 -2026 was challenging on one hand but represents the continuation of the strategic journey, and in many ways, a precursor to also what also lies ahead. The focus is clearly on the quality of earnings. Our Consolidated EBITDA increased by 35% YoY from Rs 25,802 crores in the full year ended Mar'25 to Rs 34,848 crores in the full year ended Mar'26. The consolidated EBITDA margin expanded by 320 bps from ~12% to ~15%. Our full year performance demonstrates the impact of the cost transformation program, which has achieved Rs 10,868 crores of savings across geographies. India delivered cost transformation benefits of ~Rs 3,927 crores. Key cost efficiencies were driven by purchase optimisation of spares, reduced refractory consumption, increased use of coastal waterways, which offer a structural cost advantage over other modes of transport, higher power wheeling and a leaner coal mix. UK achieved benefits of ~Rs 1,958 crores, driven by calibrated and focused spending on maintenance costs, stronger spares management discipline and insourcing of product testing. Netherlands delivered benefits of ~Rs 4,983 crores via

optimisation of coal blend leading to decline in procurement costs and deployed value-in-use concept to improve operating efficiencies such as fuel rate, scrap consumption, etc. In terms of execution, the cost transformation program has achieved 95% compliance to the stated plan of Rs 11,500 crores. The key variation to 100% compliance was the delay in the TSN restructuring which has since been completed. In FY2027 we are aiming to achieve cost transformation related savings of ~Rs 7,100 crores vs. FY2026 levels. We have also enhanced our working capital efficiency and released around Rs 6,000 crores of cash during the year especially in India and Netherlands through very focused management of working capital. Let me now speak on the India business as it continues to be our core growth engine, and our anchor in terms of the future strategy of Tata Steel. India now contributes ~74% of Tata Steel's total crude steel production. At a geographic level, India continued with its industry leading performance, with EBITDA growing 17% YoY to Rs 34,272 crores. EBITDA margin was 24% and similar to the 10-year average even in a challenging year. Our performance in UK & Nethe

lands has also

improved materially on YoY basis. UK losses have narrowed by £168 million to -ve £217 million while Netherlands EBITDA almost tripled to €267 million. Combined, UK & Netherlands EBITDA turned positive for the financial year 2025 -2026.

Secondly, our performance also demonstrates the cashflow orientation of the entire company. Operating cashflows before capex and dividend increased from ~Rs 17,700 crores in the previous year to ~Rs 29,254 crores in FY2026 and free cash flows were Rs 10,738 crores, which were significantly higher than previous year. Our capacity expansion in India i.e. Phase 2 of Kalinganagar is now complete and this is being complemented by focused investments in downstream facilities and portfolio simplification, strengthening our product mix and enhancing our margin profile. We continue to focus on growing the India business some of which we discussed in earlier calls.

Moving to the 4Q performance provided on Slide 28 of the presentation. Our consolidated revenues stood at Rs 63,270 crores and EBITDA was Rs 9,953 crores, translating to a margin of 16%. Higher realisations and improved volumes in India, were complemented by savings on account of cost transformation. Tata Steel Standalone Revenues for the quarter stood at Rs 38,448 crores and EBITDA was Rs 9,439 crores. On a per ton basis, EBITDA witnessed a sequential improvement of Rs 2,103/t primarily driven by higher volumes and steel realisations. Our wholly owned subsidiary, Neelachal Ispat Nigam Limited (NINL) recorded Rs 402 crores of EBITDA, up 15% QoQ and reflecting an EBITDA margin of ~27%. We have received the Board approval to merge NINL with Tata Steel Limited subject to necessary approvals and permissions and will be looking to complete the transaction in FY2027. Moving to UK, steel prices remained below £500/t until the end of February. Since then, with the onset of the West Asia conflict, along with the UK government announcement indicating tighter steel safeguard measures, have driven a meaningful uplift in hot rolled prices. During the Jan-Mar'26 quarter, TSUK EBITDA improved by £15 million QoQ to -ve £48 million. Most of the recent spot price movement is expected to flow through the P&L in 1QFY27 and 2QFY27. In the UK, steel safeguard measures that were originally introduced to support domestic production are set to expire on 30th June 2026. We welcome the proposed new trade framework and will continue to engage constructively with the government on areas that require further refinement. Effective 01st July 2026, the revised safeguard regime proposes a ~60% reduction in import quotas alongside an increase in tariffs from 25% to 50%, with the objective of ensuring that 40-50% of steel demand is met through domestic production. For our UK operations, this represents a meaningful step forward. Over the last two years, we have reduced fixed costs by nearly 50%, from a base of approximately £1 billion in FY2024. However, weak demand conditions and the influx of low-cost imports have continued to weigh on performance, with EBITDA losses of around £98/t. The revised framework, therefore, has the potential to materially improve operating conditions. With price increases coming through in 1Q, we expect quarter on quarter improvement in the earnings going forward. Work is progressing on the ~3 MTPA scrap based Electric Arc Furnace in the UK. Major demolition works have been completed and securing access to higher-power electricity is critical for our planned transition. While we are working with ESO (Electricity System Operator) and National

Grid for the new electrical infrastructure, National Grid has formally alerted to us that their connectivity project is delayed. This is critical for Tata Steel UK for the project commissioning, and we are in conversation with National Grid and the UK Government on resolution of the issues. In Netherlands, 4Q EBITDA stood at €58 million,

which translates to €34/t. Higher

volumes and improvement in costs were mostly offset by drop in realisations on QoQ basis. As in the past two years, a lot of focus in Netherlands has been on cash flow management and the company continues to perform exceedingly well on cash flow management and is effectively net debt free in spite of very challenging operating and regulatory conditions. Let me now come to the Balance Sheet. Our priority is to keep the Balance sheet strong and robust. Post pandemic, we prioritised deleveraging in FY2021 & FY2022 and reduced debt by ~Rs 40,000 crores, including prepayment of \$3.6 billion of offshore obligations. Gross debt currently stands at around Rs 92,382 crores and net debt was ~Rs. 80,100 crores. For the last few years, we have focused on onshoring of overseas debt to mitigate INR depreciation risks. This has certainly been very beneficial particularly this year. If we did not proactively undertake onshoring, gross debt would have been significantly higher by about Rs 12,500 crores on account of INR depreciation. The equity stake acquisitions in Tata Steel Holdings Pte. Ltd, which we have disclosed over the past three years, largely relate to this onshoring initiative. As a result,

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the overseas debt has come down from 50% of the total debt in 2020-21 to 18% of the total debt in 2025-26. By FY2028, it will go down further when our overseas dollar bonds are repaid. The only overseas debt that will remain is the working capital lines for the overseas businesses. I would also like to mention that, since all of you keep asking me of deleveraging, in the last 12 months we have actually prepaid around Rs 9,100 crores of debt from our internal cash during the year. You don't see the same on the face of the financial statements because the overseas debt is now valued at Rs 94 to a dollar vs Rs 88 to a dollar a year back which accounts for ~Rs 4,200 crores and there is an increase in leased assets which accounts for Rs 2,500 crores. Hence you see only ~Rs 2,418 crores as the net reduction. Collectively, these measures reinforce Tata Steel's position as the one of few steel companies globally rated as investment grade by international rating agencies. Our year end Net Debt to EBITDA has reduced to 2.3x [inaudible] compared to 3.3x two years back. During FY2026, our total spend on capex was about Rs 14,000 crores on a consolidated basis and we intend to increase the same in FY2027 to around Rs 20,000 crores of which more than 60% will be spent in India.

I would now like to explain a bit on what you would have seen in the press release and filing on the material uncertainty on TSN. Over the last two years, as Naren mentioned, a lot of work has been undertaken in the Coke and Gas Plants (CGP) and the company has resolved many issues raised by the Environmental Agencies. I must mention that some of the standard's requirements are above industry standards globally, some are technically not achievable and not followed anywhere in the world. After careful assessment we have agreed to therefore close down the CGPs in a planned controlled and safe manner in the future. We are currently discussing with the Province and the Environment Agencies on the timeline that ensures a controlled and safe closure in sequence in the future. As mentioned in the filing, we have received a letter post the Balance Sheet date from the local environment agencies regarding their intent to revoke permits without any specifics -this causes the material uncertainty element for Tata Steel Netherlands while preparing the basis of preparing the financial statements. Additionally, the local regulatory environment is evolving, with authorities proposing standards that go beyond prevailing EU norms and global practices. Notwithstanding these challenges, we remain committed to operating in a safe, compliant, and environmentally sustainable manner and we are deeply engaged

aged with the Environmental Agency,

the Provincial leadership and the government for a mutually acceptable resolution. With respect to decarbonisation of our steelmaking facilities in the Netherlands, we remain engaged with relevant authorities on the transition roadmap.

Lastly, the ongoing crisis in West Asia, as Naren has already mentioned has implications for our near term performance. While our upstream operations i.e. crude steel production has remained largely unaffected, the downstream operations initially faced some supply chain constraints. We managed to mitigate the impact via range of initiatives including alternate fuels, shipping routes and preponing shutdowns in some cases. Costs remain a key focus area; however, as we continue our cost transformation program in FY2027, we expect these initiatives to progressively help mitigate a portion of the pressures. Before I close, I am happy to share that Board has proposed Dividend of Rs 4 per share for fully paid share of face value of Rs 1 each. With that I will end my comments and open the floor for questions.

QUESTIONS AND ANSWERS

Operator

Thank you, sir. We will now begin with the Q&A session. The first question for today is from Sumangal Nevatia of Kotak Securities. Please go ahead and ask your question.

Sumangal Nevatia, Kotak Securities

Good afternoon. Firstly, on the topic of the closure of coke and gas plants, just want to understand that if we replace this with market purchase, what is the cost impact? And then a broader question - given so much regulatory uncertainty in the region and constant surprises, is there a case to revisit our entire investment plan in the region?

Koushik Chatterjee: ED & CFO - Tata Steel Limited

So, to your question on the cost penalty on buying of coke, I think, given the fact that we are still assessing as far as the timing is concerned, there will be an impact because we will not have the gases in particular, and the credits that go into coke making. But other than that, we are also looking at options to supply from various sources, which could also include India. We will have some time to plan for it. That is our base case assumption and that is why we are deeply engaged with the government, the Province and the regulator. On the second issue of the case for reinvestment, actually some of these

are prerequisites to be resolved before we undertake any large investments. So, while the point is very valid, I think that's

precisely the conversation that we are having at this point of time with the various stakeholders. It's not that the coke and gas plant shut down affects the plant or the volumes as such because there are alternative ways to do that. But to look at the future and the new configuration of assets to invest in, we need to resolve some of these issues before we take on any large commitments.

Sumangal Nevatia, Kotak Securities

So, are we saying that there's not much cost impact ?

Koushik Chatterjee: ED & CFO - Tata Steel Limited

No, I'm saying that there is a cost impact, but there is also an offsetting impact that is possible, especially because the C O₂ will go down. As I said, there are the pluses and minuses. The negatives are the fact that the coke oven gas which is used as an energy source will not be there. There will be freight which will be incurred for bringing in the coke and on the other end, the C O₂ will go down. So, there is a net impact and it also depends on what time this transition happens.

Sumangal Nevatia, Kotak Securities

Got it. And with respect to the delay in the electrical backup and infrastructure for UK, what sort of delays are we seeing and what is the best case estimate for commissioning that plant?

Koushik Chatterjee: ED & CFO - Tata Steel Limited

So that is being discussed, and I think we have just been formally told that there is a delay. We are working with the UK governm

ent, the national grid and ESO, which is the electricity supplier, to see if we can mitigate it, but somewhere between six months to eight months will certainly be there, maybe higher, after we have built the plant. So, the initial estimate was somewhere around 18 months, which has come down to 12 months, and we are actively working to see if we can reduce it further, but there will be some imminent delays.

Sumangal Nevatia, Kotak Securities

Okay. My second question is with respect to the NINL expansion. So, we've not yet heard any progress on the exact timelines and capex. Any update on that? And generally, as we're seeing a lot of players adding capacity aggressively, looks like, at least from the map, that we might lose market share over next 5-7 years. Is this a concern for us and can we expect any shift or change of expansion pace for us?

Koushik Chatterjee: ED & CFO - Tata Steel Limited

So, on NINL, the initial work on the site preparation has already started. We are getting permissions on different parts and the FEL3 which is our basis, for making the final allocation of capital, is also very advanced. So, in the next few months, we should be able to announce that. One of the reasons why there is a lot of work that needs to be done on the site is because this is going to be a 10 million ton site. So, we are careful from a regulatory point of view to get all the approvals so that we can do it, and equally be tight on the capex. So, we are fairly advanced in that. We'll take a few months and come back and announce it, and then going to ensure that we can execute it quickly.

T. V. Narendran: CEO & MD - Tata Steel Limited

You know Sumangal, on the market share related question, the key point is - market share in what? Because the way we are looking at it, we are more interested in market share in key attractive segments, and we want to make sure that our market share in the se attractive segments is at least twice our overall market share. That's why our focus is a lot more on downstream and a lot more on value added products, solutions, etc. We have the optionality to grow the upstream, even with the existing sites between Kalinganagar, Meramandali and N eelachal plus Jamshedpur at 11 million tons, we already

have the optionality to grow to 45 -50 million tons in India. Once we start the Maharashtra site, which was also announced, that potentially adds another 6 -10 million tons. So that optionality is available for Tata Steel, which was not there 10 years back when we were operating largely out of Jamshedpur. The question is how fast do we want to build and where, based on the demand, based on the balance sheet and many other things. What is very clear is that, in the market segments that we are strong in, which we think are very important like automotive, oil & gas, and the retail franchise that we have, we will continue to be the dominant, number one player in all these segments.

Sumangal Nevatia, Kotak Securities

I understand. Thank you and all the best.

Operator

The next question is from Satyadeep Jain of Ambit Capital. Satyadeep, please go ahead.

Satyadeep Jain, Ambit Capital

So, you mentioned that, regarding the coke oven, you may buy coke from India or somewhere else. Just trying to understand this because the auditors have flagged the material uncertainty to going concern. So, it seems like it's not just coke and if you can just get coke from India, why flag material risk to going concern? We understand that some rolling and

casting facilities have also been shut down. So, can you clarify this and in case we shut down these facilities for 5 years before DRI comes, then what do you do with the labour there?

Koushik Chatterjee: ED & CFO - Tata Steel Limited

First, let me deal with the auditor's question, which I thought I had explained. We are in discussions with all of the stakeholders ,

almost on a daily basis , with engagement by our colleagues in Netherlands. The letter which had come in did not have any definitive pathway, dates or transition specifics. So, if you are an auditor or if you are even the company, you will actually ensure that these specifics are necessary to get into the next level of planning and creating the investments . So, when a letter comes in, the auditors are naturally going to say that there is no way in which a specific date is mentioned, or a year is mentioned. And that actually creates the uncertainty , as the company is in receipt of the letter. First of all, the coke ovens cannot be shut down in an unplanned manner. As I've said in the past to some of you that, a coke oven is more like a chemical factory than a steel factory. The coke ovens in UK were the last major facility to shut down because it cools down on its own, you have to give time, and there's a make safe requirement. There is also a permit requirement to undertake a shutdown. So, if there is a sequential way of shutting down in a planned, controlled, safe manner, and if a letter lands up which basically does not articulate that path , then it creates an uncertainty because that uncertainty is unmanageable . And that's why it is being flagged off here. I share your concern and that is also our concern in some ways , because that is precisely what we want to do. The coke ovens are 40 -50 years old. The standards for some of the design of the coke ovens are not technically feasible also. So, we said we will shut down. We were anyway going to shut down soon after the first phase of the DRI - EAF would have come up. This is now potentially earlier than that and that transit or intermittent gap would have been filled by purchase of coke, which I think is perfectly fine. There will be cost penalties, but as I said, there are CO₂ benefits which will also come in. There will be a net effect of that. This is more about the physicality, not about the financials , and that is what created the material uncertainty. We hope that this will get resolved in the coming months as we are engaged with the government, and everybody sees the logic of doing it safely. We can't shut down in an unsafe manner, because then it will be the regulator who will be responsible, not Tata Steel Netherlands. So, these are the kind of things that we are working on and that's the basis on which the auditors have said that TSN financials are prepared on a going concern, but there is material uncertainty given this letter. So, the cause of the material uncertainty is only this letter. It's nothing else and that is something that needs to be understood.

T. V. Narendran: CEO & MD - Tata Steel Limited

The DSP is subject to something slightly different. There were some emissions from the DSP which exceeded the limits. So, we had , in the interest of due transparency with the regulator, declared it to them. It was looked at jointly , and we've

closed the DSP. Some changes have been made , and some trials are being run, and we hope the DSP should be back up , if we have all the requisite approvals later this month. So that's on the DSP side. Regarding the other question, yes, obviously if you shut down facilities , that will have an impact on labour in those facilities . So that's why this whole transition needs to be planned well and that has been our submission to the regulators , because some parts of the site will then be shutting down earlier than what was originally planned. So, the transition will happen , as Koushik said, once we are clear that we have a social license to operate going forward , and whenever we are ready with the investments.

Koushik Chatterjee: ED & CFO - Tata Steel Limited

Just to add to what Naren said , that if there is any permanent shutdown of any facility, the people will have to be restructured . That is a given , and that's what we have done

in the UK also. So, that is something that is an inevitable consequence of a shutdown, whether it's planned or unplanned. In case of unplanned, it becomes a lot more complex to handle.

Satyadeep Jain, Ambit Capital

And secondly on the transition to DRI , while you're saying that you will have an agreement with the government , even when this entire investment was made by Corus also back in the day , the regulatory landscape changed over time. This entire ability to revoke permit came few years ago, much after the initial investment. So, how do you grandfather, when the regulatory landscape can change later also after you make the investment. While you evaluate all of this, in case there is a plan to not go ahead with this investment, does it mean you accelerate India investment , and why not explore global majors for tie ups like some other players are doing? Is that something you've explored to accelerate expansion in India? That's the other question.

T. V. Narendran: CEO & MD - Tata Steel Limited

So, let me put it this way. I don't think the India growth is being held back because of anything that we do in Europe. We've done what we wanted to do in India ; that is one comment. The second comment I want to make is that, in our view, we felt that it's better for us to go ourselves. We have had joint ventures in the past. We still have a joint venture with Nippon steel for a continuous annealing line , and we had a joint venture with Blue Scope for the color coating line. So, we believe that in our home market, we should ideally be by ourselves because this is our core market. This is where our strength is, this is where we have a strong franchise and hence, we actually want to build capacities by ourselves in India. So , that's our view at least based on what we've seen so far. Koushik, you want to add?

Koushik Chatterjee: ED & CFO - Tata Steel Limited

Yeah, I just wanted to say that, we think there is power in consolidation and in fact we are buying out our JV partners in India because the synergies that we see in the marketplace, in terms of manufacturing excellence and supply chain, actually makes it very clear that if you have to leverage the power of size, it has to be consolidated rather than fragmented, and therefore we think that it is important for us to have one large way of moving forward. As I told you, we are merging NINL, and we bought out Colors. We are buying out many of our JV partners across the value chain because that gives the leverage and the power to be stronger in the market. As Naren mentioned, I must reemphasise that the India growth is not impacted by what is happening or not happening in the rest of the portfolio.

Satyadeep Jain, Ambit Capital

And what about change in regulatory landscape in Netherlands?

Koushik Chatterjee: ED & CFO - Tata Steel Limited

That's a good question and an important question. So, the Joint Letter of Intent (JLoI) had a few condition precedents on both sides. There are condition precedents that the government has to fulfil and the condition precedents that we have to

fulfil. Some of the condition precedents also require the regulator to fulfil because they are also a party in some ways in the JLoI. Before we get into anything which is binding, a lot of this has to be contractually agreed and we are not there at this point of time. No investor including us will make an investment, unless, it is not just grandfathered, but is contractually guaranteed to run its course across a certain minimum period of the life cycle, by which the recovery of the investment happens. And in all of this, even the government is an investor, which is even more important. I think that we are not there as yet as far as the Final Investment Decision (FID) is concerned. These are the preconditions that we need to resolve before we get there. The JLoI is live and active, and we are in active co

versations, but these are very important things

because at the end of the day, even contractually, there will be a certain judgment to be taken on how this works. So, we are not there at this point of time and the regulatory landscape is certainly a very important fulcrum, which needs to be assessed every time we move one step further. That is also getting registered in our process to see what are the pros and cons, what is tolerable, what is not tolerable, etc. So, we are not in that zone. We will have to do that work as we discuss with the regulator, understand the planned way of doing it because we are also very conscious that apart from our own money, we will not take public money to make investments which are at risk.

Operator

The next question is from Alok Deora of Motilal Oswal. Alok, please go ahead.

Alok Deora, Motilal Oswal

Good afternoon and congratulations on good numbers. I just had a couple of questions. First is on the net steel realisations. We saw good improvement in the fourth quarter. So, if you could just highlight what's the pricing been in April and May and what could we expect in the near term, in terms of the realisations? And second on the coal cost, what's the coal consumption cost for 4Q and what could we look at in 1QFY 27?

T. V. Narendran: CEO & MD - Tata Steel Limited

So as far as realisations are concerned, in India we expect 1Q to be about Rs. 6,000 /t higher than 4Q. In UK, we expect it to be about £80 /t higher in 1Q compared to 4Q and in Netherlands we expect it to be about €80 /t higher in 1Q compared to 4Q. I'll give you the coal consumption increase. The delta increase we expect in 1Q for India over 4Q is \$15 /t, and in Netherlands, it is about \$10 /t. As you know, in UK we don't buy coal. The iron ore increase in Netherlands is expected to be about \$5 /t in 1Q over 4Q. But I just want to add that some of this suggests that the spreads are going to increase significantly. There will certainly be an improvement in spreads in India, but there are many other costs which are coming in beyond coal and iron ore because of the impact of West Asia, as Koushik mentioned. So, some of that will add to the cost, but overall, we expect margin expansion in India and in UK, and some margin compression in Netherlands because of the issues that we've had with the DSP, as we would have lost almost one and a half months of production.

Alok Deora, Motilal Oswal

Sure. So, the other cost which you mentioned for India in the first quarter, how much could that be on a per ton basis?

Koushik Chatterjee: ED & CFO - Tata Steel Limited

You have to let the quarter finish before, because it is still a very evolving situation. We don't want to give you something and then come out with something else.

Alok Deora, Motilal Oswal

Sure. If you could just highlight something on the India demand because we are seeing some of the competitors increasing their Capex guidance for next year and big numbers are coming out. So, what's your view on the India demand over the next 2-3 years and if you could just pour some colour on that? Thanks.

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T. V. Narendran: CEO & MD - Tata Steel Limited

The India demand is expected to be strong, as long as there is infrastructure led growth. So, I think that's the big

assumption and hopefully the current macroeconomic situation will not provoke a rethink on the spend on infrastructure. That's a big part of India's steel demand growth because it's been more infrastructure investment led growth rather than consumption led growth. If that continues then obviously the steel demand growth will be greater than the GDP growth rate. Until two months back, we were expecting at least 8-10% growth in steel demand going forward. Now, if we are going to recalibrate the GDP and say that the GDP will grow a bit less, then the steel demand may grow a bit less as well. I think the

automotive sector is quite strong and continues to be strong. We need to see the impact of rising fuel prices, particularly on commercial vehicles, but I think passenger vehicles segment is strong, as well as two wheelers. Construction had a bit of a slowdown, and a bit of impact of labour not being there. I do see some pain with the MSMEs as well because there is pressure at that end of the value chain. Some of them are also struggling with a little bit of working capital issues, etc. So, I think so far, it's good, it looks positive, but obviously it's not insulated totally from what's happening around the world.

Alok Deora, Motilal Oswal

That's all from my side. Thank you and all the best.

Operator

The next question is from Pallav Agarwal of Antique. Pallav, please go ahead.

Pallav Agarwal, Antique

So, the first question was on the volume guidance for FY 2027. Given that we only have the EAF coming on stream, will there be any debottlenecking at Jamshedpur which can add to the volumes?

T. V. Narendran: CEO & MD - Tata Steel Limited

The volume will be at least 2 million tons better in this financial year compared to the previous financial year with most of it coming in India, largely because the Kalinganagar ramp up is pretty much complete. That's the delta volume. In fact, Ludhiana is only half a million tons in this. We've not taken the full Ludhiana volume because it's still being ramped up, but you will have pretty much the full Kalinganagar volume. So, we expect it to be 2 million tons plus for this financial year compared to the previous financial year.

Pallav Agarwal, Antique

Sure. So, the Ludhiana profitability would be lower than the other s?

T. V. Narendran: CEO & MD - Tata Steel Limited

Yes, it will be lower, but the whole model is different. The profitability there from a conversion point of view will be lower, as you're going to save about Rs. 3,000/t of transportation cost. Otherwise, we would have spent Rs. 3,000/t moving the same steel from Jamshedpur to Ludhiana. So, you will save that, and when you look at it from a price minus transportation cost point of view, you'll have a higher price there. The cost may be higher than making steel out of iron ore and coal, but your realisation, if you net it off freight, will also be higher compared to what you would have shipped it from here. Secondly, we are less insulated by the weakening rupee and also the coal prices, etc. The Ludhiana plant is insulated from some of the cost increases that you will face when we're importing coal, paying for freight, buying in dollars, etc., because you're using scrap.

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Samita Shah: VP CFTRM - Tata Steel Limited

And if carbon taxes come in, then obviously that adjustment will also happen because, as you know, it's far more carbon efficient.

Pallav Agarwal, Antique

Sure. I just saw the value added proportion going upward. So how much of potential EBITDA per ton can that add, when increasing the proportion of steel pipes or other value added products (VAP) in the mix?

T. V. Narendran: CEO & MD - Tata Steel Limited

Typically, our downstream businesses, even if you take the steel being transferred to them at market prices, add anything from 5-10% EBITDA. That's the incremental EBITDA you will get from the downstream businesses, even if you transfer steel at market prices. That's why we've always had downstream, and we are planning to grow it. The tubes business, which is now at 1.2 million tons; we want to take it to about 4 million tons. The wires business, where we are the fourth or fifth largest in the world, is about 600,000-700,000 tons, and we want to take it to a million tons. In the packaging business between Europe and India, we are one of the largest in the world again. We want to double the India capacity which we've already announced last year. Then we also have Colors. We feel that we can do

much more in color-coated steels. We

were in some sense limited by the JV and that's why we bought out the BlueScope share and we plan to double the size of the Colors business also in the next 12-24 months. So, I think we want our downstream businesses to at least be about 50-60% of our volume. The whole objective is to sell less HRC in the market and sell more value added products, because when selling HRC, you are always under pressure from international prices and it's a commodity that you're selling to the

tube makers , etc. We feel , with less HR C in the mix and more cold rolled, more galvanized, more packaging steel, and more value added products in our mix, we would be better equipped to deal with the cyclical nature which is inherent in the business. Demand is always there, but the question is the profitability that you need to protect.

Pallav Agarwal, Antique

Sure, sir. So lastly, are there any plans on monetizing the online platform, which I think is doing fairly well. Is that something we'll be looking at?

T. V. Narendran: CEO & MD - Tata Steel Limited

Not monetizing it , as in , no plans just yet to spin it off and monetize a value. But this is a very important part of our route to market. As you saw , we have the retail business Gross Merchandise Value (GMV) growing very fast , and this is being sold with no discounts at the same EBITDA margin that you see in the rest of Tata Steel. This is almost Rs. 5 ,000 crores now and then you have Dig ECA, which is for the SME businesses, which is also growing well. We are now focused on selling what we produce. It's more about enhancing our reach, particularly in the retail business. Now we have orders coming from Indians living across the world who are doing some construction in India, maybe building homes or buying steel for their parents or relatives who are building homes. We get orders from all over the world now , and we see it as a platform to access customers who we didn't have access to earlier. So, we are focused on building it as a very important channel and route to market for ourselves.

Pallav Agarwal, Antique

Sure, sir. Thank you so much.

Operator

Thank you, sir. The next question is from Pinakin Parekh of HSBC. Pinakin, please go ahead.

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Pinakin Parekh, HSBC

My first question is on the Netherlands and the entire saga on the CGP. Now when we go back to the UK operations, we have seen EBITDA losses of Rs. 13,000 crores over the last three years. At this point of time, given the entire uncertainty that we are seeing in Netherlands, first of all, what would be the immediate cost impact because of buying coke or gas ? How will the profitability be impacted? Second, if closures happen earlier in the next 12 -18 months, is there a possibility that the Netherlands operations become loss making at current steel prices and current cost structure?

T. V. Narendran: CEO & MD - Tata Steel Limited

So let me address that and then Koushik can add to it. See, as I've said before, with the exception of maybe 2-3 years back , when we did the blast furnace relining, every year in the last 18 years, the Netherlands business has been EBITDA positive and cash flow positive. That's why , as Koushik said earlier, it's debt free even today . So going forward, if the coke ovens close, we expect it to continue to be EBITDA positive, maybe making less EBITDA than we had hoped we would make, but it will always be EBITDA positive. So far, the Netherlands business operated without any support from India. So, I think we expect that to continue. This whole material uncertainty issue, as Koushik said was because the letter did not give any timeline and it is like saying that if you don't have a plan closure, then there is a material uncertainty to some assets on that site. I think that is largely the messaging. So, the business going forward will continue to be EBITDA positive. The other

thing is, as you've seen in the last few months and going forward, we expect steel prices in Europe to be closer to the steel prices in the US. It was traditionally closer to the steel prices in the US, but over the last 2-3 years, the gap had widened, and that gap is closing now because Europe is also putting restrictions on movement of steel , whether through quotas or through CBAM . So, we expect the pricing to be better in Europe going forward , and we expect our Dutch operations to continue to operate on an EBITDA positive basis, even if the coke ovens are closed. Obviously, there will be some margin compression, but we expect them to take care of themselves. The key question is the investments in the future and whether we have the social license to operate for that . That is a question, and that's a point which Koushik made earlier. Those decisions will be taken once we are comfortable that we have a social license to operate for the future as much as we are seeking one now. Koushik, you want to add to that?

Koushik Chatterjee: ED & CFO - Tata Steel Limited

I think broadly the same. Pinakin, the issue is on the safe and orderly closure, which I think is something that the regulators also want very clearly. So, we will have to come to that. Once that happens, there are projects which have to be undertaken to segregate the CGP's physically from the rest of the plant. So that will take time and that is the reason why we are saying safe and controlled closure. Once that happens, you have a new operating model where you will import the coke from outside, be it from India or elsewhere , and you run it on that basis, but that will not make this site unviable. It can actually continue on the same basis. Whether it has the affordability to make a large investment to transit or not is a question that we are testing at this point of time. Apart from the affordability is obviously whether the goal post on regulatory standards keep changing. If these two are satisfied, there is a path forward. If not, there is an alternative path forward too. So, we are now just in that evaluation stage and exploring as we are engaged very deeply. It is a very serious issue as far as the new investment is concerned, and therefore, all of this has to be resolved before any commitment for new investment is done by Tata Steel Netherlands itself, or whether we will be looking to take the public money that the government has offered us.

Pinakin Parekh, HSBC

Thank you. Just two more quick questions. The first is on UK ; given that there is going to be a delay between the plant commissioning and the electricity infrastructure, how will the plant operate without the infrastructure? And will it be EBITDA positive without the electricity infrastructure? The second is on NINL ; given that we are still in the process of getting all the approvals, what is the earliest estimate of the first steel ?

T. V. Narendran: CEO & MD - Tata Steel Limited

So, on UK, there are two things here. One is that we hope to be EBITDA positive during this year , now that the prices have started improving and that can continue till such time the E AF starts. We can continue to supply the slabs from here and 12

continue to convert it into steel and as the policy changes that we have sought have come, we expect the business itself to be EBITDA positive going forward. That is one part. The second part is , as Koushik said , there is currently a visible delay of about 12 months on the electricity supply. What we are trying to see is to get at least some connection, even one line as soon as the plant is ready so that we can do some trials. We can test out some of the equipment etc. so that we don't waste that time , while we are waiting for the full electricity connection. We are planning to do a ramp up after the commissioning . We're seeing how to compress that to make sure that we catch up on the project

IRR that we had targeted.

So, if we do the preparatory work before the full electricity connection is there, then we can hopefully do a quicker ramp up. On NINL, Koushik, you want to comment?

Koushik Chatterjee: ED & CFO - Tata Steel Limited

Just to add to what Naren mentioned on UK. Till last year we've been sending about 1.2 million tons of slab to UK. We are increasing that from India from Tata Steel Kalinganagar to about 1.8 million tons - that is our target to increase. There is a reason why I'm saying this, because we often look at the UK EBITDA as a standalone . The Port Talbot facilities in UK is effectively now the fifth hot strip mill for Tata Steel . If we actually look at what is the system EBITDA that we talk about, we make about Rs. 7,000-8,000 /t of EBITDA on the transfer of the slabs to UK on a market basis and with the increase in prices, we are seeing about Rs. 4,000-4,500/t of EBITDA by UK itself on the volume that we transfer. So, on a system basis for the slabs going to the UK , we as Tata Steel consolidated make about Rs. 12,000 /t of EBITDA. So that model will continue till the E AF starts and then as Naren mentioned , when the power lines get commissioned or activated, we will then do the initial trials and then move on to using it . [inaudible] On NINL, I think between July and September, we should be able to get the FID and once we get the FID, the target date is somewhere around 2029 -30.

Pinakin Parekh, HSBC

Thank you, sir.

Operator

Thank you. The next question is from Indrajit Agarwal of CLSA. Indrajit, please go ahead.

Indrajit Agarwal, CLSA

Hi, thank you for the chance. I have a couple of questions. First, in the Rs. 12,000 crore capex in India, can you split it by project ? In which projects are we spending broadly ?

Koushik Chatterjee: ED & CFO - Tata Steel Limited

I think that, it's very difficult to give those kind of numbers, off hand, but effectively there are certain downstream expansion projects that are going on, be it the tinplate , wires, etc. There is a Hot Rolled Pickling and Galvanising Line (HRPGL) in Tarapur , then there are coke oven projects in Jamshedpur, which is going on. There is the tail end of the payment that has to be done as far as Kalinganagar is concerned , and then there are the sustainable projects , and there is some allocation for NINL. There are also projects on the mining side. So, taking all that into account is Rs. 12,000 crores. If you are looking for whether we have allocated money for NINL, the answer is yes.

Indrajit Agarwal, CLSA

Okay, that's helpful. So, after the 2 million tons increase this year, over the next 2-3 years, we will hardly have any volume growth in India. Is that understanding correct or what kind of volume growth can we have in India? Let's say from FY2027 to FY 2030.

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T. V. Narendran: CEO & MD - Tata Steel Limited

So, there are two or three things here. One is, of course, once the E AF comes, you can use those slabs to convert into finished products in India and there are some projects that we are thinking of , in terms of plate mill and various other downstream. That is one possibility. The other thing is that, more than the volume growth, we'll have a lot of value growth because of all the projects that Koushik just mentioned. The HRPGL line is a 0.8 MTPA line, and the tinplate capacity is another 0.3-0.4 MTPA capacity . The tubes and wires which we will also be value adding during the time. So , you will see a higher percentage of downstream economics. The steelmaking may be close to where it is till the big volumes come up in NINL. We also plan that in the next year or so, we will announce the next E AF project , maybe somewhere in the west, possibly in Maharashtra. That is something , like you saw in Ludhiana, can be built in two years. So that can come up quite

fast.

Indrajit Agarwal, CLSA
Sure.

Operator
Th

The next question is from Tarang Agrawal of Old Bridge Capital. Tarang, please go ahead.

Tarang Agrawal, Old Bridge Capital

Sir, on the India business, we see end use consumption in the retail sector slowing down. From what you've delivered over the past two years, it used to be about 2.8 million tons a couple of years back, then moved to 3.4 million tons and about 3.5 million tons this year. In the construction and infrastructure sector, we actually saw a deceleration in FY 2026. While in your opening comments, you did allude to Tata Tiscon and Steelium achieving record volumes, just wanted to get some clarification in terms of what's happening in those end use sectors.

T. V. Narendran: CEO & MD - Tata Steel Limited

As far as Tata Tiscon is concerned, we sell Tata Tiscon to projects, and we sell Tata Tiscon to retail. Retail for us is far more attractive than projects. So, over the years, we have increased or pretty much doubled our sales to retail, which used to be at one point in time, 100,000-120,000 tons a month, is today over 200,000 tons a month. So, while overall Tiscon may not have grown, the mix has changed very significantly. And you would see the Tata Tiscon to projects has come down because that's a little bit more of a price to win market. As far as Steelium is concerned, a lot of the Steelium sales will also depend on further value addition options. As the galvanizing lines come up, which has just come up in Kalinganagar, we will have less cold rolled to sell. So, if you have cold rolled, we would rather sell it to auto because that gives us better realisations than to sell it to distribution, or we sell it as galvanized, which gives us better realisations than selling cold rolled as it is. So, you will see this going up and down depending on what is the right product mix to sell. That's maybe what you're seeing in the numbers, but we can get back more specifically because I don't remember the exact numbers at a product level.

Tarang Agrawal, Old Bridge Capital

Sir, so is the Aashiyana channel for the retail end use consumption?

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T. V. Narendran: CEO & MD - Tata Steel Limited

Yeah. So, the customers who buy from Aashiyana are individuals. The individual house builder is a target market for us as far as retail is concerned. That's where we sell more than 200,000 tons of Tata Tiscon. So, it is an order generation platform. People come on the platform, place the order, and the fulfilment is done by our physical distribution chain. Anywhere in India, within 72 hours, you place the order, and you will get the steel through our dealer network, which we have over 10,000 dealers now across country.

Tarang Agrawal, Old Bridge Capital

And this is exclusively only Tata Steel products? Does it include Tata Praveesh as well or only steel?

T. V. Narendran: CEO & MD - Tata Steel Limited

No, it includes steel, Praveesh, tubes, wires, everything. All Tata Steel products, but I would say 90 - 95% of the sale is Tata Tiscon.

Tarang Agrawal, Old Bridge Capital

Got it, thanks.

Operator

The next question is from Amit Dixit of Goldman Sachs. Amit, please go ahead.

Amit Dixit, Goldman Sachs

So, two questions. One is on the capacity expansion plans. If you look at your annual reports over the last five years, it has been vacillating between 35 -40 MTPA of India capacity by FY 2030. We have significant brownfield optionality, maybe more than our peers in India, and we have got decades of experience. So why can't we have parallel expansions across our projects? Brownfield expansions, replicating the similar furnace and of course, not seeding the market share to the peers. Why are we not pursuing that? Balance sheet is in a great state now; 2.3x net debt to EBITDA, Rs. 10,000 crores of free cash flow last year, and in India, consumption is expected to double by FY 2032. So just wanted to get your thoughts on that. Why

are you stopping us? Why are we being so circumspect about it?

T. V. Narendran: CEO & MD - Tata Steel Limited

Thanks Amit. You're right. I think the optionality today is that we can operate parallelly, whereas like I said earlier, when you had only Jamshedpur, you had to operate sequentially. And in Kalinganagar, you could operate parallelly in two sides. Now we can operate parallelly in four sides. That optionality is there. So, in the NINL expansion of 5 million tons, to go back to one of the other comments you made, the blast furnace will be an exact replica of the 5 million ton blast furnace that we have in Kalinganagar. We are replicating assets wherever we can. The steel melt shop will be different because it's a long products plant. Parallelly, we are working on the Bhushan 1.5 million ton expansion, which will take it to 6.5 millions tons. There is a change in the way we do projects. Earlier we used to just announce a project and, then go around getting all the approvals. Now, we announce a project only after we get all the approvals, and we have an FEL3 level of detailing so that our ability to stick to the schedule and the cost is very high because we've gone with a great level of detail. I think that's been a difference in approach than what we did traditionally. That's why you see the announcements happening only when 15

we have all the approvals in place and we have an FEL3 level of readiness and then, once we announce it, we can move much faster.

Case in point is the Ludhiana project. We built it in two years because the FEL3 level of detailing was done, and all the approvals were in place. We announced the board approval about two years back. We were supposed to get it started in April this year and we started it in March. So, we expect going forward that all the projects which Koushik talked about, which is the Galvanizing line, the Tinplate line or the combi mill that we recently commissioned, will be with a different approach. Compress the execution time and do it on time and schedule, with no overruns and do it when all your approvals are in place. Maybe that's why you're seeing us being a bit more circumspect as you said. The other thing is, like I said, strategically, we feel it is not just about steelmaking capacity because let's understand one thing; the cost of iron ore in India is going up. So, the value pools will shift. Value pools are not necessarily upstream going forward. Some of those value pools will shift downstream. For us, we've been buffered a bit because we've had our own iron ore, but if you generally look at cost of iron ore in India it is really going up. Everyone is bidding over 100% to acquire the iron ore. Cost of coal will keep going up because India has no choice but to import a lot of coal and with the INR where it is, input cost for steel making is going to go up. So, we need to be conscious of that and that's why we feel that we need to focus a lot more on the downstream than we've done. We probably have a good downstream presence compared to many of our peers, but we want to do even more. That's why we feel, that is an area which we need to grow much faster than upstream, and a lot of our focus on investments over the last year, whether it's acquiring JV partners, or building new facilities, has been on that.

We also want to strengthen our entire value chain, as Koushik just mentioned, even logistics. As you know, we are buying out some of our partners. We want to control the entire value chain, which can help us in our competitiveness. So, I think the way we deploy capital, the way we see the value, etc., may be different from the way some of our peers see it, but the best thing is that we have the optionality. Like I said, even with the current sites, we have the optionality to go to 45 -50 MTPA. So, if at some point in time, there's still a lot of money upstream, even though the iron ore price

s are high, you can

always go there and do it. The other thing we need to keep in mind in India is the capacity to execute projects, because you're going to the same two or three people to execute all the projects. Do they have the capacity to execute what we plan to do, and you don't want to get stuck doing multiple projects which can't happen as you plan. So, I think there are a number of ways to look at it, and we believe that having that optionality open with brownfield, the cost of expansion will be lower. You can pace it better. When you acquire, like we did Bhushan, etc., you have a single bullet of Rs. 35,000 crores going in and your balance sheet obviously gets disturbed. But when you do this, as you pointed out, our cash flows that we generate in India more than takes care of what we need to spend, and we can manage our debt also well. So that's our point of view. I'm not saying that ours is necessarily the right point of view, but that is our point of view.

Amit Dixit, Goldman Sachs

Great, sir. The second question is essentially on what you pointed out in the answer to the first question - increasing the stake in TM International Logistics Ltd. (TMILL). I would say, a very prudent move. Logistics is something that we are literally struggling in the steel industry. So just wanted to get a little bit more colour on that. What kind of investments we are seeing over there, in either slurry pipelines or rake procurement or maybe coal conveyor? Any such thing to do with the logistics part.

T. V. Narendran: CEO & MD - Tata Steel Limited

TMILL, when it started, was actually a port operations and shipping logistics company. But today 80% of its revenue comes from moving stuff on the ground and rail. It's one of the biggest operators in the country. I think it operates about 55 rakes now. So, a lot of our movement is through TMILL. TMILL also manages a lot of warehouses for us to do just in time delivery for our procurement, etc. TMILL is also looking at waterways movement because one of the areas the government is also looking at is the waterways which are close to Kalinganagar, connecting Kalinganagar to Paradip and all the way to Angul. 16

So, TMILL can play a role there. Logistics, like you said, is a very important part of our cost. I don't know if you know, but Tata Steel is 5% of the freight revenue of Indian railways, because we move so much iron ore, coal, steel, etc. So, I think logistics is very important and hence we thought that we should simplify as much as possible. Now we are buying out IQ Martrade, which is a German company which has been with us for more than 20 years. We still have NYK with us, though with NYK we have another company called Tata NYK, which does the shipping. So, Tata NYK does the shipping and TMILL, which is Tata Steel and NYK going forward, will do a lot more on the ground. In terms of the deal structure, Koushik, maybe you can give more details on the deal.

Koushik Chatterjee: ED & CFO - Tata Steel Limited

TMILL is, as Naren mentioned, very strategic and when you talked about the slurry, our slurry company is the JV that we have with Lloyds, Brahmani River Pellets Limited (BRPL), and we will expand that slurry pipeline. We're looking at transport or logistics very importantly, and we will look at doubling capacity there. I think the entire logistics space, between rail logistics, waterways logistics and slurry are the three very important ones that will be the frame going forward. In that context, it was best that we consolidate our holding versus keeping it at 50%. It was already a JV with 51% holding, and it will go to 74%, with NYK the balance. We will look at the next stage of growth in our logistics and want to make it integral to our growth plans also. It has been a profitable venture for all the three partners. It's been paying dividend, and the capital has been returned many times

over for all of the three partners. So, I think it is a question of now making it the larger landscape and BRPL will look at the slurry pipeline as one of the key areas to grow in the future, not just in the East, but potentially later on in Western India also.

Operator

The next question is from Ashish Kejriwal of Nuvama. Ashish, please go ahead.

Ashish Kejriwal, Nuvama

Okay. Sir, two questions from me. One, when we guide about Rs. 6,000/t price increase in the first quarter, I hope we are including our auto contracts also, which were not there in the third quarter or fourth quarter, or this is over and above that?

T. V. Narendran: CEO & MD - Tata Steel Limited

Yes, this includes part of the auto contracts, but most of the benefit from the auto increases will come in 2Q. We will get some of it in 1Q.

Ashish Kejriwal, Nuvama

Okay, great. And secondly sir, we were discussing about value addition as a way forward for our Indian business. But at the same time, we haven't discussed much on the Maharashtra venture, which we were discussing last time. So, any update on that?

Koushik Chatterjee: ED & CFO - Tata Steel Limited

In Maharashtra, we've moved, and we've been discussing with the government and identified the land. As we get into more finality, we will talk about it, both on the mining side as well as on the land side. Hopefully in the next three months or so, we will give you an update about where we are on the land and more specifics about it. I don't want to say it now because we need to get formal approvals in place and post that, as Naren mentioned, the optionality. A bit, if you are still listening, it's not the circumspice part, but it is actually more a definitive part. We know exactly what we want to do, and therefore we want to handle it in a manner where it is more definitive because in Maharashtra for example, we are very clear as to what

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we want to do and what we are looking for. The government is on our side in terms of supporting these investments. We have to work together and make it more definitive, and then we'll make those investments. So, it is a question of how we pace it up. and in Maharashtra in particular, I will be able to give you more specifics about it in the next call.

Ashish Kejriwal, Nuvama

Sure. And lastly on Europe, if I understand correctly, now maybe we have to purchase coke from the market in case if we have to close it, and this can be delayed or closed only within a year's time. If this goes forward and we need to close our blast furnace and other things also in order to reduce emissions, and by that time, we don't reach an agreement with the government; then do you think that, either we will close down or we can look for some joint venture or buying or selling the assets, or can we still go ahead with the investment to reduce the carbon emissions over there? How to look at it?

Koushik Chatterjee: ED & CFO - Tata Steel Limited

If you want to paint a scenario or scenarios, then each of them has its own pluses, minuses and options. As of now, we want to run the plant, as it is. The coke and gas plant is what we have consciously and over a time studied. We have a very detailed work done as to how it will get closed, and that's being shared with the regulators and the environmental agencies, and that is why we have a path to go forward. It is not the next 12 months; it can not be done very soon. It will require time, and that is the time that we are in discussions with. We have made it very clear because there is a way in which we can do it with segregating the coke oven circuit from the rest of the plant, and also ensuring that it is a safe closure. If that happens, then I think there is a path forward which is the best path forward at this point of time because as I said, there will be cost penalties. But the way the market is moving, and the way we will optimize

it within the overall Tata Steel system, we should be okay. If it goes beyond that, then we will have to look at different alternative scenarios, and what scenarios actually work for both the Tata Steel Netherlands business and its business continuity, as well as for Tata Steel as a primary shareholder. All of these have to be looked at, and then comes the investment case, which we talked in detail earlier in the call. Those are in sequence, so we have a lot of things to settle, set up and set right before we talk about the investment.

Operator

The next question is from Ritesh Shah of Investec.

Ritesh Shah, Investec

Thanks for the opportunity. Sir, first is, can you give colour on Rs. 6,000 /t of pricing increase into 1 Q? If you could break it up in April, May, or probably the pass through which was there from 4QFY26 . And something on the flats and longs ; I think that's a first easier one.

T. V. Narendran: CEO & MD - Tata Steel Limited

So rather than give month wise, all I can say is that the prices went up in March, April, and May . Rather May is still being worked out. That's as far as the trade market is concerned. There is some softening in long products, largely driven by the secondary producers , because I understand that some of them are struggling a bit with working capital, high cost, and disposing some of the steel that they have. There is some pressure in long products in May that I see. Flat products is still holding out because prices in China have gone up over \$20 -\$25/t in the last 3-4 weeks. So international prices are going up. In fact, Indian flat product producers also have export options now. Export prices are not too bad. The weaker Rupee is also helping exports. So, export options are growing. I would say that in flat products, the pressure is a bit less because international is picking up and China prices have gone up. China's exports have come down to less than 10 million tons after quite a while , and if you see the first four months of this year, Chinese exports are down. So, I think the overall flat products picture looks a bit better. And flat products are very auto driven also both directly and indirectly , and auto so far has been strong. That's a story on flat products. Long products is a little bit more sensitive to construction. Construction has struggled a bit in the last couple of months simply because of the elections and labour going home to vote , and things like that. The gap between the prices of secondary producers and primary producers has kept increasing. I'm not giving you a

18 month by month breakup, but the guidance of Rs. 6,000 /t is largely driven by what we've seen so far till May. We are not expecting any significant upside beyond May, apart from the auto contracts. Auto contracts are still being finalised. And normally what happens with auto contracts is that once they are finalised and you raise the debit notes, some of the money will come in the next quarter. In this case, we are expecting maybe 30% of the benefit to come in this quarter and 70% of the benefit to come in next quarter.

Ritesh Shah, Investec

Wonderful. So, my second question is on Tata Steel Netherlands and UK. Koushik, there are multiple permutations for Netherlands - Coke and gas plants, CBAM , etc. How should we look at normalised spreads, if one had to assign a particular scenario with a higher probability ? How should one look at spreads for Tata Steel Netherlands? Likewise for UK , before and after E AF, for both the variables, how is it that one should understand the impact of CBAM?

Koushik Chatterjee: ED & CFO - Tata Steel Limited

So as far as Netherlands is concerned, our base assumption for spreads is, business as usual for the next 12 months at least. Whatever you have seen in the historical spread adjusted for a CBAM uplift that is happening in the market today and for the coal prices that have

also moved up, the spreads are no different. There is no adjustment of any combination that we have in our base case scenario for the financial year 2027 or 2028. We have to look at the conversations that are happening currently with the regulator and the other stakeholders to see where is the landing ground for the timing of this , because as I mentioned many times in this call, there's a physical timeline required to make a safe and controlled closure. And that is what we are working on. So as far as Netherlands is concerned, in the next 12 months on a base case scenario, we should get what we are looking at. The other issues on gas price increase in West Asia are separate, but purely from a raw material to steel price spread, it should be on the basis of what has been historically the baseline , adjusted for the price increase that is happening. In UK, typically if you look at it from post E AF, typically good E AFs work in the range of 6 to 8% EBITDA margin. And our assumption is that it is the same, but we have more value added products in the portfolio, so we should be able to get better than that. Our fixed costs anyway are being driven down. So, when the E AF comes in, it should not have any big changes in fixed cost, but other than the combination cost changes because power will become an important factor, scrap will become an important factor, and it will replace the cost of slabs or HR C which is being bought at this point of time.

Operator

Thank you, sir. I would now like to hand over the conference to Ms. Samita Shah for the chat questions . Over to you, ma'am.

Samita Shah: VP CFTRM - Tata Steel Limited

Thanks, Kinshuk. Just continuing on the questions on U K. One is , in terms of the import quota reduction which has happened in the UK , how does it affect the sale of slabs from India to UK? And I think you've answered a lot about UK in general, but I think some questions on when do we expect UK to breakeven given the increase in prices in the UK.

Koushik Chatterjee: ED & CFO - Tata Steel Limited

Slabs are excluded from quotas.

T. V. Narendran: CEO & MD - Tata Steel Limited

And regarding the breakeven , obviously the prices have gone up significantly since March , and these announcements

came in March. So, we were seeking these prices, and I think we've said that in the last two or three calls, that the prices in UK were £100 /t lower than the prices in Europe. Now the prices in UK have caught up with the prices in Europe ; in fact, it's slightly higher. And certainly, as Koushik said , the EBITDA losses will shrink this quarter compared to last quarter and will

shrink again the next quarter. Now whether the shrink is enough to be positive next quarter is something we are still working out because of the Middle East impact on gas prices and energy costs in UK . That is something that's being worked out , but largely we are heading in the right direction and because we got the policy support that we had sought.

Samita Shah: VP CFTRM - Tata Steel Limited

Thank you. In that same vein, I think you answered it earlier Naren, but because I think there are a few questions on this ; given the price increases or the guidance which we have given in both Europe as well as UK , is there a significant spread expansion expected in both these geographies? I think you answered it, but maybe a few people have missed it .

T. V. Narendran: CEO & MD - Tata Steel Limited

So let me put it this way - the prices are going up in both places for sure. Like I said , 1Q prices will be about £80 /t higher in UK compared to 4Q and in Netherlands , it will be about €80 /t higher . The coal cost in Netherlands are going up about \$10/t. So obviously from that point of view, there is an expansion, and we expect margins to improve in UK . Like I just described EBITDA losses to shrink , and come closer and closer to zero during this qua

ter and next quarter. But in

Netherlands , in this quarter , because we will lose about 2 months of DSP production, that's about 200,000 tons of production. There is an impact of that on our performance in this quarter. and hence , while we will be EBITDA positive, we will not see a better EBITDA than in the previous quarter , despite the price hikes. But going forward, because there is an import quota in Europe as well, we expect prices will continue to be on the higher side in Europe , than we've seen in the past and the spreads will be supportive. Once our operations get back to normal, I think we will start seeing the benefits of that. Overall, the plan this year on an EBITDA basis is higher than the plan for last year and in Netherlands also.

Samita Shah: VP CFTRM - Tata Steel Limited

Thank you. I think there are some questions on the earlier lawsuit in TSN . If there's any update on the status there, please.

Koushik Chatterjee: ED & CFO - Tata Steel Limited

No, there is no material update other than the fact that we have time to file our defence on the mass claim and we are working on it. There needs to be experts who will study on the parts raised in the claim and that's what we are doing. So, at the time when we have to submit, we will do the submission and defend it.

Samita Shah: VP CFTRM - Tata Steel Limited

Thank you. We'll move to India now. There are some questions on what is the iron ore and coal production in India in FY2026?

T. V. Narendran: CEO & MD - Tata Steel Limited

I think iron ore production would be close to 45 million tons and I think we've sold about 4 million tons , if I'm not mistaken . And we will continue to produce what we need for our own use and we will continue to maximise the sales. I think the challenge with iron ore always is more about logistics and evacuating the material , when we have logistics constraints and the priorities of our own in-house consumption. As far as coal is concerned, we have roughly 3 million tons of coal after wash , available for consumption . What we produce in raw coal is maybe closer to 6 million tons.

Samita Shah: VP CFTRM - Tata Steel Limited

Yes, just a little higher but yes. Okay, thank you. Any visibility on iron ore sourcing post 2030 and any colour around that?

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T. V. Narendran: CEO & MD - Tata Steel Limited

Like we've said, we will continue to participate in auctions, but we will be prudent on what we bid. We will not bid beyond what we think makes sense. We will focus on the iron ore leases that are available closer to Eastern India because most of our capacity is coming in East. The second part of the post 2030 strategy is what is evolving in Maharashtra for us. Our plan for Maharashtra is also hinged on iron ore availability , so that is the second part of the plan. The third part of the plan is, of course, to look at imports. We've already got a shipment from Canada , and we have very high quality ore there. While that may not be the most important part of our plan post 2030, it allows us to test the logistics of bringing in iron ore from outside, and to test the impact of good quality iron ore. One of the disadvantages of Indian ore is the quality ; apart from [inaudible] , the alumina is high and there are many other issues. When we look at imports with low alumina, you can have better value in use. So, we are looking at imports also as an option and most of our capacity is moving closer to the sea . With Kalinganagar and NINL that's 25 million tons of capacity which is closer to the sea than Jamshedpur, and the Bhushan plant with 10 million tons will also be closer to the sea compared to Jamshedpur. So, imports become a better option than for a site like Jamshedpur which is far more inland. So strategically, we are in a better position for imports. We also have the optionality of our own leases when it comes up for bidding in 2030. We will decid

e on what should be a

bidding strategy for our own leases , what of it that we want to keep, what of it we may not want to keep, what is the price we are paying for, etc. So , that optionality also exists for us. I think, our objective is to have more options, keep these optionalities open so that we can decide as appropriate.

Samita Shah: VP CFTRM - Tata Steel Limited

Thank you. There's a question on H Isarna. Is there any update on the project and any learnings we have reached ? What is our thought on this going forward ?

T. V. Narendran: CEO & MD - Tata Steel Limited

These two projects, H Isarna and E ASyMelt, are very, very important for us , for the future. The advantage of H Isarna is that it can use any raw material. It can use poor quality iron ore, poor quality coal, thermal coal, etc. , and you don't need a coke oven or a sinter plant. So, there's a lot of advantages. We've been at it for more than 10 years and the good news is that, our pilot plant in Netherlands is doing quite well. We have a team there for the last few years , and as was mentioned, we are also working with Nucor on this project. They are also very keen because they are also keen to build a plant using HIsarna in the US , as they also need some iron feed into their electric arc furnaces. So, when we set up a commercial scale plant in India, which may be close to a million tons, Nucor will work very closely with us, and the engineering is being done for that. We are very excited about this project, and it can be a game changer because , that gives you even more optionalities as far as raw materials are concerned.

Samita Shah: VP CFTRM - Tata Steel Limited

Thank you. And the last question which we'll take for today is the FX debt in India. What is the amount of the FX debt in India? So, you said 18% of consolidated ?

Koushik Chatterjee: ED & CFO - Tata Steel Limited

It is Rs 17,000 crores.

Samita Shah: VP CFTRM - Tata Steel Limited

Yes, that's offshore, but I think the question is how much of it is on India ?

Koushik Chatterjee: ED & CFO - Tata Steel Limited

I think \$1 billion is on offshore. So, I think the FX debt in India is somewhere around Rs. 5 ,000-6,000 crores, right?

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Samita Shah: VP CFTRM - Tata Steel Limited

Yeah, it's \$750 million of that ECB and just to clarify to everybody, it's fully hedged . So, we don't have a currency exposure on that.

I think we have taken most of the questions and we also took a lot of questions on the audio. So, thank you everyone for your participation today, especially on a Saturday. I hope this helped you better understand the results and we look forward to connecting with you next time.

Thank you and bye.

T. V. Narendran: CEO & MD - Tata Steel Limited

Thank you everyone.

Koushik Chatterjee: ED & CFO - Tata Steel Limited

Thank you very much.